PROJECT SYNDICATE DIGEST

July 2026

Compiled collection of all curated commentaries and analysis columns.

Generated automatically on 7/30/2026
Total Articles: 98

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1. The Digital Choices Shaping our Children's Health

Author: Emmanuel Macron **Published:** Jul 1, 2026 **Link:** View Original

PARIS/GENEVA— From social media and online gaming to generative AI systems, digital environments are powerful determinants of people's health. That is especially true of children and young people. Around the world, childhood is being reprogrammed by digital technologies that shape how young people learn, play, and connect.

Our task is not to celebrate or condemn technology. It is to face a simple truth: our digital environment not only promises far-reaching benefits but also poses grave risks for children's health and development. Our responsibility is to maximize the first while preventing the second. It is not too late to act, but it is too late for merely incremental adjustments.

Digital tools can expand opportunity by supporting learning, communication, and access to health services, especially for children in remote or crisis-affected settings. For many young people, online spaces also offer creativity, community, and belonging, particularly for those facing exclusion offline.

But these benefits are not guaranteed; they depend heavily on who has access, how technologies are designed, and whose interests they serve.

Governments are increasingly recognizing that protecting children online is a public-health imperative. Australia has implemented the world's first requirement that social-media platforms prevent children under 16 from holding accounts, while France is advancing legislation to prohibit access to social media for those under 15. Indonesia has banned access for children under 16, Spain has announced plans to do so, and Ireland is working with European Union partners to develop age restrictions and age-assurance systems focused on protecting under-16s.

The United Kingdom, too, recently announced plans to ban social-media platforms from offering services to under-16s, alongside additional safeguards like restrictions on livestreaming and contacts from strangers. And Canada has introduced legislation to restrict access to social media for children under 16 while requiring stronger safety-by-design protections and accountability from platforms.

Together, these measures reflect a growing global consensus that digital environments require effective governance, age-appropriate design, and stronger safeguards to protect child health. The World Health Organization is supporting this by strengthening the research needed to develop a clearer understanding of the impact of today's and tomorrow's technologies, providing technical advice to countries, and promoting safe, equitable digital health environments.

Solutions are needed because digital environments are not neutral. How they are designed, governed, and monetized shapes many aspects of our lives, not least our health.

For example, repeated exposure to stereotyped, sexualized, violent, or discriminatory content shapes how children understand themselves and the world around them. Algorithms increasingly filter health information to increase attention rather than accuracy, allowing misleading claims to spread. The collection and use of personal data, particularly for profiling and targeted marketing, raise concerns about privacy, manipulation, and well-being.

Current evidence associates excessive digital exposure with problems such as anxiety, depression, poor sleep, increased aggression, and, in more severe cases, suicidality, especially among vulnerable adolescents. Digital marketing on platforms may expose people to promotion of harmful products, such as tobacco, alcohol, and gambling platforms.

Social media, gaming, and AI use can deepen loneliness and displace offline relationships. Prolonged use contributes to sedentary behavior and reduced sleep, which are known risk factors for noncommunicable diseases.

Online sexual exploitation and abuse are also increasing globally, alongside a sharp rise in child sexual abuse material, AI-generated abuse imagery, and deepfake sexual or bullying content. These have profound and lasting consequences for mental health, trust, and safety.

Commercial practices increase all these risks. Many platforms are designed to maximize engagement, without adequate protection from exposure to harmful content or features to protect children's physical and mental health.

Reducing exposure to illegal or extreme and graphic content is essential. But children's well-being requires more than the absence of harm. It depends on stable relationships, appropriate boundaries, physical activity, and opportunities for real-world social connection. Risks multiply when digital environments disrupt—rather than support—healthy development.

Generative AI is a major force multiplier in terms of both risks and opportunities for child well-being. Used responsibly, purpose-built AI tools may support education, accessibility, and health. But their long-term impact on children's expectations of relationships, empathy, or self-regulation are unclear. As long as that remains true, a precautionary approach is not anti-innovation. It is pro-child.

Digital balance is part of the solution. While digital environments require regulation, transparency, age-appropriate design, stronger safety and trust features, and accountability, evidence must keep pace with technology, requiring independent, longitudinal research across income settings and regions.

Above all, we must listen to today's youth. As active users of technology, they can help digital environments evolve responsibly. The online and offline worlds now form a single space where digital tools can support healthy development —or crowd it out. Young people should bring their own lived experiences to bear in order to help shape appropriate guardrails. Parents, caregivers, schools, and communities must also be part of this conversation.

This process demands sustained collaboration across governments, industry, civil society, and public-health institutions, built on a shared commitment to maximizing benefits and minimizing harms. More transparency, data sharing, health-promoting design choices, and corporate support for effective safety standards, especially for minors, are essential. The WHO can play its convening role and influence in setting norms and standards.

Our children and young people are not experimental subjects, a captive market, or a commodity. Together, we can and must shape digital environments that protect and support their healthy development. The choices we make now will echo for generations.

2. The Mismeasure of Europe's Economy

Author: Sami Mahroum **Published:** Jul 1, 2026 **Link:** View Original

DUBAI—The debate over European competitiveness has long focused on the widening gap with the United States. But that is the wrong question. What matters is not whether the gap is widening, but the fundamentally different mechanisms through which each economy creates wealth: Europe derives much of its wealth from accumulated assets; the US relies on the continual creation of new ones.

This distinction is at the heart of the debate over how to measure the US-EU productivity gap. Paul Krugman argues that, in terms of purchasing power parity, Europe's relative position has remained broadly stable. Fellow Nobel laureate Philippe Aghion and his co-authors, for their part, contend that at constant prices, Europe has steadily lost ground since the 1990s. Both, however, are measuring the gap; neither explains what drives it.

Europe is indeed less productive than the US, and the gap has widened by constant-price measures. But Europe is also richer than it was a decade ago: output per capita has risen, and the European Union's employment rate reached a record 76.1% in 2025. Moreover, Europe does not feel poorer, since much of its wealth is embodied in its cities, institutions, and reputation.

What has slowed, then, is not wealth accumulation itself but the rate at which it is renewed. Slower renewal, rather than decline, is the defining feature of what might be called a "stock economy," in contrast to America's "flow economy."

"Stock" and "flow" are ideal types of wealth creation, not accounting categories. A stock economy generates steady returns from assets accumulated over time: historic cities, supplier networks, legacy brands, regulatory credibility, technical know-how, and the trust that lowers transaction costs. A flow economy must continually create new wealth through frontier innovation, entrepreneurship, and rapid scaling. Europe relies heavily on inherited coordination, whereas America depends on perpetual renewal.

To be sure, Europe's stock is far from passive. Dense supplier networks, reputational capital, and institutional credibility generate genuine productive efficiencies. Once such assets are in place, however, some of the value they generate takes the form of economic rents instead of rewards for productive investment. Landowners in prime locations, incumbents sustained by legacy brands, and protected sectors capture that surplus by controlling inherited assets. The same stock that creates efficiency also fosters entrenchment.

Milan's fashion ecosystem illustrates how accumulated cultural resources translate into what economists call "amenity value." As Leïla Kebir and Olivier Crevoisier's work on the cultural geography of Swiss watchmaking shows, such inherited cultural resources continue to shape contemporary production. Simply by carrying a Milan address, a new fashion label can command an instant premium, as the location itself signals heritage, taste, and authenticity.

The distinction between stock and flow economies has significant implications for the productivity-measurement debate. Because national accounts record both actual and imputed rents as output, part of what both Krugman and Aghion treat as productivity gains reflects returns on inherited assets rather than newly created wealth.

The productivity gap, in other words, reflects not only varying levels of dynamism but also the extent to which output comes from inherited assets rather than new wealth creation. A study of the economic impact of UNESCO World Heritage designations in Italy found that listed localities experienced faster growth in both resident populations and the share of high-income taxpayers, fueling demand for luxury housing. Strip away those passive legacy rents, and Europe's dynamic core might look thinner than either Krugman or Aghion acknowledges. Viewed this way, Europe is less an economy in decline than one living comfortably off a remarkable inheritance while struggling to convert it into new growth.

Nowhere is the distinction clearer than in each economy's signature industries. Europe's defining global industry is luxury: a stock-based sector in which heritage and reputation become more valuable with time. America's economic flagships are software and, increasingly, AI, where value depends on pushing the technological frontier.

The limits of the stock economy become apparent when firms try to scale. While Europe is home to more than 35,000 startups and many world-class companies, scaling is fundamentally a flow process. Europe's capital is abundant but rooted, its talent is embedded in existing institutions, and its markets remain fragmented.

As a result, European savings are largely invested abroad. According to the European Parliament, roughly €300 billion ($343 billion) in savings leave the EU each year, much of it funding American innovation. In his 2024 report on European competitiveness, former Italian Prime Minister Mario Draghi reached a similar conclusion: Europe struggles to translate its scientific excellence, vast savings, and industrial depth into rapidly scaling firms.

Yet Europe has several institutional mechanisms for turning stock into flow. The first is the corporate spin-off, which allows incumbents to serve as incubators. ASML, the Dutch maker of the advanced lithography machines essential to semiconductor manufacturing, emerged as a joint venture between Philips and ASM International before becoming an independent company. NXP and Signify were spun off from Philips, and Infineon from Siemens. Each converted accumulated capabilities into firms built for a new technological cycle.

The second mechanism is the joint venture, which pools established capabilities into a new industrial champion. Airbus, created by combining Europe's national aerospace champions, became Boeing's only serious rival. The creation of STMicroelectronics through the merger of French and Italian semiconductor firms followed the same logic.

Last but not least is the recycling of accumulated wealth into patient capital. The Novo Nordisk Foundation, for example, channels the returns from one generation's success into the next generation of research and firms.

These mechanisms are not European versions of the Silicon Valley playbook. They represent Europe's own way of turning inherited assets into new growth engines. Europe's mistake over the past few decades has been trying to graft a venture-capital-driven flow economy onto a stock-based socioeconomic architecture built around powerful incumbents, stable rents, and incremental change. The result has been a series of sporadic VC booms that failed to transform the broader economy.

Rather than imitating Silicon Valley wholesale, Europe's challenge is to build institutions capable of unlocking trapped resources: incumbents that spin off new firms, national champions that pool capabilities, and foundations and family capital that support startups as they scale.

Seen through this lens, the Krugman-Aghion debate is less about choosing the right productivity metric than about what those metrics leave out. Although they do a good job of measuring productivity at the technological frontier, they do not capture how much of Europe's apparent performance rests on inherited assets whose productive potential remains unrealized.

3. Oligarchy's Ancient Origins

Author: Matt Simonton **Published:** Jul 1, 2026 **Link:** View Original

PRINCETON—In the autumn of 403 BCE, democracy triumphed in Athens. It was a hard-fought victory. The 27-year conflict with Sparta known as the Peloponnesian War had ended the previous year with the besieged Athenians capitulating. An authoritarian regime called the Thirty then took control of the city and, despite their claims of "virtue" and "justice," soon executed more than 1,500 people.

This paroxysm of violence inspired a democratic resistance movement, comprised in part of working-class resident foreigners and slaves. After nearly a year of civil war, the rebels had won—a remarkable moment of democratic restoration that still resonates today. To celebrate, they offered a sacrifice on the Acropolis to the city's patron goddess, Athena.

But far from the festivities, a very different kind of commemoration was taking place. Remnants of the Thirty were setting up a monument to their fallen leader, Critias. An older relative of the philosopher Plato, Critias was an intellectual, poet, and political theorist who virulently opposed the city's democracy. He had spearheaded the Thirty until his death in battle earlier that year.

To pay tribute to Critias and the entire anti-democratic movement, his fellow partisans erected an elaborate marble gravestone. A carved relief showed a fierce young woman brandishing a torch and setting another woman on fire, with the epitaph: "This is the memorial of good men, who for a brief time restrained the hubris of the cursed Athenian people." According to an ancient Greek commentator, the woman holding the torch is Oligarchy personified. Her victim is Democracy.

No trace of Critias' gravestone survives, and the only reference to it is in the marginal note of a manuscript. Some scholars have understandably doubted its existence. Surely, they argue, such a subversive object would have been built in secret, raising the question of how anyone could have recorded its content. Perhaps it is a bit of ancient fan fiction.

Still, real or invented, the monument encapsulates a major political phenomenon of classical Greece: oligarchy, or "the rule of the few." Oligarchs viewed themselves as a rarefied minority set apart by their breeding, wealth, manners, and superior education, which rendered them fit to rule. They were, in a word, the "good" of Critias' epitaph, as opposed to the unwashed majority—the demos—who lacked the training and discernment necessary for politics, and whose misplaced priorities could result only in hubris. It was the duty of every right-thinking member of the elite to hold back the tide of ignorance by whatever means necessary. (In ancient sources, the demos is often compared to a rushing river or inundating wave; the torch imagery of the tombstone, opposing fire to water, may therefore be deliberate.)

If the oligarchic sentiment embodied in Critias' monument seems extreme, that is because it reflects the bitterness of the struggle between democracy and oligarchy in classical Greece. It is well known that, beginning in the fifth century BCE, Greek thinkers devised a simple yet ingenious method for classifying constitutional types based on number. States could be ruled by the one (tyranny), the few (oligarchy), or the many (democracy). What is less understood is that democracy and oligarchy quickly became the two most common—and most violently opposed—forms.

Writing in the fourth century BCE, Aristotle observed in The Politics that "most constitutions are either democratic or oligarchic." It would not be an exaggeration to say that the choice between the two nearly tore the Greek world apart. Columbia University historian John Ma, in his recent history of the ancient Greek polis, refers to the period between about 460 and 360 BCE as a "Hundred Years' War" between democracy and oligarchy. Much more than tyranny, oligarchy was the great nemesis of popular government.

But oligarchy, no matter how ubiquitous, never had widespread appeal. Oligarchs were not a political “party” who alternated with democrats through peaceful transfers of power. Most constitutional changes were the result of a coup d’état. That was true even for the establishment of democracies. But whereas democracies, almost by definition, enjoyed the support of a majority of citizens, oligarchies often managed to persist in spite of their unpopularity.

Ancient Greek oligarchies are a case study in how skillfully designed institutions can preserve even the most authoritarian regimes. On the surface, oligarchy relied on a property requirement to ensure that only a minority of the population, perhaps the wealthiest 10–15% of the male citizen population, had access to political office. But oligarchy had a strong ideological class component, too. As Aristotle rightly observed, oligarchy and democracy refer to number, but actually entail the rule of the rich and the poor, respectively.

To maintain power, the oligarchic “gentlemen’s club” employed a classic strategy of divide and rule. Leading lights from the opposition were co-opted into the regime. Publicly posted rewards for informants sowed doubt and division among would-be conspirators. Movement in the central spaces of the polis, where protest could spiral into revolution, was heavily regulated. And if the domestic scene grew turbulent, international allies stepped in to restore “order”: the Spartans in particular were notorious for intervening to help shore up oligarchies.

One set of institutions thus dealt with the restive demos; another maintained tolerable relations within the ranks of the oligarchs themselves. Cooperation among these outsize egos could not be taken for granted, even though their survival depended on it. (If that sounds far-fetched, just imagine a government composed exclusively of the billionaires who flanked US President Donald Trump at his second inauguration. Mark Zuckerberg, Jeff Bezos, Tim Cook, Sergey Brin, and Elon Musk may benefit from the current order, but it is far from clear that they could cooperate long enough to sustain it.)

Equipped with this institutional order, oligarchy had a decent run. In the end, however, it could not withstand the spread of democracy. This may come as a surprise: a common narrative—promoted by, among others, the framers of the US Constitution—holds that the tumultuous direct democracies of antiquity inevitably succumbed to demagoguery and disorder. The history of Athens itself, as told by the historian Thucydides, has been used to bolster this story.

But contemporary scholars, drawing on new literary, inscriptional, and archaeological discoveries, increasingly agree that democracy did not begin and end with classical Athens. In fact, between the third and second centuries BCE, democracy may have been the most common form of government in the ancient Greek world. It was celebrated in painting, coinage, sculpture, and everyday discourse as the best way to secure freedom and equality for the free male citizen (slavery and gender-based exclusion being notorious features of the ancient Greek regimes that identified as “democracies”). Then as now, hardly anyone spoke well of oligarchy in public—in fact, Critias’ tombstone, if it existed, would represent the sole attested instance of oligarchia depicted in art.

After some time in abeyance, the word “oligarchy” has come roaring back in the United States. It first reappeared on the political agenda in the 2010s, with the Occupy Wall Street movement and Bernie Sanders’s 2016 presidential campaign, and gained wider currency in January 2025, when former US President Joe Biden warned in his farewell address of “an oligarchy … of extreme wealth, power, and influence that literally threatens our entire democracy.” When people hear the term now, they are more likely to think of American tech bros than the Russian super-rich who accumulated their wealth by appropriating state assets in the 1990s.

In many ways, American society is ill-prepared for this moment. Despite the importance of oligarchy in Greek antiquity, where so many of the United States' political ideas originate, the issue was largely sidelined in constitutional debates of the early modern period. That is partly because the US Constitution's framers shifted the terms of discourse away from "democracy vs. oligarchy" and toward a contrast between the rule of law and the tyranny of the majority.

The Federalists, in particular, sought to downplay the loss in democratic power that might come with the incorporation of the separate states into the strong federal union they envisaged. As numerous scholars have pointed out, the proposed Constitution of 1787 was far less democratic than many state politicians and constituents preferred. But in the first of the Federalist Papers, Alexander Hamilton assured readers that "a dangerous ambition more often lurks behind the specious mask of zeal for the rights of the people than under the forbidden appearance of zeal for the firmness and efficiency of government." In other words, it was an excess of democracy, rather than its deficit, that would lead to political instability.

As a result, the Federalists were somewhat on the defensive when it came to touting the popular bona fides of the Constitution. James Madison admitted in Federalist 38 that the most common charges against the document were that it would end in monarchy or aristocracy; there was little danger, it seems, that it was too democratic.

But we can still draw on the Federalists for rhetorical ammunition against the idea that the US Constitution was not meant to be democratic at all. The claim that the United States is a "republic, not a democracy" continues to circulate, with the understanding that a majority vote should not necessarily prevail. As Madison explained in Federalist 10 and 14, however, what "republican" means in practice is primarily the use of representative, rather than direct, voting on legislation. In both cases, the method for tallying votes is majoritarian.

In fact, in an indirect allusion to oligarchy, Madison stated that "[i]f a faction consists of less than a majority, relief is supplied by the republican principle, which enables the majority to defeat its sinister views by regular vote." Madison seems incapable of imagining that a majority could be held hostage to a stubborn minority holdout.

Hamilton, while not necessarily a friend of democracy, also had sharp words for super-majoritarian, as opposed to bare majority, voting rules. "To give a minority a negative upon the majority," he wrote in Federalist 22, "(which is always the case where more than a majority is requisite to a decision), is, in its tendency, to subject the sense of the greater number to that of the lesser." Such a system aims "to substitute the pleasure, caprice, or artifices of an insignificant, turbulent, or corrupt junto, to the regular deliberations and decisions of a respectable majority."

And yet, the process that Hamilton disparaged is precisely how the US now regularly formulates policy, through the use of the Senate filibuster. Two-fifths of the Senate, potentially representing only about 10% of the total US population, can stymie legislation through its de facto veto. So long as this continues, America is effectively governed by an oligarchy, against the express intentions of the Federalists—men who were not all that enamored of democracy to begin with.

The US faces unprecedented challenges. In addition to Trump's daily attacks on the rule of law, American society must decide how to navigate the rise of AI, climate change, and runaway inequality, among many other issues. Progress will require, at a minimum, insisting on the basic rights of democratic majorities as guaranteed by the Constitution. To maintain the status quo is to do the oligarchs' work for them. In antiquity, oligarchy was imagined as actively setting fire to democracy. Today, as the meme goes, democrats sit in a burning building of their own making and declare, "This is fine."

4. 250 Years of American State Capitalism

Author: Shang-Jin Wei **Published:** Jul 2, 2026 **Link:** View Original

NEW YORK—As the United States marks 250 years since the signing of the Declaration of Independence this summer, there is no better time to reckon with one of the great myths of American economic life: that the country's prosperity was built on laissez-faire capitalism. From its very founding, the US has had a hybrid model in which the state directs, subsidizes, and occasionally bails out private enterprise in the service of national priorities. While the prevailing narrative has often extolled free markets, policymaking itself has been more pragmatic.

This story begins not with Barack Obama's health-care program, or even with Franklin D. Roosevelt's New Deal in the 1930s, but with the very first US administration, under George Washington. In 1791, Secretary of the Treasury Alexander Hamilton submitted to Congress what was arguably the first government document in world history to lay out a systematic, intellectual case for industrial policy. In his Report on Manufactures, he noted that infant industries in the US, particularly textiles and garments, could not compete effectively against established British manufacturers without government protection. He proposed the use of tariffs and subsidies to nurture the industries of the future.

Hamilton lost the immediate battle when a still agrarian-minded Congress tabled his report. But he ultimately won the war, because his ideas would go on to shape American economic policy for the next century. Henry Clay's "American System," along with the protective tariffs that helped industrialize the North and the federal land grants that built the transcontinental railroads, all bore Hamilton's intellectual fingerprints. Industrial policy, it turns out, was not invented in Brussels, Beijing, Tokyo, or Moscow.

This founding pragmatism never disappeared. During the 20th century, the Cold War forged the military-industrial complex. DARPA invented the internet, NASA developed and then spun off technologies that would shape entire industries, and federal procurement contracts sustained America's aerospace and semiconductor sectors for decades. The Interstate Highway System, built under Dwight Eisenhower, was not only one of the largest infrastructure investments in history; it was also a decisive federal subsidy to the automobile industry. And when the 2008 financial crisis hit, the government took equity stakes in banks and automakers, once again flouting free-market orthodoxy.

Yet the myth of laissez-faire America has proved remarkably durable, functioning almost as a national religion, even as the practice diverged from the creed. Moreover, the same orthodoxy, promoted through the US-dominated World Bank and USAID, sometimes served as a barrier to practical economic development in other countries.

In a recent research paper, "The United States as an Active Industrial Policy Nation," Jiandong Ju, Yuankun Li, and I document this gap between rhetoric and reality. We systematically analyzed all 12,167 congressional acts and 6,030 presidential orders issued between 1973 and 2022, using large language models to identify policies that deliberately altered the economic structure away from laissez-faire outcomes. The results are striking.

We identified 267 congressional acts and 187 presidential orders containing significant new industrial policies. That is more than nine new industrial-policy directives per year across a half-century period, and the pattern holds regardless of which party controlled the White House or Congress. Every president from Richard Nixon to Joe Biden promulgated new industrial policies. The difference between the two parties has been a matter of degree, not of kind.

Our research also uncovers some interesting features of US industrial policies. For example, we find that American policymakers have historically built guardrails into economic interventions. Some 59% of all industrial-policy laws and orders carry an explicit expiration date, with an average duration of roughly four years. Many are framed explicitly as pilot programs—experiments that can be wound down if they fail. Some include conditional triggers: “Buy America” procurement preferences, for example, apply only if the domestic price is no greater than 125% of the international market price. If the inefficiency becomes too large, the subsidy lapses.

As America turns 250, the pendulum has swung visibly back toward explicit state capitalism. The CHIPS and Science Act, the Inflation Reduction Act, and the aggressive tariffs deployed by both President Donald Trump and Biden do not represent major qualitative departures from American tradition.

But the current debate—between those who see creeping socialism and those demanding a more equitable distribution of the gains—risks overlooking a longer continuity. The US has never been a pure laissez-faire economy. From the very beginning, it has been a state that is willing to use its power strategically, what it regards as the failure of laissez-faire, while maintaining a competitive private sector as the engine of growth and innovation.

The real secret of American economic success over the past 250 years is not a dogmatic commitment to either markets or the state. It is a pragmatic willingness to use both. As the country looks toward the future, that pragmatism may be one of its most important inheritances.

5. Three Essentials of a More Equal World Order

Author: Jenny Ricks **Published:** Jul 2, 2026 **Link:** View Original

JOHANNESBURG—Brazilian President Luiz Inácio Lula da Silva, speaking at the first Global Progressive Mobilisation meeting in April, highlighted the connection between democracy and material dignity. If citizens do not believe that their lives will get better, democracy will continue to be challenged by populists and other authoritarians who falsely promise that only they can improve the lot of ordinary people.

There is likewise a growing awareness of the inequities embedded in the international order. Unless people who bear the costs of others' decisions and actions can influence the multilateral system and hold powerful actors to account, the international order will be viewed as unjust and illegitimate.

Fortunately, momentum is building for a global reordering. In May, United Nations Secretary-General António Guterres launched the Counting What Counts report, which addresses a long-standing blind spot in measuring progress. While acknowledging that GDP is still an important metric, Guterres underscored the need for a more sophisticated and humane accounting system that "consciously aligns metrics with our actual goals—not proxy measures that obscure or hide the challenges our world is facing."

But some worry that efforts to design a multilateral system around the global majority will end up preserving the existing architecture, just with new figureheads. To avert this outcome, the international community must focus on building enforceable mechanisms that can provide countries with greater fiscal autonomy.

What would that look like in practice? For starters, a binding UN framework for sovereign-debt restructuring would move rule- and decision-making from behind closed doors to rooms where all sit around the table. The current debt architecture leaves countries like Malawi spending 43% of its revenue on interest payments. That would change if debtors had a seat at the table.

Unlike the Paris Club of sovereign creditors, which China has not joined, or the G20's Common Framework for Debt Treatments, which has stalled because private bondholders' participation is voluntary, a UN mechanism could impose requirements that effectively bind all creditors to a single process. These could include automatic standstills on payments once restructuring negotiations begin, comparable losses across public and private creditors, and an independent debt sustainability assessment that counts borrowers' spending on health and climate as a senior, rather than subordinate, claim.

On the matter of taxation, negotiations on the UN Framework Convention on International Tax Cooperation are an important opportunity to set global rules. (While the OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting made progress on adopting a global minimum corporate tax, American multinationals have since been exempted.) An ambitious convention would set a minimum effective corporate tax rate that counteracts profit-shifting and require all countries to exchange financial information automatically.

The convention should also establish a coordinated tax on extreme wealth of the kind Brazil proposed as part of its G20 presidency in 2024. A 2% annual levy on the world's billionaires would raise hundreds of billions of dollars for public investment. The tools exist; the problem is establishing who would control them.

Lastly, the international community needs a standing mechanism to test the legitimacy of sovereign claims before populations are forced to repay them. When a fund like Malaysia's 1MDB is looted of billions of dollars with the help of leading banks, which collect exorbitant fees for managing bond issues and don't look back, the loss falls on citizens. A UN-anchored process to identify and void debts contracted through fraud or against the public interest would shift the risk back to where it belongs: reckless lenders, not the people who were robbed.

None of this gets built from the top down. The same governments that advocate wealth levies in the global arena often impose austerity or avoid taxing the rich at home like India, Brazil, and France. A new international order must rest on efforts to close that gap, which require governments that lead with their principles, and citizens who shape those promises and hold their leaders accountable for meeting them.

Domestic movements also force governments to behave differently on the global stage, and the commitments made there stay confined to paper until there are constituencies at home to enforce them. Therefore, citizens must organize in capitals and conference halls at the same time, because an order that answers to them can be won only on both fronts.

The cleaner paying over half her wage to reach work, the farmer who cannot afford fertilizer, and the care worker whose labor is never reflected in national accounts are now recognizing that their seemingly disparate problems are a symptom of a structural flaw. The international order has devolved into a system that asks the global majority to pay for a set of rules they did not write. Designing a new one requires handing them the pen.

The choice is not between the old order and chaos, but between a new order built around the global majority and one that simply swaps in a slightly different set of figureheads. Citizen movements are not peripheral to this more equitable order; they are its driving force. These groups grasp the true dynamics of the world economy. The challenge now is to ensure that the people designing new international institutions do as well.

6. The US as the World's Robber Baron

Author: Dani Rodrik **Published:** Jul 2, 2026 **Link:** View Original

CAMBRIDGE—In a remarkable commentary published at the end of June, a former leading economist in the Trump administration acknowledges (and endorses) what many have suspected: The function of Trump's foreign economic policy is to act like a 21st-century robber baron.

The original robber barons were greedy industrialists who grew rich through monopolistic practices in the United States during the Gilded Age. In the late 19th century, men like John D. Rockefeller and Andrew Carnegie built massive fortunes by suppressing competition and charging exorbitant prices in industries such as oil and steel.

They were called robbers because exploiting your consumers to enrich yourself is probably the most denigrated business practice in the world. Yet that is precisely what the US has been doing over the past year and a half, boasts Stephan Miran, chair of President Donald Trump's Council of Economic Advisers until February 2026, who now serves on the board of the US Federal Reserve. Miran applauds this approach, arguing that it is working wonders for the US (never mind foreigners!).

Miran does not state his case this clearly, of course. Couching his argument in technical terms that obfuscate the full implications of his argument, he appeals to economists' idea of the "optimum tariff," which states that a country can make itself better off by applying protective import levies. Of course, such a strategy works only if a country is large enough to wield market power in the world economy—that is, if it acts as a monopolist. An optimum-tariff policy is the country-level equivalent of the strategy perfected by Rockefeller's Standard Oil in the 1880s.

By reducing demand for the goods sold by its trade partners (and equivalently reducing the supply of its own exports on world markets), the optimum tariff shifts world market prices in favor of the home economy, essentially making foreigners pay a large chunk of the tariff. When the tariff is set at the right level, whatever the country loses on the gains from trade is more than made up for in monopoly rents. The losers are the country's trade partners (and the world economy as a whole).

Although this is the archetypal beggar-thy-neighbor dynamic, Miran thinks it is a great deal for the US, because it kills two birds with one stone. Aside from the monopoly rents, the policy allows the federal government to reduce the inefficiencies associated with domestic taxes. Tariffs generate revenues for the treasury, which can be used to offset the revenue losses from reducing other taxes, such as those on income. The economic logic, in his mind, is impeccable.

One difficulty is that despite its size and apparent market power, the US may not have as much ability to make foreigners pay the tariffs as Miran thinks. Recent evidence suggests that the bulk, if not all, of US tariffs are passed on to domestic consumers.

But the real problem with Miran's argument lies elsewhere. It beggars belief to suggest that, in this day and age, it makes sense for a major power to extract tribute from other countries so blatantly. In offering his cold calculus, Miran seems not to have considered the loss in reputation and credibility that the US has suffered by acting like a robber baron. The fall in stature to international pariah may not be easy to price in dollars and cents; but it is substantial, nonetheless.

Miran may not care about America’s standing in the world, but his economic argument is also ultimately self-defeating. When economists discuss the optimum tariff, they typically hasten to add that it does not work in the long run. After all, more than one country can play the same game. The European Union and China each account for roughly similar shares of world trade as the US. When the US jacks up its tariff to improve its terms of trade, the world’s other trading powers can do the same. And since retaliation offsets the terms-of-trade effects but magnifies the loss in the gains from trade (leaving all countries—including the US—worse off), it can be an effective deterrent.

Miran claims that there was no retaliation when Trump first imposed his tariffs, which he sees as a strike against those economists who claimed the optimum tariff would fail. But while it is true that the European response was muted, China did in fact retaliate against the “Liberation Day” tariffs. Vowing to match every further tariff increase on the US side, the Chinese ministry of commerce said: “China will fight till the end if the US side is bent on going down the wrong path.” The US and China eventually lowered their tariffs.

Ironically, Miran’s willingness to say the quiet part out loud virtually ensures that others, including the EU, will choose to retaliate if the US persists with its optimum-tariff logic. It is one thing to claim that you are raising tariffs because of national-security concerns or because you want to reinvigorate domestic manufacturing. These are plausible domestic-policy objectives, even if one may disagree about the usefulness of import tariffs in achieving them. But it is quite another thing to say, as Miran does, that the goal is to squeeze monopoly rents out of foreign countries by manipulating their terms of trade. When that is so clearly presented as the objective, others will respond accordingly.

I was among those who argued against retaliation a year ago, because I believed Trump to be impervious to the damage high tariffs (at home or abroad) would do to the US economy. The logic of retaliation works only if political leaders understand the economic consequences of high tariffs and care about the gains from trade. The paradox is that by replacing Trump’s illogic with an economic logic that now fully justifies retaliation by other countries, Miran’s argument undermines itself.

A trade policy based on the optimum-tariff argument amounts to a naked assertion of economic power designed to harm others, including long-term allies in Europe and East Asia. Such an approach provides, at best, short-term gains at the expense of soft power and global leadership. It is also economically self-defeating and will inevitably backfire.

7. How Safe Are Today’s Blockbuster Tech Stocks?

Author: Barry Eichengreen **Published:** Jul 3, 2026 **Link:** View Original

DARTMOUTH, UK—Questions about the financial implications of radical new technologies—AI, space travel, and their associated infrastructures, to pick a few—have led to a veritable analogy-fest. Is this a replay of the railway boom of the 1870s, which came to grief in the 1880s? A repeat of the electrification boom of the 1890s, which unfolded smoothly but took three decades to play out?

No analogy is perfect. Nor should we seek one: the most valuable insights often derive from how precedents differ from the case being considered as much as from their similarities.

In that spirit, an especially apposite case is Nippon Telegraph and Telephone’s February 1987 initial public offering. In terms of its financial footprint, NTT’s IPO put SpaceX’s in the shade, amounting to 7–10% of then-existing Japanese stock-market capitalization (depending on what’s counted), compared to SpaceX’s 2.5% of current US stock-market capitalization. Take that, Elon Musk! Even if one adds the forthcoming OpenAI and Anthropic IPOs, the footprint of NTT’s late-1980s offering remains overwhelmingly large.

Yet Japanese stock markets digested NTT’s IPO with nary a hiccup. Not only were initial price expectations met, but NTT shares rose strongly from there, doubling in the first two months of trading.

One reason for investors’ enthusiasm was that NTT was the dominant company in the Japanese telecom sector. It symbolized the country’s transformation from a manufacturing powerhouse to an information society. It effectively monopolized telecom networks, data transmission, and digital connectivity. It was seen not just as a source of monopoly rents but as a bet on information technology generally. Even if fax machines and dial-up modems fell out of fashion, the company was well positioned to capitalize on what came next.

There was also pressure for institutional investors to load up on NTT shares. Just as managers of index funds today are compelled to buy SpaceX when the company is added to indices they are mandated to track, Japanese banks and insurance companies were obliged to buy NTT shares or be seen as taking a bet against Japan’s information society. And, given the weight of NTT in the Nikkei, that meant betting against the Japanese stock market and the Japanese economy generally. In an environment where managers were punished for conspicuous losses and only mildly rewarded for successful bets, contrarian positions were taken at personal and institutional risk.

NTT shares benefited from a supportive macroeconomic and financial environment as well. Economic growth had slowed from the miracle period in the third quarter of the 20th century, but Japan was still regarded as a formidable competitor. It was less than a decade since the Harvard sociologist Ezra Vogel’s bestseller Japan as Number One, a title not yet regarded with irony. The Nikkei Stock Average rose by 14% in 1985 and an astounding 43% in 1986. The Bank of Japan halved its policy rate from 5% in early 1984 to just 2.5% in early 1987, leading investors to seek alternatives to Japanese government bonds.

We now know that investor enthusiasm was overwrought. The Bank of Japan began raising interest rates in May 1989, in an effort to lean against financial excesses. The Nikkei peaked in December, and it was all downhill from there. Notably, however, NTT shares had already peaked in April 1987. By April 1988 they were down by 25%, and by April 1989 they had fallen by another 37%. In the 1990s, NTT shares hovered at around one-third to one-half of their bubble-era valuation.

The irony was that NTT performed well over this period. In the 1990s, it continued to expand into new forms of telecommunications and data services. But its business model was more capital-intensive than investors, envisaging disembodied digital technologies, had assumed.

Over time, moreover, the company faced new competition. Mobile telephony lowered entry barriers by eliminating the need for telecom firms to own the entire “digital stack” (physical as well as technological infrastructure). Thus, positive productivity performance did not automatically deliver super-profitability. And NTT shares had been priced for perfection.

There are several notable implications for today. First, a favorable macroeconomic and financial backdrop can support investor sentiment for a time, but that context can change abruptly—along with the sentiment. This observation is timely today, given how the Fed is poised to raise interest rates.

Second, institutional factors, such as the need for fund managers to track equity indexes, can reinforce market momentum. But momentum runs in both directions: it can perpetuate share-price increases but also reinforce share-price declines once the latter are underway.

Third, technological and market dominance is not forever. As technology continues to evolve, a first mover can experience competition that squeezes profits and investor returns in a manner incompatible with rich share valuations.

Again, no analogy is perfect. But this does not weaken their value as warning signs.

8. Europe’s AI Dolce Vita?

Author: Kenneth Rogoff **Published:** Jul 3, 2026 **Link:** View Original

PARIS—In many respects, the European Union appears likely to become one of the AI revolution’s biggest losers, with China and the United States leaving its economies in the dust. Even if European energy policies were not already making a massive data-center buildout prohibitively expensive, its fragmented capital markets would make raising the necessary financing extraordinarily difficult.

Europe’s high tax burden, in particular, makes it harder to cultivate and retain AI superstars, much less attract them from abroad. Meanwhile, its ever-expanding regulatory state discourages business formation and entrepreneurship.

But even without the AI boom, Europe’s aging welfare states look increasingly unsustainable. Economic growth has been glacial—Germany, the continent’s largest economy, has effectively stalled—while rearmament is placing ever greater demands on public finances. Compounding these problems is a shortage of centrist political leaders capable of containing populist movements on both the left and the right, both of which would likely favor higher public spending if they gained power. As a result, a major crisis seems inevitable.

And yet, Europe does have one decisive advantage: its societies are far further along than those of the US and Asia in adapting to a world of abundance. Thanks to generous welfare states and tax systems that encourage individuals to seek refuge in non-market activities, Europeans are generally less career-oriented than most Americans or Asians, placing greater value on leisure, community, and culture. They take longer vacations, work fewer hours, and spend more time with family and friends—though this has not spared the continent from the global collapse in birth rates.

To be sure, the EU is currently pursuing abundance while sapping its economies of the dynamism needed to achieve it. If global real interest rates remain elevated for a prolonged period, its heavy debt burden will continue to act as a drag on growth. Given their strained public finances, it is far from clear how Europe’s economies could absorb a major shock—whether cyberwar, conflict over Taiwan, or something else—without triggering another debt or financial crisis.

The good news is that debt crises eventually end. If AI ultimately delivers extraordinary productivity gains without giving rise to any of the catastrophic scenarios predicted by tech skeptics, Europe could emerge as the world’s premier lifestyle destination. People may travel there not only to buy luxury goods, but also to learn how to make the most of their newfound free time.

If Europe can teach the world how to live in an age of abundance, it may have just as much to teach policymakers about governing one. Its value-added tax (VAT) system, for example, looks increasingly like a tax structure designed for a post-work economy—or at least for one in which consumption is taxed more heavily than labor income. Consumption taxes are generally more efficient and less distortionary than income taxes, and encourage saving, even if they can be somewhat more difficult to administer.

Moreover, VATs are more politically feasible than wealth taxes yet achieve many of the same objectives by reducing the purchasing power of capital. While a VAT can have regressive effects, these become much less concerning when the revenues are used to finance large transfers to low- and middle-income households.

Europe's long-standing political consensus in favor of income and wealth redistribution may prove an unexpected strength. If AI significantly reduces labor's share of income, societies already accustomed to redistributive policies may adapt more easily than those built around work as the primary source of income.

Immigration, however, remains a major challenge. Europe's relatively generous welfare states have found it much harder to integrate large migrant inflows than America's market-oriented system. In the US, many immigrants understand that they need to find work, as access to federal benefits is generally contingent on immigration status. In much of Europe, by contrast, asylum seekers and recognized refugees receive publicly funded housing and benefits, adding strain to increasingly overburdened welfare systems. With more time on their hands and fewer economic outlets, citizens may become even more resentful of perceived competition from immigrants, creating fertile ground for increasingly noxious politics.

For all of Europe's current energy problems, the picture could look very different in another decade or so. Assuming green technologies continue to improve, the continent may ultimately find itself on the right side of energy history. Conversely, America's renewed emphasis on fossil fuels under President Donald Trump could leave it with comparatively high energy costs, rather than the cost advantage it has long enjoyed.

Europe has another, subtler political advantage: it has not spawned the same class of tech oligarchs that the US has. That, along with the absence of a Trump-like political figure, may be one reason it has been somewhat more successful at preserving democratic norms.

None of this diminishes the formidable challenges facing Europe in an AI-centric world. Its relative economic decline may continue for years to come. Still, if AI lives up to its promise and ushers in an age of material abundance, Europe may discover that its greatest comparative advantage lies not in building the most advanced systems, but in demonstrating how to live well in the world they create.

Unfortunately, as chess players like to say, before the endgame, the gods have placed the middlegame. Europe may have compelling ideas about how to live in an age of abundance, but it must first find a way to get there.

9. From the American Revolution to Universal Suffrage

Author: Danielle Allen **Published:** Jul 3, 2026 **Link:** View Original

CAMBRIDGE—October 1765 found 30-year-old Charles Lennox, the Third Duke of Richmond, serving as Britain's ambassador to the Court of Versailles. Largely unknown to contemporary scholars, Richmond was already five years into a bitter feud with King George III and in his first major post, though one beneath his abilities and ambitions.

Within a few years, Richmond's political trajectory would intersect with that of Thomas Paine. By 1768, he had become Paine's first patron, when Paine was working as an excise officer in southern England and secretly writing radical political tracts. A decade later, Paine was in America, having written Common Sense, while Richmond had emerged as one of the most outspoken defenders of the American cause in the House of Lords and the first member of Parliament (MP) to recommend recognizing American independence.

On June 3, 1780, Richmond introduced what is widely considered the first bill proposing universal manhood suffrage. While the origins of that proposal lay in his earlier work in Paris, it was the American Revolution that made it necessary—not as a solution to the war itself, but as an answer to a deeper constitutional issue the war had exposed. Universal suffrage arrived on the world stage as a remedy for domestic tensions generated by Britain's imperial expansion.

Richmond's path to universal suffrage invites a reconsideration of how we understand the relationship between empire and popular sovereignty. While in Paris, he was tasked with resolving lingering issues from the Franco-British Seven Years' War: disputes over fishing rights in Nova Scotia, compensation for British merchants left holding now-worthless French currency, and, most importantly, the governance of the newly acquired Canada.

Richmond carried this work into 1766, when he briefly served as secretary of state responsible for parts of Europe and the American colonies. In that role, he advanced religious toleration of Canadian Catholics—the first such policy in British colonial history. At the same time, he began to consider how to link the colonies to the English government through the King, with support from local assemblies.

A serious student of political philosophy—especially Montesquieu—Richmond was a Whig in the sense that he treasured British liberties and believed British subjects deserved to have a voice in government through a legislature acting in conjunction with the King. For Canadians, that meant religious toleration and political representation.

With remarkable acuity, Richmond was sketching the principles that would later become the 1774 Quebec Act, which granted Canadian Catholics freedom of religion and restored French civil law in the colony. Although the Act alienated many American colonists, who saw the toleration of Catholicism as a betrayal of their British liberties, it also marked the emergence of the British Empire's defining strategy: governing through accommodation of local customs.

Yet the Quebec Act departed sharply from Richmond's vision in one critical respect. By 1774, he was in opposition, and Lord North's government had placed Canada under the control of a "governor-in-council," vesting authority in a governor and an appointed advisory body without an elected legislature. While supportive of the Act's toleration of Canadian Catholics, Richmond opposed the arrangement, arguing that it created an executive with unchecked power. In Parliament, he rebuked the government for repeatedly invoking "immediate necessity" to justify its constitutional innovations and allowing those emergency measures to become what he called an "engine of oppression and tyranny."

As conflict intensified in the colonies south of Canada, Richmond grew increasingly sympathetic to the colonists' claim that Parliament should not exercise legislative authority over them. While he still believed that the American colonies should remain within the British Empire, he was no longer convinced that Parliament held sovereignty over them. In his view, the Americans needed their own legislatures, much as the Canadians did. They should recognize the King as their sovereign, but not Parliament as their representative body.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America's founding document, and consider where US democracy is headed 250 years later.

This created a constitutional puzzle. In 18th-century Britain, sovereignty was understood to lie in the combined authority of the monarch and the legislature, an arrangement known as "King-in-Parliament." The Crown did not act independently of Parliament, and the idea that it might govern the colonies on its own did not fit within that framework.

By early 1775, even the parliamentary opposition agreed that the American conflict had triggered a constitutional crisis. Members of the opposition, however, were deeply divided. Richmond, for his part, decried "the desperate temerity of the Ministry" and wished that "all the real friends of England and of America" would "heartily unite to save the Nation."

Seeking to unify his faction, Richmond helped advance an expansive bill calling for the withdrawal of standing armies from the colonies, a promise not to tax subjects without their consent through provincial assemblies, and the restoration of trial by jury in civil cases. It was a serious attempt to avert war, one that might have laid the foundation for something like the modern British Commonwealth. But the King and his ministers adamantly opposed this solution.

The summer of 1775 brought one final attempt at reconciliation. At the urging of John Dickinson, the Continental Congress sent its Olive Branch Petition directly to the King, bypassing Parliament and asking him to dismiss his cabinet and repeal the laws to which they objected.

The Americans had concluded that George III was the true source of authority. But the King rejected that notion, declaring the petition an unconstitutional request to overrule Parliament. The laws in question had been passed by the legislature, and he was merely executing its will. The Privy Council soon issued a proclamation declaring the colonies in "open and avowed rebellion" and pledging to use "utmost endeavours" to suppress them.

For most Whigs, the King's supposed submission to Parliament was a farce. They believed influence ran in the opposite direction, as the Crown invested in elections to secure supporters in the Commons and dispensed lucrative "places" as patronage. By 1780, the government commanded the loyalty of about 200 of the House of Commons' 558 members. This arithmetic explained why the opposition seldom prevailed: it was consistently outspent.

When the King opened Parliament on October 13, 1775, he again insisted that the Americans must be suppressed. Reports from across the Atlantic, he claimed, gave him "the strongest Hopes of the most decisive good Consequences." Richmond rose to object, arguing that the policy of punishing the Americans had merely introduced "a new Cause of War and Revolt."

Turning the King's own language against him, Richmond invoked the phrase "bloody and expensive," which George III had once used to describe the war with France that he inherited in 1760. Now, it was applied to the civil war his ministers had provoked, in which Britain was "almost inextricably involved." The war, he warned, would exhaust the country's resources, leave it vulnerable to France and Spain, and bring "the most deplorable Calamities to the whole British Race."

He then pressed the constitutional point. The government's strategy left only two options: the complete subjection of the Americans or their independence. Each new measure stripped colonial liberties, and every military action destroyed the colonists' sentimental bonds with Britain.

Yet the British, as Richmond saw them, were defined by a spirit of liberty. Attempting to "break the Spirit of any large Part of the British Nation" should therefore provoke "Shame and Horror." The colonies, he argued, should be preserved as societies of free people: British because they were free, and free because they were British.

A shift in policy was required. No legislation had ever described the relationship between the British Empire and the American colonies in positive terms, as one grounded in connection and freedom. But that was precisely what was needed. As he had once sought to clarify Canada's place within the imperial system, Richmond now sought to clarify America's. The Crown's policy, he maintained, should be "to regulate, not to destroy." Any victory achieved by stripping subjects of their constitutional liberties opened the door to the same degradations at home. The treatment of the Americans risked "establishing Precedents the most dangerous to the Liberties of this Kingdom."

Richmond did not yet have a solution to this puzzle. He had, however, brought the problem into sharper focus. Given the structure of British constitutionalism, the war seemed to demand the subjection of the Americans to the authority of Parliament. But what the Americans wanted most was their own legislature. Preserving that constitutional order would paradoxically require limiting Parliament's power over the colonies while giving the King a more direct relationship with them.

This, in turn, raised another conundrum. If Parliament gave up control over the colonies, what would prevent the King from overpowering its two Houses? Would maintaining America within Britain's orbit unduly strengthen the monarch? Such an outcome would be unacceptable. Richmond needed to find a way to preserve, or even bolster, Parliament's strength and independence from the Crown even while limiting the scope of its authority over the colonies.

In the summer of 1779, Richmond's thinking began to crystallize. We know this from the marginalia in the books he was reading. These notes, which have never been published, capture the moment at which a modern conception of representation was born. Richmond was reading a remonstrance against George III that observed: "It is the misfortune of your majesty; it is the misfortune and grief of your People; to have a Grand Council [Parliament] and a Representative under an undue and dangerous Influence."

He marked the sentence with an asterisk and wrote: "This is the real source of all the evils and danger with which the Nation is at present afflicted; no Remedy, therefore, can be so efficacious as a Reformation in that very point. There cannot be a legal government in this kingdom, without a due Representation of all the People."

Only one in 75 people had the right to vote, Richmond noted, and not all who held that right exercised it. Parliament had become "rather a misrepresentation than a Representation of the People." Every individual, he wrote, "ought to be esteemed in the State, what he is in the Christian church; viz a Member of it; because no inheritances of Land, Houses, etc., are to be esteemed so valuable as that common inheritance in the Laws, to which everyone is entitled." On the next page, he added: "There can be no constitutional Authority without the free and uninfluenced assent of the Majority of the People."

With that, Richmond arrived at a reconceptualization of the foundations of the British political system: the surest way to secure Parliament's independence from the King was to extend the franchise. If every adult man could vote on behalf of his family, and if each MP owed his seat to a broad constituency rather than to a narrow, patronage-driven one, MPs could no longer be bought. Popular sovereignty would thus make it possible to bind a monarch to multiple legislatures across his realm without weakening them, while universal manhood suffrage offered a way to preserve British liberty at home amid imperial expansion.

Prompted by the American Revolution, Richmond gained insight into how executive power could be restrained. The broader the electorate and the more competitive the elections, the less likely corruption and authoritarianism are to take hold. Having reached this conclusion, Richmond introduced his bill for universal manhood suffrage in the House of Lords on June 3, 1780. In it lay the first conception of what would eventually become the modern constitutional monarchy.

Popular sovereignty, then, did not arise as the antithesis of the British Empire but as its foundation and anchor. By providing a means of checking executive power, it made imperial rule compatible with liberty. Paradoxically, the Empire became the vehicle through which popular sovereignty spread around the world.

10. The Putin Escalation Risk

Author: Ian Bremmer **Published:** Jul 3, 2026 **Link:** View Original

NEW YORK—With Russia under pressure on multiple fronts, President Vladimir Putin finds himself in a tighter spot than at any other moment of his quarter-century in power. Putin remains firmly in charge of the Kremlin, but there is a growing risk that he will try to escape his current predicament by escalating his conflict with the West.

Putin's first problem is that his war in Ukraine has no momentum. Recent territorial gains have come slowly and at the cost of enormous loss of life (some 450,000 killed, almost eight times the US body count in Vietnam) and economic damage. After four years and four months, Russian forces control about 20% of Ukraine's territory—the same percentage they held three years ago. Ukraine, meanwhile, continues to demonstrate its determination to win, its resilience in the face of Russian missile and drone attacks, and its remarkable capacity for innovation in weapons and battlefield tactics. Its successes have emboldened it to go on offense.

Most notably, Ukraine has successfully brought the war to the Crimean Peninsula, which Russia has occupied for a dozen years. Crimea is a crucial arena for both strategic and symbolic reasons. It was there, in 2014, that Russia began its war on Ukraine.

Putin has treated the territory as the crown jewel of his "New Russia" and invested heavily in its development, both to connect it to the Russian mainland and to make it an attractive place for Russians to live and visit. Crimea is also strategically vital for Ukraine's continued access to the Black Sea, an economic lifeline.

In recent weeks, Ukraine has sent swarms of drones to attack military sites, power plants, and railway stations on the peninsula. It has struck Crimea-bound Russian trucks traveling through occupied eastern Ukraine and across the expensive Kerch bridge that Putin built after illegally annexing the peninsula. And it has hit Russian cargo ferries resupplying the region by water. As a result, Crimea's residents face shortages (particularly of gasoline to fuel their cars) and frequent power outages.

But Putin's greatest frustration is Ukraine's success in striking deep inside Russia itself. It was embarrassing enough that fears of a Ukrainian attack kept Russia from rolling its arsenal through Red Square during this year's Victory Day parade, which is supposed to be a celebration of Russia's greatest military achievements.

But even more humiliating was Ukraine's use of missiles and drones to attack energy facilities and other sites in Moscow and St. Petersburg, as well as additional targets hundreds of miles from the war's frontlines. Ukraine has shattered the illusion for many Russians that the war could never arrive on their doorstep.

Ukraine's successes have become so obvious that, on June 28, Putin was forced to acknowledge them on Russian state television. He admitted that the recent strikes, which he referred to only as "terrorist attacks on our territory," have created shortages that force the government to import more fuel as repairs are made. He is publicly signaling that he knows Russians face hardships, which are compounded by internet disruptions stemming from the Kremlin's attempt to force the public onto state-controlled sites.

Russia's broader economy, now heavily focused on supporting the war effort, faces headwinds, too. The central bank has warned that growth in 2026 could fall to as low as 0.5%.

Yet Putin still hopes Russia can win a war of attrition. In recent days, state media has made much of military advances on the city of Kostyantynivka, which might serve as a gateway to broader territorial gains in eastern Ukraine. Putin is still betting that US President Donald Trump will actively undermine the resupply of Ukraine's military and further disrupt NATO, and perhaps hoping that elections next year in France, Britain, Italy, and some key German states could upend European support for Ukraine as well.

But Russia's battlefield performance over the past several years suggests that any further gains will continue to come slowly and at a high human and economic cost. Russian casualties (killed and disabled) now outnumber new recruits. And Trump seems to have lost interest in helping Russia, particularly as successful Ukrainian strikes have changed the war.

Moreover, Europeans have become more serious about longer-term investments in their own defense. Although big elections loom across the continent, they remain many months away, and populist victories that reduce support for Ukraine are no sure thing.

Despite the setbacks and embarrassments, there is scant evidence that Putin is in trouble at home. Some Russian media have hinted at growing public frustration with the war, but there remains no alternative to Putin's leadership, and he still appears uninterested in peace talks.

Thus, Europeans and Russia's nearest neighbors worry about what Putin might do were he genuinely backed into a corner. We are sure to see a continued expansion of Russian missile strikes at Ukrainian cities—like the major July 2 drone and missile attack that killed at least 27 people in Kyiv. We can also expect more military provocations involving NATO countries, particularly with drones that Europeans remain unprepared to handle. Last year's arson attacks against property linked to British Prime Minister Keir Starmer, and last month's episode in which a Russian warship fired warning shots at a British yacht in the English Channel, offer hints of what may be coming.

If Ukraine can continue to disrupt Crimea, strike more targets in the heart of Russia, frustrate Russia's frontline forces, and pile more pressure on Russia's hobbled economy, an isolated, aging, and frustrated Putin may decide he needs a game-changing attack.

The use of a tactical nuclear weapon in Ukraine, a direct frontal assault on the former Soviet republics of Latvia and Estonia (now NATO members), and major cyberattacks on European or American targets remain extremely unlikely for now. But aggressive provocations against NATO countries, even if they fall short of clear acts of war, can still create serious security, economic, and political risks. And if Putin concludes that his political or physical survival are in danger, his willingness to gamble will grow quickly.

11. The Real Threat to NATO

Author: Ahmet Davutoğlu **Published:** Jul 6, 2026 **Link:** View Original

ISTANBUL—As NATO prepares for its July 7–8 summit in Ankara, the alliance faces a bigger challenge than either Russia or China: its members no longer share a coherent understanding of the values, economic order, geopolitical vision, and legal principles it was created to defend.

Every enduring military alliance ultimately hinges on a deceptively simple question: What is it defending? Without a clear answer, it becomes reactive, defining itself by its adversaries rather than by a common purpose.

When NATO was founded in 1949, that purpose was clear. Emerging from the devastation of World War II, the alliance was established to defend what its founders called the “free world” against Soviet expansionism. More fundamentally, it sought to preserve a liberal international order built on four mutually reinforcing pillars: democratic governance, economic openness, the West’s geopolitical primacy, and international law based on the United Nations Charter.

Today, each of these foundations is under strain. Nowhere is this more evident than in the alliance’s political identity, weakened by democratic backsliding and rising authoritarianism. NATO may remain the world’s most powerful military bloc, but its moral legitimacy depends on whether its members continue to embody the democratic values they espouse.

The response of many NATO governments to Israel’s military campaign in Gaza has exposed the widening gap between the alliance’s stated values and its members’ policies. While the International Court of Justice and the International Criminal Court continue to examine allegations of genocide and other grave violations of international law, several leading NATO members—most notably the United States—continue to provide the Israeli government with political support and political cover.

But an alliance whose historical legitimacy is rooted in the postwar rejection of fascism and genocide cannot afford to appear selective in its defense of universal humanitarian principles. Moral consistency is not an ethical luxury; it is a strategic asset that NATO abandons at its peril.

The liberal economic order is also under growing pressure. Ironically, its greatest challenge has come not from NATO’s adversaries but from its own members, as protectionism, tariff wars, and the politicization of international trade have undermined the rules-based system that Western countries spent decades building and sustaining after 1945.

Meanwhile, the global economy’s center of gravity has shifted decisively toward Asia. When NATO was established, its members accounted for roughly two-thirds of world GDP. Their share has since fallen to less than half as Asia has emerged as the global economy’s principal growth engine.

The third pillar of the postwar order—geopolitical leadership—has become equally fragile. The Cold War provided NATO with a clear strategic framework. After the Soviet Union’s collapse, however, the assumption that US predominance would endure became conventional wisdom, underpinning successive rounds of NATO enlargement and reinforcing the belief that military superiority alone could shape international outcomes.

The war in Afghanistan exposed the limits of that assumption. Following the September 11, 2001, attacks on the US, NATO undertook the largest and longest military operation in its history. Yet despite two decades of overwhelming military and technological superiority, the Taliban returned to power. The lesson was not that force had become irrelevant, but that battlefield success cannot substitute for political strategy. Lasting security requires diplomacy, institution-building, regional engagement, and long-term political vision.

That lesson is even more relevant in today's multipolar landscape. While deterrence remains indispensable, Cold War frameworks no longer fit a world shaped by economic coercion, migration, energy insecurity, technological competition, and cyber warfare. NATO must therefore complement military strength with geopolitical foresight and sophisticated statecraft.

Europe's own strategic contradiction has become increasingly difficult to ignore. Ukraine, the Black Sea, and the Middle East now form a single, interconnected zone of instability, yet the European Union continues to exclude the one country positioned at the crossroads of all three: Turkey.

A Europe seeking strategic autonomy cannot afford to remain strategically fragmented. Finland and Sweden's accession strengthened NATO's northern flank, but Europe's southern security architecture now depends on integrating Turkey into the EU's political institutions as well as its security ones.

Lastly, the international legal order is increasingly giving way to great-power politics. The credibility of any alliance rests on its willingness to uphold the norms it proclaims. Yet US President Donald Trump's threats to take over Greenland—an autonomous territory of Denmark—challenged one of the UN Charter's core principles: the territorial integrity of sovereign states. When NATO's leading power threatens the sovereignty of one of its own members, the alliance's commitment to international law rings hollow.

These structural challenges are compounded by a widening rift over NATO's strategic purpose. To be sure, disagreements among allies are not new. The Iraq War, for example, deeply divided the US and its European partners, but both sides continued to regard NATO as indispensable for transatlantic security. Today's disagreements are more fundamental. Under Trump, the US has increasingly treated NATO as a transactional arrangement, making major foreign-policy decisions without consulting key allies.

The Iran war is a case in point. The conflict, which could reshape the regional security landscape and has profoundly disrupted the global economy, carries profound implications for every NATO member, yet the alliance itself appears to have played no role in the decision-making process. An alliance whose members can be drawn into a regional conflict they neither collectively chose nor politically endorsed risks undermining the mutual trust required for security cooperation.

Given that NATO's crisis is one of identity rather than capability, revitalizing it requires more than higher defense budgets or stronger deterrence. NATO needs a renewed normative foundation grounded in democratic legitimacy and human rights, a recommitment to international law, and an economic vision suited to an era of shifting global power.

These must not be regarded as separate agendas. Without a coherent strategic philosophy centered on democratic legitimacy, human rights, and the rule of law, NATO risks becoming little more than an instrument of shifting national interests. The alliance's future ultimately depends less on the external threats it confronts than on its ability to redefine what the transatlantic community stands for and what, ultimately, it seeks to defend.

12. There Is Only One Acceptable Path for Designer Babies

Author: Daron Acemoglu **Published:** Jul 6, 2026 **Link:** View Original

BOSTON—Designer babies who are genetically engineered for desirable health, physical, and intellectual features are now within reach using existing technologies, a prospect that raises far-reaching societal and ethical questions not unlike those associated with advances in AI. One difference, though, is that the institutions needed to open an ethical path for gene editing—by treating the technology as a public-health measure that should be available to everyone—may be easier to conceive than in the case of AI.

The big breakthrough for gene editing is no longer so recent. The outlook changed fundamentally back in the 2000s, and especially the early 2010s, with the development of CRISPR-Cas9 technology, which enables high-precision genetic engineering. The technique uses a guide RNA to locate a specific sequence in the genome of a living organism, where the Cas9 enzyme makes a cut for disabling or editing a gene.

The applications are vast. The technique can be used to turn off a disease-inducing gene, modify seeds and agricultural products, or design custom-made medicines and vaccines. It holds the potential to tackle inherited genetic diseases such as sickle cell anemia, as well as later-in-life, disease-inducing somatic mutations like those involved in cancer. It also raises the possibility of adding or removing genes at the embryonic stage, in vivo or in vitro, which is where the issue of designer babies comes in. Human genetic engineering could be purely somatic (affecting individuals during their lifetimes) or it could take the form of germline editing, altering the genome in ways that would be passed on to offspring.

AI itself is technologically complementary to gene editing, because it can sift through massive amounts of data to find gene combinations capable of changing not just disease potential, but looks, physical strength, and various dimensions of cognitive ability. But this potential raises obvious ethical issues. As in Aldous Huxley's Brave New World, designer babies could bring us closer to a genetically tiered society, where only the wealthy have the means to improve their and their progeny's cognitive and physical performance and lifespans. In this scenario, those with the money today could grow even richer and more genetically superior with each generation.

This scenario is not merely hypothetical. Embryo-selection services based on polygenic screening are already sold commercially to IVF patients, and advances in AI have made them even more enticing to those who can afford them. If current trends continue, we could end up with a cadre of billionaires and trillionaires who are intent on cementing their economic privileges with biological ones; worse, this could happen just as many other people are facing the prospect of AI-driven job displacement.

To prevent such a future, most people's first instinct is to ban germline editing and designer babies altogether. But this may not be the right response. After all, we already "design" our bodies and our children by means of vaccines and operations. Parents-to-be in the industrialized world (and increasingly in emerging economies) test for a variety of diseases, such as Down Syndrome, and can opt to terminate the pregnancy. The line between these interventions and genome editing is not hard and fast. Would editing genes to build natural immunity against smallpox be so different than injecting children with a vaccine?

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America's founding document, and consider where US democracy is headed 250 years later.

The issue isn't so much about "interfering with nature" as it is about two other considerations. First, the implications of germline editing are poorly understood. Living organisms are constantly attacked by pathogens, and some genetic changes, especially those passed from parents to offspring, can create unforeseen vulnerabilities.

For example, the Chinese scientist He Jiankui created the first designer babies by editing the CCR5 gene to confer HIV resistance. But the same edit appears to increase susceptibility to other infections, such as West Nile virus and influenza. We know what smallpox vaccines do, both because of their simplicity and because we have more than two centuries of experience. But the same cannot be said of the far more complex and intrusive process of genome editing.

Second, vaccines are a public-health intervention, whereas genome editing, at least in the foreseeable future, will be available only to the privileged, who will propagate their advantages in ways that we have not yet imagined.

These two issues point to a clear set of guidelines for how we should approach germline editing. First, we must make certain that unforeseen consequences are limited in number and scope. This requires not just research by individual scientists and labs, but also public infrastructure to provide a rigorous testing and permission process that is even more stringent than what the US Food and Drug Administration (FDA) requires for drugs and vaccines.

Second, we must legislate and enforce the norm that germline editing should be treated solely as a public-health measure. No germline editing services should be purchasable in the private market, and any well-tested, fully understood genome-engineering intervention that does prove beneficial should be made available to all.

Implementing such guidelines isn't pie in the sky. We already have highly respected institutions with the relevant expertise, and norms within the scientific community are aligned with these bodies. The US National Academies of Sciences, Engineering, and Medicine and the FDA have both already published widely circulated reports and guidelines for research and practice in this area. Moreover, the 2015 International Summit on Human Gene Editing—which was convened by the US, British, and Chinese academies—adopted a hard line against germline engineering, especially the alteration of gametes and embryos that would generate heritable advantages for the privileged few. Subsequent summits in Hong Kong (2018), where the He case broke, and London (2023) then reaffirmed and refined that stance.

The fact that such bodies exist and have taken a proactive stand helps to explain why I see the challenge posed by designer babies as being somewhat more manageable than those associated with AI. The tragedy with AI is that we are on the cusp of similarly transformative developments, but with no equivalent bodies. Recently established AI safety institutes and European Union bodies lack the authority to influence the industry, and many individual scientists and labs remain oblivious to the societal effects that they may unleash.

We urgently need to build an ethical consensus on AI, not least because doing so could help us deal with the various symbiotic challenges that genetic engineering brings. Failing that, we will have traded future generations' inheritance for a mess of pottage.

13. The Democratic Turkey NATO Needs

Author: Özgür Özel **Published:** Jul 6, 2026 **Link:** View Original

ANKARA—When NATO leaders arrive in Ankara for their annual summit on July 7–8, they will be meeting in a country whose strategic importance is unquestioned, but whose democratic foundations are fracturing. Recep Tayyip Erdoğan has governed Turkey for more than two decades—longer than any elected leader in the history of the Turkish Republic.

Today, Turkey stands at an inflection point. Given the country's increasingly centralized and personalistic rule since 2003, the question is no longer whether change is needed, but whether citizens will be allowed to pursue it freely and fairly through democratic means.

With Turkey's immediate region riven by wars and instability extending from Ukraine to the Middle East, it is clear to almost every Turkish citizen that their country's future matters not only to them, but to global security. At the same time, many people in Turkey are fearful of their future, having lost confidence in a government that has struggled to provide economic stability, predictable governance, and confidence in public institutions. Inflation has devastated household incomes. Young people increasingly see limited opportunities. Foreign policy has become more transactional and less predictable. Confidence in the judiciary, the rule of law, and public institutions has steadily eroded.

The key question confronting Turkey today is one of legitimacy. Governments can sometimes survive economic downturns. But they struggle when citizens stop believing the political system is fair. Rather than competing on a level playing field, Erdoğan has increasingly relied on state institutions, particularly the judiciary, to weaken political rivals and preserve his hold on power.

Voters in Turkey have already signaled their desire for change. In the 2024 local elections, our party, the Republican People's Party (CHP), emerged as Turkey's leading political force. Rather than accepting the message delivered by voters, the government intensified pressure on its political opponents.

Our party's presidential candidate, Istanbul Mayor Ekrem İmamoğlu, who has defeated Erdoğan-backed candidates repeatedly in Turkey's largest city, has been imprisoned. More than 30 opposition mayors remain behind bars in pre-trial detention. Prosecutors are seeking a cumulative sentence measured not in years but in millennia. The government has even attempted to invalidate our party convention years after it was held in an effort to reshape the leadership of the main opposition. The distinction between legal process and political intervention has become increasingly difficult to discern.

In the days preceding the NATO summit, the government's increasingly defensive posture has been obvious. Authorities detained hundreds of innocent people in Ankara in sweeping operations ahead of the gathering. Officials describe these as anti-terrorism measures. Yet in a country where judicial independence has been severely weakened, such claims inevitably invite scrutiny. Reports indicate that those detained include activists, lawyers, journalists, academics, environmentalists, and elderly citizens.

The effort to manage appearances extended beyond arrests. Screens and barriers erected along parts of the route from the airport to the city center, reportedly to obscure visible signs of economic hardship, reveal a government more concerned with controlling perceptions than addressing underlying problems.

Erdoğan seeks to portray Turkey as stable, confident, and essential to Western security. At the Ankara summit he will emphasize Turkey's geopolitical importance while presenting himself as indispensable in navigating an increasingly turbulent region. Yet governments secure in their legitimacy rarely feel compelled to treat peaceful dissent, civic activism, or the possibility of protest as threats to public order.

Merely holding power does not confer legitimacy. Erdoğan retains control of the state and its machinery, but his increasing reliance on judicial pressure, administrative coercion, and the seizure of businesses, institutions, and assets rather than democratic consent has cost him the confidence of millions of citizens.

This model of rule cannot be sustained indefinitely. Turkey has become deeply polarized and increasingly exhausted—socially, economically, and politically. The demand for democratic accountability has not disappeared. It has merely been deferred.

Turkey's strategic importance is not in dispute. Its importance, both to NATO and within its region, stems not from its ability to solve every crisis, but from its position at the center of many of them—from Russia's war against Ukraine to the instability stretching from Syria to Iran.

For that reason, Turkey's political trajectory is not merely a domestic matter. A country of nearly 90 million people, a major military power, and a pivotal NATO member cannot indefinitely separate political legitimacy from national stability. Repression may create the appearance of order, but it cannot produce durable security.

Turkey's allies must learn to look beyond the current government and the disorder it has caused, and engage not only with those who hold power today but also with the democratic future they no longer credibly represent. Governments and leaders come and go. Turkey and its people endure. And Turkey's people are determined to build a country that is free and democratic at home, reliable abroad, and fully committed to the rule of law. That is the Turkey we are preparing to build: prosperous, confident in its institutions, and a strong, constructive actor in international peace and security.

14. How the EU Can Lead the Rest of the West

Author: Daniel Gros **Published:** Jul 6, 2026 **Link:** View Original

MILAN—At the World Economic Forum's 2026 meeting in Davos, Canadian Prime Minister Mark Carney described a "rupture" in the world order and called on middle powers to "act together." Whereas great powers can afford (for now) to "go it alone" in this new Hobbesian world, he warned, middle powers must come to the table or risk being "on the menu." But while some might see the European Union as a natural partner for such efforts, it appears to view itself as something more.

Rather than rallying partners from around the world, the EU has spent recent months asserting its economic might, which is formidable: though the European economy is somewhat smaller than those of the United States and China, it is several times larger than those of Japan, the United Kingdom, and India. Moreover, it is seeking to strengthen its own sovereignty, from the digital sphere to defense. This is not a bloc that is eager to settle for "middle power" status.

This response is wrongheaded. While Europe is not just another middle power, nor is it a "great power," which Carney defines as having the "market size, the military capacity, and the leverage to dictate terms" on the global stage, particularly when dealing with an extractive US and a coercive China. But Europe is the ideal candidate to lead the group of like-minded middle powers that Carney envisioned, not as a US-style hegemon, but as a primus inter pares (first among equals).

The list of potential partners is long. The closest ones are Switzerland, Norway, and the UK. But Canada and, farther away, Australia, Japan, and South Korea are also good candidates, as they are high-income, stable democracies that are typically aligned with the EU on issues related to multilateral rule-setting, supply-chain resilience, and digital governance. A group comprising these countries and the EU would boast a GDP larger than that of the US and combined manufacturing output close to that of China.

But such a group cannot spontaneously organize itself. The EU should thus act as a catalyst and leader of a Compact for Open and Resilient Economies (CORE). The first step is to convene a summit in Brussels focused on producing a pledge (a formal treaty is unnecessary to start) to consult one another before taking trade or industrial-policy decisions that might have a significant impact on other CORE countries.

The EU, in particular, would commit to solicit feedback from its partners before enacting relevant legislation. Moreover, it would allow CORE countries to participate (without voting) in some of the many working and expert groups that hash out the details of legislative and other proposals. The EU would make final decisions independently, according to its own internal procedures.

The EU's structure can accommodate such an informal and flexible arrangement. As Article 217 of the EU Treaty states, the "Union may conclude with one or more third countries or international organizations agreements establishing an association involving reciprocal rights and obligations, common action and special procedure." Agreements with close EU neighbors, such as Switzerland, reflect this principle. A more formal, albeit narrower, precedent exists in the field of research, with a number of non-EU countries participating in Horizon Europe as “associate members,” which contribute funding and help to design research programs.

Nonetheless, to make the CORE work, the EU would have to change some of its policies. Consider the Industrial Accelerator Act (IAA), proposed by the European Commission this past March. The IAA calls for giving preferential treatment to goods made in the EU—following the lead of China and the US—in order to avoid losing its industrial base to predatory competition. But the bloc’s share of global industrial output amounts to only about 15% (and declining), meaning that reshoring entire supply chains will be next to impossible.

A “made with Europe” approach, which treats inputs from CORE countries as equivalent to European goods, avoids this problem. After all, the CORE not only covers a much larger economic area; its potential members possess capabilities and resources the EU lacks. Australia and Canada have raw materials; South Korea produces chips; and Switzerland is a leader in biotech. A made with Europe strategy would also strengthen goodwill among partners whose combined markets remain vital for EU exporters.

One might argue that inputs from within the EU will always be more reliable than those coming from third countries. But the risk of supply interruptions from like-minded partners is minimal. The CORE countries would be aligned with the EU economically and geopolitically, recognizing that, acting alone, their leverage at the global level is minimal.

Another issue the EU would need to address is its new, highly restrictive regime for steel imports. As it stands, the new rules, which cut the quotas for tariff-free imports by half and double the tariff to 50%, apply even to like-minded trading partners with which the EU has free-trade agreements (except Norway). This should change, with CORE countries exempted from the new regime.

More broadly, the CORE would avoid such disruptive unilateral action by ensuring that consultation begins in a policy’s design phase. At the very least, this would help to minimize any decision’s disruptive effects on other CORE economies, whose goodwill is important for Europe. It might even open the door for more effective joint action that benefits all parties.

Europe faces a choice: either narrow its ambitions to a limited notion of sovereignty and an impossible vision of a solitary industrial revival, or lead the way in building a community of open, resilient, and like-minded economies. The goal is not to replace the US as global hegemon—an outcome that is neither possible nor desirable for the EU. Rather, it is to offer something our world of extractive superpowers badly needs: leadership without domination.

15. Europe Must Face the World on Its Own

Author: Joschka Fischer **Published:** Jul 6, 2026 **Link:** View Original

BERLIN—As the United States withdraws from Europe under President Donald Trump's second administration, it is not only reducing its military presence and casting doubt on its security guarantees, but also renouncing its de facto (but never formally declared) leadership of the geopolitical West. That means the US is shedding a political leadership role it has exercised within Western Europe since 1945, and within Europe overall since 1990.

The obvious corollary is that Europe will be on its own, left to resolve its geopolitical problems and challenges by itself. Yet providing its own geopolitical leadership is not something Europe has done since the beginning of the 20th century. Its efforts to rise to the occasion therefore merit close attention.

"Europe" does not mean only the European Union. The EU undoubtedly plays a central role in economic affairs, underpinning a common market and customs union, a shared currency and central bank, a supranational legal and regulatory framework, and, above all, robust external trading relationships. But NATO, even in its European and Canadian dimension alone, also remains indispensable to the continent's security—even if it will be far weaker without the participation of the world's premier superpower.

A big question remains, however: Who is supposed to lead this fragile, politically unfinished entity? No single European power has the means to do so on its own. None has the necessary scale in terms of territory and population, financial strength, or technological and economic potential.

Moreover, two other intangibles are required for effective governance: a long historical tradition of providing regional leadership and a population that is broadly committed to the European project. As matters stand, only France and Germany can be said to check these boxes. Most other member states might be able to check one, but not both. Without the Franco-German partnership, the idea of European leadership is dead on arrival.

But America's withdrawal from Europe poses a particular challenge for Germany, especially in the context of today's military buildup and the strengthening of neo-nationalist forces across Europe—including in Germany itself. For decades, the US military presence reassured many Europeans, not least Germany's former wartime adversaries, who feared a resurgence of German power. This factor, too, will be absent in the future, requiring Germany to show even greater sensitivity toward its own history. Leading without dominating will mean striking a careful balance.

Europe's progress has always been driven by joint initiatives, most of which were developed by France and Germany. Under pressure from Russian aggression—which has reached its full expression in the ongoing war against Ukraine—and an increasingly hostile US administration, the immediate priority is to create a European Defense Union. Yet given this need, and the indispensable role of Franco-German leadership in meeting it, the breakdown of the joint Franco-German Future Combat Air System (FCAS) project should be treated like a five-alarm fire. If that failure is a preview of what is to come, Europe is already doomed.

Competition is often said to be good for business. In the context of the Franco-German relationship, however, this is true only if competition is grounded in a solid foundation of mutual trust. Otherwise, it can all too easily become mutually destructive. Given the current geopolitical and strategic environment, that is the last thing Europe can afford.

Unfortunately, we now have politically weak governments on both sides of the Rhine. French President Emmanuel Macron has only about a year remaining in office, after which France may well elect a far-right Euroskeptic from Marine Le Pen’s National Rally party. And no one can say with confidence how long German Chancellor Friedrich Merz will remain in office, given his government’s dismal approval ratings and Germany’s equally troubling economic indicators.

Yet this is precisely the moment when Europe needs strong leadership in both Paris and Berlin. It will take ambitious, clear-eyed, proactive, and civic-minded politicians to launch and sustain the initiatives that this moment demands—starting with a defense union.

We Europeans have been at peace for more than 80 years. But we ought to have learned by now that history can be cruel and unforgiving. No one is coming to our rescue this time. We will have to save ourselves.

16. The World Cup as It Should Be

Author: Ian Buruma **Published:** Jul 6, 2026 **Link:** View Original

NEW YORK—With the 2026 FIFA World Cup, cohosted by Canada, the United States, and Mexico, in its knockout rounds, it's now win or go home. But as more teams are eliminated and the field narrows, the tournament looks increasingly like a success, despite many dire predictions.

There were good reasons to be pessimistic at the tournament's start. The prices for tickets—which swelled to more than $1,000 on average for group-stage matches in some cities and are substantially higher for prime knockout games—are beyond the reach of most soccer fans. The Trump administration has treated some competing countries with utter contempt. The Iran team was forced to go back to Mexico after every game. Omar Artan, a top referee from Somalia, was refused entry to the US. Many fans were denied visas.

Moreover, FIFA President Gianni Infantino is a megalomaniac who has put his face on global soccer in much the same way Donald Trump has done on US politics and the Washington skyline. The two men are kindred spirits with a weakness for hyperbole. Infantino declared this year's World Cup to be "the greatest event in human history." Not the French Revolution, Waterloo, or D-Day—no, a soccer competition. He also lobbied hard for Trump to receive the Nobel Peace Prize and, when that didn't happen, presented the US president with the inaugural FIFA Peace Prize.

Infantino, like Trump, also has a weakness for dictators and autocrats: Just look at the infamous photograph of Infantino grinning like a schoolboy with Russian President Vladimir Putin and Saudi Crown Prince Mohammed bin Salman at the 2018 World Cup in Moscow. But Trump appears to be his biggest catch. On one of his visits to the White House, Infantino said he felt "happy to be here, at home, if I can say that," to which Trump replied: "You are home." After attending Trump's pre-inauguration victory rally, Infantino exclaimed: "Together we will make not only America great again, but also the entire world."

The worry that this year's World Cup would be a Trump-Infantino clown show, with the US president hogging the limelight, or a festival of the oligarchs, with corrupt strongmen and their cronies enjoying soccer as US Immigration and Customs Enforcement agents rounded up the riffraff, was not ill-founded. But so far, this has not happened.

Yes, Infantino still flies around North America in a private jet to be in full view of the television cameras at almost every game. But Trump has not been seen at all (although he is scheduled to attend the final on July 19 in New Jersey and present the trophy to the winning team). And small US cities have been turned into venues for nonstop soccer parties, with fans from all over the world mixing with locals.

Players and fans from Algeria, Egypt, and Jordan, many of whom are of Palestinian descent, have also brandished symbols of Palestinian nationhood—something for which student protesters at US universities have been arrested. This points to another aspect of national soccer teams that is very much on display. Most of the best European teams, such as France, Spain, England, and the Netherlands, contain large numbers of immigrants or children of immigrants. Zion Suzuki, Japan's goalkeeper, has a Ghanaian father and was born in the US. The superb Morocco team, which recently beat Canada to reach the quarterfinals, consists mostly of players born abroad. If ever there was an example of the positive influence of immigration, soccer at the top level of clubs and national sides is it.

The “diaspora World Cup,” as Guardian sports writer Barney Ronay has called it, is on full show in middle America. And the local people, who otherwise may not have paid much attention to the tournament, seem to have embraced the event with gusto. People in Chattanooga, Tennessee, welcomed the Spanish team with pitchers of sangria and plates of tapas, while those in Lawrence, Kansas, greeted the Algerian team with cries of “Viva l’Algérie!”

Just as it is easy to get carried away and attach too much importance to who wins or loses the games, the consequences of these periodic international jamborees might be overstated. But the impact of the World Cup on the US is not insignificant. Most Americans have no experience of global sports—the baseball World Series is a US-Canadian affair. The intense but still entirely festive patriotism of Norwegians, Moroccans, Japanese, and many other nationalities has never been so visible to many Americans. This alone should make a slight dent in provincial American attitudes.

Then there is the sight of American minorities—Mexicans, Haitians, Ecuadorians, Senegalese, and many others—partying in huge numbers. Even if Trump wanted to get attention, this is not his scene. It is the very opposite. FIFA may be a corrupt moneymaking machine that is only too happy to sportswash authoritarian regimes. But that hasn’t stopped this year’s World Cup fiesta from going against everything Trump’s MAGA movement stands for. The tournament does not belong to Trump, or Infantino, but to the masses from all corners of the world who have claimed it as their own.

17. The Missing Ingredient for European Tech Sovereignty

Author: Giorgos Verdi **Published:** Jul 7, 2026 **Link:** View Original

BRUSSELS—In early June, the European Commission unveiled its Tech Sovereignty Package, a new policy agenda designed to strengthen Europe's strategic autonomy through investments in AI, domestic semiconductor manufacturing, cloud infrastructure, and open-source software. While ambitious, the package is not enough. To ensure that AI and digital technologies advance the European Union's economic and security interests requires confronting the root causes of Big Tech's dominance over Europe's digital economy.

The plan's objective—to reduce the EU's dependence on foreign technologies and, in turn, its vulnerability to external coercion—is laudable. Today, roughly 80% of the bloc's digital technologies are imported, primarily from the United States. This has created a power imbalance that US President Donald Trump's administration has not hesitated to exploit in pursuit of its political interests.

Yet the Commission's plan is unlikely to shift that balance. Consider one of the package's main goals: tripling the EU's data-center capacity over the next 5–7 years. While expanding computing capacity is important, it will do little to foster a competitive domestic ecosystem unless Europeans capture a greater share of the economic value generated by AI.

Three American companies—Amazon, Google, and Microsoft—currently control 70% of Europe's cloud market, while AI development is dominated by a handful of trillion-dollar US firms, including OpenAI and Anthropic, whose partnerships with Big Tech give them unparalleled access to capital and computing power. Without a concerted effort to tackle industry consolidation, most of the value created by Europe's data-center buildout will ultimately flow back to the US.

Even if the Tech Sovereignty Package succeeds beyond expectations and helps create a new generation of fast-growing European startups, Big Tech could still use its market dominance to acquire or otherwise eliminate these challengers. Between 2010 and 2023, Big Tech companies acquired nearly 100 AI startups. Among them was DeepMind, whose 2014 purchase by Google has been widely viewed as a strategic loss for the United Kingdom, where the company was founded.

Acquisitions are only one mechanism through which dominant firms protect their position. Self-preferencing, tying, and restricting access to critical digital infrastructure can be just as effective in suppressing potential rivals. Meta's recent attempt to block competing AI providers from accessing WhatsApp—a move that the European Commission swiftly reversed—illustrates how easy it is to undermine promising European alternatives.

The good news is that Europe already has many of the tools it needs to prevent these outcomes. The EU's Digital Markets Act (DMA), for example, prohibits gatekeeper platforms from engaging in unfair practices that stifle competition from European innovators.

But the DMA has not kept pace with developments in cloud computing and AI, and political pressure from the Trump administration has discouraged robust enforcement against US firms. As long as the law is enforced only half-heartedly, European innovators will continue to compete on an uneven playing field.

Merger control is another underused instrument. Existing competition rules and national-security screening regimes already allow EU governments to prevent acquisitions that undermine strategic autonomy. In May, for example, the Netherlands blocked IBM spinoff Kyndryl’s takeover of Dutch cloud provider Solvinity, citing risks to the public interest.

Other EU member states—and the European Commission—should follow this example and scrutinize acquisitions that risk absorbing Europe’s most promising tech companies. Last year, Apple reportedly considered acquiring the French AI startup Mistral. Although the deal never materialized, it served as a reminder that the EU must be prepared to intervene when takeovers threaten not only competition but also its technological sovereignty.

At the same time, the Tech Sovereignty Package itself should be more ambitious. Its centerpiece, the Cloud and AI Development Act, seeks to ensure that sensitive public-sector functions—particularly those related to national security and defense—rely on European providers. But its strongest requirements apply only to a narrow range of activities, while member states retain considerable discretion over implementation. Given many governments’ reluctance to provoke the Trump administration, this framework is unlikely to generate sufficient demand to foster a globally competitive European cloud industry.

Critically, Europe should also have the confidence to pursue a different innovation path from Silicon Valley’s highly centralized and resource-intensive model. A growing number of experts argue that today’s dominant AI paradigm may be approaching its limits, making it unwise for Europe to devote all of its resources to replicating it.

Instead, the EU should invest more heavily in areas such as physical, spatial, and so-called “frugal” AI, which aims to design systems that maximize impact while minimizing computational and energy requirements. Rather than simply imitating the American model, Europe must develop technologies that generate economic value, improve citizens’ lives, and align with its sustainability goals.

By recognizing that dependence on US tech giants is both an economic challenge and a strategic vulnerability, the Tech Sovereignty Package marks a welcome shift in the EU’s approach. But without equally ambitious efforts to curb market concentration and break Big Tech’s hold on Europe’s digital economy, it is bound to fall short.

18. In Praise of the World Cup's Little Guys

Author: Andrés Velasco **Published:** Jul 7, 2026 **Link:** View Original

LONDON — The inevitable was about to happen: Argentina would dispatch Cape Verde. But then, deep into extra time, wonder struck: Sidny Lopes Cabral, aged 23 but looking 17, took a pass on the left flank and, instead of lobbing the ball in search of a header, shifted direction (sending the defender skidding the wrong way) and let fly a curling wonder of a shot that ended in the farthest and most unreachable corner of the Argentine goal.

A tiny island state of around a half-million people, pitted against the world champion. A player who a few years ago was trundling the soggy fields of Germany's fifth division, now making football history. Even the most hard-bitten of Albiceleste fans had to admit it was a moment of beauty.

This World Cup began with a grudge: by expanding the field from 32 to 48 teams, too many minnows had been allowed in, muttered old-time football hands. Cape Verde? Curaçao? Haiti? Uzbekistan? Who had ever heard of these teams?

Yet Cape Verde was unbeaten in the group stage. Curaçao drew against an Ecuadorian squad led by Chelsea star Moisés Caicedo. The Democratic Republic of the Congo (a vast country but a minnow in football terms) managed to tie Cristiano Ronaldo's Portugal and gave England a run for its money.

And that was far from the end of it: Paraguay sent mighty Germany home; Morocco disposed of the Netherlands' clockwork orange; and Norway, which may be filthy rich but is still tiny, eliminated five-time winner Brazil. So far, this has been the little guys' World Cup.

In a world of great-power rivalry and hyper-scaling tech behemoths, you would be forgiven for thinking that the bulky bully always has the edge. But you would be wrong.

Start with business. A quarter-century ago, Google was a minnow; Meta and Tesla were yet to be born. One-third of the 100 largest Nasdaq-listed firms were not publicly traded in 2000. As the players sweat in the American heat, new companies are no doubt being launched that will one day displace today's hyper-scalers.

Which countries have been wild economic successes in that quarter-century? Little guys Singapore, Botswana, and the Republic of Ireland surely belong on the list. Relax the definition of wild success, and New Zealand, Panama, and Uruguay make the cut. Relax the definition of minnows (it has nearly 15 million people), and Rwanda earns the right to be included. And don't forget tiny Guyana, which, thanks to oil, has been growing at over 35% per year since 2020!

Small countries have the same advantages as small companies: they can be nimble and bold. In a world of polarization and political divisions, they often find it easier than the big guys to agree on common goals and adopt reasonable policies —especially when next door lie countries that are both large and threatening.

On the little guy's fate depends another crucial feature of life: uncertainty. We tend to think uncertainty is bad, with predictability implying serenity. But, again, that is not so. Uncertainty turns out to be like perfume: a little bit is often necessary, though too much courts disaster.

Imagine learning on the day you turn 12 that decades later you would be awarded the Nobel Prize. Would you still strive sufficiently to make the prophecy come true? Or imagine that on the same day you were told that at 15 you would be struck by an incurable disease. Would those three years be more enjoyable than if you had remained uncertain about your prospects?

As every student of game theory knows, nuclear deterrence is predicated on the existence of uncertainty. It is the chance, however small, that the other side will be crazy enough to press the nuclear button that keeps my side from threatening to do the same thing.

Competition in business operates on the same logic. A large incumbent firm may have the run of the market. But as long as there are few barriers to entry and the market remains what economists call contestable, the small probability that a small new firm will challenge keeps the incumbent from raising prices too much or becoming flabby and inefficient.

Successful democratic politics is also built on the chance that the little guy may beat the odds and succeed. If an incumbent party is doing so badly in the polls that the chances of reelection are nil, then its incentives to govern well become vanishingly small. If put in that position, more than a few politicians will choose to loot the state coffers and run.

A similar logic applies to those out of power. If I belong to a minnow opposition party, the small chance that we will be in power soon is what keeps me from proposing popular yet stupid policies that would bankrupt the state and wreck the economy. Should our party surprisingly find itself in office, we would have to deal with the consequences.

In the end, Cape Verde did not prevail. Another miracle of a shot gave Argentina the final lead. But never mind. Cape Verdeans had exulted in their two hours of hope. And so had the world. There is joy—and profit—to be had in the thought that the little guy can win.

19. Inside Ukraine’s Game-Changing Drone Industry

Author: Yuriy Gorodnichenko **Published:** Jul 7, 2026 **Link:** View Original

BERKELEY/KYIV—If necessity is the mother of innovation, Ukraine’s military technology industry, particularly drone production, is Exhibit A. When Russia first attacked Ukraine in 2014, drones were used mostly for reconnaissance. Ukrainian firms developed many models, but production was limited and mainly geared to the civilian sector. Today, Ukrainian drones are central to the country’s ability to hold off a much larger aggressor, and Ukraine’s development and procurement processes may hold lessons for NATO’s leaders as they discuss rearmament at their Ankara summit this week.

The rapid development of Ukraine’s defense industries since Russia’s full-scale invasion in 2022 was an adaptation to chronic shortages of munitions and other matériel. In 2022, Ukraine produced barely a thousand drones (volunteers imported about 9,000); by 2024, output had skyrocketed to 1.7–2.2 million. Another three million were produced in 2025, and seven million are planned for this year. There are now over 500 domestic drone producers. Some can produce roughly 1.5 million drones per year, and three are among the top 100 producers in the world.

The supply of drones to the army and the training of drone operators initially depended entirely on volunteers, such as Victory Drones. Even now, volunteers play a major role in providing drones and other supplies to the armed forces. For example, the Come Back Alive foundation plans to procure 16,500 long-range drones this year, worth $34 million.

The industry is highly decentralized and extremely heterogenous. Some producers are huge. The long-range Liutyi strike drone was developed by Antonov, the company that produced the world’s largest aircraft. Other producers assemble drones in kitchens and garages from components purchased on AliExpress and use 3D printers to make spare parts. Soldiers often update or repair drones themselves.

The products range from small reconnaissance devices and first-person-view (FPV) drones carrying the equivalent of a hand grenade, to large machines that can deliver several hundred kilograms of cargo to the frontlines or “sanction” Russian oil infrastructure, logistics, and military assets. Ukrainian firms also produce drone detectors, electronic warfare systems, and other anti-drone devices—from simple net throwers to automated systems that can locate and intercept enemy drones with little or no human intervention.

The spectrum of products meets diverse needs, from patrolling the kill zone at the frontline—currently about 50 kilometers (31 miles) wide—to destroying Russian supply lines (100–300 kilometers from the frontline) to hitting production facilities more than 1,000 kilometers inside Russian territory. Production of middle-range strike drones, interceptor drones, and land drones increased significantly in 2025 (during the first six months of 2026, Ukraine’s army implemented over 50,000 logistic and evacuation missions with land drones).

The industry is highly dynamic: constant communication between producers and army units means that prototypes are tested and deployed in a few months or even weeks. Although Russia often reverse-engineers Ukrainian technologies and starts producing drones at scale, Ukrainian military leaders claim to have 50% more FPV drones than the Russians.

That is no accident. Although the industry's initial growth spurt was truly grass-roots, government policies have since provided significant support. In 2023, the government created the Brave1 cluster, which unites producers, researchers, military personnel, and investors in order to streamline the production and delivery of equipment needed at the frontlines. The government provides seed grants to innovative projects, helps Ukrainian producers to register their innovations, and connects them with users of their products. Producers can also report bureaucratic obstacles.

In June 2025, the government launched the DOT-Chain procurement platform. Army brigades can place orders for munitions there, and the State Logistics Operator (DOT, which runs military procurement) can fill the orders. The platform includes a reward program: the more enemy targets a brigade destroys, the more additional drones it can receive from the government. As of February 2026, DOT-Chain offered some 470 products from 135 producers, including drones and electronic warfare systems.

A few months later, the government launched a special tax regime for defense producers called Defence City, offering tax breaks, support for relocation or protection of premises if needed, and a simplified export procedure. By June 2026, 31 companies with total revenue of about $2 billion had registered.

Restarting weapons exports, a step announced early this year, could also help Ukraine's military technology industry. Exports effectively stopped in February 2022, but in 2024 weapons producers started lobbying for reopening. With the government unable to procure everything producers can manufacture, exports would provide additional revenues to scale up production to meet Army demands.

Returning to the international market would also allow joint ventures with European producers to be established in Ukraine. To leverage Western capital and access to safe production, Ukrainian firms already have joint ventures with enterprises in Germany, Canada, the United Kingdom, and elsewhere. Localizing such ventures would keep human capital and technology at home.

This is especially important given the domestic industry's shortage of qualified personnel, particularly engineers. And localization is needed to address another major problem facing drone producers: reliance on imported components, which are sourced mostly from China. According to research by the Lviv-based IRON defense technology cluster, localization currently stands at 85% for frames and structural components, 14% for cameras, and 12% for engines. Some producers within the Brave1 cluster have started manufacturing cameras to replace Chinese products, while other firms produce drone-borne munitions.

The bigger problem is that drones are not a panacea. While a special army branch, Unmanned Systems Forces, has destroyed Russian assets worth $40 billion since it was established about a year ago, drones cannot replace personnel and do not make "traditional" weapons obsolete.

But even if drones are not a magic bullet, they have transformed geopolitics. When Russia uses drones to test the defenses of Poland or Romania, or fly over critical German infrastructure, neither NATO nor individual countries respond for fear of escalation. Similarly, Iran has demonstrated how low-cost drone-based warfare can upend conventional tactics.

Ukraine's rapid emergence as a leader in drone technologies can help NATO and Gulf countries defend themselves against Russia and Iran. But Ukraine urgently needs help, too. Drones are no substitute for the air-defense systems, long-range missiles, and other conventional weapons Ukraine needs to end the war.

20. Just Say No to Remote Work

Author: Michael R. Strain **Published:** Jul 7, 2026 **Link:** View Original

WASHINGTON, DC—My advice for the two million young people who graduated with bachelor's degrees over the last few months and are just starting their careers: Go to work—not just figuratively, but literally. If you have a job that allows hybrid work arrangements, do not use them. Instead, be at your desk five (or six!) days per week. And if your job is fully remote, start looking for a new one.

I was giving the same advice back in 2021, when millions of white-collar workers had decided that remote work was one feature of the COVID-19 lockdowns they wanted to keep. At the time, we didn't have much evidence on the labor-market effects of working from home. But we do now.

In a new study, economists Natalia Emanuel and Emma Harrington, the authors of In Person: How Working Together Fuels Creativity, Productivity, and Growth, and Harvard economist Amanda Pallais calculate that the unemployment rate among college graduates under 29 years of age was 1.3 percentage points higher in 2025 than in 2019 (just before the pandemic and the four-fold increase in people working remotely). Among older college graduates, the unemployment rate increased by 0.4 percentage points over the same period.

To explain this divergence, the authors compare the unemployment rates of workers in jobs that are easily done remotely (for example, software engineers) with jobs that are hard to do remotely (such asmechanical engineers). They find that remote work is responsible for nearly two-thirds of the unemployment gap between college graduates under 29 and older graduates. Moreover, their results hold up even when they control for each occupation's exposure to automation by generative AI tools.

These findings jibe with a second new study. Economists Peter John Lambert and Yannick Schindler examined four Anglophone countries, including the United States, and found that the rise of remote work after the pandemic led to a shift in both hiring and vacancies that favored more senior workers over those with just a few years of experience. Moreover, they show that the arrival and increased use of AI tools have had no effect on the decline in the demand for junior talent.

I hope these findings will serve as a source of motivation for young, college-educated workers. It is very much in their interest to go to work—physically. Employers are increasingly turning away from inexperienced workers for remote roles because such arrangements require relatively more supervision and greater effort to build new knowledge and skills. Meeting these needs is much harder—and therefore costlier—when a newly hired worker is at home on the couch, interacting with colleagues over Zoom.

With an in-person setting, by contrast, newly minted graduates will be faster to develop their emotional intelligence, which is crucial for success in many occupations. Reading body language and changes in facial expressions and tones of voice are crucial skills that cannot be easily learned over Zoom. Collegiality and group cohesion is best created through repeated physical interaction. For inexperienced workers trying to build professional networks and learn about new opportunities for advancement, unplanned meetings at the espresso machine or in the parking lot can be invaluable.

Yet many people in their early professional years are depriving themselves of these advantages. Some are doing so to maximize their leisure time or out of an exaggerated sense of the value they provide to their employers. But I suspect that the trend can largely be explained by something more prosaic: Employers often offer hybrid work as a benefit, so young workers take it. They should resist this temptation. Just because remote work is on offer doesn’t mean it has to be used.

What about workers with more than a handful of years of experience? Here, the right solution for most may not be to revert to the world of 2019. In my judgment, the costs to workers of a hybrid arrangement can be substantially mitigated by strong existing workplace relationships built on sustained in-person interactions.

Unlike workers in their early 20s, more experienced workers often have actual responsibilities in their personal lives—caring for children or aging parents, for instance—that they must balance against their professional responsibilities. This is partly why people value remote work in the first place.

From the perspective of employers, hybrid work does seem to damage productivity less than fully remote work; and in some circumstances, it may even boost productivity. Remote work also has been very beneficial for people with disabilities. Employment rates for this group are much higher than in the years prior to the pandemic. The economists Nicholas Bloom, Gordon B. Dahl, and Dan-Olof Rooth find that the post-pandemic increase in work from home explains over two-thirds of the increase in full-time employment for people with disabilities. The rise of remote work is analogous to the adoption of a new technology that allows businesses to benefit more fully from the creativity, effort, and skills of people with disabilities.

Still, even for more experienced professionals, remote work has gone too far. The balance will shift back toward in-person arrangements if the labor market softens and the unemployment rate starts to rise.

Given the many risks and drawbacks, the message younger workers need to hear is not nuanced: Be physically present. Work hard. Knock on doors. Get to the office before your supervisor arrives, and don’t leave work before he or she does.

First impressions matter, and like the background on a Zoom call, they can be blurred and distorted unless you are standing face to face.

21. Ruling Class Clowns

Author: James Livingston **Published:** Jul 8, 2026 **Link:** View Original

GAUCÍN—"Oligarchy" is by now a familiar name for the billionaire brethren who freely acknowledge the difference, indeed the conflict, between their interests and the general welfare, at least to the extent that the general welfare is assumed to derive somehow from political equality, itself a dividend of democracy. They and their accomplices drop any pretense to leadership in society or culture, notwithstanding their purchase of votes, gowns, galas, and news outlets. A century from now, most people will remember them as sociopaths whose claims on the future were both ridiculous and ephemeral—childish, in a word—because they wanted power, but not responsibility.

Our would-be overlords are quite candid in explaining how and why their great wealth entitles them to a higher standing and a louder political voice than citizens with less spending power. Having decided that political equality threatens their liberty, they are also plain-spoken in claiming that the consent of the governed—the principle of political obligation specific to modern forms of government—is an impediment to progress as they understand it. And if we are to take them at their word, progress for them means the socioeconomic and technological development permitted and required by "free markets."

These oligarchs are often compared to the United States' robber barons of the late-19th-century Gilded Age, who supposedly swashbuckled their way to vast fortunes by bribing public officials and exploiting workers, widows, and orphans. By inventing large corporations, the robber barons replaced healthy inter-firm competition with rent-seeking monopolies—"the trusts," in the contemporary vernacular—like Standard Oil, American Telephone and Telegraph, General Electric, or US Steel.

But the comparison with the Gilded Age is unfortunate, even misleading, because the late-19th century was not, in fact, a moment of increasing inequality. Nor was it a moment of triumph for "big business"—or, to put it in the broader terms on offer from the late historian Howard Zinn, a moment of "the people's" inevitable defeat at the hands of the powers that be. To be sure, the Gilded Age was a period of epic class conflict which sometimes devolved into violent armed struggle between capital and labor; but more often than not, from around 1880–1900, when only 10% of the labor force was represented by trade unions, workers emerged victorious in these confrontations. In fact, by every relevant measure, workers were winning the class struggle of this formative moment, at least until the very late 1890s.

According to the official reports of the US Commissioner of Labor, for example, labor prevailed in a majority of the strikes and lockouts between 1881 and 1905. Meanwhile, skilled industrial workers retained their control of machine production despite the best efforts of management to replace them. As a result, a remarkable shift in income shares from capital to labor took place—non-agricultural real wages increased as profits declined—over the furious objections of management. This shift of income shares is the exact opposite of what has taken place in the US and elsewhere in the age of neoliberalism (1973-present.)

But perhaps the most important difference between that period and ours is the outlook, the emergent world view, of the Gilded Age capitalists. Unlike today's tech bros, they recognized that their profits were not self-evidently justifiable as the product of hard work, shrewd calculation, risk-taking, or superior intelligence. They understood, accordingly, that the question was not whether but how to reconstruct the market, which meant, they believed, how to regulate markets so that they would serve the general welfare. They had stopped assuming that their freedom was reducible to the natural right of property; as a result, the manipulation of market forces—whether by state regulation or workers' organizations—no longer appeared to them as an infringement on liberty of contract, thus as a mortal threat to freedom as such.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America's founding document, and consider where US democracy is headed 250 years later.

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This emergent worldview didn't amount to a new enlightened altruism, or "compassionate conservatism." By the mid-1890s, when farmers and workers seemed to have agreed that the capitalists in charge of "the trusts" were parasitic growths on the body politic, they could reach no other verdict. Enough capitalists understood that unless they conceded, then acted on, the insight animating the revolt of the masses—that the surpluses generated by modern industry should be shared by all social strata—they would forfeit any claim to legitimacy, and thus leadership, on economic, social, or political matters.

Again, the new dispensation was not altruism enabled by moral epiphanies or new philanthropic urges: it was a realistic assessment of what made for social mobility, and thus social stability, political consensus, and economic predictability, each a crucial component of rational market behavior in the long run. It was also a realistic assessment of who would win the class struggle in the short run. By the end of the 19th century, it was clear to all interested observers that market power did not automatically or even easily translate into political capital and cultural authority.

Unlike the oligarchs of our time, then, certain Gilded Age capitalists learned to become a ruling class. To borrow the lexicon of E. Digby Baltzell, they learned how to extrude from the ranks of both big and small business a trustworthy "goal-integrating elite" that in turn recruited intellectuals, journalists, academics, farmers, and trade unionists to its cause, thereby becoming able to mediate between social classes.

Their cause was "reform" in the broadest sense, because it began but could not end with the reconstruction of markets and the reorganization of the labor process, both made possible by the invention of new corporate legal forms. The cause of reform in this sense was social, ideological, political, even cultural, not merely economic, and was understood that way by all parties to the cross-class coalition responsible for the achievements of the Progressive Era during the first two decades of the 20th century. It entailed a renegotiation of class relations, a redefinition of work, a reorientation of liberalism, a realignment of parties, and a revision of gender roles (to begin with, a shift from the woman movement to feminism as the name of observable or desirable changes in women's social roles and standing).

The administrative state that was the legacy of this era (now sentenced to death by both the enemies of expertise and the friends of "free markets") was predicated on the shared assumption that markets were not self-regulating and that, if left unattended, market forces would destroy a society held together by commodity production and exchange. These unruly forces would be regulated, or managed, therefore, in the name of the general welfare.

The new institutions that served this purpose included the Federal Reserve System, the Federal Trade Commission, and the Food and Drug Administration. They were not subject to "elite capture" because they were, in part, the handiwork of a new goal-integrating elite that had a vested interest in the general welfare.

The ruling class that came of age in the Progressive Era was up against the robber barons of the Gilded Age. Like the oligarchs of our time, the robber barons understood market society as the site of plunder. The enlargement of their fortunes—and with it, their freedom—would, they believed, require the extraction of wealth from the majority, globally as well as locally, and would almost certainly mean the demise of democracy as the servant of the general welfare. Their reincarnation appears in the Patagonia-vested form of Silicon Valley oracles like Marc Andreessen, the billionaire venture capitalist who plagiarizes early 20th-century fascist manifestos because, as he gladly explains, he prefers not to inspect the contents of his own cranium.

The capitalists who understood that the promise of American life was not written on the bottom line knew what they were up against in the Gilded Age. Henry Lee Higginson, the Civil War veteran, investment banker, and tireless philanthropist, summarized that knowledge in 1915: “From 1868 until 1898 there were these constant frights and uncertainties, which gave gamblers a great chance if they could guess right, and which kept decent men in doubt and often in agony. They could not do business in a proper way, and I look back on all those years with horror.”

The evident yet unacknowledged truth residing in the idea that we inhabit a new Gilded Age is not that the capitalists have again convened an all-powerful oligarchy bent on plunder, or that we, the people, are bound to lose to this malevolent cabal, in accordance with the iron historical logic espoused by leftist stalwarts like Zinn and the economist Thomas Piketty. It is that the robber barons of our time—“broligarchs” like Peter Thiel, media moguls like David Ellison, useful idiots like Curtis Yarvin, or omnicompetent buffoons like Elon Musk—now face the kind of anger, derision, and contempt that discredited the oligarchs of the Gilded Age and permitted the achievements of the Progressive Era.

The polling around the issue of AI is only the latest indication of contemporary revulsion against what today’s robber barons say they want—more money, more power, more respect, and, ultimately, enough resources to secede from planet Earth. In fact, every poll taken since 2016, when US Senator Bernie Sanders entered the presidential primary, indicates that a cross-class, multiracial majority of Americans favors what Sanders himself calls democratic socialism. That majority is still too centrifugal to recognize itself as containing the elements of a new progressive coalition, but it is the unmistakable reality of our time.

This state of public opinion and electoral possibility would suggest the need for a new goal-integrating elite representing this variegated majority. It would proceed on assumptions similar to those that grounded its predecessor from the Progressive Era: that the general welfare is best served by a more generous democracy; that the conflict between oligarchs’ interests and the requirements of the general welfare is therefore irrepressible; that markets are not economic externalities to which we must adjust our lives, but are rather cultural constructs subject to our social goals; that the question before us is not whether but how to reconstruct markets so that they allocate goods efficiently and equitably; and that the surpluses generated by such markets should be shared by all social strata.

At a time of unprecedented wealth concentration—when a single person’s assets equal 1% of world GDP—providing for the general welfare becomes impossible. But the growing electoral salience of “affordability” reflects a widely shared concern that cannot be addressed without enlarging the scope of democracy. For that to happen, the new oligarchs will have to go the way of the robber barons—quietly or not.

22. How Vulnerable Are US Financial Markets?

Author: Dambisa Moyo **Published:** Jul 8, 2026 **Link:** View Original

LONDON—Despite heightened geopolitical tensions and growing economic uncertainty, US equity markets continue to reach new highs while defying historic valuation norms. At 41.97, the Shiller cyclically adjusted price-to-earnings (CAPE) ratio is near its record highest and well above its long-run median of roughly 16.

At the same time, the Buffett Indicator—the ratio of total US stock-market capitalization to GDP, widely regarded as a barometer of overall market valuation—is flashing red. A ratio of 75–90% is generally considered reasonable, while readings above 120% suggest the market is significantly overvalued. It currently stands at more than 230%

While sophisticated investors may not rely directly on these metrics, indicators like these nonetheless fuel growing concerns that financial markets have entered bubble territory. And elevated valuations are only part of the story: a range of debt indicators suggests that leverage across the financial system could have economic repercussions that have yet to be fully appreciated.

Current estimates, for example, suggest that the US stock-market rally is being fueled by more than $1 trillion in borrowed money. According to the Financial Industry Regulatory Authority (FINRA), US margin debt—the money investors borrow from brokerages to buy securities—rose by 54% over the past year, to a record $1.4 trillion. This leverage buildup is comparable in size to each major category of US consumer debt, including auto loans, student loans, and credit-card debt, leaving an already heavily indebted economy increasingly vulnerable to a severe market correction.

Alarmingly, many investors in leveraged exchange-traded funds (ETFs) may not fully understand that these products' daily rebalancing effectively leaves them with significant short-volatility exposure. In other words, they are implicitly betting that market volatility will remain low or even decline.

Should markets experience sharp price swings, however, leveraged-ETF investors could suffer heavy losses, forcing funds to rebalance in ways that amplify selling pressures. Leveraged ETFs could therefore exacerbate market instability in the event of a broader sell-off.

Private credit represents another major source of vulnerability. Outside the traditional banking system, a modern variant of what John Kenneth Galbraith called the "bezzle"—undetected fraud within the financial system—may be steadily expanding. Since much of the private-credit market remains outside the purview of regulators, the true scale of leverage and the associated risks are difficult to assess.

As a result, it is impossible to determine whether sufficient capital has been set aside to absorb losses stemming from growing leverage outside the traditional banking system. In his 2025 letter to shareholders, JPMorgan CEO Jamie Dimon noted that non-bank institutions now account for 64% of leveraged lending, up from 54% in 2010. Their share of mortgage originations has risen from just 9% to 77% over the same period.

As governments—including those of the United States, the United Kingdom, and Japan—increasingly rely on shorter-term financing, risks are mounting in fixed-income markets as well. In the US, roughly 20% of outstanding federal debt consists of short-maturity Treasury bills. Although this strategy reduces borrowing costs in the short run, it also exposes governments to greater refinancing risk if interest rates remain elevated or rise further.

Meanwhile, pension funds and insurers have reduced their purchases of long-term government bonds, with hedge funds taking their place. Because hedge funds tend to trade their positions more actively, this shift could fuel market volatility.

At least two developments could trigger a sharp market correction, with potentially damaging spillovers into the real economy. The first is a rise in interest rates. Although inflationary pressures stemming from the Iran war appear to have eased, considerable uncertainty remains over whether the interim US-Iran ceasefire and ongoing negotiations will ensure the uninterrupted flow of energy supplies through the Strait of Hormuz.

More fundamentally, the recent decline in oil and other commodity prices may not be enough to bring inflation under control. Notably, Minneapolis Federal Reserve President Neel Kashkari recently said he expects one additional interest-rate increase this year, citing inflationary pressures beyond oil and gas.

The second potential trigger is the concentration of risk in US equity markets. Given that expectations for US investment, economic growth, and equity valuations are increasingly tied to AI, disappointing quarterly earnings or guidance from a major AI company could spark a market-wide sell-off. The fact that Apple, Alphabet, Amazon, Meta, Microsoft, Nvidia, and Tesla—the so-called “Magnificent Seven”—now account for nearly one-third of the S&P 500’s total market capitalization has created a financial-market vulnerability.

To be sure, the Magnificent Seven alone are expected to spend $725 billion on capital expenditures in 2026, primarily on data centers and AI infrastructure—equivalent to more than 2% of US GDP. But while this investment drive is likely to boost US growth, it also carries significant downside risks. Should these plans be scaled back—or should AI fail to deliver the productivity gains investors expect—the resulting shock could be difficult to contain.

23. Mamdani's American Dream

Author: Slavoj Žižek **Published:** Jul 8, 2026 **Link:** View Original

LJUBLJANA—Francis Fukuyama's 1990s end-of-history thesis was the last big narrative that united the liberal-democratic West. Western liberal-democratic welfare-state capitalism, he argued, was the best possible social system. The only remaining question was empirical: Precisely when and how would other parts of the world arrive at the same model?

This narrative disintegrated after 2001, and we gradually entered the era of brutal pragmatism. The only consistent narrative was provided by Trumpian and European racist nationalists: The developed Christian West is an historical exception, a wealthy, freedom-loving civilization whose survival is under permanent threat from immigrants, "cultural Marxists," LGBT+ partisans, and self-blaming Europeans.

Of course, the "woke" narrative that nationalists reject is even narrower in its appeal than their own. It focuses on a single racist/sexist enemy and doesn't even try to mobilize the majority, because it is concerned with elevating select groups, like trans people, to the exemplary status of the oppressed. Since most people are not trans, this narrative offers the majority only guilt, rather than a broadly appealing positive vision.

But something new has emerged with the rise of so-called democratic socialists in the United States. In an address marking the 250th anniversary of the Declaration of Independence, one of their leading exponents, New York City Mayor Zohran Mamdani, offered a radically different narrative about what the US is and could be. Mamdani won his office not by promoting academic woke purism but by focusing on local issues and the underprivileged, with calls for free childcare and buses, rent control, and accessible health services. And in his July 4 address, he translated his politics into a global vision:

"We are told that America is exceptional because we are richer, stronger, more powerful than everyone else … The truth, my friends, is that America is exceptional because here, nothing is fixed into place. The frontier may be closed, we may have walked on the moon, but the work of fulfilling the values first enshrined in the Declaration of Independence—that work endures, my friends, and it belongs to us all. It belongs too to our newest Americans, those standing here with me today, all of whom were recently naturalized. Nearly a decade ago, I too felt what you feel—the joy of no longer being just a New Yorker, but an American too. You each hold a special power. The power to determine what America means."

Mamdani's vision is, of course, ideological. It presents a simplified picture, not the unvarnished truth. What matters most is that it challenges the populist narrative head-on, as evidenced by the right's hysterical attacks on Mamdani. In his own July 4 address, President Donald Trump was obviously thinking of the New York mayor when, making a hash of history, he claimed that: "Communism is a mortal threat to American liberty. It is the greatest threat to our country, including World War I, World War II, Pearl Harbor, or even 9/11."

But equally notable is that Mamdani has also drawn fire from some radical leftists. In response to his praise of the Declaration of Independence and the US Constitution, Jacobin published a commentary with the headline: "Burn the Constitution Once Again." As the tagline explained, "The Constitution didn't stop Trump—it made his reign possible."

There is obviously merit to such arguments. As the Federalist Papers show, the founders' greatest concern was to curtail popular influence. That is why the Constitution established an Electoral College and other institutional impediments to political majorities.

America's founders were the oligarchic elite of their day. George Washington was one of the wealthiest men in the colonies. In the first couple of elections after the founding, only a small fraction of citizens voted. A decidedly WASP (white Anglo-Saxon Protestant) document, the Constitution protected slavery. Even Irish-Americans were long excluded from sensitive posts in the state administration.

For a certain brand of leftist, however, even the Frankfurt School was a reactionary plot. The dominant right-wing populist narrative blames woke ideology on Antonio Gramsci and especially on Herbert Marcuse and Theodor Adorno. Yet some on the left, such as the Villanova University philosopher Gabriel Rockhill, dismiss Western cultural Marxism as a CIA-backed anti-Communist movement designed to discredit "actually existing socialism." In both cases, one should heed Jean-Paul Sartre's observation that a text attacked by both sides—whether the US Constitution or One-Dimensional Man—is probably on the right track.

In this context, Mamdani's address was a perfect example of ideology in the positive sense of that term. It overturned the rightist vision of the US as an elite bastion that is threatened by outsiders, and presents it instead as a place that is strong enough to accept and give a chance to the world's poor, exploited, and oppressed. Mamdani sees the very feature that rightist populists perceive as a threat to American identity—openness to outsiders—as the source of American exceptionalism. The US is a wealthy symbol of hope because it has given generation after generation of immigrants a chance to succeed.

Some leftists would, of course, claim that this dream is a lie, that the oppression of the lower classes, racial minorities, and newcomers has never let up. But issuing that charge is like firing a blank round: it has no force beyond fueling a form of self-criticism that leads nowhere. Mamdani's vision may not reflect the full, unvarnished truth, but it is truer than the Trumpian alternative, and it has the potential to mobilize millions—as has already happened since his election.

Such is Mamdani's genius. He has made the poor and tired newcomers the only authentic agents of the American dream. Trumpian populists are primitive provincials and happy slaves to mega-corporations. Today, it is democratic socialists who embody the emancipatory core of the American dream. They are the true American patriots.

24. Reinventing Development Finance

Author: Yusuf Murangwa **Published:** Jul 8, 2026 **Link:** View Original

KIGALI—Developing economies face a confluence of pressures, each of which implies large investment needs. They must create jobs for rapidly expanding populations, boost resilience to external shocks and the effects of climate change, and build the infrastructure required for long-term growth. And yet, with concessional finance shrinking, borrowing costs ballooning, and international capital markets remaining volatile, funding these investments is harder than ever.

To pursue ambitious development agendas with limited fiscal space, developing economies must borrow more strategically. Rwanda's recent financing partnership with the World Bank Group shows what this could look like. Instead of relying solely on traditional concessional loans, Rwanda has worked with the Bank to leverage policy-based concessional finance and risk-sharing instruments to unlock private capital at scale and on affordable terms.

Rwanda has forged a development path few thought possible. Over the past two decades, its annual GDP growth has averaged more than 7%, owing to prudent macroeconomic management, long-term planning, and sustained, well-executed reforms. Looking ahead, the government seeks to create 250,000 quality jobs each year, accelerate industrialization, and modernize agriculture.

Achieving these goals requires substantial long-term finance. That led the World Bank Group and Rwanda to turn conventional thinking on its head by using scarce concessional resources to catalyze private investment through a policy-based guarantee provided by the International Development Association (IDA), the World Bank's concessional lending arm. This structure helps lower financing costs by reducing risk for investors and extending maturities.

Rwanda further strengthened this mechanism by combining the IDA first-loss guarantee with a second-loss guarantee from the World Bank's Multilateral Investment Guarantee Agency. Taken together, these innovative instruments cover 95% of debt-service obligations on the underlying commercial loan, significantly lowering perceived risk and crowding in private lenders and reinsurers.

The result is private financing on close to concessional terms, an arrangement that preserves limited public funds. In April, Rwanda secured a €213 million ($243 million) commercial loan from Société Générale and Standard Chartered with a 15-year maturity and six-year grace period. At a time of heightened global volatility, this guarantee-backed financing package reduced borrowing costs by roughly 300 basis points compared to prevailing market conditions. Equally important, principal repayments begin only after Rwanda's existing 2031 Eurobond matures, reducing refinancing pressures and helping improve the country's debt profile.

This affordable capital has enabled reforms that will strengthen the Rwandan economy's foundations and enable private-sector growth and job creation. They include measures to bolster fiscal sustainability, modernize frameworks for public-private partnerships, lower the costs of doing business, improve labor-market matching and skills development, and spur growth in sectors such as agriculture, livestock, and sustainable land management.

The first transaction may be followed by a second one to mobilize the remainder of the approved $450 million financing envelope. For Rwanda, accessing the total amount would pave the way for even more investment in infrastructure, health, education, agriculture, social protection, and industrial development—all of which would have a positive impact on people's livelihoods and living standards.

But the significance of this pioneering approach extends beyond one country—in fact, it has now been used in Angola, Argentina, Côte d'Ivoire, and Panama, as well as Rwanda. Many developing economies are similarly grappling with limited access to capital markets, shrinking fiscal space, and lower levels of concessional financing. In such an environment, mobilizing more money requires policymakers to make better use of available resources.

Development finance must evolve from a model centered primarily on direct public lending to one that leverages public funds to reduce risk, attract private investment, and improve financing terms for countries undertaking credible reforms. This is particularly important for countries seeking to manage their liabilities and debt-service obligations more effectively, and to reduce their exposure to refinancing risks.

Rwanda's experience shows what is possible when sound economic management and strong institutions are coupled with innovative financing. Of course, no single model will work for every country. But the underlying idea is broadly applicable: when concessional resources are used strategically—and paired with sound economic policies—they can have a significantly greater impact. To transform their economies and fulfill their development ambitions, low-income countries must embrace innovative financing solutions that can do more with less.

25. How Argentina Can Protect Its Resource Wealth

Author: Conrado Tenaglia **Published:** Jul 8, 2026 **Link:** View Original

BUENOS AIRES—Argentinian President Javier Milei has launched a reform program inspired by the free-market economist Friedrich Hayek, at the heart of which is the development of Argentina's vast energy reserves. Milei and his supporters hope that this will reverse almost a century of economic decline. But while translating natural-resource wealth into long-term prosperity is certainly possible, it is not easy, as the many countries that have fallen victim to the "resource curse" can attest.

Argentina is home to Vaca Muerta, which holds the world's second-largest shale-gas reserves and fourth-largest shale-oil reserves. It also sits, with Bolivia and Chile, within the "lithium triangle," which contains roughly 60% of the world's known reserves of a critical input for the batteries needed to power electric vehicles, enable large-scale grid storage, and more.

These resources are not controlled by the federal government. Instead, they belong to the provinces where they are located, per a 1994 constitutional amendment. The constitution, modeled largely on that of the United States, also states that any power that is not explicitly delegated to the federal government belongs to provincial governments. This means that provincial governments can collect royalties on the extraction of oil, gas, lithium, and other resources from their territories.

The resulting revenues are becoming substantial. Neuquén, where most of Vaca Muerta is located, currently collects approximately $350 million per month in royalties, and provincial authorities expect that figure to rise to $500 million once Argentina's liquefied natural gas export infrastructure is fully developed—as early as 2031. That would amount to roughly $6 billion annually for a province of just over 700,000 inhabitants.

Similarly, Catamarca, home to some of Argentina's largest lithium deposits and just 430,000 people, expects royalty revenues to reach approximately $350 million annually by 2031.

To translate these windfalls into sustained prosperity, Argentina's provinces should look to the examples set by Alaska, Chile, and Norway, all of which created a sovereign wealth fund (SWF) to manage their resource revenues.

Alaska offers perhaps the most instructive model. When it became the 49th US state in 1959, the magnitude of its oil wealth remained unknown. The discovery of oil at Prudhoe Bay in 1968 transformed the state's finances almost overnight, with lease sales generating hundreds of millions of dollars. But the revenues were spent quickly, raising fears that the bonanza would be squandered.

The solution came in the form of the Alaska Permanent Fund. Established through an amendment to the state constitution in 1976, the fund kept a significant portion of the state's oil revenues beyond the reach of day-to-day budgetary spending. Alaskan law requires that 50% of mineral royalties be deposited into the fund, and its principal cannot be spent without the direct approval of voters. Since the first dedicated deposit was made in 1977, the fund has amassed nearly $90 billion in assets.

Norway's experience is also worth revisiting. Its SWF is often presented as a model of careful planning, but the reality was more complicated. In the decades after one of the world's largest offshore oilfields was discovered off Norway in 1969, the country grappled with many of the institutional and political challenges typically associated with resource booms.

Norway's SWF was established in 1990 to shield petroleum revenues from short-term political pressures, protect the economy from price fluctuations, and ensure that future generations would benefit from the country's resource wealth. Oil revenues would be channeled directly into the fund and, crucially, the money would be invested exclusively abroad. Moreover, spending would be subject to strict parliamentary oversight. Today, 30 years after the first deposit was made, Norway's SWF is the world's largest, with assets of roughly $2.2 trillion.

Chile—one of the world's largest copper producers—similarly struggled with volatile commodity revenues. In 1987, it created the Copper Stabilization Fund to serve as a kind of buffer, accumulating funds when prices were high and closing gaps when they were low. Twenty years later, this was replaced by the Economic and Social Stabilization Fund—a comprehensive SWF, rather than a commodity-focused buffer.

All these efforts reflect a commitment to converting today's resource windfalls into enduring financial assets. Alaska, Norway, and Chile recognized the dangers of Dutch disease, whereby commodity booms drive up the currency's exchange rate, undermine competitiveness, and ultimately leave economies poorer. Argentina should learn from their experience, rather than from its own mistakes.

In his 1941 short story "The Garden of the Forking Paths," Jorge Luis Borges imagined a garden in which infinite futures coexist, each accessed through a different choice. Argentina's provincial governments must now make their choice: leverage today's resource wealth to strengthen institutions and deliver lasting prosperity, or squander their windfalls. As in Borges' garden, once a path is chosen, changing course is not easy, if it is possible at all.

26. Concessional Finance Is Needed More Than Ever

Author: Muhammad Al Jasser **Published:** Jul 8, 2026 **Link:** View Original

JEDDAH—The global development landscape is under severe strain. Aid flows are tightening, financing gaps are widening, debt pressures are mounting, and climate shocks are hitting vulnerable economies with growing intensity.

For many of the Islamic Development Bank's 57 member countries, these converging forces are limiting investment in resilience, human development, and long-term growth. The challenge is particularly acute for our 27 least-developed members and those affected by conflict and institutional fragility.

With heavy debt burdens eroding fiscal space for spending on health, education, and infrastructure, governments are forced to divert scarce public resources away from development priorities. The consequences extend far beyond national borders, threatening the prosperity and stability of our entire community.

At a time of shrinking aid budgets and rising vulnerability, the case for concessional financing has never been stronger. International research has consistently shown that investments in resilience generate significant long-term economic and social returns by reducing the human and financial costs of future shocks, which in turn enables countries to protect hard-won development gains and invest in the future. Yet concessional finance has not kept pace with rapidly growing needs, particularly in countries grappling with debt distress and climate-related risks.

Meeting this challenge requires more than additional resources; it calls for sustainable, predictable financing mechanisms capable of mobilizing collective support. The Islamic Development Bank recently took a vital step in that direction by establishing its IsDB Concessional Fund (ICF). Launched at the second AlUla Conference on Emerging Market Economies in Saudi Arabia in February, the ICF was created as a means to respond more effectively to the evolving financing needs of our least-developed members.

The ICF provides an institutional framework for South-South solidarity within a member-owned, multilateral development bank. Its distinctiveness lies in its governance—it is Shariah compliant—and burden-sharing model, through which members with greater financial capacity support those facing severe development constraints, thereby promoting stability, opportunity, and regional cooperation.

But such a model is viable only when underpinned by institutional commitment. For that reason, the IsDB pledged to allocate 10% of its annual financing approvals to concessional operations and 20% of its annual net income to the ICF through 2030. By investing its own resources alongside member contributions, the Bank has established a credible, replenishable platform that expands the fiscal space available to our least-developed members while creating a stronger foundation for collective action.

The value of this approach is already becoming evident. For many low-income countries, high debt burdens mean that ordinary lending terms are not suitable for financing urgent development priorities. Concessional finance helps bridge that gap. The IsDB's inaugural portfolio of more than $137 million illustrates how concessional finance can support investments in climate resilience, social infrastructure, and human development.

But no replenishment mechanism can succeed through institutional commitment alone. It also depends on the willingness of member countries to invest in a shared future. Notably, the ICF's early progress has been made possible through the support of member countries, including Algeria, Kuwait, Saudi Arabia, and Qatar. Their contributions signal confidence in the ICF as a transparent and accountable platform for channeling concessional resources where they are needed most.

That same spirit of solidarity also shaped the discussions at the IsDB's annual meetings in Baku, held in June under the theme "Regional Integration for Sustainable Prosperity." Participants repeatedly highlighted a simple yet critical point: investing in the resilience of our least-developed member countries is not only a development imperative but also a prerequisite for regional stability, connectivity, and shared growth. As the ICF enters its first replenishment cycle, that principle must continue to guide our collective efforts.

The creation of the ICF builds on the IsDB's longstanding commitment to development cooperation by becoming a platform for concessional support. Against this backdrop, the first replenishment cycle represents an opportunity to turn a shared understanding of member countries' interconnected challenges into concrete, sustained action.

At a time of rising development pressures and scarcer concessional resources, the need to scale such mechanisms is clear. All IsDB member countries should support the replenishment effort now underway. By doing so, we can expand the ICF's reach, strengthen climate resilience, and help place vulnerable economies on a firmer path toward stability, sustainable development, and lasting prosperity.

27. Postmodern Economics

Author: Angus Armstrong **Published:** Jul 9, 2026 **Link:** View Original

LONDON—If it is true that art imitates life, works of imagination can reflect underlying truths about our own experience. The English artist David Hockney, who died last month, certainly understood that. In reflecting on his brilliant and endlessly joyful work, even the most dismal-minded economist might learn something about how to interpret reality.

Hockney saw that art comes not just from the mind but, more precisely, from memory. Like memory, art is always necessarily interpretative—never a perfect copy—and different artistic schools and movements reflect different ways of interpreting reality.

Modernists, for example, consider the world to be generally knowable as a domain where structure is roughly stable and scientific discovery always leads to progress. Such a perspective is rather idealistic, relying on minimal principles to reveal an inherent order, as in Piet Mondrian's mesmerizing abstract lines and blocks of bright color.

Modern macroeconomics is similar. On the basis of a few simple axioms about human decision-making and an assumption about how we form consistent expectations, economists have developed a grand theory of how the economic system works. With the right parameters, the thinking goes, we can study the workings of the economy with confidence that we have the right representation of reality.

The validity of this approach goes back to 1954, when the discipline developed a formal proof of the existence of a perfect equilibrium under ideal economic conditions. This work elevated the profession to the "queen of the social sciences," thanks to its quantitative rigor and application to related disciplines.

For policymakers the message could not have been simpler: Fashion the world in the image of economists' ideal conditions and you can be free of messy normative or political judgments about the distribution of resources. Yes, reality is a bit more complicated, but complexities can be ironed out by using inflation targets and fiscal rules to head off any wandering expectations.

We have now seen six British prime ministers in the past decade set out their economic strategies using almost exactly this framework. It has not gone particularly well, but we seem to be trapped in the same way of thinking.

Hockney had a different sense of reality. Eschewing the idea of a single truth, he showed that the world unfolds before us in ways we cannot fully understand. We have different perspectives on reality, which is itself indeterminate.

The actual economy is not some isolated knowable system of causal relations that are occasionally perturbed by an external shock. Economist Armen Alchian reminded us long ago that our axioms are not a description of human behavior and decision-making processes, only a simplification.

Yet uncertainty need not leave us paralyzed. On the contrary, Frank Knight suggested a century ago that intelligent life probably would not even exist without uncertainty, and George Shackle maintained that living with uncertainty is the price we pay for having an imagination. We don't just rationally choose between existing products. We create knowledge for ourselves by seeking to harness the inherent uncertainty of experience.

We all must plan ahead. But if the future cannot be known, the question is how we approach forecasting. Former US Federal Reserve Chair Ben Bernanke recommended that the Bank of England consider "alternative modeling frameworks," even heterodox models. This is consistent with Hockney's insight. If economic forecasting is to be a useful practice, it must account for different perspectives.

If economists were to reduce the weight on equilibrium models, we could then explore other potential outcomes. Doing so might call our attention to parameter values where dynamics change, causing cascades of economic activity (or tipping points) that are much more important for decision-makers to be aware of. It may well reveal areas where the economy is developing serious problems—a truly worthy contribution to the debate.

Since a single model tells only a single story, those who cling to it can easily end up trapped in TINA (there is no alternative) thinking—as British prime ministers have done. The only logical response is to use alternative models. When these contradict one another, we can still make decisions on the basis of John Maynard Keynes's "balance of evidence," rather than sticking to the pretense of knowledge.

Even in the messier world of fiscal policy, we continue to estimate the precise long-term impact of public investment by using a very conventional production function. Alfred Marshall may have established organization as a fourth factor of production, but since such functions ignore any change in organizations, alternatives are never considered. Robert Solow was right to caution that production functions are only illuminating parables.

Accepting radical uncertainty means accepting that knowledge is always fallible and incomplete, even with all the information that could possibly be gathered. This distinction will matter more and more as we deploy AI. Corporate board members still will need to "feel" satisfied—rather than simply being told—that all reasonable eventualities have been considered. That requires human involvement and knowing where outputs come from.

We will eventually follow Hockney's footsteps into a world of postmodern macroeconomics, with uncertainty at its core, rather than an exogenous shock to an otherwise stable equilibrium. This economics will invite different perspectives and experimentation, and different institutions will support the creation of new knowledge. Our challenge will be to find the right structures, and to make way for a world in which crude utilitarianism gives way to justice, dignity, and fairness—values to which Hockney was deeply committed.

28. Should the Bank of Japan Raise Interest Rates?

Author: Koichi Hamada **Published:** Jul 9, 2026 **Link:** View Original

TOKYO—In my early years as an economics professor, I was occasionally asked to present my work to a group of international economists, and several times I was lucky enough to do so at a beautiful site overlooking Lake Geneva. One economist—quiet, thoughtful, not at all antagonistic—always appeared at those presentations, and even met me for breakfast in New York City. His name was Scott Bessent, currently Secretary of the United States Treasury under President Donald Trump.

Bessent began his career managing the hedge fund owned by George Soros, and when I was appointed as an adviser to Japanese Prime Minister Abe Shinzō, they came to see me at Yale University. As Bessent recounted in his book, I (with my Japanese accent) described to him and Soros (with his Hungarian accent) our early plans to reinvigorate Japan's economy, including through looser monetary policy. He found those plans "inspiring," he wrote. Yet, today, he is recommending the opposite.

Trump, Bessent's current boss, could not have less in common with Soros. But Bessent appears to be moderating, to some extent, Trump's irrational tariff policies. Meanwhile, he is recommending a measure that, unlike tariffs, actually could help US industry: higher Japanese interest rates. The Japanese yen has sunk to a 40-year low against the US dollar. Raising interest rates would strengthen the yen, increasing the competitiveness of US exports.

The question is whether this would be good for Japan, which benefited from a weak yen throughout its postwar economic recovery. That was ended by the 1985 Plaza Accord, under which France, West Germany, Japan, and the United Kingdom agreed with the US to intervene in currency markets to weaken the dollar against their respective currencies. The stronger yen sharply undercut Japan's economic dynamism, and, together with population aging and a rigid kaisha (company)system that struggles to adapt to new technologies, contributed to decades of chronic economic malaise.

But this does not mean that a weaker yen is always better. One way to assess whether a currency is over- or undervalued is to compare the actual exchange rate to the purchasing-power-parity rate compiled by the International Monetary Fund. If the actual yen-per-dollar exchange rate is higher than the PPP rate (which accounts for price levels within each country), then the yen is undervalued. If it is lower, the yen is overvalued.

At the beginning of 2013, when Abenomics was rolled out, the actual dollar exchange rate was ¥83, and the PPP rate was around ¥127, meaning that the yen was more than 50% overvalued. This generated powerful headwinds for Japanese producers and deflationary pressures for the entire Japanese economy.

Today, the opposite is true: in April 2026, the actual dollar exchange rate was around ¥160, while the PPP rate was only about ¥93. The yen was thus some 70% undervalued. Foreigners are well aware of this: Tokyo has been experiencing a tourism boom, as visitors seek to take advantage of low prices.

Were Bessent still a fund manager, he would probably be taking advantage of this situation, borrowing yen at lower interest rates, converting them into higher-yielding US dollars, and investing in riskier assets. The interest-rate differential

—which now exceeds two percentage points—would deliver significant profits upon loan repayment.

But instead of engaging in this speculative carry trade, Bessent is rightly encouraging the Bank of Japan to raise rates. Whether he will show the same integrity at home, defying Trump by recommending higher interest rates to rein in rising inflation, remains to be seen.

As for Japan, the case is clear. When I was Abe’s adviser, I strongly advocated monetary easing. But I would not give the same advice today. Japan’s circumstances have changed, so my recommendation has, too.

29. An Athenian View of American Democracy

Author: Yanis Varoufakis **Published:** Jul 9, 2026 **Link:** View Original

ATHENS—On the heels of America’s 250th anniversary, I felt the curious need to resist my usual penchant for economic and geopolitical analyses of claims made for or against the United States. Instead, I surrendered to an emotional, personal, indeed an Athenian, take on the global hegemon whose development and actions have shaped us all.

My earliest memory of America as a factor in my life harks back to a hot afternoon in early June 1968. A little more than a year after a CIA-backed coup had placed Greece under a fascist dictatorship, my mother and I were strolling outside the revamped ancient stadium where the first modern Olympic Games had been held in 1896. A newsboy suddenly broke the calm, announcing, at the top of his voice, that some American was dead. My mother’s eyes filled with tears. “He was our last chance,” she said.

The dead American was Robert F. Kennedy, on whom my mother had, rightly or wrongly, pinned many hopes, not only for our liberation here in Greece but also for world peace. It would be my crash course in America’s significance to us all, as well as to its internal contradictions.

There had, of course, been previous news flashes of soul-crushing American murders, particularly those of Martin Luther King, Jr. and Malcolm X. And in the years that followed, the news featured daily horrors from Vietnam and the intricacies of Watergate. Yet these were balanced by the poignant, nuanced, and aesthetically sophisticated American critiques of it all.

Is there a better way to grasp the criminal insanity of the Vietnam War than Francis Ford Coppola’s Apocalypse Now? Or a better exposé of endemic corruption in California than Roman Polanski’s Chinatown? Or of Watergate than Alan Pakula’s All the President's Men? Or a better depiction of the CIA's weaponization than Sydney Pollack's Three Days of the Condor? Or a better portrayal of the country’s dangerous underside than Coppola’s The Godfather or Martin Scorsese’s Taxi Driver?

As I got older and began to read difficult books, it was American authors that opened windows from which I could glimpse America’s exhilarating vistas of contradiction. Thorstein Veblen’s The Theory of the Leisure Class gave me a better understanding of American capitalism than any economics text, conventional or polemical. John Steinbeck’s The Grapes of Wrath impressed upon me the dreadfulness of the Great Depression, and an appreciation of the subsequent New Deal, in ways that no economist ever matched.

Turning to music, rock ‘n’ roll was my gateway into rhythm and blues, which was my tutor into what American freedom—or lack thereof—was all about. Could there be a better summary of how Hegel’s dialectical concept of freedom was fused into the American South than the line from that splendid blues song originally performed by Ray Charles and later by Solomon Burke, “None of us are free, if one of us are chained”?

Years later, the sculptures of Donald Judd in Marfa, Texas, helped me realize the importance of manufacturing in fashioning America’s cultural imprint. It was there that I first recognized how the artefacts of American industry—the unadorned facticity of its industrial materials—had shaped our understanding of our surroundings and the interplay of light and volume, even here in Europe.

Those were the times when a communal creative introspection swept across America, redolent of the possibility of catharsis. As Aristotle explained in his Poetics, tragedy was never about entertainment; it was a civic courtroom.

This is what America’s authors, musicians, and filmmakers were doing: they were putting their deepest anxieties on trial. They recognized that authentic tragic heroes—such as Oedipus, Antigone, and Prometheus—are not inherently good or bad; like most Americans, they acted according to their own profound sense of justice, to a “truth” they felt bound to uphold.

Their tragedy was that the universe, or more likely the polis, turned their actions into opposing, crushing forces. Through witnessing the resulting suffering, the audience's own pent-up pity and terrors are purified and drained away. That is the moment of catharsis that America, in the end, was denied.

What robbed Americans of their catharsis was the economy’s violent switch from surplus producer to deficit generator, symbolized by the Nixon Shock of 1971, which killed the Bretton Woods system. By the 1980s, the films and books I loved were replaced with paragons of crass jingoism like Rambo, Top Gun, and Francis Fukuyama’s The End of History.

Of course, the capacity for self-reflection was not entirely lost. America’s cathartic moment was snuffed out because its elites succeeded in turning US deficits into a source of immense, uncouth strength. As foreign capital enthusiastically poured profits and rents into New York City, Oliver Stone’s Wall Street captured the resulting rise of the Gordon Gekkos.

Stone’s film came at the start of an era in which the stability of American power has been accompanied by steadily expanding economic precarity—a process that has impoverished many in the US and the rest of the West while enabling owners of substantial dollar-denominated capital to become fabulously wealthy. For more than four decades, a global class war has been waged against working people everywhere, and in the US in particular, preventing a purifying resolution of America’s tragedy.

Quite the contrary. Financialization and, more recently, the rise of cloud capital, Big Tech, and AI, are solidifying the schism within American society that eventually begat Donald Trump’s presidency. Consequently, America is now producing a mindless, raw power and exponentially growing instability. The possibility of catharsis that characterized America at its bicentennial is hard to envisage a half-century later—to the detriment of us all.

30. Low-Cost Solutions to Maternal Mortality Already Exist

Author: Ifeanyi M. Nsofor **Published:** Jul 9, 2026 **Link:** View Original

SILVER SPRING—In early June, Melinda French Gates pledged $215 million to improve women's health globally, with a focus on underfunded areas such as maternal care in Africa. The announcement comes at a critical moment. Every day, more than 700 women die during and following pregnancy and childbirth, despite the fact that many of the leading causes of maternal mortality are preventable with affordable, evidence-based interventions.

These maternal deaths are not evenly distributed. Roughly 87% of them occur in Southern Asia and Sub-Saharan Africa, with the latter alone accounting for nearly 70%. By contrast, high-income countries experience far lower rates, although stark inequities remain. In the United States, for example, Black women are more than three times as likely as white women to die from maternity-related causes.

Declining foreign aid has exacerbated the crisis. As calls for local resource mobilization grow louder, the focus should shift to cost-effectiveness. Instead of investing in expensive hospital-centered models, policymakers should scale up funding for affordable interventions that address the leading causes of maternal mortality, which include postpartum hemorrhage, hypertensive disorders such as pre-eclampsia, unsafe abortion complications, obstructed labor, and sepsis. The challenge is no longer identifying solutions, but rather ensuring that proven interventions reach every woman in need, especially in resource-constrained settings.

While working in Nigeria on a project aimed at preventing postpartum hemorrhage—the leading killer of women during childbirth—in communities and at health facilities, I saw firsthand how simple, affordable interventions saved lives.

For starters, active management of the third stage of labor can reduce severe postpartum hemorrhage by approximately 60-70%. This involves administering medicine that helps the womb contract after childbirth, at which point health-care workers can actively control the delivery of the placenta and assess the mother's uterine tone. While oxytocin is the preferred drug, proper storage can be challenging in low-resource settings; misoprostol is an effective and affordable alternative that is heat-stable and can be given orally.

Accurately measuring blood loss is equally important. A simple plastic blood collection drape, placed under the woman immediately after delivery, helps collect and measure blood loss. For women who go into shock following postpartum hemorrhage, the non-pneumatic anti-shock garment, which applies pressure to the lower limbs and abdomen, can redirect blood to vital organs and help stabilize them while awaiting a blood transfusion or surgery.

Pre-eclampsia, which affects 3–8% of women who give birth worldwide, also threatens the lives of mothers because, when left untreated, it can progress to deadly seizures. Fortunately, the best solution is one of the simplest: regular blood-pressure monitoring. Between 2014 and 2017, the Community-Level Interventions for Pre-eclampsia program trained community-health workers to visit pregnant women at home, monitor blood pressure, and identify warning signs using mobile tools and pictorial guides. The randomized controlled trial, designed by the University of British Columbia, improved early detection and management of pre-eclampsia in Mozambique, Pakistan, and India, with workers treating low-risk cases with antihypertensives and magnesium sulfate, and facilitating the urgent referral of high-risk patients to health facilities.

Complications from unsafe abortions are another prominent cause of maternal deaths, accounting for roughly 8% globally. Unsafe abortions are often the result of untrained providers or subpar medical standards, and can cause death through severe bleeding, infection, and injuries to reproductive and other internal organs.

The answer is straightforward: expand access to safe abortion services. Ethiopia liberalized its abortion law in 2005, making these services and crucial follow-up care available in public health facilities. Health-care workers were trained to provide women with treatment for severe bleeding and infections, and to remove pregnancy tissue left behind after incomplete abortions, with more complicated cases referred to hospitals. Within a decade, the share of maternal deaths linked to unsafe abortion fell from 32% to less than 10%.

Finally, obstructed labor, which occurs when a baby cannot pass through the birth canal even with strong contractions, can lead to severe bleeding, infection, uterine rupture, stillbirth, and death when not treated promptly. The solution to this problem, which accounts for about 2% of maternal deaths worldwide, is timely access to skilled birth attendants and emergency obstetric care, including cesarean sections when necessary.

Bangladesh achieved a rapid reduction in maternal mortality—including deaths from obstructed labor—through a multi-sectoral approach. It increased access to specialized emergency care for women with serious childbirth complications, allowed the growth of private medical facilities to meet demand for C-sections, and promoted early referral through community-based skilled birth attendants. Lower rates of adolescent pregnancy and improved maternal nutrition also contributed to the decline.

While Gates' funding commitment is both timely and welcome, the future of maternal health, particularly in countries that have long depended on foreign aid, cannot rest on philanthropy alone. It must be built on sustained investments in simple, proven, and scalable interventions that make better use of scarce resources to ensure that no woman dies while giving life.

31. Digital Public Infrastructure Is Now a Strategic Battleground

Author: Tariq Malik **Published:** Jul 9, 2026 **Link:** View Original

WASHINGTON, DC—Wars once destroyed ports, power grids, and railways. Today, they increasingly target something less visible and far harder to replace: the digital public infrastructure (DPI)—identity platforms, payment systems, and data exchanges—on which modern societies depend.

The war in Iran has exposed this fragility in ways few governments had anticipated. As the conflict spilled beyond conventional battlefields, attention quickly shifted from military assets to digital infrastructure such as data centers, cloud providers, and the tech platforms embedded in global supply chains. At the same time, the closure of the Strait of Hormuz has threatened supplies of aluminum, helium, and liquefied natural gas—critical inputs for semiconductor manufacturing—and, by extension, the cloud infrastructure that enables governments to deliver essential public services.

This structural vulnerability raises a fundamental question that policymakers are only beginning to confront: What does sovereignty mean in an era of geopolitical turmoil and concentrated digital power?

DPI lies at the heart of that debate. India, Brazil, and Estonia have demonstrated what well-designed digital systems can achieve: lower corruption, enhanced financial inclusion, and dramatic improvements in the delivery of public services. Yet owning the application is not the same as owning the infrastructure on which it runs. Governments that overlook that distinction expose themselves to four strategic risks.

The first risk is the illusion of control. Governments that build national digital services often believe they have secured strategic capability. In fact, the layers that matter most—cloud computing, semiconductor supply chains, AI model infrastructure, and telecom networks—are concentrated in the hands of a small number of private firms, most of them headquartered in just a handful of countries. When one of those firms changes its policies, revises its compliance requirements, or becomes subject to export controls, the consequences can extend far beyond what any affected government anticipated.

The dispute between Anthropic and the US government is a case in point. In early June, US President Donald Trump's administration directed the company to suspend access to its two most advanced models for foreign users, only to lift some of those restrictions two weeks later. Governments around the world that had integrated Anthropic's models into their own systems discovered that their digital capabilities were subject to decisions made in Washington.

Second, success itself can become a source of fragility. India's Unified Payments Interface and Brazil's instant payment platform, Pix, now process hundreds of millions of transactions every day. Remarkable as these systems are, they have become so deeply embedded in daily economic life that a prolonged outage would do more than inconvenience users. It would disrupt commerce, delay welfare payments, and trigger a governance crisis within hours.

To be sure, one could argue that the efficiencies such systems create outweigh the risks, that redundancy can be engineered into them, and that no government would deliberately disable its own infrastructure. But the question is not whether governments would intentionally disrupt critical systems; it is whether the deep technological interdependencies can trigger disruption without anyone intending it.

As these systems become increasingly integrated, failures are unlikely to remain isolated. In many countries, digital identity now underpins banking, elections, telecommunications, tax administration, and social protection.

Chart 1 illustrates how quickly a failure in the identity layer can cascade across interconnected systems. Authentication errors lock people out of bank accounts, leading to payment breakdowns that cut families off from vital cash transfers and render telecommunications, health care, and government services that rely on identity verification inaccessible. By the time engineers find the technical fault, the political crisis is already underway. The more tightly integrated the system, the more a single point of failure functions as a detonator.

The third risk is market concentration. The global digital economy now depends on a remarkably small number of cloud providers, AI foundation models, operating systems, chip designers, and undersea cable operators. This concentration has produced enormous efficiencies, but it has also created unprecedented systemic vulnerabilities. A geopolitical crisis, a cyberattack, or regulatory restrictions affecting just a handful of companies ripple through economies worldwide.

Regrettably, many governments have discovered this only after the fact. By building sophisticated digital public services and outsourcing the infrastructure on which those services rely, they have effectively digitized the public sector while offshoring its nervous system.

And then there's the state itself. Digital identity systems and payment platforms do more than merely automate government. By concentrating information, decision-making, and operational authority, they redistribute power within it. Without robust legal protections and independent oversight, the same infrastructure that delivers welfare payments can become an instrument of exclusion, surveillance, and political control.

Trust, however, cannot be added to DPI after it is deployed. It must be built into the architecture from the outset. Governments that neglect these foundations do not simply ignore risk—they manufacture it.

None of this diminishes the case for DPI. But realizing its promise requires a broader conception of what a successful digital transformation entails. On the technical front, governments must build systems capable of withstanding the failure of any single component through federation, interoperability, redundancy, and offline resilience.

On the institutional level, the bodies governing DPI must be genuinely independent, transparent, and accountable. Advisory committees with no power to intervene are no substitute for meaningful scrutiny by legislatures, civil society, and external auditors.

The geopolitical developments of the past few years have transformed infrastructure into a domain of strategic competition, and digital systems are no exception. Built to deliver public services, they now underpin state power and geopolitical influence.

In building DPI, governments must recognize the dependencies they create and the vulnerabilities that accompany them. The digital foundations of the state are no longer simply an administrative concern. They are a matter of national security and must be treated that way.

32. What Is the Digital-Money Debate Really About?

Author: Lucrezia Reichlin **Published:** Jul 10, 2026 **Link:** View Original

LONDON—The debate over stablecoins and central bank digital currencies (CBDCs) may seem to be about technology, but it is actually about the architecture of money. It is thus not a new debate, but rather the reopening of an issue that most economists thought had been settled long ago. How this renewed debate plays out will have far-reaching implications—not least for determining whose money Europeans end up using.

Central to the debate is the question of whether the primary issuer of digital money should be the state (CBDCs) or private firms (stablecoins). The United States under President Donald Trump has, perhaps not surprisingly, embraced the latter: its 2025 Guiding and Establishing National Innovation for US Stablecoins (GENIUS) Act welcomes dollar stablecoins, lets non-banks issue them, and rules out a retail digital dollar.

By contrast, the European Union's Markets in Crypto-Assets Regulation (MiCA) marginalizes private euro stablecoins, obliging issuers to park their reserves largely in bank deposits and limiting the use of foreign-currency coins for payments. This would make the privately issued euro stablecoins on offer less attractive than the bank deposits Europeans already hold.

And yet, the same will be true of the public retail digital euro that the eurozone is planning, owing to strict limits on how much one may hold and a prohibition on interest payments. Although the GENIUS Act also bars issuers from paying interest, the exchanges that distribute the coins partly circumvent this rule by handing out "rewards," such as cashback options and loyalty points.

But why shouldn't digital money pay interest? After all, you earn interest on your deposits. As Milton Friedman observed, preventing money from bearing interest amounts to imposing a tax on holding it. In a forthcoming paper, Bruegel's Ulrich Bindseil, a former director general of market operations at the European Central Bank, shows that, across every modern form of money, the rules suppressing remuneration exist mainly to protect banks' "deposit franchise" (the cheap funding lenders enjoy), which is not necessary for stability. When such rules bind, they usually backfire. America's ban on interest created the Eurodollar market in the 1950s and money-market funds in the 1970s.

If interest is allowed to accumulate on digital money, the question becomes: Who pays it? To answer that question, we must consider the system's design.

In the two-tier system we have, banks are credit institutions: they create money by lending, they pay interest on the resulting deposits, and they alone hold reserves at the central bank. Money and credit are fused in a single institution, which enjoys exclusive privileges: deposit insurance and the backing of the central bank. Together, these privileges guarantee the "singleness of money": in any circumstance, a euro of bank deposits is worth a euro.

Stablecoins disrupt this arrangement, because they pull the two functions apart. A stablecoin issuer creates a means of payment but extends no credit. This is money unbundled from lending, issued by an institution that is neither a commercial bank nor a central bank. What stablecoin issuers lack in lending power they make up for in efficiency:

because a stablecoin is a bearer token that settles on a programmable network, it can move instantly, around the clock, and across borders at a fraction of the cost of the banks' correspondent chains. Coin issuers do not lend, but they may pay better than the banks do—and that is what worries regulators.

The issue comes down to credit. To the extent that stablecoins channel deposits away from commercial banks (disintermediating them), they reduce the funding on which bank lending depends, and thus potentially reduce the supply of credit itself. A retail digital euro raises the same concern: money that migrates from a bank deposit into central-bank money is money that is no longer financing loans. This explains the restrictions on both the digital euro and euro stablecoins: neither may pay interest, and stablecoin issuers are also kept away from the central bank's reserves. Regulators are attempting to contain the erosion of credit.

But the principle that ought to govern here is neutrality: the same rules and risks should apply, whatever the issuer's legal form. By that standard, withholding reserve access gets matters backwards, because reserve access is precisely what would make a stablecoin safe.

A stablecoin is only as sound as what backs it. Today's dollar coins are backed by Treasury bills and other short-term paper, which are safe enough in calm times, but liable to lose value in a crisis—exactly when holders rush to redeem. Only central-bank money holds its value with certainty in a crisis. So, if the EU wants a safe euro stablecoin, it should let the issuer hold its backing at least partly as reserves at the ECB. It should also give that issuer access to the ECB's lender-of-last-resort facilities—the backstop that safeguards the rest of the backing when markets seize.

A money issuer with an account at the ECB holds the public's money partly as central-bank reserves, on which the ECB pays interest. That interest is the issuer's income, part of which should be passed through to the people who hold its coins. The rate of interest it passes on may be capped below the policy rate—high enough that the coin is viable, but low enough that holding it never becomes more lucrative than a bank deposit (so that it serves payments without draining the banks). Such an issuer—one that creates money without extending credit—would be a "narrow bank."

Narrow banks have been unpopular. Nothing technically stops an ordinary bank from offering a fully backed account paying the central bank's rate. But banks do not do it, because this would cannibalize low-cost deposits and tie up capital. Moreover, central banks discourage it, as a reserve-backed account would be a magnet for deposits and a haven in a panic. When a firm called The Narrow Bank tried to offer such a service in the US, the Fed refused it a master account. That refusal is the (dis)proof of concept.

But concerns that such banks would depress the quantity of credit are overblown. After all, the funds that leave the banks do not disappear; they simply move onto the central bank's balance sheet. The central bank can thus immediately lend them back to commercial banks or other credit institutions. The new reserves the central bank issues are matched by new loans to the banks, and the banks' lost deposits are replaced by central-bank funding. The plumbing is different, but the results are the same.

Princeton's Markus Brunnermeier and Dirk Niepelt of the University of Bern made this point in 2019, noting that swapping private money for public money can leave credit and the wider economy undisturbed, so long as the central bank passes the absorbed funds back to intermediaries on equivalent terms. In principle, they argue, public and private money are interchangeable.

In practice, though, the swap is not perfectly clean. Banks are still losing a particular kind of funding—the cheap, granular, and dependable balances households leave in their current accounts—to be replaced by a potentially pricier alternative, which must be collateralized. While the quantity of credit is preserved, its cost, and the character of the funding behind it, is not. Nor is the power to decide where credit goes: the central bank can impose conditions relating to borrowers, collateral, and pricing.

That is not necessarily a bad thing. Cheap credit today is effectively paid for by savers, who earn nothing on the money in their current accounts. Ending the bank's deposit franchise simply means aligning the price of credit with its actual cost, while removing the burden on savers. Moreover, central banks already influence credit allocation through the collateral they accept, the assets they purchase, and the financing they issue to reward banks for lending. The proposed system merely enhances this influence, and the interest cap limits how much money migrates.

Ultimately, we face a choice among three institutional arrangements. The first is the one we have: money and credit creation combined in the commercial bank. The second makes money entirely public, with everyone holding central-bank money directly. But this would blow up the central bank's balance sheet and force it to decide how credit is funded, raising the specter of state-directed finance.

The third architecture permits the coexistence of different types of institutions: traditional banks (which still create both money and credit), other safe, reserve-backed institutions (which create money but do not lend), and separate, market-based institutions that also fund credit. A reserve-backed euro stablecoin would be a step in this direction—a competitor operating alongside the banks, not a means of destroying them. This is the core of what I have proposed with Bo Sangers and Jeromin Zettelmeyer: narrow banks issuing a reserve-backed euro stablecoin with access to the ECB's balance sheet and lender-of-last-resort backing.

This brings us to the final question: Who bears the risk when banks are no longer the only issuers of money? In the US, the answer is clear. The Fed backs the dollar; the Treasury backs the Fed; and the taxpayer backs the Treasury. In Europe, which has no single Treasury to fulfill this role, the risk is routed through the ECB.

To be sure, the ECB's balance sheet does not, on its own, ensure safety; the assumed backing of Europe's governments, and their taxpayers, is essential. In the absence of a common Treasury, it is Europe's banks that absorb a large share of their governments' debts, standing between sovereigns and savers. That quasi-fiscal role is a major reason why they occupy so privileged a position, and why the system guards them so jealously. The sovereign is already lodged within the banking system.

But the backing of governments and taxpayers is as necessary in the current system as it would be if a narrow bank issued a reserve-backed euro stablecoin. All that would change is the mix of institutions involved.

33. The Israel-Lebanon Recipe for Never-Ending War

Author: Shlomo Ben-Ami **Published:** Jul 10, 2026 **Link:** View Original

TEL AVIV—Late last month, Lebanon and Israel signed a framework agreement with the United States that Lebanon's chief negotiator, Nada Hamadeh Moawad, described as a "first step on the road to restoring Lebanese sovereignty and territorial integrity." But, as the agreement implicitly acknowledges, Israel is not the only threat to Lebanon's sovereignty. The departure of the Israel Defense Forces from southern Lebanon hinges on the "verified disarmament" of Iran's proxy, Hezbollah.

The terms of the framework agreement, negotiated with US Secretary of State Marco Rubio, contradict those of the latest memorandum of understanding US Vice President JD Vance concluded with Iran. That agreement, with Pakistan and Qatar acting as mediators, focused on the reopening of the Strait of Hormuz, and Iran has made clear that this is conditional on the unqualified end to Israel's war against Hezbollah and withdrawal from Lebanon.

The US thus negotiated parallel agreements based on two contradictory visions of Lebanon's place in the Middle East peace puzzle. Whereas the peace process Vance led, and which has now apparently collapsed, was shaped largely by Iran's demands for Lebanon, the Rubio-mediated track treated the Israel-Lebanon conflict as though it were none of Iran's business.

Vance is a political opportunist. He knew that President Donald Trump was desperate for a way out of the Iran war, and he wanted to deliver. As a result, he approached negotiations with Iran in almost the same spirit of surrender that then-US National Security Adviser Henry Kissinger brought to negotiations on America's withdrawal from Vietnam in 1973. As long as the result was not too conspicuously humiliating—"peace with honor," as Nixon put it back then—Vance was going to agree to it.

Vance may well have succeeded in pleasing Trump. "The Markets are loving what is happening," Trump bragged on social media. But some Republicans were less impressed, noting that the deal included too many concessions to Iran, including with regard to Lebanon. "I believe it would be an error to force Israel to stand down against Hezbollah," said Senator Roger Wicker, chair of the Senate Armed Services Committee.

For now, it seems that Rubio's diplomacy has prevailed over Vance's facile deal-making. Not long after Trump announced his expectation of a "complete ceasefire on all fronts, including Lebanon, Hezbollah, and Israel," Israel carried out a massive strike on Hezbollah's weapons stockpile in Lebanon—and neither US nor Lebanese officials protested.

But this does not mean that a new and promising chapter has opened in Israeli-Lebanese relations. In 1983, nearly a year after Israel invaded southern Lebanon, US President Ronald Reagan's administration managed to persuade Israel and Lebanon to agree to an ambitious peace treaty. But the deal collapsed almost immediately, because it ignored Lebanon's labyrinthine sociopolitical realities and the Israeli government's inability to compromise on the security of its northern border. The First Lebanon War continued for two more years before Israel retreated to a "security zone" in southern Lebanon, which it maintained until May 2000, when Israeli Prime Minister Ehud Barak led a unilateral withdrawal.

Today, Lebanon's political circumstances, together with Iran's strengthened regional position, make Hezbollah's complete disarmament highly unlikely. By conditioning Israel's withdrawal on this outcome—and including no provisions about cutting Hezbollah's Iranian lifeline—the Rubio-brokered agreement sets the stage for a permanent stalemate, continuous war, or even escalation.

Since the October 7, 2023, attack by Hamas, Israel's paranoia has been supercharged, and its expansionist ambitions unleashed. Now, security threats are interpreted broadly, as evidenced by Israel's relentless onslaught in Gaza and continued march into Syrian territory along the Golan Heights. Measured responses and calculated risks are no longer part of Israeli military doctrine.

Now, Lebanon has effectively granted Israel permission to continue fighting Hezbollah on its sovereign territory indefinitely. Where is the Israeli prime minister who would willingly withdraw from Lebanon when Hezbollah remains intact and supported by Iran, and Israel has political cover to stay there?

Hezbollah certainly has no plans to back down. Its leader, Naim Qassem, has vowed to continue fighting. "We did not leave the battlefield in the most difficult circumstances," he noted, "and we will not leave it." The speaker of Lebanon's parliament Nabih Berri—a representative of the Amal party, which has close ties to Hezbollah—described the deal as an "incitement to civil war."

Israel's military action is undoubtedly disproportionate, but it is a response to a real security threat, which the Lebanese Armed Forces do not have the proven ability to mitigate. The United Nations Security Council Resolution that ended the Second Lebanon War in 2006 called for the disarmament of "all armed groups"—meaning Hezbollah—but neither the Lebanese military nor UN forces, including the UN Interim Force in Lebanon, managed to enforce this international law.

Rubio is right that the disarmament of Hezbollah is the most desirable outcome. But, under current circumstances, it is also unrealistic. The US would have been better off leading an international effort to curtail Iran's hostile takeover of Lebanon. Cutting Hezbollah's Iranian lifeline is the only way to erode its military capacity, strengthen Lebanon's sovereignty, and establish an indisputable case for Israel to withdraw from the country.

34. China’s Erasure of Tibet Is Accelerating

Author: Brahma Chellaney **Published:** Jul 10, 2026 **Link:** View Original

NEW YORK—The self-immolation of exiled Tibetan activist Lobga Rangzen outside United Nations headquarters in New York on July 2 was not an expression of personal despair. It was a desperate attempt to jolt the world out of its growing indifference to one of the most important international issues of our time: Tibet’s systematic erasure.

China occupied then-autonomous Tibet shortly after the founding of the People’s Republic. The occupation is often viewed primarily through the prism of human rights, and for good reason. But it should also be understood as an effort to lay claim to one of Asia’s most valuable geopolitical assets: the vast, resource-rich Tibetan Plateau dominates the Himalayas, contains the headwaters of Asia’s great rivers, and overlooks South, Central, and Southeast Asia.

In recent decades, China has invested heavily in the Plateau—building extensive military infrastructure, constructing mega-dams on Asia’s great rivers, and expanding extraction of strategic minerals—while relying on surveillance, coercion, and security forces to suppress resistance. But physical control of Tibet is not enough for Chinese President Xi Jinping. He wants complete and lasting control over the entire Tibetan Plateau.

The best way to achieve that, Xi has concluded, is by erasing the identity of the people who inhabit it. The Tibetan people are a distinct ethnicity, with their own language, traditions, cuisine, and dress. Stripping Tibetans of their identity—ensuring that they no longer think of themselves as Tibetan—has one goal: to extinguish resistance to permanent Chinese rule over the “Roof of the World.”

To this end, China has steadily expanded its system of state-run boarding schools, channeling Tibetan children there at younger and younger ages. China portrays these “residential schools” as engines of development. In fact, the curriculum is designed to erase children’s Tibetan identity and replace it with allegiance to the Chinese state.

United Nations experts report that more than one million Tibetan children aged 6-18—about 78% of the total—attend these schools. They are separated from their families and cultures for most of each year, taught in Mandarin, exposed only to Han culture and experiences, and conditioned to view their own culture, religion, and language as inferior. In other words, China is raising a generation of Tibetans to assimilate to Chinese culture—and lose their own.

China has also taken other steps to erase Tibet. Since late 2023, China has systematically replaced “Tibet” with “Xizang” as the official English-language designation in its government documents, diplomatic communications, and state media. The name derives from the Manchu Qing dynasty’s imperial terminology for Tibet. Its adoption is intended to buttress China’s claim that Tibet is not a distinct historical entity, but merely an appendage of China.

The international community is making this erasure all too easy. Some museums, universities, and research institutions outside China have accepted this imperial renaming. The Musée du Quai Branly in Paris has labeled Tibetan artifacts as coming from “Xizang.” The British Museum has referred to “Tibet or the Xizang Autonomous Region” in an exhibit on the Silk Road.

Now, China is taking this effort to the next level. On July 1, a sweeping new “Promoting Ethnic Unity and Progress” law took effect, codifying Xi’s drive to force the assimilation of Tibetans and other ethnic minorities to a single state-defined Chinese identity centered on loyalty to the Communist Party. By criminalizing broadly defined threats to “ethnic unity,” the legislation amounts to yet another weapon with which China can intimidate Tibetan activists, scholars, and diaspora communities. Families in Tibet already face retaliation for the activities of relatives overseas.

The timing of the new law is not a coincidence. The Tibet question has gradually faded from the global agenda in recent years. This partly reflects the international community’s preoccupation with the wars in Ukraine and the Middle East, tensions over Taiwan, and acute global economic uncertainty. But many governments are also reluctant to jeopardize their relations with China. So, while they rightly condemn cultural destruction elsewhere, they largely ignore the destruction of Tibetan identity.

But this calculation overlooks an inescapable reality: China’s assault on Tibetan identity is inseparable from its great-power ambitions. A permanently assimilated Tibet would consolidate China’s military advantage over the Himalayan piedmont, strengthen its control over Asia’s water resources, secure immense deposits of strategic minerals, and remove what China perceives as the last potential source of political resistance in the region. Such a China would be better equipped—and significantly emboldened—to assert more authority beyond its borders.

The international response need not be extreme. Democratic governments should sanction officials responsible for the forced-assimilation campaign, reject official pressure to refer to the region as Xizang, and expand support for Tibetan educational and cultural institutions in exile. These modest but meaningful steps would help to preserve one of Asia’s oldest civilizations while making clear that cultural erasure cannot become an accepted instrument of statecraft.

35. Why This Energy Shock Is Different

Author: Gene Frieda **Published:** Jul 10, 2026 **Link:** View Original

CANNES—The Gulf ceasefire lasted barely three weeks. After Iranian attacks on three commercial ships in the Strait of Hormuz, the United States struck more than 80 targets, revoked Iran's oil-sanctions waiver, and declared the memorandum of understanding "over." Yet the market response was telling: Brent crude rose to around $79 per barrel—a meaningful jump, but far below April's $120 peak, when the strait was closed outright. That gap between renewed war and restrained prices confronts policymakers with a key question: Is this the road back to blockade, or a violent renegotiation of the terms of passage?

Five months into the war, the severity of the underlying shock is not in doubt. This is not 2022, when Russia's invasion of Ukraine rerouted supply, and the world absorbed a costly but manageable adjustment. Today's shock is destroying supply rather than rerouting it, with lost oil output already exceeding that of the 1973–74 OPEC embargo. Once liquefied natural gas, fertilizer inputs, and freight are included, the global energy bill is at least twice the crude price quoted on trading screens.

There are two starkly different readings of Iran's intentions. According to the first, Iran is seeking full control of the strait. That path leads to a larger conflict, another blockade, and a return to the price dynamics of March, when oil prices spiked. Alternatively, Iran is behaving less like a blockader than a toll collector, maximizing the revenue it can extract from traffic through the strait. Sporadic attacks on shipping then keep the risk premium alive without choking off the flow; oil prices remain elevated and choppy rather than soaring.

The evidence so far points, tentatively, to the second reading. American strikes have deliberately avoided Iran's energy infrastructure; Iran's attacks on shipping have been demonstrative rather than systematic; its parliament has debated tolls on "hostile" shipping; and the MOU itself envisaged Iran's help managing strait traffic. None of this precludes escalation—miscalculation is the Gulf's default risk—but for now both sides appear to be contesting the price of passage rather than passage itself.

For central banks, the two paths lead to very different destinations. If Iran is collecting tolls, elevated but broadly capped energy prices act like a chronic tax: painful, but not a reason to restart aggressive monetary-policy tightening. Interest-rate expectations would settle roughly where they stood two weeks ago, with attention shifting to second-round effects—whether higher fuel, freight, and food costs fuel wage pressure. If Iran is reaching for the strait itself, central banks will be compelled to act forcefully to prevent a temporary shock from becoming embedded inflation.

That is why markets react so sharply to every headline. Investors are not refining a single forecast; they are toggling between two regimes, and each jump in oil poses the same question: Is this a move from toll collection to blockade?

As a result, interest rates are unusually sensitive to oil. Positioning, at least, is healthier than in the spring: in March, many investors had effectively sold insurance against large swings in interest rates, and when oil spiked they were forced to buy it back at any price, amplifying every move. That exposure has largely been cleared out, so the same headline still moves markets, but without the forced unwinding of March.

Neither scenario, however, resolves the underlying policy bind. With inflation above central-bank targets, and public finances under strain worldwide, none of the standard responses works. Aggressive monetary tightening—unavoidable in the blockade scenario—impedes growth and undermines debt sustainability. Expansive fiscal support fuels inflation and drives up borrowing costs, now that foreign central banks no longer buy government debt at any price. And doing nothing invites a procyclical adjustment, with financing costs rising even as the economy slows.

To navigate this treacherous economic terrain, fiscal and monetary policy must reinforce rather than offset one another. That means targeting support at the most exposed households and sectors, rather than conducting broad cash transfers, and issuing debt that resists the lure of cheaper short-term paper, which merely concentrates refinancing risk when the next shock hits.

It is in the blockade scenario that this logic reaches its unorthodox conclusion. With central banks tightening even as the shock deepens, rising government borrowing costs would crowd out the targeted fiscal support most needed—unless central banks cap increases in short- and medium-term interest rates. With such intervention remaining firmly under central-bank control, and with a clear exit strategy, this would not compromise central banks' independence, and the alternative—leaving them to bear the burden of adjustment alone—is worse. Recognizing the trade-off now, while the toll collector still holds sway, is preferable to confronting it in the middle of a blockade.

That option is not available to every country: success depends on fiscal starting points, institutional credibility, and investors' confidence that intervention will be temporary. The US has the most room to maneuver, thanks to deep global demand for Treasuries, even as the dollar's privilege gradually erodes. The Federal Reserve has held interest rates steady, and markets that began the year expecting cuts now flirt with hikes—the direction hinging on which Gulf scenario prevails.

The eurozone faces a more complicated trade-off. Its fragmented sovereign-debt markets mean that any conditional intervention immediately raises the question of which government is being supported, and why. The European Central Bank's recent 25-basis-point rate increase underscored the dilemma: the ECB has little choice but to tighten, yet helping the governments most in need of fiscal support would revive the fragmentation fears its 2022 Transmission Protection Instrument was designed to contain.

Japan is in a stronger position: its large foreign-exchange reserves let policymakers resist yen depreciation before energy costs feed into domestic inflation. In either scenario for the strait, the United Kingdom has the narrowest path: a limited fiscal cushion, a persistent external deficit, and inflation running above the Bank of England's projections point to a wider gap between UK and German government bond yields and a weaker pound.

Even the more benign scenario offers little comfort as winter approaches. European gas storage is at its lowest level for this time of year since 2011, while Qatar would require two months to restore LNG exports even after a durable reopening of the strait. Regardless of how the latest escalation is resolved, Europe's energy bill will not fall materially before winter.

That is why sequencing matters. The economies most likely to need this toolkit lack the institutional credibility to use it, whereas those with the greatest credibility are least likely to require it. And the path will not announce itself in advance: by the time markets know which one they are on, the room for a measured response will have narrowed—and ordinary borrowers and savers in the most exposed economies will bear the cost of the delay.

36. Judging the Enhanced Games

Author: Peter Singer **Published:** Jul 10, 2026 **Link:** View Original

MELBOURNE—The inaugural Enhanced Games, held in Las Vegas in May, allowed participating athletes to use performance-enhancing drugs. The Games' founder, Aron D'Souza, claimed before the start: "We're going to obliterate the world records … it will be a watershed moment in the history of humanity—a new generation of superheroes."

The Games failed to live up to D'Souza's hype. Only one participant broke an official world record: the Greek swimmer Kristian Gkolomeev, whose time for the 50-meter freestyle beat the mark by less than one-tenth of a second. Even then, it may not have been performance-enhancing drugs that made the difference, because Gkolomeev wore a high-tech swimsuit banned under World Aquatics rules. Three athletes who said they were not taking any performance-enhancing drugs won their events anyway.

One justification for the Enhanced Games was that we would learn how to surpass the biological limits of human performance. Ironically, the main lesson appears to be that the performance-enhancing drugs currently available make less difference than many people believe for the sports featured at the Enhanced Games—athletics, swimming, and weightlifting. The Games produced no superheroes, nor any watershed moment for our species.

The Enhanced Games do, however, raise serious questions about current rules for international sporting events. Why, exactly, are performance-enhancing drugs banned?

Statements from international sports bodies condemning the Enhanced Games tended to focus on the dangers they pose. For example, a joint meeting of the International Olympic Committee (IOC) Athletes' Commission and the World Anti-Doping Agency issued a statement saying that the use of performance-enhancing drugs can lead to "serious long-term health consequences—even death—and encouraging athletes to use them is utterly irresponsible and immoral."

Yet the Enhanced Games restricted the drugs that competitors could use to those that are approved by the US Food and Drug Administration and used under medical supervision. Prescriptions for one of these substances, testosterone, now exceed 11 million per year in the United States alone, and the extent to which medically supervised doses of testosterone are a health risk is unclear.

Perhaps the most intriguing issue raised by the Enhanced Games is that of personal autonomy. D'Souza regarded himself as liberating athletes from the paternalism of governments and sports federations: "My body my choice, your body your choice," he said, with the only qualification being that participants must be adults who give free and informed consent.

In contrast, the philosopher Byron Hyde has argued that the large cash prizes offered at the Enhanced Games risk coercing impoverished athletes, thus undermining rather than increasing their autonomy. Hyde quotes one athlete, Ben Proud, as saying that the first memory he has of learning about the Enhanced Games was that anyone breaking a world record would receive $1 million, which "just felt like too good an opportunity to turn down." Hyde claims that this is empirical evidence for his concern "that the Enhanced Games' financial incentives might have coercive effects on athlete autonomy."

If taken seriously, however, the leap from Proud's statement to the implication of "coercive effects on athlete autonomy" would have bizarre consequences. Consider the career of the Nigerian soccer star Victor Osimhen, one of seven children born to an impoverished family in an area of Lagos known for its malodorous dumpsites. (It was from those dumps that Osimhen got his first football boots.)

Osimhen was good enough to play in the Under-17 World Cup, where talent scouts noticed him. Soon he was receiving offers from European clubs that he could barely have imagined as a young boy. Those offers were, no doubt, "too good to turn down." Accepting them enabled him to provide for his entire family. Who would suggest that the European clubs should not have made those offers to Osimhen, because they would be coercive, and his acceptance could not have been an autonomous choice?

Paternalism can be justified. Laws requiring those traveling in a car to wear seatbelts prevent many tragedies, because we are so poor at taking precautions against very small risks of severe harm. But to say that fully informed adult competitors at the Enhanced Games were coerced by the substantial prize money on offer takes paternalism too far.

Finally, there is fairness. A spokesperson for the IOC said: "If you want to destroy any concept of fair play and fair competition in sport, this would be a good way to do it." True, if costly drugs really do enhance performance, that would make the competition unfair to those who cannot afford them. But the same can be said of the Adidas running shoes that Sabastian Sawe used earlier this year to run a marathon in under two hours. They cost $500, and don't expect them to be durable. Adidas's Stephen Scholten acknowledged that the shoes can be used only for "a couple of marathons."

If fairness in sports required a level playing field that all who wish to compete could afford, that would be a reason for banning expensive performance-enhancing drugs. But it would be a reason for banning expensive high-tech swimming suits and expensive high-tech running shoes, too.

37. A Japanese Wake-Up Call for America

Author: Desmond Lachman **Published:** Jul 13, 2026 **Link:** View Original

WASHINGTON, DC—Japan appears to be on the cusp of a full-blown currency and bond-market crisis. Although the Japanese authorities spent more than $70 billion in May to prop up the yen, the currency has slumped to a 40-year low and is estimated to be at least 15% undervalued against the US dollar. Meanwhile, Japanese long-term bond yields have surged to multi-decade highs following the end of the Bank of Japan's yield-curve-control policy. And with no signs of Japan addressing the underlying causes of its currency's downward spiral anytime soon, there is every reason to fear that the crisis will deepen.

Japan's current challenges should be a wake-up call for other countries that appear to be on unsustainable public-debt paths, not least the United States, as well as France, Italy, and the United Kingdom. After all, an economic and financial crisis in one country often draws the market's attention to other countries facing similar problems. That was certainly the case with the Asian currency crisis in 1997, when a Thai currency devaluation triggered similar devaluations in Indonesia, Malaysia, the Philippines, and South Korea. It was also the case with the eurozone crisis in 2010, when a Greek sovereign-debt crisis triggered similar crises in Ireland, Italy, Portugal, and Spain.

There appear to be two main drivers of Japan's currency and bond market woes: its unsustainable public finances and its relatively low interest rates (compared to the US). At 230%, Japan has by far the highest public debt-to-GDP ratio among G7 countries, and it still runs a primary budget deficit, which adds to the existing debt. Then there is Japan's declining and aging population, as well as a government that has shifted from targeting a single-year primary budget surplus to a vaguer medium-term debt stabilization policy. Is it any wonder that markets are growing uneasy about the country's public-debt trajectory?

It does not help that Sanae Takaichi, Japan's new prime minister, seems uninterested in putting the country on a sounder budget footing anytime soon. Among her first economic-policy moves was to adopt a supplemental budget that increased energy subsidies in response to the shock to international oil prices from the closure of the Strait of Hormuz.

Japan's large debt burden makes it difficult for the BOJ to raise interest rates even at a time when inflation appears to be accelerating. Tightening monetary policy would only exacerbate the country's public-finance problems by increasing interest payments. While the US Federal Reserve's short-term interest rate is at 3.5%, the BOJ's policy interest rate is at just 1%.

That spread continues to give investors an incentive to borrow cheaply in Japanese yen and lend in higher-yielding dollar-based assets (the "carry trade"). This will remain the case as long as the yen continues to depreciate.

But Herb Stein's famous aphorism bears repeating: If something cannot go on forever, it will stop. In principle, Japan could get off its unsustainable debt path in an orderly manner if the government made a preemptive and timely economic-policy U-turn to avert a currency and bond-market crisis. Or it could do so in a disorderly manner if a full-blown currency and bond crisis forced the government's hand. That is what happened in the UK in 2022 in response to Prime Minister Liz Truss's ill-advised budget measures. Unfortunately, all available signs suggest that Japan is heading in this direction.

A deepening Japanese currency and bond-market crisis is bound to draw attention to other countries with troubling public finances, and especially to the US. At around 100%, the US debt-to-GDP ratio is considerably lower than that of Japan; but the country is on track to maintain a budget deficit of more than 6% of GDP as far as the eye can see. That means its debt ratio will soon reach its highest level since the end of World War II.

Worse, additional factors are making the US more vulnerable to a bond-market crisis. Consider, for example, that foreigners own around one-third of all Treasury bonds outstanding, and that the government is increasingly reliant on hedge funds rather than on more stable bondholders (like insurance companies and pension funds) to meet its borrowing needs.

The bottom line is that highly indebted countries like the US, France, Italy, and the UK all have good reason to address their shaky public finances. The prospect of spillovers from an early Japanese currency and bond-market crisis have made the task only more urgent.

38. The Mother of All Economic Shocks Is Chinese Mercantilism

Author: Arvind Subramanian **Published:** Jul 13, 2026 **Link:** View Original

WASHINGTON, DC—In the long sweep of history, China's economic performance over the past 50 years will obviously stand out for the sheer scale and pace of quality-of-life improvements within that country. But China's impact on the rest of the world has still been underappreciated.

True, if the retrospective gaze were confined to global shocks in the post-World War II period, a few defining ones would be the 1970s oil embargos, which led to a large and permanent productivity slowdown in advanced economies; and the 2008 financial crisis, which brought globalization to a screeching halt and called into question the American model of finance-addled capitalism. The US Federal Reserve's policies have also had clear global effects. For example, Paul Volcker's tightening in the early 1980s precipitated a developing-country debt crisis, and the quantitative easing that began under Ben Bernanke ultimately fueled capital flows to emerging markets, thus sustaining high growth in the 2000s.

But Chinese mercantilism has arguably been even more consequential than any of these episodes. If it has not been recognized as such, that is because it has not been a one-off event, but rather a more persistent force that is often conflated with China's growth performance more broadly. The latent bias that leads analysts to place the United States at the center of the global economy has caused many to overlook just how game-changing Chinese mercantilism has been—in terms of both global public goods and global public bads.

On the asset side of the ledger, three entries stand out. The first is Chinese mercantilism's contribution to the Great Moderation. After the high inflation of the 1970s, global inflation declined and remained low until the COVID-19 pandemic. While sound monetary policymaking and central-bank independence were important factors, it was China's aggressive mercantilism that consistently supplied the world with low-priced manufactured goods. Low inflation resulted from a combination of substantially rising prices of non-tradable services such as health and education (where productivity growth is more elusive), and falling or stagnant prices of traded goods, courtesy of China.

Without China's contribution, central bankers' job in advanced economies would have been far more difficult. While serving as governor of the Bank of England, Mark Carney often spoke about the beneficial impact of "globalization" on the Great Moderation. But "globalization" abstracts from the real source.

The second global public good deriving from Chinese mercantilism concerns climate-change mitigation. The renewables revolution is mostly a solar one, and it has been made possible by the supply of low-cost Chinese solar panels and, increasingly, batteries (which provide power when the sun isn't shining).

Before the solar revolution, climate policy was stuck in the calculus of trade-offs—sacrificing current consumption via carbon taxes for future gains in reduced emissions. Since the politics of selling that to a present-oriented public proved impossible, serious progress on climate change stalled in rich countries. But now, Chinese mercantilism has rendered emissions reductions compatible with growth and dynamism, making the renewables revolution available to all countries. Future generations may well thank China for staving off, or at least delaying, dire planetary outcomes.

A third benefit followed. In large parts of the developing world where centralized domestic power systems are dysfunctional, cheap Chinese solar panels have broadened access to energy. Though not a permanent solution, Chinese-made solar panels and batteries are a substantial improvement on the status quo for the world's poor. In Pakistan, for example, solar accounts for up to one-fifth of grid-supplied electricity.

But now we come to the liability side of the balance sheet. As David Autor, David Dorn, and Gordon Hanson showed a decade ago, the first China Shock accelerated de-industrialization (without being the sole cause) in politically consequential parts of the US. And now, a second China shock is devastating the German auto sector, upon which the country's broader industrial ecosystem of small and midsize firms—the Mittelstand—depends.

Moreover, a third China shock—or what might be described more accurately as a squeeze—has arguably had even greater consequences in thwarting industrialization and development possibilities for a wide range of low- and middle-income countries, as my recent work with Shoumitro Chatterjee shows. Unlike the first two shocks, this one has been less visible. The impact shows up not in job cuts or factory closures, but rather in terms of factories never built, export markets never entered, capabilities never accumulated, and development paths never opened. That is the real toll of the China squeeze.

By quantifying the determinants of hard power, my 2011 book, Eclipse: Living in the Shadow of China's Economic Dominance, predicted that China's rise would occur sooner than the world expected. But even that analysis did not account for the extent to which China's relentless mercantilism would influence the world, for better and worse. Single-handedly consigning the global hegemon (America) to self-doubt and reduced potency, while also devastating Europe's largest power (Germany) economically, is an "accomplishment" with few parallels in history.

Chinese mercantilism has done more than US economic developments or Fed policies to change the world in this millennium. Though the unfolding Donald Trump shock may yet prove more consequential in the decades ahead, it will have none of the redeeming benefits of China's economic model—only liabilities as far as the eye can see.

39. What AI Governance Demands

Author: Ana Palacio **Published:** Jul 13, 2026 **Link:** View Original

MADRID—One way to represent the AI age is with a steep curve and a gradual slope. The curve rises almost vertically: models rapidly grow cheaper, more powerful, more accessible, and more deeply embedded in production, science, education, finance, administration, security, and war. Beneath it, the slope moves on a far shallower incline. This is the capacity of society to absorb change.

The slope encompasses updates to regulatory regimes, legal structures, and the competencies of public administrations. It also includes changes to school curricula, business models, workflows, and jobs. And it covers citizens' ability to function in this new landscape—including their capacity to distinguish truth from simulation, persuasion from manipulation, and assistance from dependency. It is the social metabolism through which a technological shock is integrated into a functioning order.

To be sure, previous technological and industrial revolutions could also be represented by such a curve and slope. Technologies advanced and spread faster than regulations, business models, education systems, labor markets, and lifestyles could adapt. Transitions were often painful and never automatic. But the gap between curve and slope was smaller: in speed and scale, the AI-driven transformation appears to be in a league of its own.

Discussion about how to manage this transition usually boils down to the question of how much regulation strikes the "right balance" between innovation and safety. We do not want to put a bureaucratic lid on progress any more than we want to leave societies to absorb, alone and at speed, the consequences of a technology that is transforming our most basic understanding of work, knowledge, power, accountability, and judgment.

But this question is too narrow. Regulation has a crucial role to play, but it alone does not amount to governance. For that, we must determine the conditions needed to enable societies to live with AI without being overrun by it.

The first step is to stop thinking of AI as intangible—some ethereal technology that exists in the "cloud" and delivers whatever the prompt demands. AI depends on tremendous quantities of capital, cutting-edge chips, cybersecurity systems, supply chains, and talent. It also relies on massive data centers, which emit noise, light, and heat, and require land and permits, as well as huge amounts of electricity and water.

The communities hosting the physical foundations of this supposedly weightless technology are now being forced to confront major disruptions and bear high costs, as their lands are bought, their grids are strained, and their water supplies are drained and polluted. Difficult decisions about zoning, electricity prices, and environmental protection must be made.

But AI governance is not just a community-level challenge. The technology is increasingly central to the infrastructure of national power: military targeting, cyber operations, intelligence analysis, scientific discovery, industrial automation, surveillance, financial modeling, and political influence. Whoever controls the most advanced models, chips, compute clusters, and talent holds not merely a commercial advantage, but a strategic one.

This is not lost on the United States and China, which are competing doggedly for AI leadership: each believes that falling behind would leave it militarily, economically, or politically vulnerable. Much like with nuclear weapons, the stakes feel existential. This is a recipe for secrecy, mistrust, pre-emption, and unchecked acceleration.

The risks are compounded by the fact that AI is more diffuse than nuclear technology, more commercially embedded, and more broadly applicable. Moreover, its output is hard to verify, and once capabilities are encoded in software, proliferation is easy.

AI governance must account for all of these factors, from the technology's material requirements to its effects on individuals, communities, businesses, labor markets, the environment, national security, and international strategic competition. To this end, a comprehensive architecture of verification-based trust—broader than national AI regulation and more flexible than a classic treaty—is essential.

The 2015 Paris climate agreement offers a useful model. It created a living framework encompassing voluntary commitments, mutual pressure, regular updates, reliable measurement, and broad participation. But an analogous AI agreement must also reflect a key lesson of non-proliferation regimes: where political trust is weak, it must be supplemented by testing, limits, and verification.

The resulting framework would combine the flexibility of climate diplomacy with the discipline of nuclear control. Evolving commitments would be matched by mechanisms for assessing the credibility and impact of those commitments. State action would be accompanied by responsibilities for corporations.

An "AI Paris Agreement" would provide common definitions for frontier models; thresholds for enhanced scrutiny; mandatory incident reporting; shared evaluation standards; protection of model weights; rules for deployment in sensitive sectors; and independent testing of systems that pose risks to cybersecurity, biological safety, critical infrastructure, or military decision-making. Each of these elements would be regularly reviewed and strengthened over time, by technical bodies that understand the evolving technology and political bodies capable of imposing consequences when commitments are ignored.

Of course, not every application requires the same treatment. A narrow tool used in low-risk settings requires limited oversight. By contrast, a frontier model capable of affecting cybersecurity, biological design, military operations, or the autonomy of critical systems must be subject to stricter requirements and, in extreme cases, intervention.

Some might argue that this would stifle innovation. But no one would board an aircraft or take a new drug if safety depended solely on the goodwill of manufacturers. In these fields, regulation does not eliminate risk; it makes risk socially bearable. The same is true for AI.

Such a framework cannot be presented as a European project, an American instrument, or an alliance aimed at countering China. Its legitimacy would depend on inclusion, with countries at the technological frontier, "middle powers," and developing economies all given a voice. Universities, companies, and civil-society organizations should also be involved.

The curve will keep getting steeper. We cannot flatten it by decree, nor obscure it with speeches. But we can decide whether it rises ungoverned or within an architecture that can keep up.

40. Letting Russia Burn

Author: Nina L. Khrushcheva **Published:** Jul 13, 2026 **Link:** View Original

MOSCOW—Karl Marx once wrote that theory becomes a material force the moment it grips the masses. Soviet leaders took that line and ran with it—straight into catastrophe—again and again. Vladimir Lenin turned it into a rationale for revolution, while Joseph Stalin used it as a license to starve and work millions of people to death in pursuit of rapid industrialization and a "bright future" that never arrived. Nikita Khrushchev, for his part, invoked it to legitimize de-Stalinization in 1956, as though history could simply be ordered onto a different path.

While the objectives changed, the governing logic remained the same. The Kremlin first decides what reality ought to be, then forces people to conform to its vision, no matter the cost. Vladimir Putin's war in Ukraine is the latest chapter in that story, and this summer, the costs are becoming impossible to ignore.

Over the past four years, Ukraine has become remarkably adept at making Russians feel the impact of a war they were never supposed to experience. When Putin launched his "special military operation" in February 2022, Russians were promised a short, victorious campaign that would leave their daily lives untouched. Instead, Ukrainian drones now reach deep into Russian territory, striking oil refineries, factories, and energy infrastructure with increasing regularity.

The cracks are beginning to show: a budget deficit of more than six trillion rubles ($83.5 billion), soaring inflation, and gas lines stretching along roadsides from Moscow to Vladivostok. Putin himself watched smoke rise over St. Petersburg during his beloved economic forum—the annual event where he eagerly showcases Russia's global relevance.

Ukraine's government has repeatedly proposed an energy truce: it will stop striking refineries if Russia stops bombing Ukrainian energy infrastructure. President Volodymyr Zelensky has framed the relentless strikes on what he calls the "island of Moscow" as a way of pressuring Putin toward peace. The logic seems straightforward: public disillusionment and rising costs create a clear incentive to de-escalate. By every conventional measure, this is how wars are supposed to end.

The problem is that Putin operates according to a different logic. He did not invade Ukraine to solve a problem but to prove that he could force Zelensky and the West to recognize Russia's power on his terms. For Ukraine, the war is about survival; for Putin, it is about commanding respect and never appearing weak.

This mindset has deep historical roots. When the Nazis captured Stalin's son Yakov in 1941, they twice offered to exchange him, first for Hitler's captured nephew and later for German Field Marshal Friedrich Paulus. Stalin refused both times, delivering the infamous line: "I won't trade a Marshal for a Lieutenant."

Stalin's "Not One Step Back" order became the blueprint for Soviet—and now Russian—inflexibility. Fuel shortages, high prices, and staggeringly high casualties are not crises in Putin's eyes. Rather, they are the price of victory.

Back in 2022, then-US President Joe Bidendescribed Putin as a "rational actor" who had "miscalculated significantly" by invading Ukraine. Four years later, even as the war reaches Russian soil, nothing fundamental has changed about how

Putin operates. If anything, the conflict has only confirmed the second half of Biden's assessment.

One development does stand out. Putin rarely feels the need to explain himself when his policies become unpopular. Nowadays, with his approval rating having fallen from 84% to 74% since January—a meaningful decline in a country where criticizing the president can get you arrested—he won't shut up. In just the past couple months, Putin has delivered a keynote at the St. Petersburg economic forum, sat for a lengthy interview with Kremlin propagandist Pavel Zarubin, and made a rare front-line appearance in military fatigues to celebrate the claimed capture of the Donbas town of Kostyantynivka.

Each appearance served the same purpose: to signal that the war is non-negotiable and remains the Kremlin's overriding priority, having become the organizing principle of Putin's regime. If more soldiers are needed, more soldiers will be sent. If more missiles are required, they will be launched. None of it depends on public opinion, casualty counts, or gas-station lines.

Putin launched his war in Ukraine to project strength. Ending it under pressure would mean doing so from a position of weakness. For a leader whose authority rests on force and fear, such an outcome would pose an existential threat.

The challenge, however, extends beyond Putin's political survival. Real peace would require an entirely different Russia: one that provides its returning soldiers with real answers, offers something approaching an explanation (if not an apology), pays reparations to Ukraine, and reopens itself to the world economically and diplomatically.

Instead, the Kremlin has spent the past four years moving in the opposite direction, passing hundreds of restrictive laws that regulate everything from business and education to what Russians are allowed to read, write, and watch. This is not a government that can pivot toward openness, even if it wanted to. Breaking with Putinism would require a political reckoning on the scale of Khrushchev's 1956 denunciation of Stalin's cult of personality. To end the war, in other words, the Putin regime would have to stop being the Putin regime.

Absent such a political reckoning, only one realistic opportunity for a negotiated settlement remains: December's G20 summit in Miami. Putin may still be banking on his rapport with US President Donald Trump to broker some kind of resolution. But if the United States snubs him the way it did when Putin offered to help mediate the Iran crisis, Russia may well turn to what might be called the "nuclear option"—an extreme form of escalation—to force peace on its own terms.

For Putin, victory is the entire purpose of the war in Ukraine. Anything less would expose the enormous human and economic sacrifices he has demanded of Russians as pointless, leaving him with a defeat he won't and can't accept.

41. Oil Shocks Are No Longer So Shocking

Author: Nouriel Roubini **Published:** Jul 14, 2026 **Link:** View Original

NEW YORK—The Persian Gulf is in an unstable disequilibrium. There has been no lasting deal to reopen the Strait of Hormuz, because the United States and Iran remain far apart in their demands, with the Iranians holding more leverage than President Donald Trump ahead of the US midterm elections this November. In the absence of a full deal, renewed skirmishing was highly likely, reflected in the growing risk of a return to full-blown warfare.

Still, equity markets did climb higher on the hope that a temporary ceasefire would lead to a full deal, and market reactions to the latest re-escalation of tensions have been subdued. The overall economic impact—in terms of growth and inflation—has been relatively modest. Despite this being the largest-ever disruption to global oil supplies, the oil shocks of the 1970s had a greater impact.

The Iranian strategy remains centered around the weaponization of oil, a practice that has a long history. Some historians argue that Germany lost World War I partly because an Allied sea blockade deprived it of oil. Similarly, Imperial Japan made the fateful decision to attack the American fleet at Pearl Harbor because US President Franklin Roosevelt's administration had imposed an oil embargo on it for invading China, and Stalin would later claim that the Nazis lost World War II because the Soviets had prevented the Axis powers from seizing oil fields in the Caucasus.

After the war, the 1956 Suez Crisis disrupted shipments of oil from the Middle East to Europe, with France, the United Kingdom, and Israel launching an operation to seize the Suez Canal after its nationalization by Egypt. (They were ultimately forced to withdraw under pressure from the US, whose focus was on preventing a conflict that could pull in the Soviets.) A decade thereafter, the immediate trigger for the Six-Day War between Israel and various Arab states was Egypt's attempt to block shipments of Iranian oil to Israel through the Straits of Tiran.

The geopolitical shocks of the 1970s brought on a lost decade of stagflation (several recessions and high inflation), weak global stock markets, and double-digit bond yields. So severe was the fallout that the 1970s remain a fixture in our collective memory. But like this year's war, later politically-driven oil shocks—following the 1990 Iraqi invasion of Kuwait, the oil price shock of 2000–01, the US invasion of Iraq in 2003, and last year's 12-day war against Iran—produced much milder economic and market effects.

There are several reasons for this. For starters, after the 1970s, OPEC producers realized that weaponizing oil can be counterproductive. An oil-price shock that is big enough to cause global stagflation will lead eventually to a collapse in oil demand and prices, as happened in 1981–82. Thus, some responsible players, such as Saudi Arabia and the Gulf States, have been willing (and able) to increase supplies when geopolitical shocks trigger spikes in oil prices.

Moroever, since the 1970s, energy-efficiency gains have tended to reduce the share of imported oil used in production and consumption. And OPEC's market power has declined as its members have put their own interests ahead of the need to move in lockstep (with the United Arab Emirates being the most recent defector), and as new sources of supply have come online—not least in the US following its shale-energy revolution.

After the 1970s shocks, major oil consumers—including the US, Europe, China, and Japan—also built up strategic petroleum reserves that could be released when prices spiked (a major source of resilience this year). And alternatives to oil—natural gas, renewables, and new, safer modular nuclear reactors (with fusion energy potentially coming in the next decade)—have gained traction and market share. Looking ahead, a growing share of the demand for energy (via electric vehicles and batteries) will be met with electricity that can be produced without oil.

At the same time, the standard macro-policy response (both fiscal and monetary) to oil shocks has improved, which has helped prevent a 1970s-style de-anchoring of inflation expectations. And partly as a consequence of these factors, oil shocks have become less persistent and shorter than those of the 1970s, which dragged on for around a decade. The 1990-91 oil shock lasted nine months, the 2000-01 shock was even shorter, and the one following last year’s 12-day war lasted only a few weeks.

Finally, and most importantly, unlike previous episodes in which macro and market trends were dominated by an oil shock that became a negative aggregate supply shock, the current situation features a secular positive aggregate supply shock in the form of the AI investment boom. Tech-industry tailwinds are promoting stronger growth and lower inflation in many countries and regions, which explains why US equities peaked at new highs even when oil was above $100 per barrel this spring. Though there has since been a correction following renewed hostilities, it has remained modest.

Of course, if the latest skirmishes lead to a full escalation of hostilities, the economic consequences and market implications could be more serious, with a protracted conflict raising the risk of a truly stagflationary outcome. This is not the baseline scenario; but recent developments do suggest that the tail risks are larger than what financial markets are currently pricing in.

42. Asia’s Real Energy Test

Author: Yasuto Watanabe **Published:** Jul 14, 2026 **Link:** View Original

SINGAPORE—The past four months have demonstrated just how volatile oil markets can be. In March, Brent crude climbed above $100 a barrel for the first time in four years, reaching $119 on March 9—its highest level since the 2022 energy crisis—as Iran’s closure of the Strait of Hormuz brought tanker traffic to a near-standstill. Prices remained elevated for months and were still above $105 in mid-May.

After the United States and Iran agreed to a ceasefire in June and began negotiations on a permanent settlement, the Strait gradually reopened, though the process has been repeatedly interrupted by renewed clashes. As a result, prices declined sharply, falling into the low $70s by late June, before ticking up again with the resumption of hostilities.

These dramatic swings have provided a real-world stress test for energy-importing economies, particularly the ASEAN+3 countries. With roughly 84% of crude shipments through the Strait of Hormuz destined for Asian markets, and China sourcing nearly 50% of its oil imports through that single chokepoint, the region bore the brunt of the global energy shock.

While the debate about energy resilience understandably focuses largely on how well economies can withstand high oil prices, the more important question is how well they cope with persistent volatility. This year’s price whiplash suggests that resilience hinges on institutional preparedness: improving energy efficiency, reducing oil dependence, maintaining adequate reserves, and preserving sufficient policy space to absorb price spikes.

Governments can prepare for persistently high energy prices, but they cannot anticipate every possible market outcome. What they can do is build institutions that remain effective across a wide range of scenarios. Resilience, in other words, should be measured less by how economies cope with a single shock than by their capacity to function through successive bouts of uncertainty.

Oil shocks also have a paradoxical effect. In the short run, supply disruptions often push countries back toward coal and other fossil fuels as energy security temporarily takes precedence over decarbonization. Over time, however, recurring bouts of volatility strengthen the economic case for diversifying energy sources and accelerating the transition to renewables.

But resilience rests on capital allocation as much as it does on energy policy. If policymakers and investors treat price spikes as temporary disruptions, capital will continue to flow toward fossil fuels. If, instead, they view repeated bouts of volatility as evidence of a chronic condition, capital is more likely to shift toward clean energy.

The same principle applies to electricity demand: policymakers must distinguish between what dominates news headlines and what matters most. While AI and data centers place significant pressure on local electricity grids, their contribution to national and global electricity consumption remains modest. The International Energy Agency estimates that data centers accounted for roughly 1.5% of global electricity demand in 2024 and projects that, even with rapid AI adoption, their share will remain below 3% by 2030.

By comparison, space cooling already accounts for roughly 10% of global electricity consumption. Europe’s back-to-back heat domes in May and June forced two French nuclear reactors to shut down because the river water used for cooling had become too warm, placing additional strain on electricity systems across the continent. As temperatures continue to rise, this challenge is likely to become even more acute.

Nowhere is this more evident than in Southeast Asia. According to the IEA, the region’s stock of air conditioners is projected to increase from nearly 50 million units in 2020 to around 300 million by 2040. Electricity demand for space cooling is expected to reach about 300 terawatt-hours—roughly equivalent to the combined electricity consumption of Indonesia and Singapore. Over the coming decade, cooling will place far greater pressure on regional power systems than AI.

The broader lesson is clear: resilience requires distinguishing structural signals from localized noise, rather than reacting to whichever issue dominates the news cycle. Governments that mistake AI for their principal grid constraint risk investing in the wrong means of boosting resilience.

Electrification is a case in point. The IEA’s Electricity 2026 report projects that electricity’s share of final energy consumption will rise from 21% in 2025 to 24% by 2030, with emerging economies—led by China, India, and Southeast Asia—accounting for nearly 80% of additional global demand growth.

For ASEAN+3, this represents both an opportunity and a challenge. Greater electrification, supported by renewable energy sources, reduces exposure to oil-price shocks. But it also requires sustained investment in generation capacity and grid resilience as the region absorbs a disproportionate share of the growth in global electricity demand over the next five years.

Resilience will increasingly depend on regional cooperation. The ASEAN Power Grid initiative, for example, facilitated the cross-border exchange of more than 38,000 gigawatt-hours of electricity through projects such as the Lao PDR-Thailand-Malaysia-Singapore Power Integration Project between 2016 and 2022, thereby demonstrating what institutional preparedness looks like in practice. Scaling these efforts, as envisaged in ASEAN’s 2026-2030 energy-cooperation plan, would strengthen the region’s collective capacity to absorb future energy shocks.

To be sure, no economy can ever be truly insulated from global energy markets. But deeper regional integration would allow countries to share those risks, so that no single economy has to bear the full impact of an external shock.

ASEAN+3 countries’ growing reliance on intraregional demand has already strengthened their resilience. These 14 countries now account for more than one-quarter of global demand, most of it generated and absorbed within the region.

Yet resilience requires continual reinforcement. That means resisting complacency during a temporary price drop and investing in the unglamorous business of diversifying energy sources, expanding transmission networks, and preserving the fiscal and monetary-policy space needed to respond to the next disruption.

Whether the next global shock is driven by geopolitical conflict, technological disruption, climate change, or financial instability, its effects will almost certainly be uneven, testing the buffers ASEAN+3 countries have built in calmer times. As disruptions become more frequent and severe, resilience is no longer about predicting the next crisis, but about building economies that can weather it, whenever—or wherever—it strikes.

43. The US Economy Cannot Grow Without Renewables

Author: Daniel Driscoll **Published:** Jul 14, 2026 **Link:** View Original

CHARLOTTESVILLE, VIRGINIA—After the 9/11 terrorist attacks, US President George W. Bush called on Americans to go shopping. While some people claimed at the time that Bush was encouraging irresponsible spending (a criticism that gained traction following the 2008 global financial crisis), he was acknowledging the reality that consumption has long powered America's formidable economy.

Over the past 20 years, household consumption has, on average, accounted for roughly 56% of the United States' annual GDP growth—reflecting an atypical economic structure that is both an unintended byproduct of dollar dominance and the result of a deliberate growth strategy.

The dollar's position as the world's reserve currency has inadvertently created ideal conditions for the profligate US consumer. Providing dollars to the rest of the world enables the US to run current-account deficits indefinitely. Moreover, high demand for dollar-denominated assets pushes up the greenback's exchange rate, making US exports relatively more expensive, boosting imports, and contributing to the decline of US manufacturing.

But, for decades, American policymakers have also used various policies to fuel household consumption. In housing, for example, the US government has long offered mortgage-debt relief, tax credits, and subsidies, allowing homeowners to use their property as collateral to borrow more. Similar, the government derisks lending for the financial sector through loan backstops and liquidity, which creates a kind of "finance culture" that normalizes spending beyond one's means.

Crucially, and more overlooked, is how the US government props up household consumption with energy policy. High energy consumption is central to the American way of life. Houses are larger, requiring more energy to construct, heat, and cool. Compared to much of the rest of the world, Americans purchase more (and larger) cars, drive for longer distances, and consume more meat and other carbon-intensive goods.

Moreover, the US government has subsidized the oil and gas industry for more than a century through the tax code's treatment of intangible drilling costs. With the US holding vast hydrocarbon reserves, this encourages production to exceed demand, leading to systematic underpricing of fossil fuels.

But the energy landscape is changing, owing to soaring energy prices for US households and the plummeting costs of renewables. The problem is that US President Donald Trump, while recognizing that abundant, cheap energy underpins America's consumption-led growth model, conflates that with fossil fuels, confusing historic correlation with causation.

Trump's "drill, baby, drill" agenda has sought to boost oil and gas production, even as other countries phase out fossil fuels. His administration's One Big Beautiful Bill Act (OBBBA) has increased subsidies for the oil and gas industry while repealing nearly all of the tax credits enacted by the Biden administration's Inflation Reduction Act (IRA) to accelerate the uptake of clean energy.

Research from Princeton University's ZERO Lab projected that, by 2030, the OBBBA would raise US household and business energy costs by $28 billion. One year after the bill's passage, that prediction seems to be coming to fruition and may even end up being optimistic, as supply shocks from the Iran war and the AI data-center boom cause energy prices to surge. Last year, data centers accounted for around half of new US electricity demand, with rapid growth potentially causing consumers' electricity bills to increase by as much as 25% in some regions by 2030.

Meanwhile, the price of renewable energy continues to fall to new lows. In 2024, wind and solar were, respectively, 53% and 41% cheaper than fossil fuels. The months-long closure of the Strait of Hormuz, which severely disrupted global oil and gas flows, has led countries around the world to embrace renewables, using green technologies largely manufactured by China. Even in the US, consumer demand for electric vehicles has spiked along with inflation.

The American consumer economy can no longer run on fossil fuels. To maintain growth, the US must follow the lead of other countries and scale up renewables. Reviving the IRA, which was primarily focused on energy abundance, is an obvious first step.

To be sure, many policymakers in the US and the European Union are concerned that Chinese green tech poses security risks; the EU has even moved to ban inverters from China. But the best way to address these anxieties is by modernizing existing manufacturing to produce high-risk components like inverters domestically, while continuing to import secure, low-cost parts, like the solar panels themselves. This would require implementing industrial policy, but nothing outside the norm.

The Trump administration's grim determination to ignore clean energy is not only costly; it also jeopardizes long-term economic growth. Actively suppressing renewables as fossil-fuel prices steadily rise will be the death knell for a growth model built on the promise of cheap energy.

44. The Purpose of Development Cooperation Is to Be Unnecessary

Author: Vitalice Meja **Published:** Jul 14, 2026 **Link:** View Original

NAIROBI—In an increasingly unstable geopolitical environment, governments across the developed economies of the OECD are rethinking their spending priorities. As they direct more funds toward defense, industrial competitiveness, and energy security, they are seeking offsetting expenditure cuts—and, in many cases, the axe is falling on development financing. In fact, members of the OECD’s Development Assistance Committee (DAC) are currently conducting reviews of their development-cooperation strategies and external-financing priorities.

This is not altogether bad news: development cooperation was long in need of a reassessment. But the reviews so far are focusing on the wrong thing. They want to adapt development cooperation to donors’ changing geopolitical, security, and commercial needs and objectives. What is really needed is an examination of the system’s ability to support the structural transformation required to reduce developing countries’ dependence on foreign aid. In other words, instead of simply asking how development cooperation should be financed, OECD governments should be asking what it should achieve.

Development cooperation has produced important progress, especially in health, education, humanitarian response, and public-sector capacity. But its original promise was not to support individual projects or deliver incremental social gains; it was to help countries overcome poverty, build productive economies, and gradually reduce their dependence on external resources. Yet after decades of effort, many developing countries are still grappling with persistent poverty, limited industrial capacity, rising debt burdens, and dependence on commodity exports and external finance.

Since the turn of the century, efforts to improve aid effectiveness—embodied by the 2002 Monterrey Consensus on Financing for Development, the 2005 Paris Declaration on Aid Effectiveness, the 2008 Accra Agenda for Action, and the 2011 Busan Partnership for Effective Development Co-operation—centered on how developing countries should change. Development partners thus emphasized principles like country ownership, transparency, and mutual accountability. While developing countries were expected to strengthen country systems, improve institutions, and demonstrate visible results, less attention was paid to the incentives shaping donor behavior.

This approach clearly failed to translate progress on social development into economic transformation. But adapting development cooperation to suit donors’ new geopolitical realities—the approach the DAC members’ reviews are taking—will do no better. It also fails to address the incentives shaping donor behavior, let alone the fundamental question of whether cooperation is helping to overcome dependency.

Migration offers an illustration of the reframing that is needed. In recent years, migration has become central to cooperation between many European governments and African countries, with development financing, diplomatic engagement, and partnership frameworks being linked to border management, return and readmission agreements, anti-smuggling initiatives, and migration containment.

Such arrangements work for donor governments, for which migration has become a major domestic political issue. In fact, donor governments measure the success of such arrangements almost entirely by the reduction in migration pressures they face, with little, if any, regard for the impact on developing economies. This should be recognized for what it is: the use of development policy as a security tool.

Mobility can be a powerful driver of development. Workers who leave often send back remittances—the largest source of external financing for developing countries—and return with newly acquired expertise, connections, or resources. More broadly, cross-border flows of goods, money, technology, and people, as well as participation in international networks, are vital to productivity, human-capital development, and entrepreneurship.

Harnessing this potential should be a central objective of migration arrangements and development cooperation more broadly. Instead of merely financing the containment of migration, European and other donors must work with their developing-country partners to devise frameworks that include legal migration pathways, skills partnerships, productive cross-border investment, and support for structural transformation.

No one denies that donors' geopolitical needs, economic-security concerns, and commercial interests should be a factor in development cooperation. They always have been, and always will be. There is good reason for this: meeting donor countries' own priorities makes the system more politically sustainable. But allowing for indefinite dependency is not an end goal. Creating conditions for transformation in developing economies is.

The DAC reviews offer an opportunity to confront this challenge, and it is up to developing economies in Africa and elsewhere to make this clear. Instead of allowing themselves to be treated as mere objects of donor adaptation, these countries must remind their development partners that the effectiveness of support cannot be assessed solely according to donor priorities. Instead, it should be measured by the extent to which it helps countries build productive capacity, diversify their economies, improve their technological capabilities, create good jobs, and shape their own development trajectories.

Developing economies must articulate the conditions under which such support can advance structural transformation. Unless they do—and unless donors listen—the development-cooperation system that emerges from the ongoing DAC reviews will be better adapted to the needs of developed economies in the 21st century, but no better equipped to deliver on its original promise: enabling developing economies to achieve self-sufficiency.

45. How the Tech Lords Hacked the Firm

Author: Quinn Slobodian **Published:** Jul 15, 2026 **Link:** View Original

CAMBRIDGE—One of the most impressive feats of the current generation of tech oligarchs is that they have hacked not just computers or software, but the institutional form of the 20th-century firm itself.

In its ideal-typical version, the publicly traded corporation separated ownership from control. While shareholders did not manage the firm directly, they retained channels through which they could communicate with the managers responsible for overseeing their investment and hold them accountable. They could also try to coordinate with one another, organize fellow shareholders to pressure the board, and, in extreme cases, even vote out the CEO.

Over time, however, the leaders of digital capitalism have undermined the institutional mechanisms of shareholder democracy. They have done so in three ways: share structure, domicile changes, and the index fund. The recent IPO of Elon Musk's SpaceX—which, having raised $75 billion, was the biggest in history—represents the apogee of this process.

Alongside Musk's far-fetched claims about data centers in space and the colonization of Mars, the SpaceX IPO showcased a more practical feat of corporate engineering. Through a version of the dual-class share structure pioneered by Google in its 2004 IPO, Musk controls 85% of the voting power, far more than the threshold needed to secure his position as CEO, CTO, and chairman of the board. In practice, that means he is the only person capable of firing himself.

This arrangement amounted to a hack of the mid-century corporate form, allowing Musk to tap public capital markets without being accountable to shareholders in the conventional way. For someone who had long resented the oversight that went along with taking a company public—which is why he kept SpaceX private for more than two decades—that looked like a way to have his cake and eat it: a private firm financed with public capital.

A shift in corporate domicile reinforced Musk's ironclad rule. By moving Tesla and SpaceX from Delaware to Texas in 2024, he placed both companies under a legal regime that was much friendlier to CEOs than shareholders, limiting shareholder lawsuits and expanding the use of forced arbitration.

In doing so, Musk started a trend. ExxonMobil and Coinbase have also relocated to Texas, and Meta has reportedly held high-level conversations about making a similar move. His influence on corporate governance has become so pronounced that Stephen Bainbridge, a UCLA law professor, now teaches a course titled "The Corporate and Securities Law of Elon Musk."

A third hack of the mid-century corporation came by way of the rise of the index fund. Totaling a minuscule $21 billion in assets in 1993, index funds now manage more than $20 trillion. As a result, firms that account for a large proportion of the major stock-market indices have become increasingly critical to the financial fortunes of the average investor, whose retirement and college-savings plans are more than likely invested in passive funds.

Traditionally, there was a significant interval between a company going public and its entry into a major stock-market index. Known as “seasoning,” this waiting period was intended to shield passive investors from the volatility of early trading and allow the share price to find its natural level after several months.

But the appetite for massive new listings like SpaceX has led major stock indices to relax these rules. SpaceX was among the first companies to benefit from this, as its seasoning period was shortened from five months to two weeks. As a “controlled company,” whereby a single person or entity holds more than 50% of the voting power, it is also not obliged to maintain a majority-independent board.

In recent years, a handful of tech companies have accounted for a disproportionate share of the stock market’s growth. Consequently, a small number of CEOs have become both unaccountable within their own firms and, by virtue of their firms’ systemic importance, effectively too big to fail. When SpaceX went public as one of the ten largest firms in the United States, it could be virtually assured of a government bailout were it ever to falter.

As if to press the limits of how far his behavior could deviate from what had long been seen as acceptable, Musk spent the week before the SpaceX IPO posting incendiary tweets intended to escalate racial tensions in the United Kingdom. On the day of the IPO, he mentioned crack cocaine in his opening remarks. SpaceX still debuted at a price 11% higher than expected.

When Musk changed his title at Tesla from CEO to “Technoking” in 2021, most people took it as an online joke—Musk’s way of trolling the overly serious financial press. But as the concentration of wealth and power in the tech sector has increased, the autocratic quality of his leadership—exercised as if by divine right—has become more pronounced.

Strikingly, the SpaceX arrangement concentrates power to a degree rarely seen even in monarchies. Yet unlike most monarchies, the company has neither a designated deputy nor a formal line of succession. Were Musk to die, the appointment of a new leader would depend entirely on whoever inherited his shares and the votes attached to them.

The conflation of the corporate leader with the corporation produces a final tweak of the mid-century firm. In the 1950s, CEOs were still paid by salary. That income was subject to taxation at top marginal rates above 90%. In the 1990s, however, corporate executives began to shift toward being compensated in stock options.

Musk, who takes no salary but is awarded colossal tranches of stock options, embodies this shift in its purest form. Freed from tax obligations in the short term, he can choose when to exercise his options. He can also choose where to exercise them, adding yet another incentive for his decision to move from California, with its 13.3% top marginal income-tax rate, to Texas, where it is zero.

In the meantime, Musk can secure ultra-low-interest loans by using those shares as collateral—a strategy known as “buy, borrow, die.” The result is that he has not only fused with his own firm but has also effectively become his own personal tax haven. In the age of the tech oligarchy, the CEO can say, after Louis XIV: “The public corporation, c’est moi.”

46. Governments Should Govern AI, Not Own It

Author: Gabriela Ramos **Published:** Jul 15, 2026 **Link:** View Original

PARIS—It is now abundantly clear that governments must take responsibility for shaping the AI industry. Only independent and proactive institutions, including regulators, can reduce the risks posed by these technologies while ensuring that they enhance, rather than undermine, human dignity.

Too often, however, governments have responded to the rise of AI with resignation, effectively admitting that they do not understand these systems well enough to intervene. In any case, many policymakers argue, it is too soon to justify meaningful action.

That is not how societies have managed previous technological revolutions. From ozone depletion to geoengineering and genetic modification, governments have intervened when there was credible evidence of harm, or when the potential for serious harm became too great to ignore, rather than waiting for complete scientific certainty. In doing so, they have generally adopted an outcome-based approach, focusing on the real-world impact on people and holding companies accountable for the harms caused by their products or technologies.

Governments have a duty to require rigorous assessment of powerful new technologies before they are rushed to market. Independent agencies such as the US Food and Drug Administration, the European Medicines Agency, and the European Food Safety Authority already perform this function for food and pharmaceuticals.

No one, of course, expects government agencies to invent better drugs than pharmaceutical companies can. Their role is to verify that the medicines those companies produce are safe and effective. And despite decades of warnings that regulation would stifle innovation, independent oversight has not made the industry any less innovative or competitive. On the contrary, it has made its discoveries more trustworthy.

Yet the US government, whose decisions shape the global AI market more than those of any other, has repeatedly balked at regulating these technologies, invoking the familiar argument that regulation kills innovation. This reluctance has been reinforced by an increasingly zero-sum view of technological competition with China, even though the United States still develops the overwhelming majority of frontier AI models while China accounts for only a small fraction.

In keeping with the neoliberal approach that has dominated economic policymaking for the past half-century, governments have generally been expected to intervene only after markets fail. But when it comes to AI, a wait-and-see approach could prove catastrophic. Anthropic’s testing of Mythos, for example, showed that the model could identify and exploit vulnerabilities across all major operating systems and web browsers. If deployed irresponsibly or placed in the wrong hands, frontier AI systems with such capabilities could compromise critical infrastructure, financial systems, and national security on a global scale.

In response, US President Donald Trump’s administration has recently imposed restrictions on certain foreign actors’ access to frontier AI models, encouraging countries around the world to reduce dependence on American AI providers and invest in domestic capabilities. This is not the kind of intervention that democratic societies should welcome.

Trump took this logic a step further in June by suggesting that the federal government acquire equity stakes in AI companies so the “American people can benefit.” Just weeks later, OpenAI reportedly proposed offering the US government a 5% stake in the company.

But government ownership should not be confused with public ownership. A public good is something everyone can use and from which no one can be excluded, such as clean air, a public park, or a lighthouse. An equity stake, by contrast, confers ownership rights and influence over a private company, exercised by whichever government happens to be in power.

The OpenAI proposal raises profound concerns. The first is privacy. Imagine turning to an AI assistant like Claude Fable with the questions you would never ask anyone else: how to leave a marriage, how to hide debt from your family, or whom to vote for. Increasingly, people treat AI systems like diaries that answer back.

Now imagine that the government owns part of the company operating that system. In 1984, George Orwell imagined a tyrannical state that imposed surveillance through telescreens. AI offers a subtler dystopia, one in which surveillance begins not with coercion but with trust.

The second concern is institutional. Governments exist to ensure that markets benefit society, not to maximize the value of their investment portfolios. If the state becomes a shareholder in major AI firms, those objectives may come into conflict. Would policymakers be willing to sacrifice the value of the government’s investment in the name of long-term public safety? Even if governments acted in good faith, the structural conflict of interest—or even the appearance of one—would undermine confidence in regulatory independence.

Moreover, OpenAI’s proposal did not emerge from careful institutional design or democratic deliberation. It appears to be an ad hoc response to immediate political pressures rather than part of a coherent strategy for governing AI.

Decades of experience have also taught us what effective intervention looks like: independent regulators, impartial institutions, protections against conflicts of interest, and strict limits on revolving doors between the public sector and industry. Those lessons should not be abandoned precisely when they are needed most.

There are far better ways for policymakers to steer AI markets in the right direction than taking ownership stakes. Rather than becoming shareholders, governments should invest in strong, independent institutions, develop and enforce safety standards, and establish clear liability regimes so that those responsible for AI-related harms can be held accountable. They should also require multinational tech companies to pay their fair share of taxes. Above all, they must cultivate the public-sector expertise needed to keep pace with technological advances.

These proposals are far from radical. They are the institutional tools that successful market economies have developed over decades to reconcile innovation with responsible governance. As transformative as it may be, AI does not require us to reinvent the role of government. But we must reclaim that role. Rather than becoming shareholders, governments should do what they do best: shape markets in the public interest.

47. The Iran War Exposes the Global Economy's Fault Lines

Author: Jayati Ghosh **Published:** Jul 15, 2026 **Link:** View Original

NEW DELHI—The on-again, off-again US-Israeli war against Iran has underscored the growing disconnect between financial markets and real economic activity. It has also exposed how differently such shocks play out across the global economy.

Consider oil markets. While they have been extremely volatile since the war began, their fluctuations have largely reflected shifting perceptions and expectations—often shaped by US President Donald Trump's erratic social media posts—rather than immediate changes in demand and supply.

To be sure, Iran's closure of the Strait of Hormuz did disrupt global oil supplies. But shipping distances and transport lags meant that the effects were not immediately felt by consumers and producers.

Nevertheless, crude oil and natural-gas prices swung sharply as conflicting official announcements repeatedly shifted market expectations. By early July, following the initial ceasefire agreement between the United States and Iran, crude oil was trading below $70 per barrel—roughly where it stood in February, before the war began. Even the subsequent resumption of hostilities has so far produced only a modest price increase.

Despite the volatility in global energy prices, US stock markets recorded their best-performing quarter since 2020 between April and June and continued to rise in early July. The rally was led by AI stocks, buoyed by the belief that AI will deliver unprecedented gains in productivity and economic growth.

To some extent, this reflects the relatively limited impact of the war on economic activity in rich countries. The International Monetary Fund projects only a modest slowdown in GDP growth in advanced economies in 2026, from 1.9% in 2025 to 1.7%. The US, for its part, is expected to grow by 2.3%, up from 2.1% in 2025. Across OECD economies, the unemployment rate stood at 5% in April, virtually unchanged since February 2022.

Advanced economies' resilience can be largely attributed to the recent boom in AI and cryptocurrency investments. Several Asian economies—notably China, Taiwan, South Korea, and Malaysia—have also benefited from this trend. Financial markets' current complacency is further reinforced by the widespread perception that the war with Iran is effectively over, despite both sides' belligerence, or that it will persist only as a low-intensity conflict that allows at least partial movement through the Strait.

Yet this confidence overlooks the war's longer-term economic consequences. Despite the ceasefire, oil exports from the Gulf remained well below pre-war levels. And even if exports recover completely, lower-income countries will continue to bear the costs of today's energy crisis for years to come.

These countries lacked the means to carry out the extraordinary government interventions that limited the energy shock's impact on advanced economies. Roughly 440 million barrels of crude oil and refined products were released from commercial and strategic reserves between April and June, mostly by the US. But with the US Strategic Petroleum Reserve now below half its capacity and approaching its operational floor of 33%, and with total OECD inventories continuing to decline, there is far less scope for a similar intervention. Although prolonged uncertainty over the Strait is likely to accelerate the diversification of both energy sources and trade routes, those adjustments will require years of investment and new infrastructure.

Global attention has largely focused on crude oil, but modern production also relies heavily on petroleum derivatives. According to the International Energy Agency, Gulf exports of refined petroleum products and liquefied petroleum gas were still less than half their pre-war levels in June, partly because the war destroyed some of the region’s refining capacity.

Among the most economically significant petroleum derivatives are fertilizers, which are crucial for agricultural productivity. The Food and Agriculture Organization of the United Nations projects a 15–20% increase in global fertilizer prices in the first half of 2026. As a result, farmers—especially in lower-income countries—must now contend with rising fertilizer prices as well as higher fuel costs for irrigation and transport.

Even modest reductions in fertilizer use can trigger steep declines in crop yields, especially where application rates are already low. But food markets are unlikely to wait for the harvest, as oligopolistic firms typically raise prices in anticipation of tighter supplies, long before physical shortages materialize.

The consequences extend far beyond agriculture. More than 6,000 products rely on fossil-fuel derivatives and processing by-products such as helium, sulfur, methanol, polyethylene, and polypropylene, many of which are supplied by Gulf countries. These inputs are essential for plastics, lubricants, waxes, tars, asphalt, synthetic textiles, and life-saving medical devices like MRI machines and pacemakers. Ironically, the green energy transition also depends on specialized petroleum products used to manufacture, maintain, and operate wind turbines and other renewable-energy infrastructure.

These disruptions will fall disproportionately on lower-income countries, particularly in Asia and Africa, which remain heavily dependent on the Middle East for both imports and exports. Worse still, they come as many emerging and developing economies are still recovering from the damage inflicted by the COVID-19 pandemic, the food and fuel price spikes that followed Russia’s invasion of Ukraine, and the interest-rate hikes that have driven up borrowing costs.

Against this backdrop, the World Bank estimates that the per-capita income gap between advanced and developing economies, excluding China and India, will not return to its pre-pandemic level until after 2028. For many countries in the Global South, the result could be a lost decade; for those already in debt distress, the economic toll could be catastrophic.

This raises a fundamental question: How will an increasingly fragmented global economy reshape geopolitics? Governments around the world have learned that ignoring rising inequality within their own societies fuels political instability. The same lesson applies to the widening economic divide between countries. Financial markets may be able to ignore it for now, but the rest of the world cannot.

48. The West's Turkey Dilemma

Author: Anne O. Krueger **Published:** Jul 15, 2026 **Link:** View Original

WASHINGTON, DC—The rapid rise of China, Russia's invasion of Ukraine, and the US-Israeli war with Iran have made geopolitical rivalry the main force shaping the global economy. President Donald Trump's reversal of long-established US policies has compounded that uncertainty, forcing governments and businesses alike to navigate an increasingly complex strategic landscape.

The recently concluded NATO summit in Ankara reflected this new reality, demonstrating how geopolitical and security imperatives can trump other important policy objectives. Nowhere is that trade-off clearer than in the West's relationship with the summit's host country.

Turkey has long been an underappreciated NATO ally and a vital economic bridge between Europe and the Middle East. Although its ties with NATO and the West have weakened in recent years, the country's unique strategic position makes it indispensable to the alliance. Straddling Europe and Asia, Turkey occupies one of the world's most consequential geopolitical crossroads. Its control of the Bosphorus, which links the Black Sea to the Mediterranean, makes it the gatekeeper of Russia's main warm-water maritime route to the wider world.

Turkey also borders Armenia, Azerbaijan, Bulgaria, Georgia, Greece, Iran, Iraq, and Syria, while sharing the Black Sea coastline with Bulgaria, Georgia, Romania, Ukraine, and Russia. With a population of nearly 88 million and NATO's second-largest military, it is a major regional power. Economically, it has emerged as one of the region's leading manufacturing and logistics hubs.

After remaining neutral for nearly all of World War II, Turkey firmly aligned itself with the West by joining NATO. It later became an associate member of the European Economic Community—the precursor to today's European Union—and eventually applied for full membership. The accession process gained momentum after Recep Tayyip Erdoğan's Justice and Development Party (AKP) won the 2002 election, but negotiations dragged on for years and effectively stalled after 2017. Much of the delay can be attributed to the EU's reluctance to move forward as concerns about democratic backsliding under Erdoğan have intensified.

Erdoğan's increasingly authoritarian rule has also strained relations with the United States, although Trump appears far less troubled by it than his predecessors were. In 2019, Trump's first administration blocked the sale of American F-35 fighter jets to Turkey after the country acquired Russia's S-400 air-defense system because American officials feared that Turkey's possession of both systems could give Russia valuable intelligence about the F-35. The second Trump administration has taken a markedly different approach, moving ahead with plans to sell more than $700 million worth of jet engines for Turkey's KAAN fighter program while signaling its willingness to reconsider the F-35 sale.

The S-400 purchase epitomized Turkey's independent foreign policy and its willingness to maintain close ties with both the West and its principal rivals. As relations with the US and the EU grew increasingly strained, Erdoğan continued to cultivate ties with Russian President Vladimir Putin while also supplying drones to Ukraine. More recently, Erdoğan has sharply criticized the Iran war and, according to Trump, even considered entering the conflict against Israel.

This strategic ambiguity, together with Erdoğan's unconventional economic views—most notably, his repeated assertion that interest-rate hikes cause inflation—has coincided with a marked decline in Turkey's economic fortunes. Two decades ago, the country was widely regarded as one of the world's most promising emerging markets, especially following the sweeping reforms introduced by former Economy Minister Kemal Derviş after the financial crisis of the late 1990s.

Under Erdoğan, however, economic performance has been decidedly uneven. Growth has generally been robust over the past two decades, supported by major infrastructure improvements and the rapid expansion of the defense industry and other manufacturing sectors. But that growth has been accompanied by repeated boom-and-bust cycles, bouts of very high inflation, and recurring macroeconomic instability. While inflation has fallen sharply since peaking at 85% in 2022 following a major stabilization program, the economy remains burdened by persistent challenges, including exchange-rate volatility and weakening exports.

The Ukraine and Iran wars have been both a boon and a burden for the Turkish economy. While Turkey has benefited from business diverted from other parts of the Middle East and from rising exports of military equipment, disruptions to global energy markets and heightened commodity-price volatility have made inflation harder to contain.

In the years leading up to this month's NATO summit, the EU and other Western allies had remained wary of Turkey because of Erdoğan's attacks on democratic institutions, his close relationship with Putin, and his dubious economic policies. But as Turkey's strategic importance grew, many NATO allies began placing greater emphasis on security and defense cooperation. The summit brought that shift into sharper focus, with Trump heaping praise on Erdoğan while European allies largely refrained from publicly criticizing the Turkish leader's domestic record.

These shifts underscore recognition of Turkey's strategic importance and pivotal economic role in an increasingly unstable region—and also encapsulate the dilemma confronting Western democracies: some of the countries that are most critical to transatlantic security are among those drifting furthest from democratic norms. Press them too hard, and they may move into the orbit of rivals such as China and Russia. Press them too little, and erosion of democratic institutions could accelerate, undermining both the values the West seeks to defend and its credibility in defending them.

Reconciling these competing imperatives is extraordinarily difficult, as EU and NATO leaders are discovering. Yet doing so will be crucial not only to preserving the West's credibility but also to realizing Turkey's full potential as both a strategic ally and an economic partner.

49. The Tragedy of “Westalgia”

Author: Mark Leonard **Published:** Jul 15, 2026 **Link:** View Original

BERLIN—European leaders breathed a sigh of relief as US President Donald Trump departed last week’s NATO summit in Ankara, Turkey. Despite a few unseemly moments in which Trump reiterated his desire to seize Greenland and nonsensically ordered a halt to all trade with Spain, the meeting went off without any major catastrophes.

Most importantly, Trump did not announce any major troop withdrawals from Europe or any moves to leave the alliance. He even had warm words for Ukrainian President Volodymyr Zelensky, and pledged to grant Ukraine a license to manufacture Patriot air-defense missiles domestically. By the end, even Trump proclaimed that there was “love” in the air.

But optics aside, the summit was an absurd exercise. NATO leaders reveled in their pledges to increase defense-related spending to 5%, even though everyone knows that this arbitrary number means nothing in the absence of deeper discussions about capabilities. The figure was pulled out of thin air last year to appease Trump. In the months leading up to the summit, the same leaders had worried that Trump would withdraw the United States from the alliance or dramatically reduce its presence in Europe, which would then find itself at the mercy of Vladimir Putin’s Russia.

That is why NATO leaders expended so much energy preparing a summit that would not allow for any unscripted moments. Fears that the mercurial US president would use the occasion to undermine the alliance were palpable. When the moment came, European leaders reportedly fell over themselves to praise Trump, with NATO’s secretary general, Mark Rutte, leading the sycophantic charge.

Some commentators believe that saving NATO and keeping the Western alliance alive was worth this self-abasement. But by kowtowing to Trump and indulgently harking back to the good old days of the transatlantic relationship, Europe’s leaders are risking more than just their dignity.

Consider the period following the fall of the Berlin Wall. After the initial euphoria, many parts of the former German Democratic Republic (East Germany) were emptied out as their populations left, even as property prices were driven up by an influx of wealthier West Germans. The result was a wave of nostalgia for a lost world, expressed in films like Good Bye, Lenin!

The term coined to describe this emotion was Ostalgie (“Eastalgia”), and it has shaped German politics and culture for almost 40 years now. Although many East German writers have criticized such sentimentality for trivializing East Germany’s decades-long repression, some see it as the key to understanding what ails Germany’s eastern regions today. There one finds a widespread refusal to acknowledge that the world has changed, a habit of free riding, and a tendency—occasionally—to look ridiculous, such as when East Germans parrot Russian talking points on Ukraine.

Ironically, Europe’s problem today is not just that Ostalgie has held back eastern Germany; it is that a new malady, Westalgia, has taken hold. It was on full display in Ankara.

Westalgia has several key features. The first is a refusal to acknowledge that the world has moved on. By acting as if US security guarantees are still as ironclad as they were under the Ronald Reagan and George H.W. Bush administrations, and by continuing to purchase US weapons, they hope to turn back the clock. But a better strategy would recognize that America has changed in fundamental ways. Even if a Democrat moves into the White House in January 2029, US retrenchment will continue.

Those who want to turn back the clock naturally see the past through rose-tinted glasses, even though elements of the post-Cold War settlement were not to Europe’s advantage. Specifically, Europe’s hyper-reliance on American power clearly had an infantilizing effect. Even when caught between a predatory Russia, a fickle US, and a coercive China, Europeans are still wont to downplay and underestimate their own power and influence.

The second feature of Westalgia is a tendency to free ride. Just as eastern Germans grew accustomed to the transfer payments and subsidies (the infamous Solidaritätszuschlag, or “solidarity tax”) that flowed eastward after unification, so have Europeans become accustomed to America bankrolling their security. As a result, Europeans have under-invested, not just in defense but also in their industrial base, technological sovereignty, and energy independence.

Instead of complaining that US citizens no longer want to be responsible for defending Europe, and instead of spending billions of dollars to satisfy Trump’s vanity, Europeans would be better off having a serious conversation about how they could fight a high-intensity conflict on their own, if necessary. Instead of spending an arbitrary share of their GDP on defense, they should critically evaluate their capability gaps and adjust their spending to match their needs. Coffers are tight everywhere, but it will be easier to justify expenditures on weapons if they appear less geared toward flattering Trump.

Third, in their subservience to the US president, Europeans often do not hide it well, which prevents them from being taken seriously—be it by Trump, Putin, or Chinese President Xi Jinping. If there is one man who presumably respects Rutte less than Rutte himself, it is Trump. Europe will garner the world’s respect only when it stands up for itself.

Whereas Ostalgie was a bottom-up phenomenon, Westalgia is being driven by elites. Of course, European politicians need to allay their skittish electorates’ fears. But if they want to succeed in the 21st century, they must stop selling nostalgia and start looking to the future.

50. The Death of the Degree

Author: Iryna Volnytska **Published:** Jul 16, 2026 **Link:** View Original

KYIV—Just as French aristocrats under the ancien régime could hardly imagine the abolition of their noble titles, most of today's university leaders cannot conceive of a world in which the degrees they confer become worthless pieces of paper. The former were in for a rude awakening in 1790; the latter are barreling toward a similar shock.

No longer a social service, education has become the new infrastructure of power. Whoever controls the development of technical talent controls the future. The countries that understand this have stopped arguing about teaching quality and started measuring how fast knowledge translates into capability. The rest are reforming a 20th-century system and calling it progress.

Large employers like Google, Apple, and IBM now have hiring practices that focus on skills rather than degrees. More than half of employers have gone so far as to drop degree requirements entirely for some roles. Recruiters no longer want to know how much applicants have memorized; they want to know how they make decisions amid uncertainty and how quickly they learn.

Y Combinator funds Stanford dropouts—or people who forgo university altogether. A GitHub profile now says more about what you can build than a college transcript. To be sure, degrees still hold value, but mostly for entry to regulated professions like law and medicine, public-sector jobs, and prestige networks. But notice that this value lies in access, not knowledge.

In an AI-transformed world, capability is the new dividing line. True, a free AI chatbot will explain quantum mechanics to anyone. But access to a tool is not the same as the ability to use it. A chasm is growing between people who can harness AI to solve a hard problem and people who only consume the answers it hands them. The defining skill of the next decade will be orchestration: running several AI agents toward an outcome defined by the individual.

This raises an important question: Is AI in education a threat or an opportunity? My answer is that it is an opportunity, but only for institutions willing to rebuild around the technology. That means overhauling assessment methods, because reproducing knowledge is no longer as important as demonstrating judgment and application skills. The key is to test whether a student can command and critique an AI system, rather than outsource thinking to it. With this shift, AI can become education's largest-ever scaling lever, providing personalized tutoring at near-zero marginal cost, simulation at scale, and instant feedback.

Consider the live drone-hack simulation that Ukraine's SET University, where I am president, ran with IronCyber, my cybersecurity startup. When applying AI, it was completed roughly six times faster. The technical layer can be compressed, but the orchestration layer cannot—a reality that the old educational model, which was built to be AI-resistant, fails to grasp.

The university does not know its own value. Its campus, faculty, and academic programs are ostensibly its most prized assets. But in the digital era, data trumps all else. Every interaction a student has with a learning platform leaves a trace of their cognitive processing, speed of adaptation, and capacity to collaborate. Universities sit on terabytes of this information but do little with it.

All this points to the need for AI-native institutions. The dramatic death and rebirth of the edtech sector suggest that such a shift is already underway. The companies that simply moved lectures online are disappearing. The investors who once scaled some of Silicon Valley’s most prominent tech firms are funding their replacements. Outsmart, launched by former Duolingo executives, has raised more than $36 million from Khosla Ventures, Lightspeed, and DST Global on a single promise: to build “the university of the future.”

Other powerful tech players who no longer trust universities have also started building alternatives. Peter Thiel pays young people $100,000 to drop out of school and launch startups. Y Combinator became a university of founders, compressing years of iteration into a few months. And yet, elite universities’ real product was never education—MIT has given away lectures for two decades. It is the network. Four years in the same room builds social capital that compounds for life. That, not the curriculum, is what people pay for.

It follows, then, that the future of the university rests on deliberately designing environments that foster strong connections—which almost no one is doing. Moreover, the focus should be less on the number of STEM (science, technology, engineering, and mathematics) graduates, and more on the pipeline from university to product. Many have fretted that China graduates more STEM PhDs than the United States. But what sets China apart is the speed with which it turns research into innovation that people can use—a few years, compared to a decade or more elsewhere.

Most of the world treats education as a cultural mission to be improved at the margins, even though it has become a crucial determinant of strategic advantage. Why else would Canada, Germany, Singapore, and the United Arab Emirates have fast-track visas to import tech workers that someone else paid to train? Developing talent for export is a subsidy to other economies. The question that should guide education reformers is how fast they can convert a person’s knowledge into a country’s gain, before someone else beats them to it.

51. Where Will Global Financial Fragmentation Lead?

Author: Şebnem Kalemli-Özcan **Published:** Jul 16, 2026 **Link:** View Original

ROME—The global monetary order is fragmenting. Each use of financial sanctions by the United States raises the option value of an alternative to the dollar, making diversification a form of strategic insurance. But while managed diversification is healthy, a disorderly scramble for the exits would not be.

Europe learned a version of this lesson in 2010, and its experience remains the best evidence we have about what currency unification can and cannot deliver. Since debates about geopolitical fragmentation always revive the late economist Robert Mundell's dream of a world currency—or its modern variant of two leading currencies, the dollar and the euro—we should be mindful of the euro's real-world experience over the past quarter-century.

The euro crisis was the perfect test of the optimal currency area (OCA) theory that Mundell had presented in his 1961 paper, because his criteria—factor mobility (especially that of labor), fiscal transfers, and symmetric shocks—turned out to be exactly the dimensions along which the eurozone would be challenged. A monetary union without a fiscal union and labor mobility, facing asymmetric shocks, behaved precisely as the theory predicted: it transmitted stress it could not absorb. The crisis thus seemed to vindicate Mundell's OCA theory.

Of course, OCA criteria are not fixed in time, but rather are shaped by economic integration itself. In a 2001 paper, my colleagues and I showed that regions and countries with more specialized production structures have output fluctuations that are less correlated with everyone else's. Combined with our earlier finding that capital-market integration causes such specialization, we concluded that financial integration pushes shocks toward greater asymmetry.

We then described the mechanism behind this pattern in a 2003 paper, showing that the more a group can share risk—across German regions, US states, or EU countries, for example—the more its members can afford to specialize and trade. Thus, insurance buys specialization, which in turn buys trade and output asymmetry. The empirical upshot of Mundell's theory is that regions within federations share risk heavily and specialize extensively, whereas sovereign countries share almost no risk at all. The euro, on this reading, still cannot be an OCA. It had the integration that drives specialization and asymmetry, but it lacked the federal insurance that makes asymmetry survivable.

Without such insurance, a single currency misallocates capital, leading to declining productivity. As we show in a 2017 paper, the interest-rate convergence that accompanied the euro's arrival did send a flood of cheap capital into Spain, Italy, and Portugal—exactly the "downhill" flow the textbook promised. But the textbook also predicted that this capital would find its most productive uses, and it did not—a misallocation story. In economies with size-dependent financial frictions, the falling cost of capital drew investment toward firms with high net worth rather than high productivity. As the dispersion of returns to capital across firms widened, total factor productivity fell.

This pattern appears in Spain, Italy, and Portugal, but notably not in Germany, France, or Norway, where financial markets are deeper. The euro did not merely expose its members to asymmetric shocks they could not insure against; the capital it attracted was systematically misallocated, dragging down the productivity of the periphery.

So, these mechanisms explain why monetary union has proved so much harder in practice than its architects hoped. Could the world nonetheless converge to a durable dollar-euro duopoly? Current trends suggest not. Geopolitical fragmentation is pushing the system toward many currency blocs, not toward one or two central banks. The political logic of the moment favors assertions of monetary sovereignty of every nation, not its surrender.

A generalized version of the European story is also the story of the past four decades of financial globalization. The textbook case for globalization in the 1990s promised that capital would flow downhill from rich economies to poorer ones, equalizing returns and accelerating convergence. Instead, the paradox that Robert Lucas had observed in 1990 held. Instead of capital flowing from developed to developing countries, China's savings flowed to the US, producing the persistent imbalances and domestic grievances that now drive US trade policy. Likewise, integration was supposed to let countries insure one another against shocks. Instead, consumption remained less correlated than output across countries. It was the reverse of what efficient risk sharing predicts. The world got the contagion without the insurance.

What about the current digital-currency revolution? A naive reading casts it as a global-single-currency enabler; but, in practice, the opposite is happening. Stablecoins, the fastest-growing form of cross-border digital money, are roughly 97% dollar-denominated, and US legislation now deliberately channels digital-dollar activity into privately issued Treasury-backed tokens, with the explicit strategic aim of entrenching the dollar. As a response, China's e-CNY—and perhaps a future digital euro—is being built as an instrument of national monetary sovereignty, for the express purpose of creating payment rails that can operate outside the dollar system. The technology that could in principle have delivered Mundell's single world money is instead deepening dollar dominance and fortifying national monies. It is fragmenting, not unifying, the monetary order. It is only a matter of time before every country pushes for its own digital currency.

Mundell's wished-for destination is unreachable because the world is nowhere near an OCA: labor does not move freely across borders; there is no global fiscal authority to transfer resources from booming regions to slumping ones; and shocks are profoundly asymmetric across countries.

A single global currency would do to the world what the euro did to its periphery. It would drive further specialization and more asymmetry over time, with no fiscal union to insure against it. The man who gave us the tools to evaluate OCAs also gave us the decisive argument against the single world currency.

The international monetary system today is best understood not as Mundell's map of regions choosing exchange-rate regimes, but as a network of trade and financial linkages through which monetary influence propagates. Resilience in such a system will come neither from a single global currency nor from a scramble into national fortresses, but from the deliberate management of the linkages that constitute the network.

52. Hungary’s Real Economic Test

Author: Gene Frieda **Published:** Jul 16, 2026 **Link:** View Original

CANNES—For the first time in more than a decade, a Hungarian government has said something about the euro that markets can actually plan around. Prime Minister Péter Magyar’s government has just announced that, later this year, it will present a revised medium-term fiscal framework to meet the criteria for eurozone membership. Euro adoption has drifted in and out of Hungarian policy debates for years, without ever becoming a serious governing objective. This is the first credible signal that something has changed.

Of course, the announcement is just the first step in a multi-year negotiation with reality. The Maastricht criteria that will structure the coming framework document—a deficit below 3% of GDP, debt on a declining path, contained inflation, a stable exchange rate—are necessary but not sufficient. The bigger challenge for Hungary is to prove that it can live within a monetary union permanently.

The Magyar government has inherited an unenviable economic situation. According to the OECD, Hungary’s fiscal deficit was running close to 5% of GDP last year, and is expected to exceed 6% this year—several times the level most countries have historically run in the year before fixing their exchange rate against the euro. Likewise, public debt sits at 75% of GDP, well above the median for the nine countries that have joined the currency since 2004.

None of this is a surprise to observers of Hungarian fiscal policy over the past decade and a half. Former Prime Minister Viktor Orbán presided over chronic deficits and an economy addicted to targeted subsidies. But what is less widely appreciated is that even a credible three-year fiscal consolidation would not be enough to ready Hungary for the euro. The lesson from the eurozone’s enlargement since 2004 is that meeting the criteria does not mean being fit for monetary union.

Confusing the two has been expensive. Greece was judged to have met every Maastricht threshold when it joined in 2001. A decade later, however, it needed one of the largest sovereign bailouts in history, because low interest rates and a fixed exchange rate had hidden deep structural weaknesses in the Greek economy (inflexible labor markets, an undiversified productive base, weak institutions).

Slovenia ran into a version of the same problem half a decade after its own 2007 entry, when a domestic credit boom fed by cheap post-accession financing left its banks in need of a major state rescue. And the Baltic states offer a related warning: their brutal 2008-09 boom-and-bust cycle happened while they were still outside the euro, to which they were tied only through currency pegs. In this case, it was the absence of any exchange-rate flexibility that made the bust so severe.

All three cases point to the same lesson: nominal convergence can mask, rather than resolve, the structural weaknesses that determine whether a monetary union works. Hungary carries several of these risks in more acute form than the post-2004 cohort did. For starters, its export base is heavily concentrated in automotive manufacturing—a sector now being squeezed by Chinese overcapacity in electric vehicles and by the retrenchment of the German carmakers that anchor Hungary’s supply chains.

Meanwhile, the minimum wage has risen so fast (relative to average earnings) that it is limiting the wage flexibility that Hungary will need when it can no longer devalue its way out of a downturn. And its central bank, having spent the better part of two years re-establishing credibility after presiding over one of the highest inflation rates in the European Union, cannot yet point to the kind of durably boring track record that convinces markets and the European Central Bank that low inflation will outlast the current government.

There is also a nearer-term complication. Since the change of government in April, the Hungarian forint has strengthened by close to 10% against the euro, reflecting genuine optimism about reform after 16 years of institutional erosion. This relief rally, combined with interest rates that remain restrictive even as growth stalls, has produced a currency and monetary stance that is, if anything, far too tight for current economic conditions. That means the biggest risk to near-term growth has far less to do with joining the euro than with getting the sequencing of disinflation and recovery right.

Put another way, Hungary must pursue its euro aspiration in a disciplined way. Croatia offers the clearest recent template for how to proceed. Rather than rushing to lock in an exchange rate, it spent years following a detailed reform roadmap agreed jointly with the ECB and the European Commission. Only after addressing bank supervision, anti-money-laundering rules, and statistical governance did it enter the two-year waiting room that precedes euro adoption. By the time Croatia joined the eurozone in 2023, it had little else to prove.

Hungary's own history offers a cautionary counterexample. On multiple occasions since the mid-2000s, euro entry has been discussed, deferred, and quietly dropped from the agenda once the fiscal cost became clear. The test for the new government's fiscal framework is not whether it offers a credible glide path for the headline deficit (any competent finance ministry can produce that). The real test is whether structural reforms of the labor market, the tax base, and the institutions that will need to survive changes of government are inseparable from that path. If these reforms are viewed as a priority to be addressed once the criteria are technically met, major risks will remain.

Entering a currency union with favorable market sentiment and a flattering read of the deficit trajectory, but without an economy that can function without the tools it is giving up, would be a formula for more broken promises. That is precisely the trend that Magyar was elected to end.

53. Development Economics for an Age of Upheaval

Author: Carlos Lopes **Published:** Jul 16, 2026 **Link:** View Original

CAPE TOWN—The economist Dani Rodrik recently reopened one of development economics' most enduring debates, arguing that developing countries should shift their attention from manufacturing to productivity-enhancing services. In doing so, he has challenged the long-held assumption that manufacturing remains the primary engine of development.

But the deeper issue is not whether services should replace manufacturing. It is whether structural transformation should still be understood primarily as the movement of resources between sectors. That framework, which guided development economics for more than half a century, is increasingly out of step with how modern economies actually create value.

From W. Arthur Lewis and Raúl Prebisch to Albert Hirschman and Nicholas Kaldor, structural transformation was understood as the reallocation of labor and capital from low-productivity activities to more productive ones. Manufacturing occupied center stage because it combined economies of scale, technological learning, and sustained productivity growth. But that framework reflected the realities of an era in which factories were at the heart of technological progress and income growth.

The objectives of development have not changed since then, as productivity, technological learning, and economic complexity remain the foundations of long-term prosperity. What has changed is where—and how—those capabilities emerge.

Three factors are driving this shift. AI is rapidly reshaping the relationship between labor and production, while geopolitical fragmentation has brought industrial policy back to the center of economic strategy. At the same time, the clean-energy transition is reorganizing production around new technologies, critical minerals, and low-carbon industries. Although none of these developments diminishes the importance of manufacturing, together they suggest that it no longer defines structural transformation.

Increasingly, what matters is not the sectors themselves but the productive capabilities they encompass. Modern manufacturing depends on software, logistics, finance, and digital platforms, while agriculture relies on biotechnology, satellite imagery, and precision engineering. Sophisticated services now drive the technological learning, innovation, and export dynamism once associated almost exclusively with manufacturing. As a result, the boundaries once separating these sectors are steadily blurring.

In many respects, capabilities have always been the true engine of structural transformation. And given that productive services increasingly perform the role historically played by manufacturing, the most important question is which activities continuously expand an economy's productive capacity. The answer lies in ecosystems that integrate manufacturing and engineering with research, digital infrastructure, finance, and public institutions.

Consider electric-vehicle batteries. Traditional industrial policy encourages countries such as the Democratic Republic of the Congo to process cobalt domestically rather than export raw ore. But domestic manufacturing alone no longer guarantees that countries will capture the most profitable parts of the value chain. Even if the DRC succeeds in producing battery components—or even batteries themselves—much of the value will flow elsewhere so long as the design, specialized equipment, software, technical standards, and distribution networks remain concentrated abroad.

China illustrates this dynamic. For all its manufacturing prowess, the country’s competitive advantage stems less from manufacturing scale than from its control over the technologies, technical know-how, intellectual property, and industrial ecosystems in which manufacturing operates. The lesson is clear: structural transformation requires moving beyond production toward ownership of the productive ecosystem itself.

For Africa, however, this lesson strengthens the case for industrialization, as building technological capabilities and capturing more value domestically remain essential priorities. If anything, AI and the growing importance of productive services reinforce manufacturing’s role as a powerful source of learning, technological progress, and capability building.

Yet Africa’s comparative advantages are also evolving. Unlike previous late developers, African countries are pursuing industrialization in a world in which demographic change, the climate transition, and digital technologies are transforming the development landscape. As advanced economies age, Africa is projected to account for much of the growth in the world’s working-age population and consumer demand.

Because African countries are not constrained by legacy production systems, they can build renewable energy systems, low-carbon industries, and digitally integrated infrastructure from the ground up, rather than retrofit carbon-intensive systems built over more than a century. But whether they can capitalize on these advantages will depend on their ability to build institutions that foster learning and innovation.

Industrial policy must evolve accordingly. Rather than simply promoting manufacturing or targeting strategic sectors, governments must create the conditions for productive capabilities to expand. That means cultivating ecosystems that connect firms with universities, research institutions, financial systems, digital infrastructure, and regional markets.

Industrialization in Africa has always been about building the institutional foundations of a modern economy. Industrial societies rely on formal markets, modern logistics, financial intermediation, enforceable contracts, and reliable data, all supported by institutions capable of managing complex economic interactions. Factories are only one part of that broader architecture.

This is where emerging technologies offer new opportunities that previous late developers did not have. Digital payments, identity systems, interoperable public platforms, and AI can accelerate formalization, lower transaction costs, improve tax administration, expand access to finance, and strengthen state capacity.

AI, in particular, has the potential to modernize the institutional architecture within which markets function. Properly governed, it can help countries leapfrog stages of industrial development while creating new opportunities to develop and protect intellectual property.

By challenging manufacturing exceptionalism, Rodrik has done development economics a valuable service. The next step is to question sectoral exceptionalism itself and rethink how production is structured.

In a world organized around digital networks, intangible assets, and industrial ecosystems, prosperity will depend on economies’ ability to accumulate and renew productive capacity. Rather than retracing the path of earlier industrializers, Africa must seize this moment to forge a new model of structural transformation.

54. What Inequality Does to Electoral Democracy

Author: Harold James **Published:** Jul 17, 2026 **Link:** View Original

PRINCETON—In a new polemic that aims to serve as a manifesto for our times, the economists Julia Cagé of Sciences Po and Thomas Piketty of the Paris School of Economics draw from the past two and a half centuries of French history to consider the impact on politics and society of economic inequality, and what should be done about it. Originally published in French in 2023, A History of Political Conflict: Elections and Social Inequalities in France, 1789–2022is even more timely today, now that higher interest rates have made public debt increasingly burdensome, less sustainable, and more politically explosive.

At the heart of their study is a carefully constructed geographic analysis of France, not along the lines of the 96 administrative departments created by the French Revolution, but across 36,000 smaller units: metropoles, suburbs, towns, and villages. The rather repetitive manner by which their message is presented in the book’s 848 pages is not ideal but does not diminish the importance of their core insights, which deserve wider attention.

Cagé and Piketty see political responses to inequality as falling into two distinct categories, each with its own chronology. Their terms for these are bipartition (a left-right polarization) and tripartition (with a center opposed by a right-nationalist and a left-redistributionist or ecological movement). The traditional left-right divide reflects social and economic polarization around the left’s program of redistribution, whereas questions of identity ultimately anchor the tripartite divide.

The original tripartition came between 1848 and 1910, and fell apart just as the international system in Europe was disintegrating and global conflict was becoming more likely. A second tripartition then began in the late 20th century with the debates over the Maastricht Treaty (which established the European Union) and the creation of a monetary union and single currency. This was also when two referenda, in 1992 and 2005, shook things up in a new way. Not since the mid-19th century, when Napoleon III cunningly used plebiscites for his own purposes, had referenda played any major role in French political life.

In 1992, the governing center-left, led by the Socialist President François Mitterrand, and much of the center-right supported European integration, but the Maastricht Treaty was approved only narrowly, by a 51–49% margin. Then, in 2005, a proposed European constitution, drafted by a convention led by former French President Valéry Giscard d’Estaing, was soundly rejected, by 55 to 45%, with the largest share of negative votes coming from rural France.

These results produced a dynamic of political disaffection and disillusionment. The 2005 decision to reject a European constitution made little to no practical difference in France’s orientation toward Europe and the wider world, because the Lisbon Treaty already provided an alternative framework that did not require a referendum. The “nays” thus felt that they had been ignored, and as their resentments grew following the 2008 financial crisis, they mobilized against the political center.

The 2008 crisis fueled harsh criticism of financial capitalism from both a right-wing president (Nicolas Sarkozy) and then a left-wing one. During the campaign that would carry him to the presidency in the 2012 election, the Socialist François Hollande declared that “my enemy is finance.” But rhetoric is not policy, and France went on to elect as president Emmanuel Macron, who had served as Hollande’s economy, industry, and digital affairs minister and benefited from a higher concentration of upper-income votes than any president in French history.

I see two plausible interpretations of the shifts between bipartition and tripartition, only one of which Cagé and Piketty would unambiguously endorse. They both see structural economic factors behind the left-right division, above all industrialization and the shift to “salarization” (wage labor) that also took place across the rural world.

Moreover, one of their aims in the book is to rescue rural France from the condescension of posterity, and especially from the disdain often dished out by the left. They show that the pays profond—the deep country—not only drove French political developments in the past but continues to do so. It was these voters who formed much of the opposition to Macron’s early plans for a green transition promoted through higher fuel taxes and hard speed limits—measures that would hit rural France disproportionately hard.

But an alternative interpretation is that the shift to tripartition was a logical response to globalization, which limits the potential of any program centered around redistribution because the mobile factors of production can pack up and leave. Entrepreneurs and the business elite can simply flee from higher wealth or income taxes, and multinational corporations can redomicile where capital-gains or business taxes are lower. Then, when redistribution proves impossible, other topics —culture-war issues concerned with identity and tradition—become the new focus for political mobilization.

The growth and dynamism found in some EU countries—Ireland, Luxembourg, the Netherlands—reflects past decisions to offer havens for wealthy individuals and corporations seeking lower taxes; and extra-EU centers—Switzerland, Dubai, Hong Kong, Singapore—have become even more potent magnets for capital flight. But the issue is not just about tax rates. The ease of incorporation and the legal framing of corporate law are also critical. Thus, in the first half of the 19th century, when corporate law was restrictive in France, many French (and German) companies incorporated in liberal Belgium, which then provided a model for new laws in France and Germany in the 1860s and 1870s, setting in motion the first round of tripartition.

Equally, in 20th- and 21st-century Britain and France, policymakers discerned a need to provide a refuge for capital—a role that was filled by the UK’s Channel Islands and the French border state of Andorra. Neither region is within the EU.

Andorra, which oddly is not even mentioned by Cagé and Piketty, is a peculiar sovereign entity whose joint heads of state are the French president and the Spanish bishop of Urgell. Even a Socialist like Mitterrand spent his presidency carrying the title “co-Prince of Andorra.”

While border controls have been conspicuously absent on the French side, Spain maintains tight controls on the frontier between Catalonia and Andorra. How long this will last remains to be seen. An Association Agreement between the EU and Andorra was negotiated late in 2023, but it is still awaiting the final signatures.

In any case, it is reasonable to fear that tripartition will lead to political chaos, making democracy even more difficult to sustain. Such was the fate of the interwar German Weimar Republic—still the iconic case of democratic collapse.

The original parties of the German political center (the Social Democrats, the Catholic Center, and the liberal German Democrats) lost votes even during economically prosperous years, then saw their support further deteriorate during the Great Depression. The relative beneficiaries were the Nazis and communists. But since neither was going to form a governing coalition with the other, the resulting chaos generated a yearning for dictatorship.

It is easy to see why this analysis is relevant to France today. The fragmentation of the center means that the 2027 presidential campaign may well end up in a second-round runoff between the nationalist, anti-globalist, anti-European right (led by Marine Le Pen) and the nationalist, anti-globalist, anti-European left (led by Jean-Luc Mélenchon). It is in this context that Cagé and Piketty make their plea for a reassertion of bipartite politics. But in order to get back to bipartition, tax policy, rather than national identity and migration, needs to be at the center of the political debate.

As a warning, Cagé and Piketty point to a precedent in the mid-1920s, when Prime Minister Édouard Herriot's center-left coalition failed to implement a program of capital taxation to deliver economic and financial stabilization. It was this failure that inspired François Goguel, a founder of electoral sociology, to produce one of the most important precursors to Cagé and Piketty's own analysis of the French political system.

Looking back, they conclude that, "It is never simple to agree on the social distribution of the burden when it reaches such an extent, and it is no doubt inevitable that the resolution of this kind of conflict involves moments of political and social tension of considerable magnitude. We can just hope that serene, peaceful examination of historical precedents might help guide the future conflicts that will not fail to occur in the 21st century."

Cagé and Piketty also identify a similar roadblock in two earlier historical episodes that played a key role in shaping French political sensitivities. The first was the revolutionary left's failure, in the 1790s, to expropriate Church and aristocratic land holdings in a way that would benefit the bulk of the peasantry, rather than a small urban bourgeoisie. Then came the revolutionary wave of 1848, when rural constituencies were betrayed yet again. Amid an acute agricultural crisis, the government decreed a property tax hike, creating an additional source of hardship that rural France would not soon forget. Owing to the widespread sense of having been deceived by urban elites, many turned to the charismatic figure of Napoleon's nephew, who would soon make himself an emperor.

As Cagé and Piketty correctly note, the political impasses that regularly paralyze French politics follow from a debt build-up. "As in the 18th century," they explain, a "headlong rush into debt can be seen as a consequence of the perceived impossibility of fair taxation. The working and middle classes are no longer willing to pay more, and they favor heavier taxation of the wealthiest; faced with the government's refusal or inability to move in this direction, the only viable, immediate answer is to accumulate more debt."

Their proposed solution is higher taxation of wealth and capital, following the precedent of the 1952 West German Lastenausgleich ("Burden Equalization") program to compensate Germans for damages incurred during Hitler's war. But the German policy was introduced under conditions that modern France is unlikely to replicate. Lastenausgleich reflected a realization that a war had been lost and that sacrifice was needed; but it also was timed to capitalize on an economic recovery, based on market principles, that was just beginning to unfold.

In the event, the tax program helped to sustain what would come to be known as the postwar Wirtschaftswunder (economic miracle). But in the absence of a "miracle," it would have generated the same political disillusionment that Cagé and Piketty document in revisiting the France of the 1790s, 1848–9, and the 1920s (which led to a leftward mobilization and substantially strengthened the French Communist Party).

All told, Cagé and Piketty have produced a unique, well-documented analysis of the problems facing French democracy and the historical role of debt in shaping choices between reform and revolution. Given the authors' picture on the inside dust jacket, where they have donned conspicuously red garments and put on a big smile for the camera, it is tempting to see their book as an augury. The debt-driven political cycles that have long shaped French history are not over, and they could well trigger yet another wave of revolutionary fervor.

55. The Subversion of the International Criminal Court

Author: Josep Borrell **Published:** Jul 17, 2026 **Link:** View Original

MADRID—Some institutional failures unfold not through scandal but procedure, with acts of sabotage dressed up in the language of good-faith inquiry and accountability. By the time anyone notices what is happening, the damage has been done.

I fear that this is what we are witnessing in attacks against Karim Khan, the chief prosecutor for the International Criminal Court in The Hague. Recent developments seem to satisfy goals that the United States and Israel have spent months working toward.

The story starts in April 2024, when a group of US senators warned—in fact, threatened—Khan that if he dared to seek an arrest warrant against Israeli Prime Minister Benjamin Netanyahu for war crimes, he would become a target himself. Undeterred, Khan did just that, filing applications for warrants to arrest Netanyahu, former Israeli Defense Minister Yoav Gallant, and a Hamas commander—just as he had previously sought the arrests of Russian President Vladimir Putin, former Philippine President Rodrigo Duterte, and the Taliban leadership.

But now, Khan's enemies have managed to start a debate about his potential removal, with allegations of sexual misconduct serving as the tip of the spear. It is a classic case of an institution failing to subject an internal matter to the principles (namely, the rule of law) that it is supposed to uphold globally. Although an internal judicial panel—the mechanism the Court itself created to weigh such matters—examined the allegations and found that they did not meet the threshold for proving misconduct, those pushing for Khan's removal have not given up.

In the latest development, ICC member states are preparing to conflate two separate questions—whether serious misconduct occurred and whether the prosecutor should be removed—in a single vote. This is no mere formality. Folding the second question into the first—which, again, has not been proven—enables removal based on an unsubstantiated accusation, or on a different issue altogether (such as engaging in a consensual intimate relationship from a position of authority—something that no one ever alleged).

Since the Khan case is obviously part of a larger offensive against the ICC, it is worth calling attention to the identity of the ICC's enemies and what they want. On July 13, US Secretary of State Marco Rubio published a commentary in The Wall Street Journal whose title left no room for ambiguity: "Why We're Dismantling the International Criminal Court." That was not idle rhetoric. The US has already sanctioned 11 senior ICC officials, including Khan, two deputy prosecutors, and eight judges—all of whom have had their bank accounts frozen, credit cards canceled, Apple, Amazon, and PayPal accounts locked, and so forth.

Nor did Rubio stop at announcing the administration's intention to dismantle the ICC "brick by brick." He also dressed up the effort as a civilizational crusade. Casting the court as an instrument of progressive activists, globalist elites, and governments hostile to the US, he announced a diplomatic campaign to rally every ally that endorses the MAGA creed of national sovereignty against globalism.

Moreover, according to the Financial Times, when US President Donald Trump met with Chinese President Xi Jinping in May, he suggested that China and Russia—neither of which is a party to the Rome Statute, which created the ICC—join him in opposing the tribunal. That America's chosen partners in this crusade are precisely the two countries with the greatest reason to fear the Court says more about the real purpose of the operation against Khan than any communiqué about sovereignty.

One need not believe in conspiracies to see the confluence of interests between US and Israeli leaders. The Trump administration and Netanyahu want the same thing: to ensure that no international court can touch soldiers, border agents, or its chosen allies, no matter how serious the allegations of war crimes and crimes against humanity. Both see the "Khan scandal" as the perfect occasion to defang the court. They do not need to destroy it from the outside if its own member states can hollow it out from within, ignoring a judicial finding to hold a political vote against the man who signed the warrants that most inconvenienced them.

The countries that are still party to the Rome Statute therefore face a choice that will outlast this case. They can demand a process worthy of the institution they built, and which would afford the ICC's own prosecutor the same procedural fairness that it demands of every state. Or they can set a precedent that politics trumps judicial findings.

The right choice is obvious. The ICC must remain an independent court, and it certainly should not roll over for those who want to dismantle it "brick by brick." Khan has shown the courage and fortitude to seek arrest warrants for suspects who would have been considered untouchable in the court's earlier years. At a time when international criminal justice and the rule of law face a full-scale frontal assault, not least from indicted war criminals, he deserves the world's recognition and support.

56. Putin Likes His Worst Option in Ukraine

Author: Carl Bildt **Published:** Jul 17, 2026 **Link:** View Original

STOCKHOLM—If Russian President Vladimir Putin were to make a clearheaded assessment of the state of his war with Ukraine, he would seek a ceasefire. But his head apparently is not clear, because all signs point to him pursuing some kind of escalation. If he does indeed embark on such a course, he will make the situation worse for everyone, but primarily for himself.

Since his August 2025 meeting with US President Donald Trump in Anchorage, Putin has been seeking to persuade the United States to force Ukrainian President Volodymyr Zelensky into a deal that would leave Russia in control of the areas it has already stolen—a little less than 20% of Ukraine's territory—as well as handing over the sliver of the Donetsk region that Ukraine still holds.

It is worth remembering that prior to the Anchorage meeting, Trump had the support of both Ukraine and the Europeans in seeking an immediate ceasefire. But after talking to Putin, he suddenly abandoned his pursuit of a ceasefire and instead accepted Putin's demand for Donetsk. The Europeans naturally rushed to shield Zelensky from the pressure that Putin and Trump would try to apply on him, and political talks to end the fighting stalled. It was Trump—suckered once again by Putin—who prolonged the war.

The area in question lacks any economic importance, but it does matter for Ukraine's defense, and it carries symbolic weight for Putin, who changed the Russian constitution in 2022 to claim Donetsk as part of Russia. The idea that Ukraine would hand over its position is therefore a non-starter. Over the last year and a half, Russia's military has suffered a gradual loss of capabilities, reflected in the declining quality of Russian troops, while Ukraine's battlefield-technology capabilities have improved markedly. As a result, the frontline has become a "death zone" that barely moves.

Of course, Putin still seems to believe that his forces can get full control of Donetsk, and his generals still fear the consequences of telling him that it cannot be done. But the odds are decidedly against him. Equally, Putin believes that striking civilian population centers and critical infrastructure can force Ukraine into submission. But while he's undoubtedly inflicting great pain, aerial bombing alone has never won a war, and that won't change in Ukraine. Over the past few months, Ukraine has expanded its own medium- and long-range drone strikes in Russia, where it has disabled a significant share of refinery capacity and triggered a politically painful fuel crisis across Russia. Ukraine will only continue to intensify these strikes.

But the real game changer may be Ukraine's effort to sever the supply chains linking Crimea to Russia. The Ukrainians have been unremittingly striking freight trucks traveling through the occupied land corridor in eastern Ukraine, the bridge and ferries that cross the Kerch Strait, and ships attempting to deliver supplies via the Sea of Azov. This campaign has already complicated matters for the Kremlin, and it could prove politically catastrophic if Russian control over Crimea becomes seriously contested. At that point, even freezing the conflict at the existing "death zone" might no longer be an option.

Other than Putin, hardly anyone in Russia is likely to care deeply about the sliver of Donetsk that is now blocking the political process. But many—rightly or wrongly—do care about Crimea. Indeed, it was Putin’s land grab of the peninsula in March 2014 that boosted his popularity and set the stage for his full-scale invasion in 2022.

Yet the goal of the 2022 invasion—subduing all of Ukraine militarily and politically—is unobtainable, which means that Putin has already failed. Whether his hold on power can withstand a ceasefire in which he acknowledges this outcome is an open question. But he almost certainly cannot survive a scenario in which he loses control of Crimea.

That’s why Putin, if he was rational, would forget Anchorage and accept a ceasefire now. If he continues down his current path, he is unlikely to get the sliver of Donetsk he wants, but highly likely to lose his grip on Crimea. Besides, opinion polls suggest that a large majority of Russians support ending the war.

A ceasefire would certainly end the conflict. A lasting political settlement would still lie far in the future. But it would at least bring the conflict into the political realm, drive changes within both Russia and Ukraine, and allow for diplomacy involving more outside actors. Unfortunately, Putin appears determined to remain on his current course to a cliff edge.

57. An Alternative History for America at 250

Author: Adekeye Adebajo **Published:** Jul 17, 2026 **Link:** View Original

JOHANNESBURG—In this, its semiquincentennial year, let's give America its due. By the turn of the 20th century, it was a leading industrial power and achieved global primacy after the two world wars. It built the post-1945global governance system—the United Nations, the World Bank, the International Monetary Fund, and the General Agreement on Tariffs and Trade (which became the World Trade Organization)—that helped prevent a third world war and advanced decolonization across Africa and Asia.

Despite representing only 4% of the global population, the US leads much of the world's technological innovation and has been generous in supporting UN-led humanitarian causes. Even George W. Bush, who invaded Iraq and Afghanistan, launched the President's Emergency Plan for AIDS Relief, which has provided $100 billion to fight HIV/AIDS in Africa and the Caribbean, saving an estimated 25 million lives.

America's "soft power" is further evidence of the country's dynamism, producing music, movies, literature, sports, food, and more that the world has embraced. One could easily argue that the United States has done more than any other country to shape the current global order we inhabit.

But, across much of the Global South, the recent celebrations of the semiquincentennial have served as bitter reminders of how the country has often failed to live up to its lofty founding principles. The Declaration of Independence may proclaim that "all men are created equal," but the many sins committed by the US since then make it hard not to view this promise with a cynical eye.

The US' two great "original sins" were genocide and slavery. An estimated 15 million Native American people inhabited North America in 1492. By 1900, fewer than 300,000 remained. The annihilation of the continent's Indigenous population mostly occurred after 1776, with the bloody expansion westward in the name of "Manifest Destiny." The US stole land from Indigenous nations like the Sioux, Cherokee, and Creek, and starved and spread disease among them. After finally being granted citizenship in 1924, Native Americans were shunted to desolate, impoverished reservations.

Moreover, the US was built on African slavery, weaving a virulent form of racism into its social fabric. Five of the first seven presidents, including George Washington and Thomas Jefferson, were slave owners. Even US President Abraham Lincoln, the Great Emancipator, sought federal funds to repatriate African Americans to other countries. As Lincoln told a Black delegation visiting the White House in 1862: "Your race suffer very greatly, many of them, by living among us, while ours suffer from your presence…. If this is admitted, it affords a reason, at least, why we should be separated."

To be sure, Lincoln denounced the US Supreme Court's 1857 Dred Scott decision, which ruled that Black men were not citizens and that the Fifth Amendment protected the rights of slaveowners because the enslaved were property. But support for slavery was deep-seated and difficult to dislodge because it was the foundational institution of American capitalism. By 1860, cotton exports produced on slave plantations accounted for nearly 60% of US exports.

Perhaps unsurprisingly, America's Black population taught the country how to live up to its foundingideals. Following centuries of revolts, about 500,000 slaves risked their lives to escape from Southern plantations to the North during the Civil War (1861–65). An estimated 179,000 Black men joined the Union army to fight for their own liberation, with around 40,000 dying over the course of the war. Black women also contributed to the war effort. African-American abolitionist Harriet Tubman, who escaped slavery in 1849, led an all-Black battalion to liberate over 700 slaves in South Carolina.

Even after the Union's victory, it would take another century for African-Americans to win their basic legal rights. The civil rights movement of the 1960s, led by Martin Luther King, Jr., Hosea Williams, Fannie Lou Hamer, and many others, resulted in the 1965 Voting Rights Act and the 1968 Fair Housing Act, although massive structural inequalities remain.

The idea that some groups are entitled to the land and labor of others has also underpinned US imperialism. America's 1846–48 war of aggression against Mexico resulted in the latter ceding 55% of its territory, including the present-day US states of California, Nevada, New Mexico, and Utah, as well as most of Arizona and Colorado. This expansionist project grew to include "gunboat diplomacy" in 1898, with the US eventually seizing Hawaii, Guam, Samoa, and Puerto Rico, and occupying Cuba, the Philippines, the Dominican Republic, and Haiti.

The dark underbelly of the 20th-century Pax Americana was that the US backed often vicious military caudillos in Brazil, Argentina, Chile, Uruguay, Paraguay, and Bolivia, and supported death squads in El Salvador and Nicaragua in the fight against communism. In 1953, the CIA helped topple Iran's elected Prime Minister Mohammad Mossadegh; less than a decade later, in 1961, the agency was involved in the assassination of Congolese leader Patrice Lumumba, one of the Cold War's greatest crimes.

The US eventually exposed its imperial hubris after the 9/11 attacks by waging war against Afghanistan and Iraq, which resulted in roughly 171,000 Afghan and 500,000 Iraqi deaths, and together cost between $4–6 trillion. Despite the immense resources committed to these wars, the world's largest military power failed to achieve its goals in Iraq, and was defeated by Afghan jihadis it had overthrown 20 years earlier.

President Donald Trump, however, seems hell-bent on destroying the internationalaid system and the multilateral institutions that underpinned US global leadership and soft power, while his spiteful actions at home have left the country more divided than ever. The one consolation is that Trump's nativist measures are doomed to fail: the country's non-Hispanic white population is projected to fall from 199 million in 2020 to 179 million by 2060.

America's aspirational motto, e pluribus unum ("out of many, one"), will be put to the test. Its sentiment offers the only glimmer of hope for narrowing the gap between America's noble ideals and its uglier realities.

58. Subsidies Do Not Explain China’s Competitiveness

Author: Kai Guo **Published:** Jul 17, 2026 **Link:** View Original

BEIJING—Chinese firms have achieved global leadership in industries once assumed to be the preserve of advanced economies: electric vehicles, batteries, industrial robots, solar panels, and AI—to name just a few. The standard explanation for this success is that the Chinese state subsidizes production, an argument that has now been given the institutional weight of a major OECD report.

This particular report matters because its conclusions are likely to shape policy debates well beyond the OECD itself. Yet the subsidy story is incomplete and increasingly inadequate. Like every major economy, China does use industrial policy, and its subsidies have mattered. But subsidies are no longer the most convincing explanation for Chinese firms’ growing competitiveness. The OECD is applying an old framework to an economy that has changed.

The report’s first weakness is methodological. The OECD’s estimates rely heavily on the concept of “below-market borrowing,” treating loans priced below China’s Loan Prime Rate as subsidized finance. But the LPR is not a preferential policy rate. It is closer to an average commercial lending rate in China’s banking system.

The arithmetic is revealing. China’s five-year LPR is around 3.5%, while yields on 30-year government bonds are roughly 2.2% and ten-year bonds around 1.7%. A firm borrowing near the LPR is paying far more than the sovereign itself. Treating such lending as subsidized finance risks converting ordinary commercial borrowing into statistical evidence of government support.

The data tell a similarly awkward story. Evidence from more than 5,300 listed Chinese non-financial firms shows that the bulk of bank lending still flows to state-owned enterprises in traditional sectors such as infrastructure, utilities, and construction. Many of China’s most competitive firms, by contrast, rely increasingly on retained earnings, equity financing, and capital markets.

The timing is no less important. Between 2023 and 2025, subsidy intensity among listed new-economy firms declined substantially, and not by accident. While rising local-government debt sharply constrained local authorities’ capacity to provide support, the Chinese government’s push to build a unified national market sought to curb local protectionism and subsidy competition among regions. Thus, China’s emerging industries achieved their strongest gains during a period when subsidy intensity was declining, and when local governments’ budget constraints were hardening.

The same interpretive problem appears in discussions of China’s current-account surplus. Its recent increase is often read as evidence that China has doubled down on export-led growth. But the simpler explanation lies in the domestic economy. After the property downturn, investment weakened more than national saving, and since the current-account balance is the difference between saving and investment, the surplus widened almost mechanically. Much of the adjustment reflects a property cycle, not a deliberate export strategy.

How does one explain China’s competitiveness, then? The answer does not lie in a single policy, but rather in the interaction of industrial organization, human capital, innovation, and market scale. China now contains multiple stages of industrial development within one national market. Frontier metropolitan areas coexist with vast manufacturing networks, which creates an internal “flying geese” structure—moving some production to lower-cost inland regions—that spans much of the industrial value chain. Products can be designed, tested, manufactured, and commercialized within a single integrated ecosystem before being deployed across a market of more than 1.4 billion people.

Scale alone is not the point. The advantage lies in the interaction between scale, supply chains, competition, and technical capacity. Dense supplier networks shorten feedback loops, large domestic markets accelerate commercialization, and fierce competition forces firms to innovate and improve quickly. The resulting industrial strength reflects structural capabilities, not subsidies.

Human capital is equally important. China produces roughly 3.6 million STEM graduates and 1.3 million engineers per year—more than any other economy. This high-skill workforce then improves manufacturing processes, absorbs and adapts technologies, solves production bottlenecks, and increasingly supports innovation. China’s greatest industrial asset today is probably not financial capital, but engineering capital.

A subsidy-centered explanation of Chinese competitiveness misses all of this. It focuses on policy instruments while underestimating the industrial ecosystem in which firms operate. It counts government support but gives too little weight to technical talent, market scale, supply-chain depth, and the speed with which Chinese firms move from adoption to innovation.

China still faces serious challenges, of course. It needs higher household consumption, better resource allocation, and a lower external imbalance. But addressing these problems will not weaken Chinese firms. Deeper capital markets, stronger domestic demand, and a more unified national market will more likely than not reinforce many of the capabilities that have underpinned their rise.

The OECD is right to examine China’s industrial policies. But the real question is not how much China subsidizes its firms. It is how much those subsidies have translated into China’s industrial success. Subsidies were never the whole story, and as China’s economy has evolved and grown more competitive, they explain far less than the OECD assumes.

59. A Turning Point for African Industrialization

Author: Koffi Alle **Published:** Jul 17, 2026 **Link:** View Original

WASHINGTON, DC—Africa's richest person, the Nigerian industrialist Aliko Dangote, has built the world's largest single-train oil refinery in Lekki, on the southern outskirts of Lagos. With a crude-processing capacity of 700,000 barrels per day, the facility has produced petroleum products such as diesel, petrol, and jet fuel for African and global markets since 2024.

But Dangote's refinery has taken on new importance following the major energy disruptions caused by the blockade of the Strait of Hormuz—a result of the US war against Iran. Many Western governments and companies are now buying refined oil and jet fuel from the Lagos facility. The fact that Nigeria is exporting finished products, rather than crude oil, to Western customers at this scale marks a turning point for Africa—and for the global energy industry.

Building on the success of this mega-refinery, Dangote has already met with the presidents of Kenya, Tanzania, and Uganda to plan the construction of a second one in Lamu, Kenya, to supply East Africa. The new refinery would source crude from Uganda, Kenya, the Democratic Republic of the Congo (DRC), and South Sudan.

Dangote's strategy holds three major lessons for the African business and political leaders who believe that industrialization is the key to the continent's economic transformation. For starters, Dangote's achievement demonstrates that Africa's abundant natural resources and raw materials can be processed into value-added products on the continent and then exported to global markets. Such capacity can be essential in moments of crisis, like the Iran war, but it is equally important in more serene times, because it would allow African economies to boost their competitiveness, and enable African entrepreneurs to integrate more easily into global value chains.

Second, such a strategy works well for resources that, like oil, are in high demand globally. Africa has them in abundance: coltan, cobalt, uranium, and other critical minerals and rare earths in the DRC; cocoa beans, cashew nuts, rubber, and other agricultural products in Côte d'Ivoire; and iron ore and bauxite in Guinea.

With coherent industrial policies and investments by local entrepreneurs and international firms, these resources could be processed locally into finished or semi-finished goods and sold in Africa or on global markets. The impact would be transformative. The DRC could earn billions of dollars by refining coltan for smartphones and laptops, or cobalt for electric-vehicle batteries, taking advantage of fast-growing industries. Likewise, Guinea could extract more from its resources by exporting aluminum, which has recently traded for more than $3,000 per metric ton on the London Metal Exchange, instead of crude dry bauxite, whose prices usually fall below $100 per metric ton.

Lastly, Dangote has provided a path for the continent's policymakers to follow by seemingly convincing three African heads of states to pool resources and engage in an innovative public-private partnership that will supply much-needed refined fuel to the regional economy. African leaders must bolster their own efforts to foster cross-border collaboration, including through regional organizations, to secure large investments in manufacturing and other essential infrastructure.

For far too long, African countries have refused to embrace such win-win partnerships, despite the continent's many regional economic unions. But the pattern of solo economic actors turning to protectionism and shying away from efforts to build large regional markets has started to change with the implementation of the African Continental Free Trade Area—a rare opportunity for increasing manufacturing exports and intra-African trade.

After building a great fortune for himself, Dangote has vowed to go beyond investing for profit and focus on Africa's industrialization. He is committed to leaving a legacy and building local value chains to supply the critical goods that Africa—and the rest of the world—consumes. There are considerable investment opportunities of this type across the continent, and large amounts of African capital waiting to be mobilized. All the continent needs is other leaders to follow Dangote's lead.

60. Colombia’s Rightward Turn

Author: Luis Carlos Reyes **Published:** Jul 20, 2026 **Link:** View Original

BOGOTÁ—Last month, Iván Cepeda, a Colombian senator and human-rights advocate, lost the country’s presidential election to Abelardo de la Espriella, a criminal defense lawyer. The result is sobering, considering that Cepeda’s father was murdered in 1994 by paramilitary groups with the complicity of state actors, whereas de la Espriella has amassed a fortune defending paramilitary leaders, corrupt officials, and money launderers.

Now, de la Espriella’s transition team says it has been working on a plan it calls “Project Noah’s Ark,” implying a restoration of the good-governance practices supposedly lost under Gustavo Petro, the left-wing president whose term will end on August 7. Yet the hard truth is that the next government will face fiscal problems that cannot be solved by returning to the ways of previous administrations. There is a growing tension between popular demands to fulfill the social rights enshrined in the constitution and a political system that cannot deliver on those promises without freeing itself from the influence of the extractive industries and the illegal economy.

While the incoming administration blames the Colombian government’s growing deficit on Petro’s left-leaning policies, 92% of the national budget goes to non-discretionary spending such as health care, education, pensions, constitutionally mandated transfers to sub-national governments, debt payments, and multiyear spending commitments. Most of these commitments were locked in before Petro, and reducing them would likely require unpopular constitutional amendments. As such, spending will remain higher than current revenue, and the next government will probably close the gap by trying to increase the valued-added tax—a proposal that fueled massive protests in 2021.

It is of course possible to limit socially corrosive, regressive tax increases for basic foodstuffs and other essentials. The Petro administration had achieved the highest general government tax revenue on record (22.1% of GDP), owing partly to higher taxation of the oil and mining sectors. But after the Constitutional Court struck down tax provisions that affected oil and mining interests, revenue fell back to 19.9% of GDP. A government could try to overcome the court’s objections through new legislation targeting those sectors, but that is unlikely to happen under de la Espriella, who campaigned as a champion of both.

Worse, the most obvious solution to the fiscal conundrum, tackling tax evasion and corruption—which could increase fiscal space by over 8% of GDP in the long run—is even less likely to be implemented. As commissioner of the tax and customs administration during the first half of the Petro administration, I started the process of boosting tax compliance by creating more than 10,000 new positions for auditors, engineers, and other employees to train AI systems to shrink the tax gap. I also reformed the agency’s civil-service career system to ensure merit-based hiring.

But these policies are under pressure, because the executive branch routinely uses congressional patronage in civil-service hiring to muster the votes for major legislative initiatives. In the case of de la Espriella, economic policy will be led by the vice president, a former finance minister who is well versed in this transactional politicking. There is no reason to expect that he will act differently than he has in the past.

Similarly, it is an open secret that bespoke procurement contracts are often steered toward congresspeople in exchange for legislative votes. While it is difficult to estimate just how much is lost to such corruption, commentators often put the figure at 3% of GDP, and even that seemingly high number masks the scale of the problem. Since diverting even a small fraction of public resources away from legitimate uses requires obscuring how the entire budget is structured, the public resources that are not stolen tend to be used inefficiently.

Hence, Colombia ranks lower in budget transparency than it did a decade ago, not because it lacks the technical capability to create a detailed, publicly debated, program-based budget, but because those who benefit from opacity have ensured that it continues. By appointing various political old hands to his "Noah's Ark" transition team and cabinet, de la Espriella is giving Colombians little hope that he will change how the executive branch works with Congress.

On the contrary, his administration will probably appoint officials to satisfy members of Congress who have ties to the drug trade, money laundering, tax evasion, and smuggling. As these criminal interests continue to wield disproportionate influence over the agencies that are supposed to combat their activities, fighting corruption will be a non-starter.

Meanwhile, renewed state support for the oil and mining sectors will stymie climate change-oriented industrial policies and derail progress made toward decarbonizing the economy. A central element of Petro's economic agenda (including during my tenure as minister of commerce, industry, and tourism) was export-led industrialization focused on meeting current and future global demand for green industrial products (green steel and electric vehicles and parts), as well as support for sustainable tourism. But now, a change in priorities will renew old concerns about Dutch disease (when the strength of one sector drives up the exchange rate, undermining other sectors' competitiveness).

Overreliance on oil and mining is only part of the problem Colombia is facing. Recent estimates suggest that the income from cocaine exports amounts to 4.4% of GDP—surpassing income from oil exports. Because money laundering occurs partly through smuggling operations that bring cheap manufactured and agricultural products into the country, national production that could create well-paying jobs ultimately suffers.

Colombia's rightward turn thus represents a return to an alliance between the extractive industries and the political class, which has a high tolerance for the illegal economy and pay-to-play policymaking. At the same time, expect this alliance to enforce "fiscal discipline" by resisting popular demands for a functioning welfare state.

The opposition's task will be to bring these issues to the fore. It does not help that many of those in Petro's administration failed to avoid the same practices. Charges of hypocrisy are inevitable. But mutual recrimination will not create a society that resolves its disagreements through a functioning, peaceful, and truly representative political system. Only honesty can do that.

61. AI Will Supercharge Surveillance Capitalism

Author: Courtney C. Radsch **Published:** Jul 20, 2026 **Link:** View Original

WASHINGTON, DC—Megan Garcia did not set out to become one of the most consequential figures in the fight to regulate AI. A lawyer and mother of three, Garcia is the kind of parent who notices things. When her eldest child, Sewell, turned 14, he quit the basketball team, retreated to his bedroom, and grew quiet in disconcerting ways. Instead of ignoring the changes, she restricted his screen time and took his phone away as punishment; but even that wasn't enough.

As I watched Garcia tell this story from a lectern in the US Senate in May, I was struck by the precision with which she described the months leading up to Sewell's death by suicide. She clearly had replayed events in her head thousands of times, searching for the moment when she might have intervened in time. When police went through her son's phone after his death in 2024, she had never heard of Character.AI, an app created by former Google employees. It turned out that Sewell had been communicating with a chatbot designed to impersonate Daenerys Targaryen from Game of Thrones. It was "she" who had told him to "come home to me as soon as possible, my love." Sewell had replied by saying he would find a way.

Garcia would later learn through litigation that the platform was engineered to blur the line between human and machine, to engage in sexual roleplay, and to present as a romantic partner and even as a psychotherapist. When Sewell confided suicidal thoughts, the chatbot issued no warning, notified no one, and referred him to no one.

Testifying before the Senate Judiciary Committee last year, Garcia said her son had spent his final months "being exploited and sexually groomed by chatbots, designed by an AI company to seem human, to gain his trust, to keep him and other children endlessly engaged." When she filed the first-ever wrongful death case against an AI company, she turned her despair into fuel and joined a growing number of parents and policymakers who are demanding accountability.

Earlier this month, Meta announced that it was expanding content controls for teens on Instagram and Facebook worldwide, after finally admitting that harms to children "could significantly impact our business and financial results." The announcement follows a finding by a jury in California that Meta's products were designed to be addictive to minors (as well as a jury verdict in New Mexico, where the company was found to have "concealed what it knew about child sexual exploitation on its platforms"). At the same time, policymakers need to grapple with Big Tech's latest damaging move: the introduction of surveillance advertising within the chatbots and AI applications that increasingly pervade our digital lives.

Each of these ongoing regulatory dramas is an expression of the same underlying failure. Policymakers have stood by and allowed the creation of business models built on the commercial exploitation of users' personal data, and that reward social and psychological manipulation. There remains a massive legal vacuum where basic protective frameworks like fiduciary duties, liability standards, enforceable transparency, and privacy safeguards simply do not exist.

In the absence of regulation to dismantle corrosive surveillance-based business models, a global movement to restrict minors' access to social media has powered one of the fastest-moving legislative waves in recent memory. At least 40 countries are considering age-gating legislation in response to technology companies' failures to fix their social-media platforms. Although the targeted ages vary, the diagnosis is consistent: surveillance-optimized platforms have demonstrably harmed adolescent mental health. Not only have voluntary corporate measures failed to prevent these harms, but, in many cases, companies seem to have been fully aware of them when making design and deployment choices.

Meanwhile, courts have finally started to establish that platforms are liable for the harms they cause, implying that they can no longer hide behind extraordinary liability exemptions or weaponize the US Constitution’s First Amendment to avoid responsibility. A landmark child-safety trial in California recently forced Meta CEO Mark Zuckerberg to acknowledge that company experts unanimously agreed that Instagram should ban the beauty filters driving eating disorders in young users. It did not, because doing so could have limited growth, and thus profits.

Documents also revealed that Instagram had tracked the behavior of an estimated four million children under the age of 13. None of these red flags prevented Zuckerberg from targeting a 12% increase in users’ daily time on the platform.

It gets worse for Meta, because it cannot offload the costs of these lawsuits onto its insurance companies. Another court has ruled that insurers are under no obligation to defend Meta against thousands of lawsuits alleging harm as a result of the company’s deliberate and intentional acts.

Yet despite the blowback, AI companies and platforms are forging ahead with AI advertising. This year, OpenAI began testing ads on ChatGPT, whose more than 800 million weekly users have confided their medical fears, relationship crises, and professional doubts to the company’s chatbot, generating what former OpenAI researcher Zoë Hitzig has called an “archive of human candor that has no precedent.”

Hitzig, who resigned the day the ad test launched, reports that ads will be matched to conversation topics and past chat histories, creating the “potential for manipulating users in ways we don’t have the tools to understand, let alone prevent.” Her warning echoes concern about the lack of guardrails in place to guide the monetization of corporate AI. Google already carries ads in AI-assisted search, and it hasn’t ruled out ads for its Gemini chatbot.

Social media built its business model on extracting intimate data through behavioral surveillance, targeting commercial messages at moments of maximum psychological leverage, and inferring emotional states from clicks so that it could sell targeted ads. AI will entrench and supercharge this model. Where social media inferred your inner life from behavior, AI receives it directly in your own words and in real time.

The social-media industry spent a decade making its toxic practices legally and politically untouchable. The children, parents, and loved ones of those harmed are now demanding accountability. The question is whether policymakers will respond before the AI industry replicates the same model.

62. A Cold War Adventure in Portugal

Author: Jeffrey Frankel **Published:** Jul 20, 2026 **Link:** View Original

CAMBRIDGE—Fifty years ago this month, I was in Lisbon working for the Banco de Portugal. With me were four other MIT graduate students, including the future Nobel laureate Paul Krugman. Inspired by Krugman's reminiscences about that experience, and in light of our current geopolitical circumstances, I find myself reflecting on what we saw that summer.

Barely two years before our arrival, Portugal had shed a 48-year military dictatorship. Following its 1974 Carnation Revolution, the country's politics swung from the extreme right all the way to the left: as the government took over parts of the economy, demonstrators chanted in the streets, "Morte à CIA!" But in November 1975, an attempted pro-communist coup failed, opening the way for a new beginning.

In June 1976, Portugal held its first democratic elections in living memory. Few were surprised when António Ramalho Eanes—the general who had ordered the military counter-coup the previous year and emerged as a reassuring symbol of stability and democracy—won the presidency. But it was the new prime minister and cabinet who would have to run the country, and that government was not formed until July 23.

The central bank's governor, José da Silva Lopes, had been preparing for that moment. With the economy in crisis, the budget deficit ballooning, and the central bank on track to run out of foreign-exchange reserves, Silva Lopes had asked professors at MIT to send over advisers who could help him prepare a plan of action. Our team of fledgling technocrats reached Lisbon shortly before the election.

Krugman was the "brains" of the team. Our Portuguese classmate Miguel Beleza, who would go on to become Portugal's finance minister, knew the country. Andy Abel managed to process our work through a refrigerator-size computer that the central bank had been given but hadn't figured out how to use. Ray Hill was the "adult" of the group, speaking for us in situations where a bunch of 24-year-olds might be dismissed. I was the one who would suggest, after an intense six-day work week, that it was time to knock off and go to the beach.

It seemed like there were only a few dozen Americans in Lisbon that summer. The bicentennial Fourth of July celebration, convened by US Ambassador Frank Carlucci, was quiet. Meanwhile, Carlucci was apparently struggling to persuade US Secretary of State Henry Kissinger that Portugal was not necessarily lost to the Communists, and that the United States should engage with the Socialist candidate for prime minister, Mário Soares. (Soares would go on to serve as prime minister twice and spend a decade as president.)

In any case, I did not expect the US government to play a particularly constructive role in advancing Portugal's democratic cause. After all, it had supported the previous authoritarian government, and the CIA had a long history of ill-considered meddling in other countries' politics. Just three years before our mission, it had supported the coup that overthrew Chile's democratically elected government. This record explains why we felt we had to hide the fact that our team's pay came from a grant from the US Agency for International Development (USAID): we had no connection to the CIA, but did not want locals to suspect otherwise.

The need for secrecy—or, at least, discretion—arose in other dimensions of our work. When our team eventually wrote a report recommending something like a 15% devaluation, we distributed copies to all the Banco de Portugal's senior economists. Upon hearing what we had done, however, Silva Lopes was alarmed, citing the risk of a leak.

We reminded Silva Lopes that he had told us not to worry that the Soviets, who occupied the floor above our offices, might eavesdrop on us. "I'm not worried about the Soviets," he replied; "I'm worried about the markets." That night, we surreptitiously returned to the central-bank offices, recovered the copies of our memo from the economists' desks, and replaced them with a version that referred only to "measures to improve the trade balance"—a euphemism for devaluation.

The escudo was devalued in February 1977. Meanwhile, Portugal laid the groundwork for a robust and lasting democracy. In 1986, it joined the European Communities (which became the European Union in 1993), and in 1999, it became a founding member of the eurozone. Today, Portugal ranks as the world's seventh-safest country, with a "freedom score" of 96/100, making it a popular destination for visitors and investors alike.

To be sure, Portuguese incomes have not converged with those of other Western European economies—a failure that has become a key issue in domestic politics. But the criticism tends to come from the right, which attacks the center-left Socialists who have been in power for much of the last 30 years. This is not a case of the far left attacking the basic market system.

In retrospect, our team of young economists can be viewed as one small outpost in the West's prosecution of the Cold War. At the time, one could only dream that the US and Western Europe would emerge victorious from that clash—without bloodshed, no less—within 15 years. But even more shocking than that outcome is the fact that, a few decades later, the US has unilaterally abandoned its role as leader of the rules-based, democratically oriented, market-based global order, and even turned on its European allies.

The list of outrages is long. Donald Trump has hit the EU with illegal tariffs and thrown NATO into confusion. He has also dismantled USAID, undermined and attacked international institutions, and launched short-sighted wars and illegal military operations. Meanwhile, he ignores and even condemns his own intelligence agencies, which deliver news he does not like, such as that Russia interfered in the 2016 presidential election. (They also correctly warned of Russia's imminent invasion of Ukraine in 2022, when Joe Biden was president.)

Almost single-handedly, Trump has destroyed the world order that generations of Western leaders worked so long and hard to build. The US, Portugal, and everyone else will be worse off for it.

63. Who Will Sit Atop the Next World Order?

Author: Joschka Fischer **Published:** Jul 20, 2026 **Link:** View Original

BERLIN—The era in which global order rested on a US monopoly over military and economic power and values has finally come to an end, taking Europe's long period of stability with it. The world has become significantly more turbulent and uncertain, and the near future will bring even more instability.

In the past, the contours of the world order were clearly reflected in the G7/G8 format, which brought together the leading industrialized countries. But now there are competing formats such as the China-led Shanghai Cooperation Organization, the Russia-led Eurasian Economic Union, and the BRICS+ (Brazil, Russia, India, China, South Africa, and a half-dozen other members, plus ten partner countries)—all consisting predominantly of emerging economies.

American hegemony has given way to a new formulation based on rivalry and competition among several major powers, where there is no longer a fixed, codified set of rules. Instead, there is only economic, technological, and military power, which implies a greater risk of conflict and even war between nuclear heavyweights.

This new order is anything but stable. The wars in Ukraine, in the Persian Gulf, and a civil war in Myanmar that no one is even bothering to try to end, attest to that, as does the persistent threat of war between China and Taiwan or on the Korean Peninsula. The two outright wars, coupled with Iran's blockade of the Strait of Hormuz, have already had a significant impact on the global economy, owing to higher costs for oil, gas, fertilizer, and other essentials. Many people are dying in both conflicts, and the risk of escalation continues to grow.

It is not surprising that Ukraine and Iran are attracting the most public attention. But these conflicts also have the character of proxy wars, because their strategic implications cannot be understood without accounting for the historic struggle between the United States, the current top power, and China, the rising challenger. China is keeping a low profile—and quietly gaining the upper hand—as the US flails desperately in the Gulf and lashes out at longstanding friends and allies.

This high-level power struggle is a duel between vastly different systems that will shape the 21st century. The US is a highly competitive market economy and the world's oldest democracy, albeit one that is currently besieged by tech-industry oligopolies.

China, by contrast, is a centralized state ruled by an all-powerful party that can exercise absolute control over the economy, the military, and society. Within a single generation, it has transformed itself from a desperately poor, underdeveloped country into a realistic contender for the top spot in the world order. That is a colossal success no matter how you spin it.

The true masterstroke of Chinese communism came after the madness of Mao Zedong's Cultural Revolution. While maintaining absolute power and party control, Deng Xiaoping allowed a rapidly growing private sector to flourish within the existing state-controlled economy, which eventually surpassed even the US in many industries. The result, enabled by a gigantic domestic market, is a kind of communist hyper-capitalism.

China's model stands in stark contrast to that of the Soviet Union, which from the very beginning was an anti-capitalist, primarily ideology-driven enterprise. The Chinese wanted both to maintain their roots and to emulate the most successful capitalist economy in history; and they pulled it off. This seemingly paradoxical approach has worked wonders and continues to do so.

China owes its success to several factors, including a domestic market that allows for massive economies of scale, enormous infrastructure investments, a construction boom, advancing urbanization, fierce internal market competition, and massive state investments in research and development. The Chinese state has been laser focused on its strategic objectives, particularly building up and modernizing its military and winning the race for global dominance in technologies such as renewables and AI. No one can deny that the Communist Party of China's long-term planning expertise and determination to rise to the top have created an extraordinarily successful dual system.

Whether the US will be able to fend off the Chinese challenge to its primacy—as it did against the Soviet Union—remains to be seen. The answer will depend partly on whether it continues to drift away from the democratic capitalist model it perfected. The current lurch toward an authoritarian oligopoly of private tech tycoons and cronyism is a gift to the CPC.

But the answer will also depend on whether the Chinese leadership can resist the temptation to resort to violence vis-à-vis Taiwan. If China sticks with its own successful model, it can and will be able to achieve most of its goals eventually through peaceful means. But it will have to avoid the delusion that history unfolds according to laws that the CPC understands. Contingency and poor judgment are always possible, and their costs can be enormous. Just ask Vladimir Putin and Donald Trump.

64. Social-Media Age Bans Won't Make Children Safer —But This Will

Author: Kelly Stonelake **Published:** Jul 20, 2026 **Link:** View Original

SEATTLE—When I joined Facebook in 2009, I believed in the mission that founder Mark Zuckerberg espoused: to connect and empower people around the world. We all know how that turned out. Meta, now the parent company of Facebook, Instagram, and WhatsApp, is focused on generating as much engagement as possible, which has led to platforms that addict, enrage, misinform, and polarize users.

I worked at Facebook for 15 years before becoming a whistleblower. I was in the rooms where smart people built and marketed the features that encourage compulsive use—infinite scroll, autoplay, algorithmic feeds. These design choices were made deliberately, with the goal of maximizing profit above all else.

Fortunately, the world is waking up to the harms caused by social media, especially to young people. In early July, an independent panel presented its final report on how the European Union can keep children safe online to European Commission President Ursula von der Leyen, with a legislative proposal expected after the summer.

While several EU countries plan to adopt a blanket age ban, the report advocates banning the toxic design features directly—a strategy that both scientific consensus and public opinion support. If governments really want to keep kids safe, they must require social-media platforms to prove their safety—as is already required of food companies and car manufacturers—to gain access to the teenage market.

The blanket-ban approach treats addictive social media as inevitable. It isn't. It is the product of years of corporate lobbying and governments' reluctance to regulate. Equally important, such an approach is ineffective. Australia pioneered the world's first social-media ban for minors when it barred users under 16 from holding accounts last December. In March, the eSafety Commissioner's compliance report found major enforcement gaps and no reduction in cyberbullying or image-based abuse reports. In April, more than half of 12- to 15-year-olds still had active accounts.

As a result, Australia has also begun to target the toxic features proven to erode kids' health and well-being. Similarly, Canada, Spain, Brazil, and Germany are waking up to the importance of putting the onus on tech companies to ensure their platforms are designed safely.

More governments must turn their attention to banning the design features that harm kids and then holding tech firms to strict, third-party-verified safety standards. Over 170 organizations have signed a petition calling for this safety-by-design approach, and UK charities have released guidance on what these standards could look like. Moreover, this position has gained broad public support. In a recent poll of five European countries, three-quarters of adults surveyed said that they wanted a "safe-by-design" approach to social media, making platforms inaccessible to children until their safety is proven.

The debate has also entered the courtroom. In February, the European Commission warned TikTok to change its addictive design or face fines up to 6% of turnover. More recently, a preliminary decision by the Commission found that Meta failed to assess the addiction risks from infinite scrolling and attention capture, putting the firm in breach of the Digital Services Act (DSA). In the United States, four states are seeking $1.4 trillion in penalties from Meta for designing Facebook and Instagram to addict young users.

Interoperability is another reform worth fighting for. If social-media platforms share data, users can switch to safer alternatives without losing their network. That way, they won't be trapped when a platform is, say, bought out by a far-right billionaire who turns it into a cesspit of extremism.

Ultimately, all reforms depend on strong enforcement mechanisms. Governments have tried to regulate social-media platforms using voluntary commitments and laws like Australia's, with fines for violations. But the world's most profitable companies might simply absorb those penalties as a cost of doing business. The consequences must be significant enough that they can't be priced in.

Europe, which has a track record of shaping the global regulatory environment, now has the opportunity to lead the world in creating effective, meaningful guardrails for children's online safety. It is promising that von der Leyen—who, despite experts' warnings, had committed to a blanket age ban for much of the past year—has signaled a new direction, saying that "the rule in Europe is safety-by-design" when announcing the independent panel's final report. And while that report recommends age restrictions, it frames them as temporary pending the redesign of addictive and harmful features. It also puts the burden of proving social media's safety on tech firms, rather than regulators.

The EU already has a head start on a safety-by-design approach: the DSA provides a legal basis and proof of concept. The special panel cited recent enforcement action under the DSA against TikTok for its addictive features, as well as ongoing proceedings against Snapchat, X/Grok, and Meta.

With this shift in the political wind, the EU must now enshrine in law a safety-by-design approach, recognizing it as the only viable solution to social-media platforms that were built without regard for the harms they cause. That means expanding this framework in the forthcoming Digital Fairness Act, expected later this year, rather than tinkering at the edges of the rules.

If a social-media platform is stripped of infinite scroll, engagement-optimized defaults, and constant push notifications, it is likely much safer for young people. By contrast, an age ban leaves the platform itself unchanged, only delaying its harmful effects. A safety-by-design solution would reduce exposure to a product proven harmful to kids and teens and reshape market incentives, creating space for safer platforms to compete.

The EU requires most products entering the bloc to be safe by law. Social media should be no different.

65. Don’t Overestimate America and China’s Importance

Author: Jim O'Neill **Published:** Jul 21, 2026 **Link:** View Original

LONDON—I recently launched a new policy platform (with Gemma Cheng’er Deng) to promote closer cooperation between the West and the BRICS+ group (Brazil, Russia, India, China, South Africa, plus a half-dozen other emerging economies). Our goal is to make the case that problems like infectious disease, antimicrobial resistance, climate change, AI governance, and global economic imbalances cannot be tackled by countries acting on their own.

But a common refrain I have heard is that “the West” and the BRICS+ do not really matter; only the United States and China do. Most others will follow the two superpowers wherever they lead.

Is this true? No one can deny that in terms of economic scale, the US and China dominate. America’s current GDP is in the vicinity of $30 trillion, and China’s is about $20 trillion, whereas the Japanese, German, and Indian economies are about one-fourth the size of China’s and one-sixth the size of the US. That said, if the European Union is considered a single economy, it does compare with the two giants, with a GDP of $21 trillion in 2025.

In fact, the US economy is larger than the rest of the G7 combined, and China’s is nearly twice the size of the other BRICS+. Over half the increase in global nominal GDP this century has come from these two countries. Economic developments and policies in either one therefore have an outsize influence on the rest of the world, and their ability to find common ground in critical areas of policymaking has far-reaching implications for everyone.

Nonetheless, three factors complicate this framing. First, in terms of population, India is now bigger than China. In a world of more than eight billion people, China and America represent less than one-quarter of humanity. Europe has a larger population than the US, and only a few BRICS+ countries have populations smaller than 100 million.

Second, current nominal GDP figures are greatly affected by the value of the dollar, whose strength against other currencies has been somewhat excessive in recent years. If you adjust for purchasing power parity (PPP), the Chinese economy doubles in size, reaching around $44 trillion. Similarly, India’s GDP in PPP terms is around $18 trillion, and Indonesia’s exceeds $5 trillion—putting it among the world’s ten largest economies.

Put another way, if the dollar were 30% weaker and everything else remained constant, the magnitude of US dominance —either globally or within the G7—would be far less impressive. Although China’s economy would be essentially on par with the US, it would no longer be two times larger than the rest of the BRICS+. India’s GDP has already nearly doubled in size this decade, and its favorable demographics and strong growth rate suggest that this trend will continue.

Such scale raises obvious questions when it comes to tackling global challenges. Does anyone think that you can address climate change or pandemic prevention without India and its 1.4 billion people? And, of course, the same applies to Europe and many other populous emerging and middle powers.

The third factor is even more substantial. While you can argue that the BRICS never would have survived if not for China's economic growth and importance, the fact is that it has not only survived but has grown into a political force. Moreover, the idea that the group could function as a political club was initially promoted by the Brazilian and Russian finance ministries, which contradicts the claim that China calls all the shots and determines how the others think.

As University of Hong Kong professors Heiwai Tang and Brian Wong Yue Shun show in an insightful new book on BRICS+, each member is driven by complex motives, and the roles played by China, India, and others are not necessarily what you might think. As with G7 members and other countries across the West, BRICS+ members can make themselves even more relevant through economic success and leadership to promote ideas that benefit everyone.

For the West, one obvious implication is that governments should rethink how they engage with the BRICS+. Europeans, in particular, will need to do more to make themselves relevant, both by implementing lasting reforms within their own economies and by spearheading global initiatives that the BRICS+ and others will be willing to join.

I saw what this looks like firsthand in 2014–16, when I chaired the United Kingdom's independent review on antimicrobial resistance. In raising awareness about this global threat, Britain was punching far above its economic weight. Effective advocacy on behalf of the global public good can come from anywhere, but only if others are persuaded to listen.

66. The Case for Banning Anti-Democratic Parties

Author: Jan-Werner Mueller **Published:** Jul 21, 2026 **Link:** View Original

BUDAPEST—One major lesson from the political catastrophes of the 20th century appears paradoxical: Democracies sometimes must pursue seemingly undemocratic measures against those who would cynically exploit the system to gain power and then abolish democracy altogether. The problem, of course, is that such measures invite charges that democracy has already abolished itself.

This apparent dilemma has returned with the rise of far-right populist parties, many of whose leaders claim, with a straight face, to be the true champions of democracy. But contrary to what some commentators would suggest, the paradox can be resolved. Consider the far-right Alternative for Germany (AfD). Given the threat that it poses to Germany's constitutional order, there is a strong case for banning the AfD outright.

In the 1930s, the German-Jewish exile Karl Loewenstein was among the first to argue that democracies should restrict the fundamental rights of those using democratic means to pursue authoritarian ends. In the face of fascist parties' supposedly unstoppable rise, he urged democracies to "fight fire with fire."

Even then, it was understood that democracies engaging in prima facie undemocratic conduct might prove self-destructive. Nonetheless, the idea was picked up in the post-World War II period and operationalized in the West German Basic Law. The German Federal Constitutional Court applied it by prohibiting a successor party to the Nazis, and then by barring the German Communist Party in the 1950s.

More recently, the same court rejected an attempt to outlaw the tiny neo-Nazi National Democratic Party (NPD, later renamed Die Heimat), on the grounds that it had no serious prospect of gaining power. The court suggested, however, that lawmakers amend the constitution to deny state financing to parties that have been officially designated as hostile to democracy, and the Basic Law has since been amended accordingly.

Unlike the NPD, the AfD might well form a government in one of eastern Germany's states later this year. Anticipating this possibility, a highly regarded team of specialists recently published a massive report on whether a ban might be approved by the Constitutional Court. The authors analyze not only the AfD's official party programs but also the long record of statements made by party leaders and their followers (including 2.9 million social media posts).

Jurists evaluating the report have been broadly positive about its rigor, even if some doubt that the AfD's discriminatory policy proposals cross the legal threshold of threatening human dignity. But the political picture is murkier than the legal one. Many commentators worry that banning a party that might garner as much as 40% of the vote in an eastern state—and which currently tops national polls—amounts to excluding a large segment of citizens from the political process. They warn that a ban could leave many voters disillusioned with democracy altogether, as well as allowing the far right to claim the mantle of martyrdom.

But these concerns are overblown. Size matters, but if a ban cannot be placed on a party that is too small to win power, you cannot then argue against a ban on a party that is large. Obviously, the larger the anti-democratic party is, the greater the threat it poses to democracy.

The costs of a ban, however, are not necessarily higher. Yes, some citizens may feel disenfranchised. But that will always be the case. Democracy is not a utopia in which everyone's special requests are always honored. For some political goals to win out, others must lose. And sometimes, one's preferred program must be prohibited in order to uphold the polity's fundamental commitments to democratic governance, the rule of law, and human dignity. The central imperative is to keep free and fair political competition going over time.

One might object that if a far-right government enacted laws undermining the equal standing of certain minorities, the courts would strike them down. But people would suffer in the meantime, and even allowing a party to advocate openly for anti-democratic ends would damage a country's politics, by signaling to citizens that such goals might be acceptable.

The fear that far-right figures will become martyrs is also misplaced, because far-right populists already present themselves that way. Their standard playbook consists of persuading citizens that a nefarious establishment is holding them down, and that they are the only ones speaking truth to power.

Just listen to Marine Le Pen in France or Nigel Farage in the United Kingdom. Even when they can freely compete politically (despite apparently having broken basic rules), they portray themselves as victims of elite shenanigans.

One more serious objection remains. If the charge against the far right is that it seeks to exclude people from political competition or rig the democratic contest (a case also made against the AfD), it does seem paradoxical that defending democracy would require keeping a party out of the running.

But this argument, too, overlooks a crucial point. The far-right tends to reject the basic democratic bargain that everyone else has accepted. Democracy depends on a mutual willingness to be governed by whoever wins elections, but many far-right leaders have made it clear that they would not honor this agreement. They want to have their power unchecked, and they refuse to accept being ruled by a supposedly corrupt establishment or any representatives of minorities whom they do not count among "the real people."

This point is not merely speculative. Far-right figures who win power—from Viktor Orbán in Hungary and Jarosław Kaczyński in Poland to Donald Trump in the United States—have consistently tried to tilt what should be a level playing field in their favor. Give a far-right party enough time and power and it is likely to usher in "competitive authoritarianism": a system in which elections are still held, but are no longer fair.

This is why it is wrong to complain of a double standard between democrats and authoritarians. One side wants to preserve political competition; the other wants to eliminate it permanently.

67. The Bayer Truth About Trump's Farm and Food Policies

Author: Christopher Marquis **Published:** Jul 21, 2026 **Link:** View Original

CAMBRIDGE—June 25 was a consequential day for American agriculture. In the morning, the US Supreme Court—encouraged by President Donald Trump's administration—ruled (7–2) that a federal pesticide labeling law precludes state-level lawsuits against the chemical giant Monsanto over its failure to warn users about the cancer risks associated with its weed killer, Roundup. In the afternoon, Trump signed an executive order titled "Advancing Regenerative Agriculture and Strengthening American Farm Resilience," supposedly to ensure that food in the United States is the "healthiest, most abundant, and most affordable in the world."

One might be tempted to read this pair of news stories as evidence of simple hypocrisy. On one hand, the Trump administration actively sought to shield Monsanto's parent company, Bayer, from liability for the effects of its products—the subject of more than 60,000 lawsuits from sick Americans. On the other hand, Trump and his health and human services secretary, Robert F. Kennedy, Jr.—who made a name for himself (as a small fortune) winning lawsuits against pesticide makers like Bayer—promote "regenerative agriculture" under the Make America Healthy Again (MAHA) banner.

But hypocrisy implies inconsistency. Something more strategic—or, as the food-security advocate Anna Lappé put it, Orwellian—appears to be happening here. In fact, the events of June 25 fit into a broader Trump administration pattern: offer reassuring words to an unhappy public and deliver tangible support to corporate interests.

MAHA has become a poster child for this approach. Prior "wins" for the movement include a food-dye ban based on voluntary pledges and drug-pricing orders that request, but do not require, compliance. Meanwhile, the affected industries enjoy deregulation, tax credits, and, now, protection from lawsuits.

Trump's executive order on regenerative agriculture also fits this pattern. It is marketed as a victory over chemical agriculture. Yet it directs the Environmental Protection Agency to accelerate approvals of new pesticide ingredients, while conducting a review of the pre-harvest spraying of crops with chemicals such as glyphosate, the likely carcinogen in Roundup. (In February, Trump declared the glyphosate supply to be a matter of national security.)

The order contains little of substance about rebuilding soil, diversifying crops, and reducing reliance on chemical fertilizers and pesticides—what regenerative farming means to its advocates. The lone directive that supports the practice instructs the Department of Agriculture (USDA) to "maximize the funding" of a pilot program that is already in place.

The USDA's final Regenerative Feedstock Rule—also announced on June 25—is another example of this tactic. The rule ties regenerative practices like planting cover crops and reducing tillage for corn, soybeans, sorghum, and canola to an existing clean-fuel tax credit. By making the crops that become ethanol and biodiesel look greener on paper, it will enable fuel producers to claim bigger tax credits. By the USDA's own count, 68% of corn farmers already implement "at least one regenerative practice.” The new rule thus amounts to nothing more than a subsidy for the status quo. Predictably, the ethanol and biodiesel lobbies, along with the corn and soybean associations, applauded it.

Whatever the Trump administration says, its record leaves no doubt about its priorities for agriculture. In a matter of 18 months, it has terminated roughly $1 billion in programs to help schools and food banks buy from local farms; canceled the $3.1 billion Partnerships for Climate-Smart Commodities (the largest-ever federal investment in regenerative practices); eliminated a program helping young and historically excluded farmers acquire land; and shed roughly one-fifth of the USDA workforce.

Of course, the Trump administration did not invent the practice of saying one thing and doing another. I have spent much of my career studying whether corporate-backed sustainability policies are credible—and found that they usually are not. Environmental claims by the powerful, whether corporations or politicians, largely amount to greenwashing.

Such rhetoric is not totally worthless. Presidential attention confers legitimacy, and the movement for regenerative agriculture has not yet had much visibility. More concretely, the feedstock rule creates the first federal system for measuring the climate impact of farming practices, and some farmers will earn real premiums for useful approaches.

But even here, the details cut against what would typically be considered regenerative. Large commodity farms that skip plowing typically control weeds by spraying more herbicide, which means that rewarding “no-till” practices may actually deepen dependence on glyphosate.

Moreover, research has shown that symbolic gestures can undermine progress by quelling demand for real change. Unverified claims about sustainability often survive until auditors, activists, or courts force word and deed back into line.

To have a positive impact, words must be matched by standards to which a company or a farm can credibly be held. “Organic” means something because it is defined in law, certified, and audited. If a farm fails to meet the standards, it loses the label. “Regenerative,” by contrast, has no statutory definition, no associated certification, and no consequence for not meeting the standards. This is why some of the world’s biggest pesticide and food companies—Bayer, Nestlé, PepsiCo, and Cargill—have embraced the term.

A serious regenerative-agriculture policy is not difficult to describe. Civil society has already done so. The Regenerative Organic Alliance—founded by the Rodale Institute, Patagonia, and the organic personal-care-product manufacturer Dr. Bronner’s—certifies farms that, in addition to being organic, meet audited standards for soil health, animal welfare, and farmworker conditions.

The US needs a federal institution to establish a legal definition for regenerative agriculture, with clear standards, verification mechanisms, and penalties for falling short. It also needs to restore local food and conservation programs and uphold people’s right to sue chemical companies when regulators fail. Unfortunately, despite some big talk from the Trump administration, Americans are headed in the opposite direction.

68. A New Tool for Combating Human Trafficking

Author: Kevin Hyland **Published:** Jul 21, 2026 **Link:** View Original

LONDON—In 2016, then-Prime Minister Theresa May marked the first anniversary of the United Kingdom’s Modern Slavery Act with a commentary touting how our research in the UK and Romania had helped uncover “criminal gangs creating twinned towns of modern slavery.” What made our approach unique was the pairing of specific source and destination localities as a single unit of analysis.

Despite this prominent endorsement, our twinning methodology for understanding modern slavery was not further developed as a policy tool. A decade later, its absence undermines the global fight against modern slavery and human trafficking, because linking places of origin and destination is a better guide for official intervention than a purely national approach.

Trafficking is mostly framed as a macro phenomenon driven by asymmetries between rich and poor regions. While this framing identifies important structural causes, it does not fully explain how these networks operate. Instead of following Romanian population patterns in the UK, as one might expect, our research shows a more specific geography of recruitment and exploitation in cases of trafficking and modern slavery.

As Tim Hall of the University of Winchester has argued, macro-level explanations obscure the localized aspects of organized crime. Criminals base their business models on the opportunities available where they live. Moreover, localities are not bounded containers, but nodes that are formed through wider social relations.

A Romanian county, for example, becomes a trafficking hub because recruitment networks, migration cycles, and destination-side demand sustain links to particular places that enable and encourage the growth of criminal networks. This illustrates the late sociologist Ronald Robertson’s concept of glocalization: globalization operates through localized differentiation, reinforcing rather than dissolving the individuality of local settings.

Criminal networks exploit local settings by embedding themselves in the specific source and destination localities of cross-border slavery and trafficking corridors, connecting the two. These recurrent pairs are produced by migration histories and demand for labor and sexual exploitation. The structural inequalities between source and destination localities condition these corridors, which can be partly revealed by governmental efforts to disrupt or contain them.

Thus, twinning differs from “transnational trafficking” or “cross-border organized crime”—terms that describe a category of criminal activity rather than the relational structure that sustains it.

We observed such twinning between 2011 and 2023, when overseeing Romanian National Police secondments to UK police forces. Working together, the officers documented 55 Romanian-UK trafficking cases in which both the source county and the destination region were identified. Of the resulting 88 county-to-region pairings, 30 route to Greater London, while on the Romanian side, Dâmbovița appears in 12 cases, Ilfov in 11, Buzău in ten, and Brăila in nine. This is, of course, hardly an exhaustive mapping of the criminal geography in both countries.

At the same time, several Romanian counties link to different UK regions simultaneously. This reflects the mobility of trafficking networks themselves and supports previous findings that Romanian origin-destination profiles are not always geographically contiguous.

Once such criminal twinning is identified, how should policymakers respond? Action at only one end will always be incomplete. A bilateral and multi-domain policy, one that ties prevention in the source jurisdiction with demand reduction in the destination jurisdiction, is essential.

When May referred to the “twinned towns of modern slavery” in 2016, she named a pattern that researchers had started to document. Since then, the evidence has further supported this interpretation, suggesting that the concept offers a stronger basis for organizing policy responses to modern slavery and human trafficking than national aggregates or isolated interventions do.

Unfortunately, the many official and civil-society actors trying to address these patterns often do not see themselves as part of the same operation. Our twinning framework provides a shared roadmap that promises to strengthen their efforts, without requiring the creation of new agencies, powers, or agreements. It directs resources to the specific pairs of places where trafficking concentrates, so that prevention campaigns can target the source localities feeding a particular destination. Local authorities and police forces can then cooperate as pairs, diaspora organizations can act as protection intermediaries within their own corridor, and results can be measured corridor by corridor rather than lost in national totals.

69. The Good, the Bad, and the Ugly in Global Tax Negotiations

Author: José Antonio Ocampo **Published:** Jul 21, 2026 **Link:** View Original

NEW YORK—On August 3, negotiators at the United Nations will resume work on a Framework Convention on International Tax Cooperation. This is the first attempt to write the rules of international taxation in a forum where all countries have an equal say, so what happens in New York will determine whether the world finally gets a taxation framework capable of reaching multinational corporations and the ultra-rich.

The current global tax rules are wide open to abuse. Multinationals can and do design their legal structures to minimize the taxes they pay in the jurisdictions where they generate revenues. That is why the Independent Commission for the Reform of International Corporate Taxation (ICRICT), of which I am a member, has long championed the idea of unitary taxation.

By assessing a multinational's profits at the global level, this approach would ensure that each country in which it operates can tax its profits proportionately. A forthcoming study from the Tax Justice Network will show that lower- and higher-income countries alike would gain from such a change, with tax revenues worldwide increasing by an estimated $700 billion to $1 trillion per year.

The latest negotiations come at a time when, in the World Inequality Lab's estimation, the richest 0.001%—some 56,000 people—own three times more wealth than the poorer half of humanity. According to a committee of experts convened by South Africa's G20 presidency and chaired by the Nobel laureate economist Joseph E. Stiglitz, the richest 1% have captured 41% of all new wealth created since 2000, while the poorest half received just 1%. One finds a similar pattern in market reactions to the Iran and Ukraine wars: oil companies, commodity traders, and hedge funds have used recent supply shocks to reap massive profits, leading the ICRICT to call for a tax on war-generated windfalls.

What can a UN convention on global taxation achieve? For starters, it would demonstrate what the Global South can accomplish when it does not give up. After years of negotiations in the OECD, the resulting Inclusive Framework on Base Erosion and Profit Shifting included only limited and watered-down reforms. Refusing to accept such an outcome, the African Union pushed through a 2022 UN General Assembly resolution that moved tax rulemaking from the OECD to the UN, where the G77 (developing countries) has spearheaded the negotiations.

The African Union and the G77 understood what a century of experience had taught them: Those not at the table are on the menu. Africa, for example, loses an estimated $88.6–90 billion annually to illicit financial flows, a large share of which reflects tax avoidance by multinationals. The tax convention offers an opportunity to start addressing this problem.

Among the governments most actively involved, Brazil stands out. As G20 president in 2024, it ensured that the agenda would include a coordinated minimum tax of 2% on the wealth of billionaires. And Brazil has matched its words on the world stage with deeds at home, introducing a 10% minimum tax on the highest incomes and boosting tax revenues to 33.7% of GDP—the highest in the region and nearly the OECD average.

Moreover, Latin America has learned to speak with one voice through the Regional Platform for Tax Cooperation in Latin America and the Caribbean, which was jointly launched by Brazil, Chile, and Colombia (during my tenure as finance minister). Brazil held the PTLAC presidency until handing it over to the Dominican Republic this year, and it continues work through the platform to ensure that the region is “at the table” in the negotiations.

India, too, is stepping up. Its Supreme Court recently ruled against multinationals’ use of Mauritian shell companies to avoid tax obligations, and Prime Minister Narendra Modi’s government has signaled its intention to help write the new rules, rather than passively submitting to the old ones. Finally, the G24 (the organization of developing countries in the Bretton Woods institutions) has also given developing countries a reliable forum to agree on common positions that will give them leverage in the negotiations.

That said, there are also holdouts and hesitators. Most European countries abstained when the General Assembly approved the tax convention’s terms of reference, and many OECD members are pursuing a “high-level” convention—implying an agreement on lofty principles that will bind no one, with any meaningful commitments put aside for future negotiations.

The Europeans claim that the Framework Convention would force a renegotiation of thousands of bilateral tax treaties. But that is a scare tactic. Under the convention, obligations for states can be drafted to operate alongside existing treaties. The real choice is between rules with substance and an elegant, empty text that legitimizes a failed system.

After the good and the bad comes the ugly. The United States voted against the convention’s terms of reference in 2024, walked out of the negotiations the moment they started, and pressed others to follow. And since January, a “side-by-side” framework agreed at the OECD has exempted the US from the global minimum tax its own negotiators helped design.

The US has also become the new tax haven of the Americas: 44% of Latin America’s offshore wealth is held there, and one-quarter of it escapes automatic information exchanges. As Stiglitz notes, US President Donald Trump is openly trying to concentrate the world’s tax-abusive jurisdictions inside US territory.

He is joined by governments that prefer courting the US president than negotiating as a regional bloc. A string of new administrations across Latin America has adopted this posture, with Argentina even voting against the convention’s terms of reference and remaining outside PTLAC.

An ambitious convention that assigns taxation authority fairly must be the endgame. In a digitalized world, we need an ambitious protocol on cross-border services, so that the countries where users and consumers are located can tax the income generated there. We also need universal access to information exchange, interconnected registries of assets and beneficial owners, public country-by-country reporting by multinationals, and coordination to ensure effective taxation of the ultra-rich—starting with the minimum tax on great fortunes that Brazil has already put on the agenda.

Tax systems that erode equality end up eroding democracy. The negotiations that will resume next month are the one arena where all countries can rewrite the rules together, and where the good can prevail over the bad and the ugly.

70. The Epstein Class Was Made Offshore

Author: Brooke Harrington **Published:** Jul 22, 2026 **Link:** View Original

HANOVER, NEW HAMPSHIRE—The past decade has offered Americans an unusually vivid glimpse of long-hidden networks of wealthy elites. Beloved by conspiracy theorists and supermarket tabloids, the hush-hush systems through which the rich and famous make powerful connections, exchange favors, and hoard wealth and influence were akin to a Sasquatch: rarely glimpsed, let alone subject to sustained scrutiny, and widely believed not to exist at all. Over the past decade, however, it is as if Sasquatch has periodically strolled out of the woods and posed for a centerfold.

Speaking publicly about secret elite networks, from the Illuminati to the Bilderbergers, was once largely the preserve of crackpots and antisemites, making it easy to toss anything vaguely conspiratorial into the same buckets. When Hillary Clinton claimed in 1998 that a “vast right-wing conspiracy” of conservative media, donors, and political operatives was bent on ending her husband Bill Clinton’s presidency, she was roundly dismissed. The accusation became shorthand for a crazy idea with which no serious person would want to be associated.

Then Donald Trump appeared on the political scene. His 2016 campaign—which pitted him against none other than Hillary Clinton—shone a spotlight on the ways international networks influence election outcomes in their favor. During the campaign, Trump gleefully joked about Russia interfering on his behalf (“Russia, if you’re listening”). In his subsequent investigation of that election, Special Counsel Robert Mueller found that the “Russian government interfered … in sweeping and systematic fashion.”

Trump’s political rise also exposed the coordinated efforts of “broligarchs”—tech and finance billionaires—to shape electoral politics in their favor. During the 2024 election cycle, which produced Trump’s second presidency and established Republican majorities in both the House and Senate, just 100 extremely wealthy families spent $2.6 billion. The obscene perversion of democracy was on stark display at Trump’s inauguration, where broligarchs like Jeff Bezos, Elon Musk, and Mark Zuckerberg had front-row seats, with elected representatives relegated to the background. All eagerly reveled in the ceremonial installation of the figurehead they had purchased for the bargain-basement price of a few hundred million dollars.

And it is not just Trump. Vice President JD Vance was handpicked by broligarch-in-chief Peter Thiel, the apocalypse-obsessed Silicon Valley billionaire. Thiel is also the co-founder of “Dialog,” a 20-year-old grouping that its former managing director Simone Collins describes as an “exclusive secret society.”

Dialog’s attendee roster, leaked this past June, includes sitting members of Trump’s Cabinet and the US Senate (both the Democrat Cory Booker and the Republican Ted Cruz), as well as former heads of state, media figures, and corporate leaders from around the world. The philosophy guiding this list was summed up by Collins’s husband, who said, “we might be talking about a hundred, 500 families in the world today” who “own the future of our species.”

While all this unfolded, the world also got a glimpse of the secretive offshore system that enables these elites to hide their vast wealth from tax authorities—and from the rule of law more broadly. In April 2016, the so-called Panama Papers leak exposed more than 11.5 million financial and legal records of the world’s ultra-wealthy. This was followed by additional leaks: the Paradise Papers in 2017 and the Pandora Papers in 2021.

But the bombshell revelations were not followed by full accountability for those involved, let alone systemic reform. There were scarcely any prosecutions, let alone convictions, of those exposed for abusing the offshore financial system.

This served to reinforce the sense of impunity that is the defining characteristic of elite networks. So confident are the ultra-wealthy in their ability to avoid any legal or social consequences for their often-illicit behavior that they have increasingly abandoned the discretion of the past. These highly privileged individuals—Trump being a prime example—gain status with their peers by crowing, “NAH-nah-nah-NAH-nah, you can’t get me.”

The poster child for this phenomenon is the late Jeffrey Epstein, a longtime friend of Trump and the architect of what will surely go down in history as one of the most reviled elite networks of all time. Epstein’s network included European and Middle Eastern royalty, American luminaries from industry, the arts, and academia (et tu, Noam Chomsky?), and a long list of CEOs, not least in the tech sector.

Through Epstein, these figures exchanged favors, finance, advice, and even national secrets with one another. To enhance his network’s impact and value, Epstein also built relationships with the institutions on which society depends, from banks and hospitals to universities and book publishers.

In 2008, Epstein successfully avoided federal sex-trafficking charges that could have sent him to prison for decades. Instead, he was sentenced to just 13 months in the Palm Beach County Jail for soliciting a minor for prostitution. Less than four months into that sentence, Epstein was granted permission to leave custody for up to 16 hours per day, six days per week, as part of a “work release” program. This included up to two hours a day at the very same Palm Beach mansion where he was alleged to have committed his crimes. When he was in jail, his cell door was left unlocked.

Once this mockery of a punishment was complete, Epstein returned to life more or less as he had left it, with his network largely intact. In fact, his network grew to include broligarchs like Musk and Bill Gates, who befriended Epstein after his conviction. Musk repeatedly solicited invitations to the “wildest” parties on Epstein’s private island.

For decades, Epstein had operated in the shadows. But when he was finally thrust into the spotlight—not least because of his association with Trump—he pulled off a display of impunity that was as impressive to elites as it was shocking to the rest of us. United Nations special rapporteurs have described what he built as a “global criminal enterprise,” which had committed atrocities that may “reasonably meet the legal threshold of crimes against humanity.” For Epstein’s network, his ability to get away with it was apparently the ultimate flex.

Not surprisingly, those known to have associated with Epstein after his 2008 conviction remain largely unscathed. A few powerful men, such as Emirati tycoon Sultan Ahmed bin Sulayem, have been forced to resign from their jobs. Britain’s Andrew Mountbatten-Windsor—once known as Prince Andrew—was stripped of his royal title. The Harvard economist and former US Treasury Secretary Larry Summers, whose extensive correspondence with Epstein ended the day before federal authorities arrested Epstein again, resigned from his teaching duties and University Professorship.

But most of those implicated have maintained their fortunes, positions, and honors. Former Victoria’s Secret CEO Les Wexner remains a member of the American Academy of Arts and Sciences, and his philanthropic organization The Wexner Foundation—with its apparently unironic “Gender Safety, Respect and Equity” initiative—continues to operate. Jes Staley was sacked by Barclays as its CEO, but has faced no legal repercussions. Musk went on to become the world’s first trillionaire.

Many might be surprised to learn that Epstein, who lacked a university degree, claimed to be employed as a “financial doctor” to billionaires, advising them on what are euphemistically known as “tax-optimization strategies.” But as a sociologist who has spent nearly 20 years studying such strategies and the people who create them, this does not surprise me at all. While most wealth managers are highly intelligent, well-educated people, many share with Epstein a somewhat flexible relationship with social norms and the rule of law.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America’s founding document, and consider where US democracy is headed 250 years later.

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The Epstein story is, in many ways, an offshore-finance story. It is not just that Epstein used the proceeds from his tax-minimization business to buy himself a Caribbean island in the middle of offshore-finance territory. (Little Saint James is 13.6 nautical miles, or a one-hour boat ride, from the British Virgin Islands, a global hub of dirty money and financial crime.) Nor is it just that Epstein paid local authorities to look the other way when they encountered evidence of criminality—a classic offshore-finance maneuver.

The offshore financial system represents the selective withdrawal by a privileged few from the rule of law, without the loss of any of its benefits—like enforcement of their property rights and their contracts. Getting something for nothing is the name of the game. As I once put it in an essay on Trump’s decades of tax evasion, it is like a “dine-and-dash”: they enjoy the feast, and stick the rest of us with the bill for maintaining the society that made them rich in the first place.

Epstein and the rogue’s gallery of CEOs, celebrities, and heads of state included in the Panama Papers and other offshore leaks all represent a dramatic and decisive repudiation of the centuries-old social contract, whereby elites were tolerated in return for noblesse oblige: a commitment to use their wealth and power to serve the common good and provide a safety net for states in crisis. This was the story of the Medici, the Italian banking and political dynasty of the 15th century, and of the Gilded Age titan J.P. Morgan, who bailed out a near-bankrupt US government in 1895 and donated his art collection for public display.

Those days are gone. Now, elites around the world strive to outdo each other via flamboyant acts of “secessionary affluence.” They put their assets offshore, beyond the long arm of the law (as sanctioned Russian oligarchs do with their accounts and superyachts), and they put themselves at an increasing remove from a dying planet, whether by buying private islands, creating their own countries, or colonizing outer space.

Not content with destroying the democratic governance that helped them attain unmatched wealth and power, they seem determined to destroy everything else as they head for the exits—universities, the arts, scientific research, public health, media institutions, the housing market, the job market, and the air, water, and food supplies that keep us all alive. They are taking what they want, against our will, and casting aside what remains, just as Epstein did with his victims.

This is what happens when unprecedented wealth creation is combined with unbridled wealth concentration. And it is just one reason why, in democratic societies, the institutions responsible for taxation should be well-funded and protected, rather than reviled. The much-criticized “taxman” is a bulwark against the kind of state capture and social collapse we are seeing now in the US.

71. Will Trump's War With Canada Become Global?

Author: Vera Songwe **Published:** Jul 22, 2026 **Link:** View Original

WASHINGTON, DC—Starting in mid-December 2025, southern Africa endured months of relentless rainfall. Floodwaters swallowed roads, bridges, clinics, and schools across Mozambique's Gaza province, affecting more than 700,000 people and displacing more than 200,000. An estimated 300 deaths have been recorded, with waterborne diseases trailing in the floods' wake. Within weeks, World Weather Attribution had delivered its verdict: climate change made the rainfall about 40% more intense.

The world's donor community then did what it always does when climate disaster strikes Africa or another developing region. Blame was attributed to climate change, framed as an abstract collective failure with no single culprit. The victims were poor, but specific perpetrators could not be identified. Nobody billed anybody.

That era may now have ended, not in Maputo but in the haze over New Jersey. As smoke from hundreds of Canadian wildfires turned skies orange across much of the US, leading tens of millions of soccer fans to wonder if the world's most-watched sporting event would be disrupted, President Donald Trump responded not with cooperation or mutual aid, but with a demand for accountability. America had been "unnecessarily invaded" by Canadian pollution, he declared. The Canadian government was willfully negligent in forest management and should therefore face higher tariffs.

The politics of climate change have crossed a critical threshold. For the first time, a great power has moved to demand a price for transboundary climate-driven harms and extract compensation unilaterally (in this case from a friend, neighbor, and ally). What was previously a development, insurance, or emissions-accounting issue is now a bilateral security and trade dispute between two G7 economies. We are witnessing the first international climate-security conflict.

The irony is thick. Canadian Prime Minister Mark Carney spent a decade as the world's most influential financial voice on climate matters. As the first and most prominent central banker to warn of the "tragedy of the horizon," he gave the financial industry permission to treat climate change as a source of financial risk—some of which are physical, and some of which follow from the broader economic transition.

As prime minister, however, Carney faces pressure from a domestic coalition demanding expanded oil and gas production, and from a US administration that is brandishing tariffs to demand more extraction, more pipelines, and greater use of the same fossil fuels that are contributing to the frequency and severity of wildfires. This episode shows that science will not adjudicate climate-related costs, which instead will be weaponized by whoever holds coercive power. The smoke is Canadian, the carbon is global, and the tariff is American. The pattern will be familiar to developing countries. Back in 2019, the G20 halted multilateral funding for oil and gas exploration in developing countries just because it could, ignoring the consequences for growth in developing countries.

The US-Canada dispute marks the opening of a new era, because physics guarantees more of the same. The January 2025 Los Angeles fires were already one of the costliest disasters ever recorded, but they were confined to one country. That will not always be the case. Smoke, floodwaters, and drought-driven migration respect no borders. India, Pakistan, and

China all share Himalayan-fed rivers; six countries already contest control over the Mekong River's flows; Senegal is absorbing ever more Saharan dust from Mauritania; and displaced peoples are constantly pressing on Europe.

Each represents a "smoke tariff" waiting to be levied. If the US can tariff Canadian smoke, shouldn't Mozambique—a country battered by a problem it did nothing to cause—be able to make claims against the largest emitters? Small island states have already brought the issue to the International Court of Justice (ICJ). Can't they now cite America's conduct as proof that climate harm is an actionable interstate injury? If such damage is indeed real, quantifiable, and attributable, someone must pay.

In fact, the economics of a securitized, everyone-for-themselves climate response are ruinous. If Europe were to adopt a "fortress" position, it would be slower to decarbonize and would forgo roughly 14% of potential output by 2050. Insurers warn that fragmentation is already trapping capital behind borders, leading to regional risk pools that are too correlated to diversify and causing coverage to retreat from areas where risk is concentrated. Responding to climate damage with tariffs will accelerate these trends.

Rather than trying to improvise crisis by crisis, policymakers should focus on three priorities. The first is to treat climate resilience as a form of shared security. Carney is right to emphasize that fighting climate change is every country's responsibility, but his message has fallen on deaf ears. Decades of joint US-Canada firefighting notwithstanding, tariffs now look like an easier way to assign responsibility. But investing a portion of tariff revenue jointly in fire management, watershed protection, and grid resilience would at least help to neutralize such policies' potential for weaponization.

A second priority is to establish the means for adjudication before there can be further escalation. The world needs a common machinery grounded in science, not leverage for assessing transboundary climate harms. Perhaps AI can provide solutions. Who contributed what? Who failed to adapt? And who therefore owes whom? Small island states and the V20 have led this conversation and secured an ICJ advisory opinion and a United Nations loss-and-damage fund. These responses now must be strengthened. Trade rules should distinguish legitimate carbon levies from coercive climate protectionism.

The third priority is to prevent sovereignty claims from being pitted against decarbonization. Implicit in the US-Canada dispute is an assumption that climate costs must reflect someone's negligence, rather than being a shared consequence of accumulated emissions. Such thinking inevitably lets the largest emitters convert the costs of their own inaction into leverage. The better alternative to border-tariff logic is resilient, efficient carbon markets that link emissions, market access, and climate-adaptation finance and investment coherently and predictably. Maybe the time has come for a real discussion on global compliance markets.

The smoke over New York and New Jersey ultimately cleared enough for Spain to win the World Cup, with both Trump and Carney watching from the stands. But the precedent has been set. Climate activists have long asked whether countries would cooperate to prevent harm. Now we must ask what governments will do as the harms mount. Will they find a better answer than billing each other at the border? The world's first climate-security fight does not inspire confidence, but there is still time.

72. What the New UK Chancellor Means for the UK Economy

Author: Mohamed A. El-Erian **Published:** Jul 22, 2026 **Link:** View Original

NEW YORK—The United Kingdom’s new prime minister, Andy Burnham, is already sending shockwaves through Westminster. Defying almost every political forecast and market expectation, he has named John Healey, a former defense secretary, as the new chancellor of the exchequer.

Healey steps into this role—one of the most powerful in the UK government—at a challenging moment for the British economy. Growth has been too low for too long; fiscal flexibility is limited; borrowing costs are the most burdensome among the G7 economies; and taxes are already high, though public services often disappoint. External pressures compound the challenge, and the economy’s resilience has already been eroded by the COVID-19 pandemic and two energy shocks.

But the British economy’s potential remains considerable. Realizing that potential will not be easy, but it is doable, as long as Healey draws the right lessons from his predecessor’s experience—the good, the bad, and the ugly—and tackles the early challenges he faces effectively. Much will depend on how Healey leverages three features of his background.

The first feature is the most immediate: the shock of his selection. As late as the morning of the announcement, prediction markets put the chances that Home Secretary Shabana Mahmood would be selected for the role at around 90%. Burnham’s pivot to Healey points to a deliberate, tightly held strategy, which depends on the installation of a very specific type of operator in the Treasury. The question now is how the government will build on this surprise move.

Second, unlike Mahmood, Healey has experienced the Treasury from the inside, having served as a junior minister in the “New Labour” era, under Prime Minister Tony Blair. Healey will not need a manual to lead him to the department’s levers of power; he already understands its complex machinery. This institutional memory should enable him to move quickly in shaping a much-needed revitalization of the UK’s “growth mission.”

Third, Healey has fiercely advocated for higher defense spending—to the point that he resigned as defense secretary last month over the previous government’s unwillingness to increase funding for the military. His resignation letter lambasted his and Burnham’s predecessors—Rachel Reeves and Keir Starmer, respectively—for failing to “commit the resources that the nation needs to defend the country at this time of rising threats.”

The Treasury is traditionally the department that refuses expensive requests. Giving a vocal defense hawk control over it is a bold—and risky—move. The extent to which it pays off will depend significantly on how Healey accommodates his desire for higher military spending. Can he find the funds to fill funding gaps without hiking taxes to politically toxic levels or slashing other essential services? His openness to innovative financing approaches—such as “war bonds” coordinated with European allies and other multilateral defense funding mechanisms—could make a difference, though these would come with their own challenges.

This is just one part of a broader fiscal balancing act. Burnham, who has worried that the previous administration may have locked the Treasury into too tight a fiscal framework, has already said that he will use “flexibility” within the fiscal rules to increase investments. It is now up to Healey to find this fiscal room to maneuver, especially to fund pro-growth infrastructure, without upsetting the bond vigilantes. It might be a good sign that the bond market has not pushed back against the new government’s first fiscal measure—cutting value-added tax on electricity—but the situation remains fluid.

Ultimately, Healey is responsible for ensuring that economic growth—essential to long-term prosperity and fiscal sustainability—is not sidelined again by too narrow a focus on budget arithmetic. As he has recognized, “Treasury orthodoxy” has often kept the institution so obsessed with balancing the books that it has lost sight of broader policy strategy. To succeed, Healey will have to coordinate very closely with Burnham’s office on a comprehensive policy approach that delivers sustained inclusive prosperity through higher productivity, scaling up of home-grown innovations, regionalizing growth engines, and reinvigorating trade links, starting with Europe.

By appointing Healey, Burnham has taken a smart, calculated risk. If Healey can leverage his insider knowledge of the Treasury, pursue a bold, pro-growth agenda, and responsibly manage his own defense-spending instincts, he may well be able to deliver the structural shake-up the British economy desperately needs. But if he falls victim to the Treasury orthodoxy he has criticized, or if his commitment to raising defense spending spooks the bond market, he could quickly become a headache for the new government, especially given today’s fluid, uncertain, and shock-prone global economy.

Expectations are high for Burnham’s new government. Whether they can be met will depend significantly on whether Healey’s unexpected appointment as chancellor translates into the strategic agility the UK needs to navigate a narrow and rocky path to economic renewal.

73. Large Language Models for Small Language Communities

Author: Vivek Badrinath **Published:** Jul 22, 2026 **Link:** View Original

LONDON—Much has been said about AI's security and military risks. But the cultural and economic threats posed by large language models (LLMs) trained on a limited number of languages and owned by a handful of multinational companies have been largely overlooked. The market dominance of these LLMs leaves developing countries with minority languages at a distinct disadvantage.

Ever since OpenAI released ChatGPT in November 2022, industry leaders and policymakers have touted AI's potential to improve society by revolutionizing health care and education, as well as by driving productivity growth and income gains. But these benefits are not equally shared.

Many developing economies cannot access these AI systems, owing to their language biases. Most LLMs are trained on only 100 or so of the more than 7,000 languages spoken around the world, with English and the other Big Five "high-resource" languages—Chinese, Spanish, French, and German—accounting for nearly all of the data used. But only 400 million people are native English speakers, and just 25% of the global population speaks one of the Big Five as their first language. This imbalance could lead to cultural and economic isolation in the short term and strangle growth and diminish linguistic diversity in the long term.

There is also the bitter irony that rich countries' rapid adoption of AI, supported by a massive buildout of data centers equipped with ever more powerful compute infrastructure, has made it harder for users in developing countries to access the internet and benefit from digital tools. The AI-driven chip demand has raised the cost of smartphones, putting them out of reach for millions of people.

LLMs must better reflect local languages and cultures. Otherwise, communities risk losing their unique lexicons, long shaped by historical events, mass migrations, and political legacies. Moreover, the current lack of language diversity in AI systems will slow adoption. Digital financial services in Peru must communicate colloquially to be relevant to consumers. To deliver effective treatment, online health care in Vietnam requires the clarity that only a native language model can provide.

Mobile network operators (MNOs) are uniquely positioned to create "local" language models, owing to their armies of developers and data-processing capabilities. They are also licensed and trusted government partners. This is important because a major barrier to creating LLMs for minority languages is the lack of training data. The solution lies in the huge amounts of data held by governments, which tend to be sensitive and confidential.

For example, Ukraine's largest MNO, Kyivstar, created a partnership with the Ministry of Digital Transformation to develop the country's first national LLM, which was tailored to Ukrainian as well as other languages spoken in the country, including Russian, Bulgarian, and Crimean Tatar. Complicating the task was the fact that much of the literature in Ukraine was written under Russian rule and thus considered culturally inappropriate. As a result, four advisory committees with binding authority over the model's technical, legal, cultural, historical, and linguistic aspects guided the curation of training texts.

The Global System for Mobile Communications Association (GSMA), of which I am director general, is pursuing a similar strategy in much of Sub-Saharan Africa, including Nigeria, Madagascar, Togo, and the Democratic Republic of the Congo, through the African AI Language Models project. The initiative is bringing together the continent's Group of Six MNOs—Airtel, Axian Telecom, Ethio Telecom, MTN, Orange, and Vodacom—and other telecommunications companies, public and private actors, academics, and civil-society groups to build scalable and inclusive LLMs for African languages.

To scale AI startups that generate positive socioeconomic outcomes for the underserved, the GSMA has launched the EmergingTech program, funded by the United Kingdom's Foreign, Commonwealth, and Development Office. Its first cohort includes ToumAI, which creates voice interfaces in Morocco's local dialects to help low-literate, rural users access digital and financial services through simple spoken commands, and Wiseyak, which is developing a multilingual mix-code conversational AI solution to help reduce Nepal's digital divide.

These initiatives are extremely important as the world moves from prompt-driven to agentic AI. Digital services such as banking, health care, and education are increasingly embedding AI to assist users and will become crucial to supporting lives and livelihoods. Firms, too, are benefiting from open-source models.

Investment in local AI creates a virtuous circle for developing economies, generating a pool of tech talent that is critical to digital independence. As concerns over data and data-processing sovereignty grow, these economies must improve operational control and governance over the deployment of agentic AI. That means collaborating with developers and MNOs to build minority language models that meet their society's needs.

74. America Is Closing the Door on Opportunity—and Talent

Author: Pinelopi Koujianou Goldberg **Published:** Jul 22, 2026 **Link:** View Original

NEW HAVEN—For generations, the United States distinguished itself not simply by its wealth or military power, but by offering ambitious people born in other countries the chance to overcome the birthplace lottery. Unfortunately, the Trump administration's new visa policy for international students, though billed as merely a technical administrative change, signals a gradual retreat from this defining ideal.

By replacing the longstanding "duration-of-status" framework with fixed admission periods and stricter rules governing extensions and continued enrollment, it makes the path to studying in America, and ultimately building a productive life there, more uncertain.

Many of those commenting on the change have focused on the implications for universities, research, and innovation. But as valid as those concerns are, they may overstate the immediate consequences. The most talented students will still find ways to come to the US, leading universities will continue to recruit them, and employers will continue to sponsor them. The policy raises costs and creates uncertainty, but it does not shut the door completely.

The signal the change sends is more far-reaching. For the average student abroad—not the exceptional candidate with multiple offers from elite institutions, but the ambitious young person hoping that education might provide a path to a better future—the calculation changes. Every additional administrative hurdle, every increase in uncertainty, and every signal that foreigners are less welcome discourages applications.

To some extent, this shift may reflect changing economic realities. For decades, international students filled critical roles as research assistants, teaching assistants, and laboratory researchers before moving to technology companies and other industries hungry for highly skilled workers. As AI begins to automate some of these tasks, and as employers anticipate a future requiring fewer entry-level knowledge workers, the economic incentives for importing talent may weaken.

Whether this transition proves as extensive as many expect remains to be seen. It would not be surprising if changing labor-market conditions made governments more willing to restrict high-skilled immigration. But even if that interpretation is correct, it misses what has historically made the US exceptional as the land of opportunity.

Debates about inequality in advanced economies typically focus on disparities within countries: progressives emphasize income and wealth inequality, whereas conservatives point to the geographic inequalities caused by deindustrialization and globalization. But while both concerns are important, they pale in comparison to the inequalities created simply by the accident of being born in one country rather than another.

A child born in Somalia faces opportunities fundamentally different from those available to a child born in the US. A girl born today in Afghanistan confronts barriers that a girl with identical talents born in Sweden is unlikely ever to encounter. These disparities dwarf many of the inequalities that dominate political debate in rich countries.

Yet political philosophy has generally treated national borders as morally decisive. Even John Rawls, whose “veil of ignorance” became one of the most influential frameworks for thinking about justice, stopped short of applying the principle across countries. If you happened to be born in a place offering few opportunities, that unfortunate disadvantage largely fell outside the scope of distributive justice.

For much of its history, the US represented an important exception, not out of altruism, but because openness served its interests. The country welcomed people willing to work hard, build businesses, study, innovate, and contribute to economic growth. The result benefited both immigrants and the US itself.

This is not to romanticize the American Dream. Research by the Harvard economist Raj Chetty has demonstrated the extent to which a child’s prospects depend on where he or she grows up within the US. In their influential book Streets of Gold, economists Ran Abramitzky and Leah Boustan have shown that the classic “rags-to-riches” immigrant story often unfolded across generations rather than within a single lifetime. Many immigrants remained poor; it was their children and grandchildren who climbed the economic ladder.

But these findings reinforce the broader point. The first generation may not always have prospered, but immigrant parents gave their descendants opportunities that would have been unimaginable had they remained in their countries of origin. The American Dream was never a guarantee of success. It was a guarantee that success was possible.

Of course, that possibility is unevenly distributed: family background, neighborhood, schools, and social networks all influence whether individuals even perceive the opportunities available to them. But it is a better proposition than the situation faced by millions around the world whose opportunities are constrained not only by circumstance, but also by the borders they cannot cross.

This possibility has also distinguished the US from many wealthy societies that pride themselves on equality and social justice but maintain far more restrictive immigration regimes. America’s openness was never perfect, nor was it motivated solely by generosity. It was an exercise in enlightened self-interest that also happened to reduce one of the world’s deepest forms of inequality.

Viewed in isolation, the effects of the new visa policy may seem modest. But as part of a broader retreat from openness, it signals that the country once known for offering ambitious outsiders a chance to transform their lives is less willing to do so. That marks not simply a change in immigration policy, but a renunciation of a key source of America’s strength.

75. The Strong Suffer What They Must

Author: Harold James **Published:** Jul 23, 2026 **Link:** View Original

PRINCETON—World politics has gone topsy-turvy. No longer do the old great powers seem to control everyone's destiny. They have been weakened and discredited: Russia is steadily disintegrating, and Donald Trump's presidency has diminished America's international standing. The old powers may still have golden heads, but their feet of clay have been exposed.

Assessments about what matters are shifting, too. Recall that in the era of high globalization—the decade between the end of the Cold War and the 9/11 terrorist attacks—power did not seem to matter anymore. Small, open, reform-minded countries like New Zealand, Chile, Ireland, Israel, and the Baltic States were big winners. But with the 2003 Iraq War, and especially with the 2008 financial crisis, size suddenly mattered again. China and the United States could deliver hefty fiscal stimulus packages and manage financial-sector shocks, whereas Europeans were wracked by a deepening debt crisis.

The 2010s thus lent new support to classical realism in international relations. Thucydides's famous observation—"the strong do what they can, and the weak suffer what they must"—was recycled endlessly, harkening back not just to ancient Greece but to the 20th century, when economic power determined the outcomes of two world wars. The Soviet Union and the US defeated Nazi Germany and Imperial Japan because they could mobilize resources in a larger, more coordinated manner. Estimating power in the world amounted to tallying steel and coal production, manpower, or GDP (which had emerged primarily as a tool of wartime economic planning).

These 20th-century lessons themselves drew on the transformation wrought by the Industrial Revolution. Steel and coal production generated a capacity to replace human and animal muscle with carbon energy—a profound source of strength. But now, this focus on industrial capacity is increasingly misplaced. A new kind of industrial revolution is upsetting the old realist calculation. In the new world of AI-enhanced coordination, a strong centralized command structure becomes a source of inflexibility, rather than a strategic tool.

This new technological order is evident in the two asymmetric wars of the 2020s: Russia's full-scale invasion of Ukraine in February 2022, and the US attack on Iran this year. In both cases, a larger state took it for granted that old-fashioned forms of power would deliver a quick victory, only to prove itself vulnerable to asymmetric warfare.

In each case, the big power suffered because its strategic choices depended too much on the whims of one obviously fallible man. The small power, by contrast, quickly developed strategies to manage coordination in a decentralized way. Iran had long prepared for scenarios in which the regime was decapitated, and Ukraine quickly managed to coordinate information on troop movements supplied by thousands of citizens. Both worked with highly educated populations that were mobilized to counter an external threat.

The two sides also had contrasting cost structures. The small states relied on relatively cheap weapons, namely drones (often produced with imported plastic parts), while the big states were still using extremely costly military systems. One Iranian Shahed-136 drone is estimated to cost around $35,000, while two Patriot missiles used to intercept it come in at

$8 million. Moreover, these expensive interceptors cannot be replaced at the same pace as the lower-cost drones. When these differences grow large enough, the weak look much stronger.

There are also increasingly obvious limits on the big powers' ability to mobilize effectively. Russia still refuses to call its war a war, but it cannot extend conscription to sustain a mere "special military operation." Because the regime is unwilling to antagonize the population of its major cities, it has relied on the rural poor and prisoners who want to reduce their sentences. Equally, the US knows that it cannot risk the large-scale military casualties that could follow from a "boots on the ground" strategy in Iran. Lacking congressional approval, as required by federal law, the operation was initially called an "excursion"—his own "special military operation."

Taken together, these differences between big and small states suggest that the conventional wisdom on international politics is obsolete. For example, the international relations scholar John Mearsheimer has consistently emphasized Russian advantages in manpower, artillery, and production capabilities. Since the Kremlin has maintained a substantial armaments industry designed to fight something "like World War I," and since the Ukraine war resembled that conflict at the outset, Mearsheimer suggested that a Russian victory was inevitable.

The same doctrine of "offensive realism" shaped the US administration's approach to the war. As US Vice President JD Vance writes in his new book, "The gap between Ukraine's and Russia's abilities to project military power was vast, and we lacked the capacity to enable the Ukrainians to close that gap—and keep it closed—all by ourselves." It was that calculation that led Vance and Trump to ambush Ukrainian President Volodymyr Zelensky in the Oval Office in 2025, announcing to the world that Zelensky did not "have the cards."

It turns out that Trump, Vance, and "offensive realists" like Mearsheimer were the ones holding a weak hand. Foolish military interventions driven by outdated calculations of economic power have thoroughly discredited the old big powers. Thucydides might well have appreciated the irony of a world in which the weak do what they can, and the strong suffer what they must. And if they continue on their current path, they will suffer still more.

76. Yes, the Hong Kong of Old Is Over

Author: Stephen S. Roach **Published:** Jul 23, 2026 **Link:** View Original

NEW HAVEN—Hong Kong deserves credit for putting up a fight. In the nearly two and a half years since I expressed the apparently controversial opinion that Hong Kong is “over,” the city’s boosters have orchestrated a determined campaign to prove otherwise.

At first glance, this heroic defense seems to have some merit. Hong Kong’s economy has been relatively resilient, and a resurgence of the Hang Seng Index has erased memories of the 2018–20 collapse stemming from political turmoil. Moreover, the city has reclaimed its position as the global IPO leader, giving it bragging rights as Asia’s premier financial center. Paul Chan, Hong Kong’s financial secretary, and other leading government officials consistently sing its praises.

Beneath the surface, however, the story is very different. Beijing’s hostile takeover following the pro-democracy demonstrations of 2019–20 has transformed Hong Kong into just another big Chinese city. Today, its Mandarin name, Xiānggǎng (,“fragrant harbor”), which celebrates the city’s pre-colonial Chinese heritage, seems more apt than Hong Kong, a phonetic translation from Cantonese, the city’s long dominant dialect.

This dramatic transformation into Xiānggǎng is the real story. Hong Kong’s defenders are in denial about this new chameleon-like identity, instead viewing it as another example of the city’s inherent resilience. Nice try.

IPO leadership, long the most precious jewel in the city’s financial-services crown, is a glaring case in point. But the city’s return to the top spot in 2025 was driven by listings of mainland Chinese companies such as CATL, Luxshare Precision, Z.ai, Momenta, and Montage Technology. They account for a significant share of recent funds raised. Hong Kong is less a thriving global IPO market than a major platform for Chinese issuers.

The rule of law, long regarded as one of Hong Kong’s greatest institutional advantages, has been severely compromised. In 2020, China bypassed the Hong Kong legislature and imposed a sweeping national security law. Four years later, Hong Kong’s lawmakers rushed through Article 23, an expansion of the 2020 security law that integrated China’s national security framework into the city’s legal system. These changes have stifled open debate, resulted in new arrests and harsh sentences for previously imprisoned activists, led to closures of independent bookstores, and destroyed any semblance of a free press.

Moreover, six foreign judges have resigned from Hong Kong’s Court of Final Appeal, calling the independence of the city’s highest judicial authority into serious question. Among the departures was Jonathan Sumption, one of England’s most brilliant jurists, who warned in the Financial Times that a Mainland strain of “judicial ‘patriotism’” was poisoning the city’s legal system.

Lastly, there are the people. While Hong Kongers remain proud of their heritage, and the city’s overall population has held steady at around 7.5 million since 2020, there has been a dramatic shift in the composition of the workforce. The Hong Kong government does not publish official emigration statistics by nationality, but research points to a significant outflow of expats, including many mid- and senior-level professionals, since 2020, followed by a surge of Chinese workers from the mainland. Walking the streets of Hong Kong today, one is just as likely to hear Mandarin as Cantonese.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America’s founding document, and consider where US democracy is headed 250 years later.

Taken together, this represents a fundamental transformation in Hong Kong’s character. The city’s stunning outward appearance remains. But that hardly justifies the tales of competitive innovation that the pro-China camp spins. Conveniently left out of this narrative is that this resilience has been largely made in China, not in Hong Kong. China’s stock-market stimulus of September 2024, for example, propelled equity markets upward, unleashing a torrent of Chinese IPOs that were consciously steered to Hong Kong’s sophisticated equity-distribution platform. And now the PRC’s “national team” is attempting to do it again.

It is obvious that Hong Kong’s economic performance is closely correlated with China’s. Thus, sluggish Chinese GDP growth, which slid even further below target to 4.3% in the second quarter of 2026, will undoubtedly weigh down Hong Kong’s growth.

The Hong Kong government seems to think that Chinese-style central planning offers new hope for its economy and recently launched its first five-year plan. But, as China is painfully learning, such plans can often over-promise and under-deliver. This suggests that until there is a meaningful test of the downside—for the economy or the equity market—any conclusions drawn about Hong Kong’s resilience are premature.

To some extent, I have become a lightning rod in the “Hong Kong is over” debate. Hong Kong and Chinese officials are quick to pounce on my comments. Local journalists often ask if I am ready to admit that I was wrong (particularly after I conceded that a managed stock market has risen more than I had expected). Just the other day, a leading reporter messaged me: “‘Hong Kong is over’ seems over. What would you say about it?” Well, let me be clear: the Hong Kong of old is, indeed, over. Go to Xiānggǎng and see for yourself.

77. Why Iran Won’t Change

Author: Pegah Banihashemi **Published:** Jul 23, 2026 **Link:** View Original

CHICAGO—As the funeral of Supreme Leader Ayatollah Ali Khamenei, killed in the opening wave of US-Israeli airstrikes in February, drew to a close, thunderous sounds of bombardment rose from Iran’s south. But through the funeral rites and renewed airstrikes alike, one state institution never broke its stride: the gallows. Protesters recently seized in the streets and political prisoners held for years are being executed at a rapid rate.

The United States and Israel’s strategy in Iran seems to have assumed that a war of attrition, together with US President Donald Trump’s dramatic threats, would change how the Islamic Republic treats its people or the world, or drive a critical mass of Iranians into the streets to topple the regime. The months since February have revealed the flaws in this assessment.

The Islamic Republic’s first supreme leader, Ayatollah Ruhollah Khomeini, built the entire system on a simple, brutal, and unassailable doctrine: Any action against the regime or state apparatus must be met with the harshest possible punishment—no leniency allowed. Officials are permitted to do whatever it takes to preserve the system, even if it means trampling the regime’s foundational religious principles.

Khomeini preached clerical guardianship over the state (velayat-e faqih) for years before the 1979 Iranian Revolution. But it was after he became Supreme Leader that the doctrine’s true breadth was revealed. In January 1988, in a letter to then-President Khamenei, he declared that the interests of the Islamic state took precedence over all “secondary” tenets of Islam, including prayer, fasting, and pilgrimage to Mecca. This expanded version of the theory became known as the “absolute guardianship of the jurist” (velayat-e motlaqeh-ye faqih).

In other words, embedded in the Islamic Republic’s foundations is a doctrine that allows for total repression of the population and total mobilization of state resources in the name of preserving the system. Regardless of which ayatollah holds power or who forms his inner circle, the doctrine remains the same.

That is why the newly empowered third generation of leadership does and will behave no differently than its predecessors. This includes using the Revolutionary Courts—originally intended to handle only specific matters, such as espionage charges—as a tribunal issuing death sentences to anyone expressing the slightest objection to the status quo. While defendants face severe charges, they are tried without so much as an independent defense attorney.

Iran was ramping up executions well before the war began. Amnesty International recorded at least 2,159 executions in 2025, more than double the number from the previous year. The war did not deter the Iranian authorities from this campaign. Pausing for neither bombardments nor the Persian New Year, Iran’s apparatus of repression has carried out at least 40 executions on politically motivated charges since February 2026.

Following the March 27 ceasefire, moreover, Iran Human Rights documented a sharp rise in executions from the previous month, with at least 101 executions taking place in June. Despite the war, Iran has carried out at least 413 executions this year—and it has no plans of changing course. As it stands, more than 70 protesters are known to be on death row in a single prison in Isfahan, with at least 26 having already been transferred to solitary confinement ahead of imminent execution. As the director of Iran Human Rights observed, “The true number of death sentences issued nationwide is far higher than previously estimated.”

This brings us to the US-Israeli assumption that Iran’s people will rise up against the regime. While extreme repression discourages dissent, it can also galvanize resistance, especially when combined with prolonged economic hardship and intense social pressure. In Iran, even those who have longed for meaningful change within the regime, rather than its replacement, have been repeatedly disappointed.

Popular frustration appeared to be coming to a head before the US-Israeli strikes began, when tens of thousands of Iranians took to the streets. True to Khomeini’s doctrine, they were met with a massacre. Iran’s government has acknowledged 3,117 protester deaths. HRANA, a press association founded by Iranian human-rights advocates, puts the confirmed death toll above 6,000, though some estimate that it is much higher: 17,000 or even 36,500.

Soon after Iranians endured this brutal crackdown, US and Israeli bombs began to fall. Trump apparently hoped that this would transform protest into revolution, but after all that bloodshed, Iranian society stayed home. The propaganda-enhanced specter of Iran’s territorial fragmentation provoked such alarm that fervor for regime change gave way, practically overnight, to deep societal rifts and disagreements among Iranians, inside and outside the country. The resulting sense of uncertainty and estrangement caused many to grow more attached to the system they had previously wanted gone.

This fear of fragmentation should be understood not as a psychological weakness, but as a rational response to a choice between bad and worse. This dilemma underpins the efficacy of the Islamic Republic’s foundational doctrine. The costs of the status quo are high, but Iranians have concluded that the costs of collapse and fragmentation would be even higher.

It should be clear by now that a war of attrition is not simply insufficient to bring down the Islamic Republic; it is actually bolstering the regime’s prospects for survival. Far from forcing Iran’s leaders to dismantle the cruelest mechanisms of repression, every new round of attacks produces fresh fodder for them: new arrests, new sentences, and new executions.

78. Rethinking Global Imbalances

Author: Jean-Pierre Landau **Published:** Jul 23, 2026 **Link:** View Original

PARIS—Global imbalances are moving back to the top of the policy agenda, reflecting angst about the "second China shock." As China's industrial exports have surged while imports have stagnated, its growing trade surpluses have become a problem for everyone.

The familiar recommendation to address this state of affairs is for China to consume more, Europe to invest more, and the United States to consolidate its fiscal position. But these prescriptions are incomplete, because each fails to capture the industrial and technological dynamics that are now at work.

At the root of the problem is the increasing asymmetry and concentration of industrial production and capacity in a few countries. Today's imbalances are not simply the result of poor macroeconomic coordination. Rather, they reflect strategic behavior and a departure from the bias toward openness on which the postwar trade order was built.

Gone is the idea that countries would try to maximize consumer welfare within a shared rules-based system. Instead, trade and industrial strategies in China and some other economies have exploited two old lessons of economic theory.

First, in modern economies, scale and learning decide all. A sector's performance improves as it gains size, and productivity increases and unit costs decline as experience accumulates. Together, scale and learning interact to generate increasing returns and create cumulative dynamics, where performance strengthens performance and ensures economic and technological dominance.

In other words, comparative advantage, as the Nobel laureate Paul Krugman emphasized as early as 1987, is created, rather than arising from underlying national endowments. China owes its spectacular success in electric vehicles, batteries, and solar panels not to some pre-existing comparative advantage, but to a cumulative interaction of scale, learning, industrial policy, and global market penetration.

Second, to generate this dynamic, firms must export, because domestic demand is rarely sufficient to reach the scale needed for technological leadership. Gaining global market share is not a by-product of success but rather a condition of it.

Meanwhile, to channel domestic resources toward research, production capacity, infrastructure, and industrial ecosystems requires policies that force savings and shift investment from non-tradable to tradable sectors, including through exchange-rate management. The risk of periodic oversupply and imbalances is seen as an acceptable cost of building scale in strategic sectors.

The analytical foundations for such policies have existed for decades. What is less often noticed is their price. By pushing exports and constraining consumption, such a strategy implies running sustained current-account surpluses. A current-account surplus is necessarily associated with a net export of capital—the economy necessarily produces more than it consumes and invests at home, which is both a financial and a real transfer to the rest of the world. Its workers and households forgo part of the goods and services they could otherwise enjoy. The difference is saved and exported.

These financial and real transfers are inseparable—two expressions of the same strategy. And herein lies the paradox: Countries receiving the transfers increasingly object to them.

In terms of welfare, European consumers should welcome cheap electric vehicles, batteries, and solar panels that are subsidized directly or indirectly by Chinese workers and taxpayers. But Europeans instead see them as a threat, which is rational from a dynamic perspective. Cheap imports may raise purchasing power today, but they can destroy the industrial base on which tomorrow's income depends. The transfer is generous in the present, but costly in the future.

The calculus is inverted for the surplus country, which sees present transfers as a small price to pay for unleashing the cumulative process of learning-by-doing, through which comparative advantage becomes larger and increasingly irreversible. The current-account surplus is not the final objective. It is a means to achieve market and technological dominance.

A useful complement to this strategy is capital controls. Controls on outflows keep domestic savings at home, while restricting inflows prevents the economy from rebalancing from tradable to non-tradable sectors—the opposite of what the strategy aims to achieve. Capital inflows strengthen the currency, weaken exports, and support consumption. They accelerate domestic absorption before scale and learning are secured, thus impeding the pursuit of comparative advantage.

These drawbacks explain why several Asian economies, China above all, have combined high savings, capital controls, exchange-rate management, and industrial policy. Each of these instruments is usually analyzed separately, with capital controls treated as financial repression, exchange-rate management as mercantilism, subsidies as trade distortions, and high savings as a macroeconomic imbalance. But, together, they form a coherent strategy for blocking normal domestic adjustment, keeping resources in tradable sectors, preserving competitiveness, and building dynamic comparative advantage.

The liberal assumption that all countries seek to maximize consumer welfare within a common trade-policy framework was too simple. We must accept the reality that different countries have different objectives with different time horizons. Global imbalances reflect deliberate strategies that use trade surpluses as instruments of industrial policy. The question is not just how to cope with insufficient coordination, but how to respond to conflicting strategies.

Acknowledging reality is a prerequisite for devising effective policy responses. But that doesn't mean advocating aggressive tariffs and retaliation, which at best may provide short-term relief (at consumers' expense), while failing to address the underlying dynamics that caused the problem in the first place.

Instead, different trade and exchange-rate disciplines will be required. In a world of powerful externalities and pronounced asymmetries, large actors may continue to have natural incentives to pursue export promotion and strategic dominance. If so, only effective red lines on market access and domestic subsidies can keep them in check. Otherwise, scale will compound itself, and the largest players will become harder to challenge.

Benign neglect of exchange rates is no longer tenable. Trade rules cannot be separated from exchange-rate policies and capital controls. Active surveillance of exchange-rate policies should therefore become a core part of the trade regime. As long as this goes unrecognized, the rules designed to govern international economic relations will remain little honored and often breached.

79. What Ukraine’s Success Means for the West

Author: Chrystia Freeland **Published:** Jul 24, 2026 **Link:** View Original

OXFORD—The changing face of the battle for Ukraine has taken much of the world by surprise, both in terms of the horrific scale of casualties that Russia is enduring—nearly 40,000 last month, according to Ukrainian officials—and the dynamism and sheer chutzpah that has characterized Ukraine’s war effort.

For the world’s democracies, the most important lesson to draw from Ukraine’s doggedness and brilliant innovations and improvisations may be that we should not be so surprised. Our lack of confidence in Ukraine, particularly at the start of the war, and our overestimation of Russia’s military might, is closely connected to our weakening faith in democracy as a system. This political alienation is not only wrong, but dangerous. The courage and determination of ordinary Ukrainians in the face of almost immeasurable challenges should give us more confidence in our core values and way of life.

Ukrainians recently demonstrated those values after four and a half years of war. When determined and constructive mass public protests erupted in the wake of Defense Minister Mykhailo Fedorov’s sacking last week, President Volodymyr Zelensky responded no less constructively to the complaints by replacing the army commander-in-chief who had opposed Fedorov and his focus on high-tech warfare, underscoring the remarkable fact that Ukraine is determined to fight this war as a democracy.

There are several reasons why Ukraine has been able to stymie its much larger aggressor. For starters, Ukraine is not the fractured society Russian President Vladimir Putin brutishly proclaims it to be. Archbishop Borys Gudziak, head of the Ukrainian Catholic Church in the United States and president of the Ukrainian Catholic University in Lviv, told me, shortly after the war started, that Zelensky is so effective because he is following the lead of the ordinary people of Ukraine. That much was clear in his response to the countrywide pro-Fedorov demonstrations.

The fundamental importance of unity under fire should be familiar to the West. What we are seeing in Ukraine is a latter-day version of the united, democratic British national spirit we recall so proudly in commemorating the escape from Dunkirk, 86 years ago last month.

Ukraine’s system of decentralized, grassroots military procurement is an example of democratic unity in action. Brigades buy their own weapons, directly from arms-makers. Sometimes, they make their own weapons. That means very close interaction between fighters and weapons makers, with innovation cycles sometimes as truncated as two weeks. The defense ministry rewards the most successful brigades with more money to buy weapons. Civilians can and do make direct contributions to their favorite units.

Armin Papperger, CEO of Rheinmetall, the giant German defense firm, commented on this very homegrown defense sector at the end of March: “It’s Ukrainian housewives,” he told an interviewer. “They have 3-D printers in the kitchen, and they produce parts for drones. This is not innovation.”

Ukrainians could have been insulted, but they decided to see the comment as a back-handed compliment. A #MadeByHousewives hashtag went viral on Ukrainian social media within 24 hours. My friend Oleksandr Kamyshin replied on X: “Rheinmetall says our #LEGODrones are #MadeByHousewives in their kitchens. Fine. Meanwhile our #LEGODrones already burned more than 11,000 Russian tanks.” Unsurprisingly, Rheinmetall walked back the comment, posting: “We have the utmost respect for the Ukrainian people’s immense efforts in defending themselves ... It is to Ukraine’s particular credit that it is fighting highly effectively even with limited resources.”

At the same time, Ukraine has found that its diversity is its strength, something many Western democracies also should remember. In a political environment where inclusiveness is derided as virtue-signaling, if not positively dangerous, and where we are subjected to US Secretary of Defense Pete Hegseth’s cartoonish cosplay of vitriolic white Christian masculinity in the Pentagon, Ukraine’s lived reality of war—neither macho nor ethnically rooted—is a powerful corrective.

Women are central to Ukraine’s war effort. Consider Iryna Terekh, the CEO of Fire Point, and possibly the very “housewife” who inspired Papperger’s thoughtless comment. She makes the “flamingo” missiles that were used in the strike on Titan-Barrikady, the Volgograd producer of launch systems for ballistic missiles, last month.

Terekh is in her early thirties, a mother of two, and trained as an architect. She decided to become a missile maker after surviving, with her children and a girlfriend, the occupation and massacre of civilians in Bucha at the start of the war. Terekh escaped unscathed, and told herself she never wanted to be afraid of being raped by invading soldiers again. At presentations, she likes to give out hot-pink socks, labeled “MILF tech,” inscribed with the motto, “Keep your legs warm and your arsenals full.”

Ukrainian women are fighting, too, including in combat positions. Some 20% of military cadets are women and an astounding 80% of Ukrainians support women’s inclusion in the military. Ukrainian women soldiers tell me they see fighting as feminine. Ukrainian mothers are especially convinced of this. After all, it is a mother’s job to protect her children.

Ukraine today is very intentionally a political nation. It is fighting this war as a society united by its values, rather than the sort of “blood and soil” ethnic bond that captivates right-wing populists. Muslim Crimean Tatars, for example, are an important and celebrated part of the war effort, particularly doing dangerous espionage and sabotage operations in Russian-controlled Crimea. And, of course, Ukraine’s war leader, Zelensky, is proudly Jewish.

Another important lesson Ukraine provides to the West is that patriotism can be a powerful force in defense of liberal democracy. Patriotism often frightens or alienates liberals and progressives, especially when they see it evoked by the extreme right. But patriotism is being harnessed to unite not only Ukraine, but democracies like Denmark, Canada, and Spain, all of which feel threatened by the United States under President Donald Trump.

To survive, small democracies need allies, and democratic Europe, unlike Trump, is stepping up for Ukraine. It is trendy, especially in US business circles, to write Europe off as rudderless and economically stagnant: “a pretty museum,” a trope embraced by the Trump administration and MAGA Republicans in Congress. But today, when it comes to Ukraine, Europe is meeting the moment.

With former Prime Minister Viktor Orbán’s ouster in Hungary, Europe has defended its own democracy, and is now united on Ukraine. European Union membership played a critical role in the Hungarian vote. Slovakia’s Prime Minister Robert Fico, who has flirted with pro-MAGA, anti-Ukrainian positions, has now publicly backed Ukraine’s EU membership bid. That has unblocked the EU’s €90 billion ($102 billion) loan—hugely significant support that will keep Ukraine solvent and able to fight through 2026 and into 2027.

Europe’s attitude toward Ukraine, and toward Russia, is entirely different from its position at the beginning of the full-scale Russian invasion. Polish Prime Minister Donald Tusk, speaking at an informal European Council meeting in late

April, expressed what is increasingly the mainstream European view: "I want to wake up those who are living under illusions. Russia is preparing for further acts of aggression."

As a result, for Europe, Ukraine is no longer a charity case, or a righteous victim to be pitied. Europe has come to view Russia as an existential threat, and Ukraine as the only country in the world that knows how to keep Russia at bay. Ukraine is now—quite rightly—seen as Europe's shield and arsenal.

The contrast with the US under Trump is jarring. Not only has the US withdrawn most support for Ukraine, but it has also shown real sympathy to Russia—and is proud to say so. In April, Vice President JD Vance told Turning Point USA, the late Charlie Kirk's quasi-evangelical, MAGA-friendly activist group: "One of the things I'm proudest that we've done in this administration is that we told Europe: if you want to buy weapons, you can, but the United States is not buying weapons and sending them to Ukraine anymore. We're just out of that business."

The same month, Hegseth, testifying to the Senate Armed Services Committee, was shown a chart by Senator Angus King of Maine illustrating that Ukraine has been receiving aid only from European states. "I think that is a beautiful chart," Hegseth smugly replied. Meanwhile, the US fired more Patriot missiles in the first four days of the Iran war than it gave to Ukraine over the past four years. The absurdity of the US position comes into stark relief when one considers Russia's assistance to Iran with intelligence and weapons. Components that could have been from the Cheboksary plant Ukraine's flamingos hit last month were found inside an Iran-linked Shahed attack.

This is all important to note, because we could be on the verge of revisionist history. Trump has, all of a sudden, started to praise Ukraine, and even offered at the recent NATO summit to license the Patriot system for Ukraine's domestic production. Some of his fans, accustomed to adjusting even core beliefs in line with their hero's changing whim, are starting to suggest that the US cold shoulder has in fact been a bit of cunning diplomatic jujitsu. Trump, they suggest, has actually helped Ukraine and the EU by forcing them to figure things out on their own.

The real lesson of the war in Ukraine is far different. We are learning that the US, or at least this US administration, cannot be counted on to defend democracy and its traditional allies, even in a fight that democratic forces can win. That is a lesson with consequences far beyond Ukraine.

The war in Ukraine should prompt two final reflections. The first is that many Western experts, if not most, got it wrong from the very beginning (some still do). They predicted that Ukraine would fall quickly, evidently believing Putin's promise of a three-day "special military operation." When that turned out to be wrong, they continued to predict Ukraine's defeat was just a matter of time.

This expert failure has had real consequences. It meant NATO allies held back on arming Ukraine before the war started, because of their conviction that those arms would fall into Russian hands. Assumptions that Russia would inevitably win last year meant Ukraine was forced to devote scarce time and energy to fending off demands that it actually surrender territory unoccupied by Russia to secure peace.

As University of Toronto professor Seva Gunitsky has pointed out, we need to ask why the experts got it so wrong on Ukraine, in part because we need to take care not to repeat those analytical failures elsewhere. It is easy to imagine how the same habits of mind that misled us on Russia's war of aggression against Ukraine could lead us astray on China and Taiwan.

The second reflection prompted by Ukraine's fight for survival is that we live in an age of technological marvels and political failures. Drones and deep-strike missiles mean that everyone is physically vulnerable. From the glittering skyscrapers of Dubai to the onion domes of Red Square, we are all within reach. And yet the Trump-engineered collapse of the rules-based international order, including threats to NATO itself, mean that no one has a reliable insurance policy against that material threat.

In other words, we need to learn from Ukraine because, in the world that Putin and Trump are intent on creating, we are all Ukrainians now.

80. How AI Could Reinforce Dollar Dominance

Author: Chenxu Fu **Published:** Jul 24, 2026 **Link:** View Original

SINGAPORE—The signing of a 20-year data-center lease probably does not register as a monetary event. Even the announcement of a dollar-pegged stablecoin linked to the AI boom would not necessarily be given this label. But such developments are proliferating—and contributing to the formation of a system in which a critical input for the global economy is priced, paid for, and ultimately recycled into dollar assets.

This is not a new concept. Since the 1970s, the pricing of oil in US dollars has increased global demand for the currency and generated export revenues for oil producers, which often directed them toward US markets. But the petrodollar is a template, not a prophecy. It shows that when production, payments, and asset-recycling reinforce one another, an indispensable input can embed a currency in global markets.

AI might generate its own version of this dynamic. Discussions about who will “win” in the AI economy often focus on the race to build the most advanced models. But the true transformation begins when model performance converges, and companies integrate AI into everyday operations. At that point, just as we talk about dollars per barrel today, we may find ourselves considering dollars per unit of compute.

Energy underlies this metric. AI is far from weightless. Data centers convert electricity into billable computing capacity, which is now being secured years in advance. When Anthropic signs a 20-year lease with TeraWulf, an infrastructure provider, it looks a lot like an industrial firm securing long-term production capacity. This is a supply-side wager that demand for compute will persist.

The demand side may well reward that bet. To be sure, though many firms are experimenting with AI, few have reengineered their operations around it. But OpenAI’s new consulting arm Deployment Company (DeployCo) aims to change this by embedding engineers within companies to integrate AI into their workflows. Once such systems are in place, compute will become a recurring operating expense.

This brings us to the first channel that will reinforce dollar dominance. If the AI supply chain is dominated by US-linked firms and priced in dollars, global digital production will have to source dollar liquidity, and the revenues will land inside a largely dollar-based financial system. Unlike oil revenues, these proceeds would not accumulate abroad before being recycled into US markets.

But the invoice is only the visible layer. Beneath it, invisible infrastructure is forming: the payment rail on which agentic commerce will increasingly run. OpenAI’s partnership with Visa, which aims to build this infrastructure, points to a more programmable future. Should AI agents begin procuring services, arranging logistics, and reordering inventory with minimal human intervention, payments must be automated and machine-native.

This is the second channel that will reinforce dollar dominance. Dollar-pegged stablecoins, in particular, could provide the programmable settlement that agentic commerce requires. The announcement of Open USD—a dollar-pegged stablecoin with the backing of more than 140 payment, financial, and crypto firms—signals that dollar tokens are already being positioned for this transformation.

The two channels could eventually merge. The same rail that enables programmatic settlement of agentic commerce through dollar-pegged stablecoins could facilitate compute payments as easily as any other. Dollar invoicing would thus be combined with stablecoin settlement, turning technological dependence into monetary dependence.

In principle, tokenized deposits or central bank digital currencies could do the same job as dollar-pegged stablecoins. But payment systems reward early network effects. The question is not whether dollar stablecoins are the only option, but whether they become the first to work efficiently across borders at scale.

This infrastructure also recycles, as demand for programmable dollars is translated into demand for the safe assets that back them—notably, US Treasuries. Agentic commerce has barely gotten off the ground, and already stablecoin issuers rank among the largest buyers of Treasury bills.

Collectively, these developments point to the possible emergence of an energy-compute dollar loop. Electricity powers data centers; data centers produce compute; compute enables the automation of business activity, including payments that favor programmable settlement; and stablecoin reserves flow into US Treasuries. The result would be a self-reinforcing cycle linking AI infrastructure, digital payments, and US financial markets.

Remarkably, no government appears to be orchestrating this process. Whereas the petrodollar was built on official agreements, its AI-based successor is being constructed largely through commercial decisions. Cloud providers secure land and power. AI firms package models into services. Payment groups construct stablecoin rails. Stablecoin issuers purchase Treasuries. Each step is logical on its own; together, they quietly reinforce dollar dominance.

This has important implications for policymakers outside the United States—particularly in countries that have spent years trying to reduce their dependence on the dollar. The ASEAN+3 countries, for example, have sought to settle trade in local currencies, link national payment systems, and pool reserves to protect against dollar shortages.

While the ASEAN+3 cannot prevent the self-reinforcing dollar loop from forming, they can limit their dependence on it. The key will be to combine energy, AI, and payments into a single strategic agenda. Regional data centers, powered by affordable and increasingly clean energy, could increase local firms' access to compute. And the development of local-currency tokenized settlement for agentic commerce would reduce dependence on dollar systems and keep transactions visible to regulators.

The goal for other countries is not full technological self-sufficiency, which is probably not possible any time soon. Rather, it is to participate in digital production without accepting a new layer of dollar dependence as the price of entry. After all, unlike petrodollar arrangements, the emerging AI system offers countries no seat at any summit table.

While policymakers and economists debate the future of dollar dominance, AI companies, cloud providers, and payment networks might already be writing it into the next chapter of international monetary history. Those who hope to shape that chapter must act now—or risk being left off the page.

81. How Burnham Can Make UK Devolution Work

Author: Mariana Mazzucato **Published:** Jul 24, 2026 **Link:** View Original

LONDON—On his first morning as prime minister of the United Kingdom, Andy Burnham visited a charity for the homeless and pledged to end rough sleeping nationally by expanding the "Housing First" strategy he pursued as mayor of Greater Manchester. In doing so, he offered an early glimpse of his model of government: a state that provides resources from the center, then entrusts delivery—and the lessons that come with it—to local authorities.

The discourse surrounding Burnham's devolution agenda often presents a false dichotomy between Manchester and Westminster, or localism versus centralism. But there is not necessarily a contradiction between handing power back to "the place where you live" and presiding over the machinery of a capable state at the national level. Consider Burnham's pledge to "oversee the biggest council house-building program since the postwar period." The clarity of vision and financing mechanisms come from the center, but implementation is expected to rest with councils and combined authorities on the ground. Each piece is equally critical to successful delivery, as is the connective tissue between them.

The choice was never between a strong center and strong councils, cities, and regions. The more important question is whether the two are built to work together, with the center creating leverage that other places can use, and with the lessons those places generate finding their way back to the center. Get this interplay right and the model will be self-reinforcing; get it wrong and you will perpetuate what Britain has had for the past two years: bold ambitions announced from the center, only to be quietly abandoned or compressed into short-term wins that don't become enduring solutions.

Fortunately, cities are already engaged in learning by doing regardless of whether anyone at the center is watching. Manchester's Bee Network brought buses under public control and taught the combined transit authority how to plan routes and fares as one network, rather than through a patchwork of private contracts. Camden's COVID-19 response demonstrated what it actually takes to get people off the street and into shelters. The key question in such cases is whether specific lessons—which capabilities mattered, which relationships had to be built first, which approaches struggled—are captured and transmitted to where they are needed next.

The Public Sector Capabilities Index, which my institute has been developing with Bloomberg Philanthropies across dozens of cities worldwide, was created to close the transmission gap. Rather than simply ranking governments, the index provides a common language and understanding of which capabilities (in-house negotiation, data use, cross-departmental coordination) are driving results, and which are missing. Such insights are what turn a good local experiment into a transferable one, and scattered pilots into a coherent, self-improving system.

Burnham is not wrong to make devolution a key priority for the new government. Economic growth cannot show up only in aggregate figures from the Treasury. It must actually be felt in places like Rochdale and Sunderland. But devolved power still needs an engine. Local institutions can convert autonomy into meaningful outcomes only if they have the right capacities and capabilities.

To that end, they will need negotiators who can confidently shape deals in the public interest, instead of signing off on terms set by private-sector partners; procurement teams that understand how to maximize the public value of their purchasing power; and public-finance vehicles that function as investors of first resort, rather than merely derisking private capital. The Greater Manchester Good Growth Fund contains seeds of this approach, as does the Camden Community Wealth Fund, a £30 million ($40 million) place-based social investment fund that is designed to give residents a say in investment decisions.

At the same time, only the state can define national missions and catalyze activity across sectors through an outcomes-oriented industrial strategy, bringing various local strategies into a coherent framework that is larger than the sum of its parts. These should be built around shared, clearly articulated challenges—such as achieving net-zero emissions or creating good jobs and resilient supply chains—that give local institutions something worth aligning behind.

Equally important, a reformed fiscal framework can distinguish strategic, long-term investment from day-to-day spending, so that a local authority borrowing to build isn’t judged by the same headline number as one borrowing to cover a shortfall. The Office for Budget Responsibility estimates that a sustained 1%-of-GDP increase in public investment could boost output by 2.5% over the long term (50 years). A Treasury that sees this potential and treats national missions as whole-of-government undertakings (rather than as line items for one department) can prevent ambitious objectives from being the first thing discarded under pressure.

None of this reform vision is in tension with devolution. On the contrary, it is what would give devolution staying power. The harder, less discussed challenge is to make the flow of local lessons back into the system routine rather than incidental. To facilitate this, the UK needs not only new fiscal rules that reward long-term investment, but also a civil service re-equipped to negotiate rather than outsource and mechanisms (like our capabilities index) that will let local experimentation feed back into the broader system—instead of evaporating at the boundary of whichever council or combined authority ran it. This doesn’t require choosing between the center and the periphery. It calls for creating connective tissue between them, so that what is learned in one place strengthens others.

“Place first, not party first” is the right instinct. But a mayor who becomes prime minister has a rarer opportunity than most of his predecessors. Burnham can build a state where the center’s job is not to control the periphery, but to scale the most promising solutions that the periphery generates. The test of the next 100 days lies not just in whether power moves from Whitehall to Manchester, but in how different authorities work together.

These implications extend beyond Westminster, and indeed beyond the UK itself. When Britain takes the G20 Presidency in December 2026, it will have an opportunity to demonstrate how place-based policies and national industrial strategies can drive inclusive growth together. By bringing local lessons to the world stage, the UK can make a major contribution to the global conversation about good growth.

82. Will the Real Marco Rubio Please Stand Up?

Author: Ricardo Hausmann **Published:** Jul 24, 2026 **Link:** View Original

CAMBRIDGE—On the classic American game show "To Tell the Truth," three contestants claimed the same identity while a panel of celebrities questioned them, searching for inconsistencies. After the panelists cast their votes, the host delivered the famous request: "Will the real ___ please stand up?"

Venezuelans have been asking that question about US Secretary of State Marco Rubio ever since American troops captured President Nicolás Maduro in January. More than six months later, they are still waiting for an answer.

There seem to be three Rubios, each with a plausible claim to being the real one. The first is the Rubio many Venezuelans thought they knew: the son of Cuban immigrants who understands what dictatorship does to countries and families, and who has spent most of his public life denouncing tyranny and championing freedom, democracy, and the rule of law.

This Rubio is supposedly fighting an uphill battle against those within US President Donald Trump's administration who view Venezuela not as a democracy to be restored but as an oil field to exploit and a security problem to manage. He wants to see political prisoners freed, repressive institutions dismantled, the electoral system rebuilt, and Venezuelans free to choose their own leaders, thereby ensuring that Maduro's regime does not survive under new management.

The second Rubio is not resisting the administration's strategy. He is implementing it, reassuring the opposition that democratic reforms will come while the United States reaches an accommodation with those who inherited Maduro's machinery, led by acting President Delcy Rodríguez. The good cop and the bad cop are thus reading from the same script.

The third Rubio, meanwhile, presides over an opaque political economy in which Venezuela's oil revenues, contracts, and institutions serve regime insiders and Washington dealmakers, turning democracy from the stated objective into the principal obstacle. Months after Rodríguez was sworn in, her caretaker government remains staffed by regime loyalists. More than 300 political prisoners remain behind bars, the repressive apparatus is intact, and no electoral timetable has been announced. Asked when Venezuelans might vote, Rodríguez replied, "I don't know, someday."

The message could hardly be clearer. Two years after Venezuelans voted overwhelmingly for opposition presidential candidate Edmundo González, only to see his landslide victory stolen, none of the prerequisites for a credible election has been put in place. Before Venezuelans can vote again, the country needs an independent electoral authority, a voter registry that includes the eight million Venezuelans living abroad, abolition of the regime's repressive laws, international election monitors, and guarantees that the armed forces will respect the outcome.

No one can still pretend that these are purely Venezuelan decisions over which the US has no meaningful influence. As the New York Times recently reported, Rubio effectively controls Venezuela's finances and the allocation of its natural resources. Rodríguez even reportedly seeks his approval for important government appointments.

Moreover, most of Venezuela's export revenues flow first to the US Treasury, which returns them with strings attached—an arrangement the Times likened to "parents handing out allowances to children." Exercising a degree of control over a sovereign country that no US official has wielded since Paul Bremer ran occupied Iraq, Rubio has been dubbed "the viceroy" by American and Venezuelan officials.

While the Trump administration boasts that billions of dollars in oil revenues are flowing to Venezuela, there has been no public accounting of how much has been collected or how the money has been spent. Democracy cannot be built on secret accounts, and a democratic transition cannot inspire confidence when the man overseeing it also controls the purse strings.

The new government faced its first major crisis on June 24, when two massive earthquakes, measuring 7.2 and 7.5, struck 39 seconds apart, devastating Caracas and the coastal state of La Guaira. By the government's own count, nearly 5,000 people died and more than 16,000 were injured. Civil-society groups still list tens of thousands as missing, while security forces reportedly obstructed rescue efforts.

Rodríguez has dismissed criticism of the response as a conspiracy against her government, and the resulting state of emergency has become the latest excuse to delay the democratic transition. In today's Venezuela, even natural disasters serve those in power.

Nothing offers a clearer indication of the Trump administration's true intentions for Venezuela than its treatment of María Corina Machado, the opposition leader who united Venezuela's democratic movement and won the 2025 Nobel Peace Prize. When she tried to return home after the earthquakes, the Rodríguez government closed the country's airspace and threatened anyone who might help her.

The Rodríguez government did not act alone. US officials forced Machado's plane to turn back, while a senior White House official dismissed her attempt to return as "grotesque political opportunism." By working with the Venezuelan regime to keep the country's most popular democratic leader in exile, Rubio undermined the "good cop" posture he had carefully cultivated.

Venezuelans in the US have fared no better. The administration continues to subject them to visa restrictions, has ended humanitarian parole for 117,000 Venezuelans who entered legally with US sponsors, has stripped hundreds of thousands of Temporary Protected Status, and has kept running deportation flights to Caracas. If Venezuela was intolerable enough to justify removing its ruler, how can it be safe enough to receive the very people who fled his rule?

So which Rubio is real? The embattled defender of liberty? The good cop reassuring Venezuela's democratic opposition while the administration cuts its own deals? Or the powerful viceroy whose actions suggest that Venezuelan democracy was never more than a bargaining chip? Perhaps the answer no longer matters. Ambiguity is not a virtue; it is a choice.

More announcements will surely follow in the coming months. There may be an election date, a reconstruction fund, or another gesture toward the opposition. Judge such promises only by what can be verified: political prisoners freed; an electoral authority Venezuelans can trust; a genuine voter registry; Machado home and safe; and every dollar of oil revenue accounted for. Anything short of that is theater.

83. West Africa Needs Its Own Draghi Moment

Author: Fernando Morra **Published:** Jul 24, 2026 **Link:** View Original

GENEVA—Ever since the discovery of previously undisclosed liabilities revealed the true size of Senegal's public debt, the country's political debate has revolved around a single question: Should it restructure? Many economists argue that it should, while others believe that fiscal adjustment and stronger institutions can restore confidence without imposing losses on creditors. Both sides, however, mistakenly assume that Senegal's challenge is primarily a fiscal one.

The conventional approach to debt sustainability focuses on government finances: Will primary surpluses and economic growth stabilize public debt? Are debt-servicing obligations manageable? And how significant are the rollover risks? These are important questions, but countries do not repay external debt with fiscal surpluses alone—they repay it with foreign currency.

Like many sovereign-debt crises before it, Senegal's current predicament is as much about external imbalances as it is about public finances. Over the past decade, the country has consistently imported far more than its export earnings and remittance inflows could cover, financing the resulting deficits through foreign borrowing and other capital inflows.

While this strategy supported investment and growth, it also increased external liabilities. A growing share of these obligations is now owed to private external creditors, largely through Eurobonds and other debt instruments that must ultimately be repaid in foreign currency earned from exports.

The question, then, is where those foreign-exchange earnings will come from. Bound by the fixed exchange-rate regime of the West African Economic and Monetary Union (UEMOA), Senegal cannot devalue its currency to make exports more competitive and restore external balance. Instead, it must rebalance in one of two ways: through a painful internal devaluation—marked by lower wages, weaker domestic demand, and higher unemployment—or through sustained productivity gains in the tradable sector to boost exports and generate the foreign currency it needs.

Europe faced a similar dilemma during the 2010-12 eurozone crisis, as countries like Greece and Portugal grappled with severe external imbalances after years of abundant external financing. Neither could devalue its currency, leaving internal adjustment as the only option.

Greece, for its part, was forced to undergo a dramatic internal devaluation. Wages and domestic demand collapsed, unemployment soared, and output took years to recover. The current-account deficit eventually narrowed, but at an enormous social cost.

Portugal's transition proved less traumatic. Unlike Greece, it relied on both fiscal consolidation and a more productive tradable sector. Higher productivity boosted exports and foreign-exchange earnings, making the rebalancing more socially and politically sustainable.

Whether Senegal becomes a Greek tragedy or experiences a Portuguese-style recovery may depend less on fiscal arithmetic than on the productivity of its tradable sector. In fact, Senegal may already have an important advantage: new oil and gas production, together with its established mineral exports, could significantly strengthen the country's external position. If these earnings are sustained and support economic diversification, they could help ease debt pressures over time.

But there is a catch: economic transformations take time, and financial markets rarely provide it. Portugal's adjustment succeeded in part because it benefited from a robust financial backstop. In 2012, as the eurozone appeared on the verge of collapse, European Central Bank President Mario Draghi famously pledged to do "whatever it takes" to preserve the single currency. Those three words—and the policies that followed—shifted market expectations, lowered borrowing costs, and bought governments the time needed to implement structural reforms.

The lesson from the eurozone crisis was not that fiscal or external fundamentals had suddenly become irrelevant. Rather, successful adjustment requires financial stability. Without an effective backstop, even countries pursuing the right policies can be derailed by adverse market dynamics.

The question is whether the UEMOA has an equivalent backstop. Who is willing to do "whatever it takes" for the monetary union? The obvious candidate is the Central Bank of West African States. But unlike the ECB, the BCEAO does not issue a global reserve currency. Thus, its ability to support member states during a crisis is constrained by the UEMOA's foreign-exchange reserves.

Senegal, of course, is not the only West African country facing mounting debt pressures. Several other UEMOA members have also accumulated substantial external obligations to private creditors, creating a shared external-financing vulnerability. Recent crises in Ghana, Zambia, and Ethiopia have illustrated how these vulnerabilities can complicate debt restructurings and amplify financial instability.

UEMOA members should not assume they will fare differently. West African policymakers have spent years strengthening fiscal rules and surveillance frameworks. Those efforts remain essential, but Europe's experience shows that monetary unions need mechanisms to contain financial stress and give economies time to rebalance—a particularly difficult challenge for the UEMOA, given that its capacity to provide a regional backstop is constrained by the union's shared foreign-exchange position.

Whether the UEMOA can develop the institutional architecture needed to withstand such shocks, both now and in the future, remains an open question. While the beginning of a financial crisis is often easy to identify, its ultimate consequences are not. Addressing these risks will require coordinated action by member states, regional institutions, and international partners.

84. Why Business Leaders Are Souring on AI

Author: Dambisa Moyo **Published:** Jul 27, 2026 **Link:** View Original

LONDON—After years of soaring expectations, the AI industry is approaching a moment of reckoning. Despite record investment, investors, executives, and corporate boards are growing increasingly skeptical that AI will deliver significant productivity gains anytime soon.

AI skepticism is driven by several factors. For starters, the cost of using large language models continues to climb, often with few measurable benefits. According to the Silicon Data Token Expenditure Index, LLM spending has doubled since 2025, even though the cost per token has fallen by more than 90% over the past three years.

In other words, AI usage has grown so rapidly that lower token prices have failed to reduce overall spending, leaving companies paying more than ever. Economy-wide, the Federal Reserve Bank of Atlanta estimates that firms will increase AI spending by 50% in 2026, to $280 billion.

This spending surge has exposed a fundamental asymmetry. As companies come under growing pressure to justify rising AI costs, LLM providers have become increasingly dependent on token consumption to sustain revenue growth and support lofty market valuations.

The obvious question is when—and if—these investments will begin generating meaningful productivity increases or cost savings. A 2025 MIT report found that 95% of generative AI pilot programs, including many intended to accelerate revenue growth, have failed to achieve their stated objectives.

Another source of concern is the growing risk that companies deploying AI tools may inadvertently hand over their proprietary intellectual property, data, and business know-how, accumulated over decades, to major model providers like OpenAI and Anthropic. While licensing agreements and contractual safeguards limit exposure, LLM providers may nevertheless gain access to information that reveals how companies create, price, and capture value.

The dispute between Anthropic and Figma illustrates this tension. Figma partnered with Anthropic to develop AI-powered design assistants, but the relationship came under strain when reports emerged that Anthropic was developing a competing tool, which it subsequently launched as Claude Design.

This is not a new phenomenon. History is replete with examples of technology companies leveraging their scale, capabilities, and market position to enter adjacent markets, most notably Microsoft’s displacement of Lotus 1-2-3 and WordPerfect with Excel and Word in the 1990s. Companies would be wise to keep that in mind as they deepen their reliance on AI.

Beyond such commercial risks, AI is also likely to impose broader economic and societal costs over the longer term. These include rising demand for electricity, water, and data-center infrastructure, as well as growing job displacement and inequality as AI automates an ever-larger share of routine work.

Addressing these challenges will require greater public investment and, ultimately, higher taxes on businesses, potentially including new forms of social support such as a universal basic income. Many business leaders fear that the private sector will increasingly be held responsible for AI's unintended consequences, creating pressure to raise corporate taxes.

Taken together, these concerns help explain why many business leaders are adopting a more cautious approach to AI adoption. Palantir CEO Alex Karp recently captured this sentiment in an interview with CNBC, accusing OpenAI and Anthropic of "stealing the weights and alpha of my business" through token-based pricing.

Against this backdrop, business leaders should consider four steps as they develop their AI strategies. First, companies should review and restructure AI contracts so that model providers have more skin in the game. If LLM providers are confident they can deliver billions of dollars in productivity gains and cost savings, they should be willing to tie at least part of their compensation to the value they create rather than rely solely on usage-based pricing.

Business leaders should also continually compare the cost and time required for AI to complete a task with the cost and time required for humans to perform it, using clear operational and financial metrics to assess AI's economic value.

Second, companies should avoid becoming overly dependent on any single model provider. Many firms are already experimenting with multiple models, assigning different providers to different functions or deploying AI tools within operational sandboxes before rolling them out company-wide.

More broadly, companies should consider open-source alternatives. Many of today's leading open-source models have been developed by Chinese firms and arguably outperform their Western counterparts. They also come at a fraction of the cost. Token prices for MiniMax M3 and DeepSeek V4 Pro, for example, are less than one-tenth of those for Claude Opus 4.8. That is why companies like DoorDash and Airbnb are turning to Chinese models. For many Western companies, however, geopolitical and cybersecurity concerns are likely to outweigh those advantages.

That brings us to the third step business leaders should take. Greater reliance on AI will inevitably require stronger cyber defenses. Beyond the cybersecurity risks associated with today's LLMs, advances in encryption, decryption, and quantum computing are likely to make cyber threats more frequent and severe, accelerating the fragmentation of the global technology ecosystem and making it increasingly difficult to operate across borders.

These threats are already attracting the attention of policymakers. In its latest Financial Stability Report, the Bank of England warned that rapid advances in frontier AI capabilities have heightened cyber and operational risks, increasing the likelihood of faster, more coordinated disruptions.

Finally, to justify the enormous sums being invested, business leaders must set timelines for seeing clear evidence that AI is delivering on its promise. With global AI spending projected to reach $2.5 trillion in 2026 and corporate token bills up 320% since 2023, the pressure to prove AI's economic value is bound to increase.

If that evidence fails to materialize, growing investor impatience could trigger a dramatic repricing of AI-related assets. The longer expectations outpace results, the greater the risk of a painful market correction.

85. India’s Exam Worriers Become Democracy Warriors

Author: Rohan Sandhu **Published:** Jul 27, 2026 **Link:** View Original

CAMBRIDGE—A reckoning has just played out on the streets of New Delhi and other major Indian cities. Tens of thousands of young Indians rose up against an education system that is failing them, ultimately securing the resignation of Education Minister Dharmendra Pradhan—a powerful symbolic victory. But the message of the protests is more profound: the socioeconomic compact between India’s youth and its political leadership has collapsed.

Each year, millions of Indian 17- and 18-year-olds spend months losing sleep over their 12th-grade board examinations, before regurgitating the same knowledge in a slew of college entrance exams. For another huge segment of students, the board examinations are irrelevant; their lives revolve around engineering, medicine, and law entrance exams, for which they have spent the better part of five years preparing. In the event of failure, economically privileged students might take a gap year and park themselves in coaching centers to prepare to try again.

The process is brutal enough in normal times. This year, over two million students took the highly competitive National Eligibility cum Entrance Test, in order to qualify for medical college, only to find out nine days later that the results had been voided, owing to allegations of a leak, and they would need to re-take the test. Another 1.8 million took the Central Board of Secondary Education’s annual examination, only to notice grading discrepancies that apparently resulted from a new digital marking system.

The Indian government’s response to the affected students’ plight—which has included extreme stress, exhaustion, and even suicide—has run from indifference to disdain and hostility. When young people marched to parliament to get their voices heard, they were met with violence. But the fury on the streets was difficult to quell. This was not a response to a one-off event, but an explosion of long-standing frustration.

For decades, successive cohorts of students—including mine about 20 years ago—have resigned themselves to the idea that the Indian education system is designed more as a sorting mechanism than as a means of building human capital. But even this characterization now feels overly generous. Students are forced to run a gauntlet of high-stakes exams, only to find that the transition to employment has completely fractured.

Recent research indicates that between 2011 and 2023, the number of college graduates aged 20–29 in India almost doubled, from about 32 million to 63 million. But around 40% of graduates under 25 are unemployed, and about 20% of those aged 25–29 remain out of work. Among young men, only about 4% of 12th-grade graduates, and 6.7% of college graduates, manage to obtain a permanent salaried job within a year of reporting themselves unemployed.

Other industry analyses suggest that only 8% of university graduates are in jobs that match their qualifications, while more than half work in low-skill roles that do not require a degree. With advances in AI threatening to wipe out the bottom rung of the career ladder, the situation is set to worsen.

This will only exacerbate India’s burgeoning youth mental-health crisis, which policymakers have so far failed to address in any meaningful way. In 2014–24, student suicides increased by nearly 80%, with nearly 124,000 students taking their lives over that decade. More broadly, suicide in India now accounts for nearly one in six deaths among individuals aged 15–29, surpassing deaths from road accidents and infectious diseases. In a large survey of university students across nine states, over 12% of respondents reported contemplating suicide over the past year. Between one-quarter and one-third of respondents reported moderate-to-severe anxiety and depression.

These outcomes amount to an indictment of an education system that has prioritized a narrow idea of achievement over psychological safety. Indian Prime Minister Narendra Modi himself effectively characterized the exam system in his book Exam Warriors. His intention was apparently to motivate students to fight their way to “victory.” But against what? A war, by definition, requires an enemy. In this paradigm, the student’s own curiosity must be systematically defeated.

More insidiously, this system functions as a training ground for a broader culture of compliance. Risk aversion and fear of failure are so acute in India that they are hampering entrepreneurship. Even as senior government ministers chide Indian startup founders for focusing on consumer services, rather than deeper innovations in areas like semiconductors, they preside over an education system that rewards rote learning, rather than critical thinking and experimentation.

In The Disengaged Teen, Jenny Anderson and Rebecca Winthrop describe four distinct modes of student engagement: achiever, passenger, resister, and explorer. For generations, the Indian system has produced mostly passengers, who went through the motions to ensure their survival, and high-performing achievers, whose pursuit of perfection was propelled by a debilitating fear of failure. Those who could not cut it became resisters, but because the paradigm was so rigid, they typically turned their resistance inward—a practice that left them deeply isolated and vulnerable to mental-health crises.

By enforcing and rewarding compliance, this system produces elites with little patience for questions about, let alone opposition to, the status quo. When students take to the streets to demand change, educated Indians are likely to say that they should go home and study.

But today’s young people fought anyway, making clear that the failure is the state’s, not theirs, and demanding democratic accountability. In doing so, they executed a profound psychological shift and displayed precisely the traits that make “explorers”: purpose, critical thinking, and a refusal to accept a broken status quo.

86. The Cost of Not Building Data Centers

Author: Vittorio Quaglione **Published:** Jul 27, 2026 **Link:** View Original

MILAN—The massive inflows of capital into data centers amid the frenzy of AI infrastructure investment have generated significant pushback in the United States by local opponents, leading to the cancellation of data-center projects worth at least $85 billion over the past three years. In July, New York became the first state to enact a moratorium on new data centers, as other states and the federal government consider similar proposals. But concerns about data centers' economic and environmental costs, while reasonable, are only one part of the story. Everyone still must ask: Will the US miss out by not building more data centers?

As Josh Zoffer, a former official at the National Economic Council under President Joe Biden and now an investor in the AI sector, recently put it, data centers are a "crucial test of US industrial resolve." They highlight the uncomfortable truth that building strategic capacity in the future usually requires sacrifice in the present. Failure to recognize this reality has led US policymakers to bungle similar buildouts in the past. Two cases stand out.

In the 1970s, a global oil shock forced the US to acknowledge that its energy dependence was a source of strategic vulnerability. In a 1977 speech, President Jimmy Carter warned Americans that building a secure and diversified domestic energy base would require the US economy to go through a phase of "higher costs" and "greater inconvenience." But Carter's willingness to address reality, rather than sugarcoat it, did not have the desired effect.

As the economist Jeffrey Currie argues, Carter's successors drew a different lesson. They avoided admitting scarcity, and responded to supply shocks instead by talking prices down and drawing on strategic reserves. Still, they did not build real energy security; they bought time, but delayed necessary investments.

Today's tensions around the Strait of Hormuz serve as a reminder of the need for the energy transition that Carter urged. Even though the vast reserves of shale gas that have been accessed since then mean that the US is no longer as energy dependent as it was in Carter's time, it is still exposed to oil shocks, as rising gasoline prices show.

By contrast, China has spent decades pursuing electrification, which Jeff Currie calls "the purchase of optionality." The resulting flexibility—an electron, Currie writes, "can be sourced from coal, gas, sun, wind, or uranium"—has helped cushion China from the current energy crisis.

The US also missed an opportunity to avoid reliance on China for rare-earth minerals. In the second half of the 20th century, the Mountain Pass Mine in California was a key node in US domestic rare-earth production and processing capacity, ensuring a stable and self-sufficient supply chain. By 1999–2000, however, operations had been drastically scaled back, owing to environmental concerns, regulatory changes, and lower-cost Chinese producers, on which US industry was relying for more than 90% of its rare-earth needs, according to the US Geological Survey.

Both examples underscore an important shortcoming of US decision-making. Markets are efficient at pricing the costs of doing something, but very inefficient at pricing the costs of not doing it. As a result, markets fall short when returns have a social component, such as economy-wide investments in secure supplies of energy and rare-earth minerals.

To help economies successfully steer, coordinate, and underwrite investments with a cross-market scope, Mariana Mazzucato and Dani Rodrik have argued for public-private partnerships in their work “Industrial policy with conditionalities: a taxonomy and sample cases.” They clarify that conditionalities are crucial to success: the government must create incentives to drive private firms’ decision-making toward otherwise unsought outcomes.

Such a public-private deal could be designed around the government providing private firms with one or more benefits—loans, tax incentives, accelerated permitting—in exchange for two types of conditionalities: directionality and risk/reward. Directionality would mean requiring AI hyperscalers to address local concerns by internalizing environmental and social costs (such as technical-data sharing, water management commitments, and co-investing in grid buildouts). Risk/reward would entail that, where the public underwrites part of the risk, it also shares part of the returns. For example, this could be done through excess-profit sharing, equity-like instruments, or access to computing power.

Compared to the recent past, policymakers are already in a better position to appreciate data centers’ strategic importance. The global economic regime has changed, clarifying the value of such infrastructure. After World War II, the world was focused on rebuilding together. Integration was the goal, and globalization the means. Today, geoeconomics dominates a more fragmented landscape. Power now rests on the ability to control strategic nodes.

That means policymakers are already more inclined to see strategic investments through a cross-market lens. From that perspective, the strategic relevance of data centers is less uncertain than energy optionality or rare-earth processing once appeared to be. Nvidia CEO Jensen Huang has described AI as a five-layer cake: data centers sit inside the infrastructure layer, highlighting their economy-wide relevance.

Of course, the problem of channeling investment to strategic industries is not confined to the US. In his 2024 report on European competitiveness, former European Central Bank president Mario Draghi recognized breakthrough innovation, defense-industrial capacity, and cross-border grids as public goods “that will be undersupplied without common action.”

Building data centers must become a bipartisan issue. The success of public-private partnerships will hinge on their design. Too many conditions, and innovation might be stifled; too few, and private market players get to have their cake and eat it, too.

87. The Dangerous Spread of Jim Crow Nostalgia

Author: John J. Donohue **Published:** Jul 27, 2026 **Link:** View Original

STANFORD—After the right-wing influencer Charlie Kirk's death last year, a video clip resurfaced in which he proclaimed that Black Americans "are poorer, more murderous, and more dangerous" today than in the Jim Crow era. The soundbite sparked outrage in liberal circles, owing to the dubious suggestion that Jim Crow had conferred some advantages on its victims, and became a flashpoint in the debate about Kirk's legacy. Since then, Kirk's claim has spread far and wide, with respected figures like Shelby Steele of Stanford University and the former Reagan adviser Robert Woodson peddling a similar line.

Given the claim's growing reach, and the importance of assertions about Black progress to several important policy issues, fundamental questions must be asked. Is there any empirical basis for what Kirk said? And if there is no empirical basis for the claim, how did it spread so widely in conservative circles and beyond? Ten years ago, it was heard only from fringe talk show hosts like Jesse Lee Peterson, who calls Donald Trump "The Great White Hope" and liberals "The Children of the Lie." Now, it's in the Wall Street Journal.

First things first: The claim that Black America is poorer today than it was during Jim Crow is simply preposterous. According to official US government statistics, almost 55% of Black Americans lived in poverty in 1959, compared to under 20% today. Moreover, researchers have determined that these official figures considerably understate the progress that has been made, because they do not fully capture various forms of government support. A more comprehensive "full-income poverty measure" shows that Black poverty fell from 50.8% in 1963 to 2.9% in 2019, while non-Black poverty fell from 15.6% to 1.4%. The poverty gap thus shrank from 35.2 percentage points in 1963 to 1.5 percentage points in 2019.

Declining poverty rates among Black Americans are not a coincidence; they are a consequence of the progress made in the postwar civil rights era. Economists have brought powerful statistical tools to bear on this history, documenting how migration to America's northern states and civil rights reforms created more opportunities for Black Americans. Wise policies can help to extend these gains, whereas benighted ones can impair the life prospects of Black Americans (and indeed those of all Americans).

Kirk's claim that Black Americans are more violent now than during the Jim Crow era is also incorrect. The Black homicide rate today is lower than at any time between 1950 and 1965. Apart from the 2020–2022 spike during COVID-19, this has been true for 25 years. Homicides among Black Americans began increasing just before the end of Jim Crow but declined sharply in the 1990s as the first generation of Black Americans born after the civil rights era reached their crime-prone 20s, and as the last generation born before the civil rights era aged out of crime.

Americans have extremely distorted views about crime, often believing it is skyrocketing when it is falling. Political elites know this and often manipulate the public's ignorance to serve their own ends, which is why social media over-represents the presence of Black violent criminal suspects by 26 percentage points relative to local arrest rates.

How, then, do empirically false claims like Kirk's reach the mainstream? Unfortunately, the phenomenon is not new. Misleading narratives about Black Americans have a long history, and they survived the Jim Crow era. Today's misinformation about Black poverty mirrors rhetoric about the mythical "welfare queen," a Black woman in Chicago convicted of welfare fraud who President Ronald Reagan frequently mentioned in campaign speeches. She became representative of a supposedly large cohort of Black single mothers who chose to remain poor and have children to collect government benefits.

Similarly, misinformation about Black crime echoes the infamous Willie Horton ad from the 1988 presidential race between George H.W. Bush and Michael Dukakis. The ad featured a Massachusetts Black man convicted of first-degree murder who assaulted a white couple while on a weekend prison furlough. It was designed to portray Dukakis, then the governor of Massachusetts, as soft on crime. But the truth is that furlough programs were standard practice at the time in nearly every state.

Social media have supercharged age-old stereotypes of Black poverty and criminality. Scholars have identified an "alt-right pipeline" in which individuals are fed increasingly reactionary content online, but those ideas can travel through the same network in the opposite direction. After fringe personalities produce false claims, mid-level influencers will repeat them, and eventually they will reach the mainstream—with little trace of their origins still apparent.

That is why it sometimes feels like politicians and pundits can just say whatever they want. Social media blurs the barrier between the fringe, which produces fabricated claims about the world, and the candidates and commentators who can now use such claims to support their agenda.

Black Americans are not "poorer, more murderous, and more dangerous" today than in the Jim Crow era. They are more prosperous and safer by a wide margin. The First Amendment protects free expression, but one abuses that right by advancing demonstrably false claims, especially against a group that, despite having achieved rapid and dramatic economic progress, has been systematically mistreated for more than 250 years, and has yet to experience the same prosperity enjoyed by the rest of America.

88. The Gulf’s Push for AI-Led Governance

Author: Sami Mahroum **Published:** Jul 27, 2026 **Link:** View Original

DUBAI—For years, scholars and policymakers have warned that governments have become too dependent on external advisers. In their 2023 book The Big Con, Mariana Mazzucato and Rosie Collington argue that governments’ growing reliance on consultants has weakened public institutions by draining them of knowledge, judgment, and problem-solving capacity. The clearest example may be the United Kingdom, where decades of outsourcing, privatization, and managerial reform have eroded the state’s ability to think for itself.

AI is now rewriting the economics of state capacity, enabling governments to recover capabilities once entrusted to outside advisers. While this shift is poised to affect every major economy, its earliest and most revealing signals are emerging in the Gulf.

To understand why governments outsourced their thinking in the first place, consider a distinction familiar to theorists of knowledge. In the 1960s, Hungarian-British polymath Michael Polanyi observed that much of human knowledge is tacit, rooted in judgment and intuition rather than written instructions. Japanese management scholars Ikujiro Nonaka and Hirotaka Takeuchi later showed how organizations create value by converting tacit knowledge into codified forms that can be stored and reused. Governments and firms turned to consulting firms because they wanted access to that tacit layer.

AI is collapsing that boundary. Large language models can now read, compare, synthesize, benchmark, model, and recommend courses of action. They do not replace all human judgment, but they increasingly handle analytical tasks that once required large specialist teams.

The effects are already visible. In a study by academics at Harvard, Wharton, Warwick, MIT, and the Boston Consulting Group, for example, it was found that consultants using AI completed tasks significantly faster while producing higher-quality work. In effect, AI functions as an industrial-scale engine of knowledge conversion, transforming tacit expertise once dispersed among specialists into codified, shareable forms.

In this respect, AI may reverse the process identified by Mazzucato and other critics of government outsourcing. While outsourcing has hollowed out state capacity, AI enables governments to recover some of it through systems they own and control. The hollow state, in other words, may give way to the encapsulated one.

The Gulf offers an early glimpse of how this transition could play out. Gulf Cooperation Council countries have long relied on consulting firms for megaprojects, institutional reforms, sovereign investment strategies, and national development plans. As a result, the regional consulting market was projected to exceed $8 billion in 2025, led by Saudi Arabia.

But unlike in many Western economies, the Gulf’s reliance on consultants did not reflect a hollowing out of the state. Rather, it emerged alongside ambitious state-building efforts, as governments sought to move faster than their institutions could. In the process, ministries and sovereign wealth funds gained access to international policy experience, while consulting firms became informal channels for transferring expertise across the region.

While Gulf governments have begun to tighten consultancy spending, citing fiscal pressures and recent regional instability, they are investing heavily in computing power, national data assets, and domestic AI talent. Saudi Arabia is a prime example: in 2024, its Public Investment Fund launched Project Transcendence, a $100 billion initiative aimed at strengthening AI capacity. At LEAP 2025—the kingdom's flagship technology conference in Riyadh—it announced nearly $15 billion in AI investments. The country has also established HUMAIN, a PIF-backed company developing Arabic-language models and building the data-center infrastructure needed to support them.

The United Arab Emirates, for its part, has built its own AI ecosystem around G42, a state-backed tech company, the sovereign investment platform MGX, and a partnership with Microsoft that is expected to attract more than $15 billion in investment by the end of the decade. Qatar, meanwhile, has also launched a national AI company, Qai, alongside a $20 billion infrastructure partnership with Brookfield.

The Gulf's AI buildup demonstrates how quickly such investments can reduce governments' dependence on external advisers. For years, GCC governments have relied on consultants to meet the demands of rapid economic transformation. AI now offers a way to bring some of that capacity in-house through systems trained on national data and aligned with local priorities.

This shift, however, is not about how governments deliver public services or determine which citizens are eligible for benefits—tasks that cannot be delegated to algorithms. Rather, it concerns what scholars call "policy analytical capacity": governments' ability to identify policy problems and evaluate available solutions.

It is here that AI's advantages over traditional consulting become most apparent. Well-designed AI tools allow public-sector experts to analyze more data and explore more policy options at a fraction of the cost.

As governments bring more analytical work in-house, the urge to look outward is likely to weaken. In that sense, AI may achieve Mazzucato's desired outcome—rebuilding the state's analytical muscle—but through augmentation rather than additional headcount.

None of this is to suggest that governments should hand decision-making over to machines. The ability to analyze and make recommendations is not the same as making judgment calls in the face of uncertainty. AI systems can entrench outdated assumptions just as easily as they generate new insights, which is why most AI governance frameworks insist on meaningful human oversight.

Yet the alternatives—relying on consultants or expanding the bureaucracy—carry costs of their own. Dependence on advisers can erode state capacity, while hiring more civil servants is often slow, expensive, and politically contentious. The real question, then, is not whether AI will replace human experts, but whether it can enable them to operate at a scale that once required large bureaucracies or armies of consultants.

Such a shift would fundamentally reshape the consulting industry. As analytical work becomes cheaper and increasingly automated, firms whose revenues depend heavily on it will lose ground. Those that prosper will be the ones that turn their expertise into scalable products while focusing on areas where trust, judgment, and deep institutional knowledge are essential.

Given that the consulting firms serving GCC governments are the same ones advising clients in London, New York, and Singapore, these changes are unlikely to remain confined to the Gulf. Ultimately, the region may prove less an outlier than a harbinger of a world where governments no longer need to buy what they can build themselves.

89. The AI Threat to Financial Stability

Author: Brian Judge **Published:** Jul 28, 2026 **Link:** View Original

BERKELEY—US Federal Reserve Chair Kevin Warsh recently announced a new task force that will “survey the pace, the reach, [and] the economic impact of new general-purpose technologies, including AI, and explore the implications for the Fed” as it pursues its “employment and inflation mandates.” Notably absent from Warsh’s statement was any mention of the impact of AI on financial stability, the Fed’s de facto third mandate.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

The Fed has shown some awareness of the risks AI poses for financial stability. In April, Warsh’s predecessor Jerome Powell, together with US Treasury Secretary Scott Bessent, convened a meeting to assess how advanced AI models could affect cybersecurity in the banking system. But even this approach was far too narrow.

In the United States, both the financial system and asset markets have become a one-way bet on AI. If current trends persist, outstanding AI data-center debt will surpass mortgage debt by the end of this decade. The Fed should now be asking whether the revenues from these data centers will generate enough cash to repay creditors on time.

That question is often conflated with two others: whether AI is a bubble and whether it is a transformative technology. One might be tempted to position this as a dichotomy—AI is either a bubble or a transformative technology—but this would be a mistake. The US railroad boom of the 19th century ended in the Panic of 1873, and the telecom and dot-com boom of the 1990s culminated in a stock-market crash. In both cases, the technology was genuinely transformative, but creditors and shareholders were wiped out anyway, because investment outpaced any plausible near-term return.

Likewise, when it comes to AI, technological success will not guarantee financial success. The revenues AI will generate remain uncertain, but borrowers’ repayment schedules are fixed. AI tools can be widely adopted, and a data center can be heavily used, without producing enough cash to service their owners’ debts. The financial-stability concern arises from the mismatch between speculative future revenues and present contractual obligations.

The arithmetic is daunting. David Cahn of the venture capital firm Sequoia estimates that this year’s roughly $750 billion in hyperscaler AI capital expenditure will need to generate about $1.5 trillion in end-customer revenue over the life of the equipment to pay for itself. By his calculation, the entire AI buildout since the 2022 launch of ChatGPT now carries a cumulative payback minimum of some $3 trillion. Anthropic is rumored to have annualized revenues of around $60 billion.

The consulting firm Bain & Company calculates that funding the compute needed to meet anticipated AI demand by 2030 will require some $2 trillion in new annual AI revenue. Given that a bubble is what happens when an asset's price far exceeds the cash flows it generates, such projections seem to support warnings that AI is indeed a bubble.

Already, funding for the AI buildout has shifted decisively from the tech giants' cash flows to capital markets. Circular financing arrangements abound: chipmakers invest in AI labs, which use the money to buy chips, and cloud providers fund the startups that rent their servers. The result is a positive feedback loop between rising valuations and capital expenditures.

Chip giant Nvidia has emerged as a backstop for the "neoclouds," allowing thinly capitalized cloud providers to raise private financing on attractive terms. Tech giants accumulate massive off-balance-sheet liabilities through joint ventures and leasing structures. And a growing share of the capital comes from private credit funds, which often lend to projects affiliated with their own sponsors.

Unlike the railroads or fiber-optic cables produced by earlier manias, this investment does not leave behind durable assets. Chips comprise roughly half the cost of an AI data center, and they are effectively unusable after 3–5 years. The collateral might lose value faster than the debt is repaid.

Moreover, the broad-based productivity gains and labor-market effects that AI is widely expected to deliver are not yet visible in the data. A recent Fed staff note concludes that this is because AI remains in its "buildout" phase. But a productivity surge will also require businesses to make immense internal investments to reengineer their processes. Nevertheless, markets are already pricing in robust earnings growth, driven in part by AI-driven productivity gains, raising concerns about an "earnings bubble."

Most discussions of the downside risk of the ongoing AI boom have focused on the stock market. But the bigger risk is to credit markets. We now have a "market-based" financial system, in which credit is intermediated less by banks than by bond markets, securitization vehicles, and nonbank lenders. The danger is not a 1930s-style run on bank deposits, but a 2007-style run on the shadow banking system: doubts about credit quality trigger a contraction in short-term funding, and borrowers must sell into a falling market, leading to further price declines.

With short-term funding markets seizing up, the Fed would come under enormous pressure to backstop nonbank lenders and data-center debt, just as it backstopped money-market funds in 2020, at the start of the COVID-19 pandemic. But AI is even less popular today than Wall Street was in 2007. A bailout of both would likely destroy what remains of Fed independence.

There is a chance that massive AI capital spending will be vindicated, generating the revenues required to service trillions of dollars in debt. In that case, however, the implied labor-market dislocation would be without historical precedent. It is the coin-flip of nightmares: heads is financial instability, and tails is a biblical employment shock.

In any case, financial stability must be central to the Fed's AI agenda. Even if this time proves to be different technologically, it might not be different financially.

90. America Is Betting Against International Law

Author: Eric Alter **Published:** Jul 28, 2026 **Link:** View Original

ABU DHABI—In 2023, US President Joe Bidenordered US intelligence agencies to share evidence of Russian war crimes with the International Criminal Court, with the goal of indicting Russian President Vladimir Putin. This marked a sharp break from precedent, as the United States had long insisted that the ICC could not exercise jurisdiction over citizens from countries that had not ratified the Rome Statute establishing the Court—a group that includes Russia and the US.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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But Biden changed his tune in November 2024, when the ICC issued arrest warrants for Israeli Prime Minister Benjamin Netanyahu and his former defense minister, Yoav Gallant. According to Biden, the decision was “outrageous,” and the US would always stand by its ally Israel, which is also not a signatory of the Rome Statute.

Donald Trump, Biden’s successor, went a step further by imposing sanctions on ICC officials, including freezing their assets. In August 2025, US Secretary of State Marco Rubio accused the Court of being “an instrument of lawfare.” By December, 11 ICC judges and prosecutors had been placed under US sanctions. Then, in mid-July, the State Department launched a campaign to dismantle the Court.

Recent US behavior—acting as if the ICC can be trusted against an enemy, but never against a friend—ignores that the Rome Statute rests on complementarity. The ICC is a court of last resort that steps in only when a national government fails to investigate war crimes and crimes against humanity in good faith. Israel’s jurisdictional objection that Palestine is not a state obscures the sensible way out: a genuine investigation into the crimes alleged by the ICC prosecutor.

Instead, Israel and the US took aim at ICC officials. But contempt is not particularly effective. The ICC’s goal in issuing warrants is not detention—it lacks the police power to make arrests. Rather, its influence lies in making it costly for indictees to be seen with certain figures. Putin, for example, cannot enter any of the 125 countries that have ratified the Rome Statute without risking detention, which is why he chose to attend the 2023 BRICS summit in South Africa by video. Netanyahu’s arrest warrant similarly forces him to consider whether other governments might feel compelled to act were he to visit. US sanctions have not alleviated this concern.

Some may argue that law simply reflects political power: the ICC targets Putin rather than US officials because Russia, unlike America, lacks allies. Seen from this perspective, consequences are for the weak.

In fact, power is transient. Despite being granted legal immunity as a former president of Chile, General Augusto Pinochet, who presided over a 17-year reign of terror, was arrested in 1998 at a London hospital while recovering from surgery. A Spanish judge had invoked the United Nations Convention against Torture to pursue Pinochet’s extradition.

Although Pinochet avoided trial and died in 2006, his arrest set a legal precedent. In 2016, a Senegalese court used the same principles to sentence former Chadian dictator Hissène Habré to imprisonment for life. Likewise, Serbian dictator Slobodan Milošević ultimately faced justice, dying in custody at The Hague during his trial for war crimes.

The law caught up with these men only after they were out of office. Pinochet had retired; Habré was in exile; Milošević had been forced out. A leader falls first, and then the trial follows. The protection provided by power merely delays accountability.

The importance of pending ICC cases is secondary to the pattern they reveal. After 1945, the US established a global order in which disputes have been largely adjudicated by institutions over which the US holds sway. Accountability mechanisms, such as the ICC and the International Court of Justice (ICJ), were later introduced to challenge this dominance. Now a magistrate in a less influential state can oppose a powerful government without its permission. For example, in December 2023, South Africa brought genocide charges against Israel at the ICJ for its conduct in Gaza; a month later, the ICJ issued provisional measures.

The US cannot veto ICC or ICJ decisions the way it can a UN Security Council resolution. That leaves America with two choices: join the system and influence it from within or boycott these courts and relinquish any say. The US has chosen the latter, which does not halt international law’s progress, but rather hands the pen to other countries.

To bring Putin to justice, the US needed the clout of a globally respected court that was not under its control. Now it is attempting to tarnish the same court’s reputation in the name of protecting an ally, renouncing international law on principle even as the world divides into competing blocs and the question of who writes the rules is, for the first time, wide open.

Pinochet believed he was beyond the reach of the law in London. He was mistaken. The US is making the same bet on a far larger scale: that the international laws it helped write can never be used against it.

91. South Korea Bets on Industrial Policy Again

Author: Lee Jong-Wha **Published:** Jul 28, 2026 **Link:** View Original

SEOUL—Around the world, governments are again using the tools of industrial policy—subsidies, tax incentives, public finance, trade measures, and strategic regulation—to shape their economies. South Korea is no exception. President Lee Jae-myung's government has launched an ambitious strategy to promote semiconductors, AI infrastructure, robotics, and other frontier industries, with the goal of bolstering future growth and competitiveness. But the path ahead is littered with obstacles.

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The return of industrial policy is not simply a policy trend. Markets often underinvest in new technologies, because of coordination failures, learning externalities, and economies of scale. But at a time when technological leadership and supply-chain resilience have moved to the center of national-security agendas, governments cannot afford to wait. They are now asking not whether they should pursue industrial policy, but what kind is right for them.

South Korea has been here before. In the 1970s—amid persistent threats from North Korea and rising security concerns stemming from the Nixon Doctrine and the partial withdrawal of US troops from Korea—it launched the Heavy and Chemical Industry (HCI) drive, aimed at accelerating industrial upgrading and creating new comparative advantages.

Inspired partly by Japan's successful industrialization, the HCI drive sought to transform the country's industrial structure, promote exports, and reduce its dependence on imported machinery and defense equipment. To this end, the government used targeted credit, tax incentives, foreign borrowing guarantees, and industrial complexes to accelerate private investment in six strategic industries: steel, machinery, petrochemicals, shipbuilding, electronics, and nonferrous metals.

Underpinning the strategy's success was a capable economic bureaucracy—which coordinated finance, infrastructure, and export promotion—and sustained political commitment, with then-President Park Chung-hee's long tenure (1963–79) providing the policy continuity that long-term industrial transformation requires. Equally important, South Korea's growing cohort of skilled engineers, managers, and technicians absorbed, and improved upon, foreign technologies.

The combination of government support and exposure to international competition fostered learning-by-doing and capability accumulation, enabling South Korean firms to ascend global value chains rapidly. In the 1980s, favorable external conditions—including cheaper oil, lower interest rates, a weaker Korean won, and growing global demand—provided an additional boost, enabling South Korea's heavy industries to become major export engines.

Such conditions cannot be taken for granted today. Nonetheless, South Korea has little choice but to embark on another state-led technological transformation, this time focused on AI and advanced manufacturing.

The government has announced a national strategy aimed at making the country one of the world's top three AI powers and reinforcing its global leadership in semiconductors. The Special Act on Semiconductors provides infrastructure and regulatory support to accelerate new investment. The Three Mega Projects for a Great Leap Forward aim to develop regional hubs for cutting-edge industries through public-private investment in semiconductors, AI data centers, and robotics.

Together, the government and major firms have announced plans for new investment exceeding ₩1,500 trillion (about $1 trillion)—roughly two-thirds of Korea's GDP—marking the country's largest industrial initiative since the HCI drive. Samsung Electronics and SK Hynix plan to invest ₩911 trillion in new semiconductor manufacturing hubs, while other leading firms are investing heavily in AI data centers. For its part, the government is offering new financing vehicles—including a Future Response Fund and a National Growth Fund—to mobilize long-term capital for strategic industries and innovation ecosystems.

As in the 1970s, South Korea's government is identifying strategic industries, mobilizing capital, and framing industrial transformation as essential for economic growth and national security. But unlike the HCI drive, which sought to absorb and build on foreign technologies, South Korea's new strategy aims to compete at the global technological frontier, where uncertainty is heightened, and firms are often better positioned than states to identify the most promising innovations.

The practical challenges are also substantial. Semiconductor fabrication plants and AI infrastructure require enormous capital investment, highly specialized engineers, and massive, reliable supplies of electricity and water. The process of securing these resources, as well as land and permits, could delay projects for years, and it could take years more to get a new semiconductor fabrication facility up and running, making investment decisions highly vulnerable to semiconductor cycles. Today's AI-driven chip shortages could easily become tomorrow's oversupply if demand weakens before new capacity comes online.

Moreover, private firms operate within a much denser regulatory regime today than they did in the 1970s, making private investment less responsive to government initiatives. It does not help that today's democratic politics inevitably produce short policy horizons, making credibility over decades considerably harder than it was under Park.

These challenges are compounded by intensifying competition from China, which is a far more formidable rival today than it was in the 1970s. China has already emerged as a leader in AI and many advanced manufacturing industries, and is rapidly closing the gap in semiconductors, partly owing to sustained state support.

In confronting the challenges ahead, South Korea—and other countries rediscovering industrial policy—must recognize the limits of a strategy focused on "picking winners" and directing capital toward them. Only competitive markets and innovators themselves can determine which technologies and firms will ultimately prevail. What governments can and must do is build effective innovation ecosystems, by investing in public goods where markets fall short: world-class universities, basic research, reliable energy infrastructure, and efficient regulation.

The HCI drive was not perfect. It encouraged excessive borrowing, investment duplication, and significant overcapacity, creating structural vulnerabilities that would contribute to the 1997 financial crisis. Nonetheless, it transformed South Korea's economy into a capital-intensive technological powerhouse thanks to a rare combination of capable institutions, disciplined implementation, and favorable external conditions.

While those conditions cannot be recreated today, governments can mobilize knowledge, talent, and institutions to compete at the technological frontier, so long as they recognize that uncertainty is pervasive there—and success much harder to engineer than it was in the past.

92. The Therapist in Your Pocket

Author: Anne Lepetit **Published:** Jul 28, 2026 **Link:** View Original

PARIS—Ask someone today whom they turn to when feeling anxious or struggling to sleep, and increasingly the answer is a chatbot, not a friend or a doctor. In a survey of 19,000 adults across 18 countries that AXA conducted with Ipsos earlier this year, 61% of respondents said that they use AI for mental-health matters, with the share rising to more than 80% in some Asian countries. This implies that, for a significant segment of the global population, AI is a viable psychological-support tool.

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The increased use of chatbots for mental-health problems is not entirely surprising, given that 26% of respondents showed symptoms of depression, anxiety, or stress at severe or more extreme levels—a three-percentage-point rise since 2022. Topping the list of stated causes for this “silent epidemic” were financial insecurity and rapid economic and social change.

Always-online technology has also contributed to the deterioration in mental health. A majority of young adults reported that time spent on screens negatively affects their daily lives, even as they spend an average of more than five hours per day in front of one outside of work. This is the paradox of modern digital life: people recognize that their habits are not serving them well, yet social and professional pressures lock their behavior in place.

It is worrying that people are readily turning to digital tools to cope with mental-health problems that, in some cases, such tools have exacerbated. But even more alarming is that among the respondents using a chatbot for mental-health matters, 42% said that they almost always follow the advice it gives. And while 38% said that they trust these platforms more than human mental-health professionals, 28% admitted that following a chatbot’s recommendation has led them toward harmful behavior.

This is not a fringe activity. The survey shows a relatively new tool being used, often without guardrails, by people who frequently are the least equipped to evaluate what they are being told—either because they are inexperienced and unwell, or simply because a professional is unavailable. Globally, only 40% of people who needed mental-health support over the past year saw a professional, with cost, time, and stigma the most cited reasons for not seeking care.

People are integrating AI into their emotional lives not as an add-on to a well-functioning health-care system, but rather as an accessible entry point into care that has remained out of reach for most. The question is not whether AI belongs in mental-health treatment (it is already there, providing unsupervised psychological support). It is whether health leaders, employers, insurers, and AI builders take responsibility for shaping its role.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America’s founding document, and consider where US democracy is headed 250 years later.

I see three reasons to be optimistic about the technology being steered in a beneficial direction, based on what the data show and on my own clinical experience.

First, AI can be harnessed to enhance access to mental-health support, acting as a bridge between a troubled individual and a complex system. For someone who cannot afford an appointment or is afraid to ask for one, a well-designed AI tool could help them name what they are feeling and point them toward appropriate care. There is certainly a need for such a tool: only 60% of respondents trust their friends and family to provide mental-health support, and nearly half of respondents with a job said that they would not discuss psychological struggles with their employer. An initial conversation with a chatbot that is private and judgment-free could be the difference between seeking help and staying silent.

Second, AI could save clinicians and caregivers time—a scarce resource. One of the most cited causes of burnout among health professionals is the heavy administrative load. And burnout often has cascading effects, degrading the quality of every interaction with patients. The development of responsible AI tools that can absorb documentation tasks would free clinicians to focus more on human connection, which is one of the strongest protective factors with regard to mental health.

Lastly, AI could serve as a pattern-finder. As the survey shows, many people already sense that their mental health is shaped by many overlapping factors, including work, finances, loneliness, screen time, and sleep. AI systems could help users—and the health systems supporting them—better identify and address these pressures by connecting them with the right kind of help sooner.

Of course, using AI in mental-health interventions requires robust safety features. AI-powered tools should be built and governed to disclose clearly what they can and cannot do, and to escalate to a qualified human whenever risk is detected. Moreover, clinicians and patients must be involved in these tools' development from the beginning, rather than being asked for feedback on finished products. Anything less could compound the very crisis these tools seek to address.

AI will not wait for health-related institutions to catch up. As more people with psychological problems turn to chatbots instead of calling a doctor, it becomes even more important that the tools at their disposal do more good than harm.

93. Saving Democracy Requires Taxing Extreme Wealth

Author: Michael Madowitz **Published:** Jul 29, 2026 **Link:** View Original

WASHINGTON, DC—Following SpaceX's IPO in June, Elon Musk briefly became the world's first trillionaire, making him wealthier than the poorest 46% of the world's people combined. His wealth has more than tripled since the 2024 presidential election, when he spent roughly $290 million to support Donald Trump's candidacy—more than double what the president raised from small donors.

Musk personifies a deeper problem. Wealth—and the political power it confers—has grown so concentrated that the 400 richest Americans now collectively own assets equal to 20% of US GDP, an increase from just 2% in 1982. And rather than merely benefiting from the economy, the ultra-wealthy are increasingly reshaping it to advance their private interests. They routinely influence government agencies that should be reining them in, and they increasingly own the media channels that once would have held them accountable.

Particularly in the United States, private fortunes now translate directly into political power with remarkably little friction. With the US Supreme Court having decided that unlimited expenditures to influence elections and policymaking are valid forms of political speech, the survival of American democracy increasingly depends on whether we can limit the further concentration of wealth.

To understand how the US got here, we need to look at the tax code. In the 1950s, the wealthiest US households paid an effective tax rate (meaning all taxes paid as a share of total income) of nearly 50%, reflecting top marginal tax rates reaching above 90% and dozens of tax brackets. Yet by 2020, the effective tax rate for the 400 richest Americans averaged less than half that: 23.8%, which is well below the overall average of 30%.

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Moreover, income taxes tell only part of the story. Since 1980, economists Emmanuel Saez and Gabriel Zucman show, "wealth as a whole has been growing almost twice as fast as income." This didn't happen by chance. It is the result of a tax system that finances government on the basis of earnings rather than assets. Musk, Amazon founder Jeff Bezos, Meta's Mark Zuckerberg, and their ultra-wealthy peers regularly pay a relative pittance in federal income tax, not because they're cheating the Internal Revenue Service, but because property, stocks, inheritances, and other investment gains are untaxed at the federal level as long as they are not sold.

Not only is the current tax code failing to narrow the wealth gap; it is barely even slowing further wealth accumulation at the top. By borrowing against their assets instead of taking a salary (the "buy-borrow-die" strategy), billionaires can enjoy a rarefied lifestyle without paying taxes; and when they die, their heirs can do the same, because the "stepped-up basis" provision in the tax code exempts all unrealized gains generated during the deceased person's lifetime.

With so much riding on these valuable tax loopholes, it is no surprise that the owners of concentrated wealth would want to turn it into concentrated political power. That is precisely why most democracies keep private money out of politics.

But the US is different. Starting in 1976 and continuing through the 2010s, the Supreme Court (in the Citizens United and McCutcheon cases) has supercharged the ability of the ultra-wealthy to shape public policy to their own preferences. Billionaire donors and their families spent more than $2.6 billion in the 2024 election cycle alone—the highest level on record, with nearly three-quarters going to support the country's first billionaire president.

With a critical mass of ultra-wealthy individuals openly and brazenly profiting from corruption and self-dealing, and with some even taking side gigs as regulators where they can tilt the tax code or public policy further in their favor, it is no wonder that faith in democracy is declining. Nor is it any wonder that "tax the rich" has evolved from a bumper-sticker slogan into a robust, research-backed set of policy proposals. When ordinary voters see billionaires paying lower effective tax rates than the people who fly, fix, or clean their private jets, and when those same billionaires start to buy elections, demands that elected officials respond are only to be expected.

Now that lawmakers are facing such demands and have finally turned their attention to the threat that dynastic wealth poses to US democracy, they can draw on considerable research that has gone into designing a US wealth tax that avoids the pitfalls of other countries' attempts. Workable proposals—both those that tax wealth directly and that achieve similar ends through other taxes—already exist. For example, Brian Galle, a law professor at the University of California, Berkeley, has advanced a "fair-share" tax proposal that would reform the taxation of capital gains to fix realization incentives and close estate and trust loopholes, thereby achieving many of the benefits of a traditional net-worth tax while avoiding potential constitutional and practical pitfalls.

While it is very difficult to narrow the overall wealth gap without addressing assets directly, that should not detract from the recent progress made on taxing concentrated wealth. State-level millionaires' taxes in Massachusetts and Washington, and the pied-à-terre tax on second homes in New York City, could make a big dent in future inequality by slowing the pace at which the wealthy pull away from everyone else.

That said, reducing inequality could be achieved more efficiently by taxing the accumulated benefits of tax cuts among those with the largest net worth and directing those revenues toward public investment. For example, US Senator Bernie Sanders's Make Billionaires Pay Their Fair Share Act, a proposed 5% annual wealth tax on billionaires, could raise more than $4 trillion over ten years. That would be enough to expand Medicare and Medicaid, ensure affordable childcare for every family, and even provide a $3,000 one-time direct payment to every person in a household earning under $150,000.

Neither the political nor the economic arguments against taxing wealth are what they were a generation ago. The ultra-rich have long benefited from the argument—a fringe position among credentialed right-leaning economists from the start—that tax cuts at the top produce trickle-down gains for everyone. But the trickle-down theory has collapsed like a house of cards. A growing body of rigorous research shows that any gains are trivial at best. Even "earned" (as opposed to inherited) fortunes were possible only because the US economy—public infrastructure and education, the legal system, regulated markets—had made them so.

Yet the available data, independent studies, and recent scandals all show how little the ultra-wealthy contribute to the public infrastructure that made their fortunes possible in the first place. Now that they pay a lower-than-average effective tax rate, raising their rate or changing the method of taxation is not a radical proposition. It is a commonsense, long-overdue correction. We are decades into the trickle-down experiment, and the results are in: giving the wealthy more money and power is bad for the rest of us. It is only reasonable that the winners cover their fair share of the costs—in money and in trust—of this failed experiment.

Closing the wealth gap will not be easy, though. A wealth tax will face the same compliance and implementation challenges that all taxes do. But that is an argument for careful design, not inaction. Without reform, the ultra-wealthy will continue to set the terms of their own taxation, and they will use the savings to extend their grip on politics and policymaking.

Even if Musk never earned another cent, it would take an American household earning the median US income more than 11 million years to catch up to his wealth. Obviously, we do not have that kind of time. We should use the levers of democracy to tax wealth now, while it is still in our power to do so.

94. Europe Is Fiddling While Rome Burns

Author: Giulio Boccaletti **Published:** Jul 29, 2026 **Link:** View Original

LONDON—Between June 20 and 28, a powerful heat wave hit Europe, creating the conditions that have fueled the wildfires now raging across large swathes of France and Spain. Soon after the June heat wave, city officials in Rome announced a new, scientifically informed operational strategy to prepare for a hotter world. As with other such efforts in Europe, the heat plan includes emergency responses for the vulnerable, green public spaces, more water fountains, climate shelters, investments in grid resilience, and so forth.

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This is not the Eternal City's first heat initiative. Rome previously rolled out a heat health warning system in 2002, in time for the 2003 heat wave that killed 70,000 people across Europe (including more than 1,000 in Rome). After that, Rome and many other cities enacted emergency plans to provide early warning systems, register vulnerable people, and prepare hospitals. But when a massive heat wave struck in 2022, those two decades of emergency planning proved inadequate. Another 60,000 people died.

Once again, governments announced structural responses such as school closures, event cancellations, and outdoor labor regulations. But while they had some positive effect, this year's heat wave showed that Europe is still far behind the curve.

The problem is that we are chasing a moving target. Heat waves are becoming more frequent, prolonged, and intense, and this trend has exacerbated other risks. For example, heat waves create ideal conditions for forest fires, which have now hit several countries in southern Europe. They also lead us to overlook increasingly common extreme precipitation, with frequent destructive floods becoming a fact of life, often in the very same places suffering heat waves. Since anthropogenic climate change is the cause of all this, zeroing out greenhouse-gas emissions is the route to stabilization. But until then, current conditions will worsen.

Following major floods in 2023, I argued that a new frontier was coming into view. Europe would need to orchestrate a constitutional response to its shifting material conditions, with a state-led program to transform its economy. Three years and many floods and heat waves later, the frontier is upon us, yet we are still behaving as if nothing has changed. Focusing only on emergency planning, disaster response, and recovery after each catastrophe may fit the Intergovernmental Panel on Climate Change's definition of building "resilience"; but resilience is no longer enough.

That is why I have long focused on the broader, evolving relationship between economic development and the environment. Over the years, country after country has written the story of its future by transforming its landscape. Consider the hydro-infrastructural transformation of the American West during the Progressive Era; Sun Yat-sen's blueprint for Chinese modernization on the Yangtze; Italy's extensive land reclamation and hydropower development to support industrialization; Jawaharlal Nehru's dams, "modern temples of India" that served as symbols of economic emancipation; and Park Chung-hee's spatial reorganization of the South Korean economy in service of export-led growth.

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In The Environmental Republic, I argue that, despite all their mistakes and distortionary effects, these efforts hold a crucial lesson. In changing material conditions, resilience cannot just be about "weathering the storm." It must be a property of how we grow. The transformation that climate change makes necessary will be of comparable scale and scope to those pursued over the last century.

Consider the energy system. During the June 2026 heat wave, air-conditioner use pushed Rome toward its daily peak electricity capacity of 2.1 GW, and localized blackouts followed. The grid proved inadequate, even though Italy has been investing in it. There is still too little spare capacity; natural gas dominates production; the hydropower share of production is itself vulnerable to climate change; and a significant share of distribution is underground, where thermal stresses from accumulated heat damage cables.

The solution is not simply to fix each of these individual problems. It requires mapping Italy's long-term energy future. Like many European economies, Italy is suffering declining competitiveness. It needs to find space for innovation and comparative advantage in a global economy that is adopting the tools of 21st-century industrialization: electrification, renewables, automation, and AI. The spatial distribution of that transformation will define the future economy's network needs, which will both drive grid modernization and pay for it.

Europe faces challenges like this around every corner. Its median age is now 45, with a pensioner for every three workers. By the end of the century, one-third of Europeans will be over 65, the age cohort most vulnerable to heat-induced mortality. But a shrinking workforce with declining productivity obviously cannot support welfare services on the scale that people are used to. The solution must be vastly higher productivity, a larger working-age population, or a combination of the two.

As it happens, the median age in Africa, just across the Mediterranean, is under 20, and the continent's total population will swell to 2.5 billion by 2050. Politics aside, the conditions for an extraordinarily beneficial partnership are in place. But accommodating migration on any significant scale and sustaining the increase in related trade will have profound territorial consequences. New social housing, transportation infrastructure, and services will add to challenges already facing cities like Rome, Vienna, and Paris. Now open-air museums to Europe's cultural legacy, these metropolitan centers were modernized with infrastructure designed for a different society, economy, and material conditions.

When asked what made Singapore—transformed from a resource-poor local port into a global hub in the space of a generation—so successful, its founding leader, Lee Kuan Yew, famously answered: "Air conditioning." He understood that modernity's most consequential gift has been the control of material conditions.

Europe can no longer afford to treat climate change as a background trend that is unfolding while we are making other plans. Shifting material conditions are the new normal. History tells us that such challenges can be overcome only through transformations on a societal scale. Europe must think much bigger, aiming not for mere resilience but for resilient growth.

95. The Beijing Model Meets the Brussels Effect

Author: Emmanuel Guerin **Published:** Jul 29, 2026 **Link:** View Original

PARIS—For years, Europe and China embodied rival development and energy-transition models. Europe was primarily committed to markets, common rules, and multilateral institutions, whereas China emphasized industrial policy, infrastructure investment, and manufacturing. Europe produced regulations that often became global benchmarks (the “Brussels Effect”). China produced factories.

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But this distinction is dissolving. As Europe races to rebuild its industrial base, China is focusing more on influencing international standards and governance frameworks. As European policymakers study Beijing’s industrial strategy, Chinese leaders are realizing what Europe learned long ago: Lasting power comes not only from making technologies, but from writing the rules that govern them.

These trends reflect a change in the composition of geoeconomic power. The decisive question is no longer who controls resources, manufactures products, or leads in each technology. It is who governs the value chains through which the next energy and technological transition will unfold. Far from merely linking factories, those chains also organize finance, logistics, digital infrastructure, standards, and entire industrial ecosystems, forming the frameworks through which economic power is exercised.

Europe’s side of the story is familiar. Confronted with China’s manufacturing dominance in clean-energy technology and its own deepening dependencies, the European Union has rediscovered industrial policy. Its Industrial Accelerator Act, Critical Raw Materials Act, and related measures all follow from the recognition that climate ambition without industrial capacity produces dependency, not resilience.

China’s side of the story has drawn less attention. After two decades of building the world’s largest ecosystem for solar panels, batteries, electric vehicles, and power grids, China has concluded that industrial leadership is not enough, leading it to invest in shaping global rules. The clearest sign of this change is institutional. Through a new Global Energy Interconnection Development and Cooperation Organization, China is convening technical committees to set standards for photovoltaics, hydrogen, energy storage, high-voltage transmission, grid intelligence, and carbon accounting.

These may resemble engineering exercises, but they are much more than that. They represent China’s attempt to own the operating system of the clean-energy economy. The country that sets industry standards does more than regulate a technology. It also puts itself in a position to steer investment, to decide what is interoperable with what, and to lock in the architecture upon which everyone else must build.

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Europe has understood this for decades. Its single market was built as much on common rules as on lower tariffs, and European standards routinely became global ones. But European leaders are learning that rules without productive capacity do not provide strategic autonomy, just as China is learning that factories without standards limit international influence. Each is pursuing strategic advantages that the other spent decades perfecting.

But convergence does not necessarily imply symmetry. Each side is reaching beyond its traditional area of strength and therefore encountering new, unfamiliar challenges. Rebuilding an industrial base requires capital, cheap energy, dense supplier networks, and tacit knowledge—none of which can be conjured up through regulation.

Setting global standards is no simpler. A state can staff every technical committee and still fail to get the rest of the world to adopt what it produces. Just as a factory must be built, a standard must achieve widespread acceptance. Neither task is quick or easy. With China and Europe each attempting what it has never had to master before, the outcome remains an open question.

Moreover, the outcome will be influenced by a third major factor: everyone else. Of course, this much larger grouping is not a monolith. A handful of ambitious states—India, Indonesia, Brazil, and various Gulf countries—are building their own industrial capacity and turning critical minerals, growing markets, and patient capital into leverage with which to claim parts of the new value chains. But most countries cannot pursue such strategies. Since they will neither write the standards nor build the factories, they will inherit operating systems designed in Brussels or Beijing, accepting dependencies they never chose.

Then there is the United States, which has opted out of the contest by abandoning the energy transition altogether. Rather than building factories or writing the rules of electrification, it is throwing up tariff walls and abandoning the field to Europe and China.

The stakes are high, because the governance of value chains is as much a political question as a technical one—a small constitution that can quietly allocate advantages and obligations for decades. The traditional approach to industrial policy will therefore have to change. Too often, it is reduced to subsidies, tariffs, and domestic plants. But while the first phase of the clean-energy race was about inventing the technologies, and the second was about producing them at scale, the third will be about governing the chains through which they circulate, connect, and create value.

For Europe, the lesson is not simply to build more factories. Europe's real strategic advantage is its proven ability to turn its own rules into everyone's rules. It should not take this strength for granted just as it is being contested. Europe must both continue to craft sound regulations and offer the world standards that are worth adopting, as opposed to merely enduring.

The energy transition rewards the same rare combination: the capacity to produce, the authority to set rules, and the institutions to hold complex systems together. Neither side can win simply by relying on its traditional strengths.

96. The Mexican Government’s Economic Spin

Author: Guillermo Ortiz **Published:** Jul 29, 2026 **Link:** View Original

MEXICO CITY—In response to Moody’s and S&P’s negative assessments of Mexico’s economic and fiscal outlook, President Claudia Sheinbaum recently offered 12 economic indicators to show that “the Mexican economy is doing very well.” But while each is technically accurate, the list fails to tell the whole story or account for hidden fragilities.

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The first claim is that Mexico ranks among the top ten destinations for foreign direct investment. But the composition of FDI matters more than the ranking. In Mexico’s case, reinvested earnings made up 68% of 2025 FDI, whereas new investment accounted for just 18%. That is up from 8.6% in 2024, but still well below the 44–48% share seen in 2021–22. Moreover, the OECD ranking that they use for many of the figures is misleading. Since the vast majority of OECD members are advanced economies, these indicators end up comparing Mexico mostly against countries like Germany or Japan. If they presented a comparison with Brazil, India, or Vietnam, the picture would be less flattering.

Second, Sheinbaum notes that Mexico ranks first among OECD countries for real (inflation-adjusted) wage increases since 2018. That is a genuine achievement (the minimum wage has increased 148% cumulatively). But productivity has not kept pace. According to Mexico’s national statistics office, the labor productivity index decreased 0.5% year on year in the first quarter of 2026, with industrial activities down 1.2%. The fact that wages are rising fast while productivity remains flat means that employer margins are being compressed, not that the economy has become more competitive.

The third point touts Mexico’s second-lowest unemployment rate in the OECD, behind only Japan. But with 55% of its workforce informally employed, this figure tells us almost nothing about labor-market health. Comparing Mexico, which has no federal unemployment insurance, to Japan, which has essentially no informal sector, borders on statistical malpractice.

To be sure, the list also mentions record levels of formal employment, with 22.7 million registered jobs as of June 2026. But this apparent growth does not mean that the share of formal employment has grown. Indeed, job creation has been decelerating for months, yet informal employment has kept growing through 2025–26.

Fifth, the government boasts the highest base wage in Mexico’s history: 669 pesos per day, up 6.4% year on year. But, again, when set against productivity growth of roughly 0.1–2%, this reflects a trend that cannot be sustained.

Sixth, annual trade between Mexico and the United States has reached an all-time high of $839 billion. But this figure reflects North American production integration, not an achievement of domestic policy. Worse, it ignores the fact that the Trump administration just declined to renew the US-Mexico-Canada Agreement for a full term, opting instead for rolling annual reviews. And the same problem applies to the seventh point: that Mexico sells more to the world than ever.

Eighth, fixed investment grew 5.9% year on year in April 2026. But the first quarter told a less promising story: private consumption fell 0.8% from the previous quarter, gross fixed capital formation fell 1.9%, and private investment was down 4.5% year on year. This contraction extends back to 2024, and it cannot be erased by a single-month base effect.

The ninth point—that the Monthly Private Consumption Indicator grew 2.1% year on year—is not even good news. Rather, it confirms a broader deceleration.

The tenth point is perhaps even more misleading: that overall economic activity has maintained an upward trend and reached a new high. But cumulative GDP growth over 2019–24 was about 5.5% for the full six years. At under 1% on an annualized basis, that is the weakest growth rate since President Miguel de la Madrid’s 1983–88 term. In the first quarter of this year, annual GDP growth was just 0.4% and fell 0.6% quarter on quarter. An economy can post a nominal “new high” some years and still be growing more slowly than at almost any point in four decades.

Eleventh, industrial activity is said to have rebounded in April, reaching its highest level since October 2024. But this is another base-effect story in which a comparison against a prior trough overstates a recovery. In reality, annual industrial productivity was still falling in the same period.

The final point is that the inflation rate continues to fall, reaching 3.6%, its lowest level in eight months. But this figure rests to some extent on price agreements with gas stations and tomato growers. Core inflation, the better trend signal, was still running above 4% as of July.

What this list leaves out is as important as what it includes. Moody’s and S&P are rightly worried about Mexico’s debt-to-GDP ratio, which the Mexican government puts at almost 51.7%, against the International Monetary Fund’s broader gross public-sector debt estimate of 62%. They know that Pemex, the state-owned oil company, is still heavily indebted and dependent on federal transfers. And they can see that judicial reforms have cast a cloud of uncertainty over the economy, and that the government’s energy framework is keeping out private capital.

There is a difference between managing the economic cycle—which this administration has done with more discipline than many expected—and fixing the structural problems behind many years of low (below 2%) growth. In a recent survey conducted by Banco de México, 41 specialists scored “governance risk” at 5.7 out of 7 (up from 5.6), with public finances (5), insecurity (6.2), weak rule of law (5.9), corruption (5.8), and impunity (5.7) topping the list.

These risks are not hypothetical. US prosecutors have indicted Sinaloa’s governor and nine other officials for alleged ties to the Sinaloa Cartel’s “Chapitos” faction, and several politicians from Morena, the incumbent party, are under investigation for similar dealings with organized crime. None of these cases has produced a conviction, and those involved deny wrongdoing; but the accumulation of such stories has made infiltration by organized crime a governance concern in a way that it wasn’t two years ago.

These concerns will remain central as Mexico approaches midterm elections next June. This will be the first real referendum on Sheinbaum’s government, and 12 cherry-picked statistics are unlikely to make up for her softening approval ratings or expanding criminal investigations of figures within her party. Rating agencies and Mexican citizens alike will be watching for evidence that Mexico’s government can indeed govern, rather than simply tell a good story.

97. When Politicians Ignore Economic Expertise

Author: Kaushik Basu **Published:** Jul 29, 2026 **Link:** View Original

NEW DELHI—During the seven years I served as chief economic adviser to the government of India and as chief economist at the World Bank, I came to appreciate what a strange discipline economics is. Parts of it amount to little more than organized common sense, which is why political leaders with no formal training can sometimes make policy decisions every bit as sound as those of professional experts.

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Yet other parts are as precise as engineering. In these domains, allowing politicians to make policy unaided is like asking an accountant to design a bridge. Some of the gravest policy mistakes occur when political leaders venture into territory that demands professional expertise.

India’s disastrous demonetization in 2016, initiated by Prime Minister Narendra Modi’s government, provides a striking example. With barely four hours’ notice, 86% of the country’s currency in circulation ceased to be legal tender, ostensibly to curb “black money” and corruption. The economic damage was enormous: markets were thrown into disarray, GDP growth slowed for four years, and youth unemployment surged to 26%.

US President Donald Trump’s use of tariffs as a bargaining tool is another example. If tariffs are predictably low, firms will invest in businesses built around cross-border trade. If they are predictably high, they will invest in domestic production, confident that they are shielded from international competition. But when tariffs are repeatedly announced, suspended, renegotiated, exempted, and raised as a political weapon to extract concessions or punish other countries, businesses become reluctant to invest in either. The United States has paid a heavy price for this policy uncertainty in the form of higher inflation and slower economic growth.

The area in which the precision of economics is perhaps most evident is auction design. In most auctions, bidders do not offer the maximum amount they are willing to pay. If you value a painting at $1,000, you are likely to bid substantially less, hoping to buy it for less than you think it is worth. This raises a fundamental question: Is it possible to design an auction in which every bidder offers exactly what the item is worth to them?

Nobel laureate economist William Vickrey answered this question in 1961. In what is now known as a “Vickrey auction,” bidders submit sealed bids without knowing what others have offered. The highest bidder wins, but pays only the second-highest bid. The remarkable feature of Vickrey’s model is that each bidder’s best strategy is to bid the highest price they are willing to pay.

To understand why, imagine yourself as one of the bidders. There is no benefit to bidding more than the item is worth to you. If someone else bids just below your offer, you will win but pay more than you think the item is worth. Nor is there any benefit to bidding less than your true valuation. If someone offers more than you do but below the maximum you would have been willing to pay, you lose again.

I witnessed the power of auction design during my time as chief economic adviser to the Indian government under Prime Minister Manmohan Singh. In 2010, the government prepared to sell licenses for 3G spectrum, which officials estimated would fetch $7 billion. I recommended that, instead of relying on the traditional administrative process, the government let a professionally designed auction determine the licenses' market value.

Singh, himself an economist by training, agreed. The auction ended up raising nearly $15 billion. Had the spectrum been allocated through the conventional administrative process, the government would have forfeited roughly $8 billion—money that would otherwise have gone to private firms.

Anti-corruption policy is another area where economic expertise is indispensable. Corruption has long plagued India, with the alleged embezzlement of donations at the Ram Temple in Ayodhya showing that even the country's most revered institutions are not immune. Indians understandably want corrupt officials brought to justice, but combating corruption requires more than moral exhortation or harsher penalties. It demands an understanding of incentives, markets, and institutional design.

Taiwan's experience in the early 1950s is a case in point. Like merchants elsewhere, Taiwanese businesses routinely failed to record sales in order to evade taxes. To combat this, Taiwan introduced the Uniform Invoice Lottery in 1951. Drawing on the long-standing practice of fapiao—transaction records whose origins date back to the Qing dynasty—it turned every official customer receipt into a lottery ticket eligible for regular cash prizes. Rather than relying solely on stricter enforcement, the scheme gave millions of people a personal incentive to demand receipts, making them active participants in tax enforcement.

The results were dramatic. Businesses could no longer evade taxes simply by failing to issue receipts, because customers now had a powerful incentive to insist on them. Within a year, tax revenues in Taiwan had surged by 75%.

As politics increasingly encroaches on areas that require technical expertise, the risk of costly economic mistakes grows. If Modi's and Trump's failures have taught us anything, it is that political instinct is no substitute for rigorous economic analysis.

98. The Middle-Income Health Trap

Author: Tom Achoki **Published:** Jul 29, 2026 **Link:** View Original

NAIROBI—In the lexicon of development, few words sound as reassuring as “graduation,” which suggests progress past critical milestones and an escape from dependency. In global health, however, graduation increasingly creates a trap. When a country crosses the World Bank’s threshold from low- to middle-income status, it is deemed too rich to qualify for aid, even though it is not yet rich enough to cover its health costs.

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The implications of reaching this milestone (which is based on gross national income per capita) are therefore profound. Achieving middle-income status means that concessional loans will increasingly have to be replaced by market-rate borrowing, and that grants will shrink or disappear as global health programs wind down.

But pathogens do not recognize income thresholds, and the resources available to health systems do not necessarily grow smoothly with GDP. In many countries, disease burdens remain stubbornly high long after aid eligibility has expired. If there is any lag in the growth of the government’s fiscal capacity, the result will be a widening gap between health needs and health financing. Neither markets nor donors are well equipped to fill it.

This is a massive problem. Middle-income countries now account for over 70% of the world’s poor, for most deaths from tuberculosis, and for a still-high share of deaths from HIV and non-communicable diseases. Yet they receive a shrinking share of global health assistance, which is increasingly concentrated in a small number of fragile, low-income states.

If graduation to middle-income status reliably coincided with robust tax systems, deep capital markets, and comprehensive insurance schemes, it would make sense for recent grads to fend for themselves. But many middle-income countries face rising debt-service costs and collect less than 15% of GDP in taxes, owing to their large informal sectors. They may be richer on paper, but their health ministries are often poorer in practice.

When donor-funded programs supported by institutions such as Gavi or the Global Fund taper off, governments are expected to assume full financial responsibility for vaccines, antiretrovirals, and malaria control, often within the space of a few budget cycles. But such costs are often large, recurrent, and have low visibility, which weakens political incentives to prioritize them over other spending.

Consider Romania. Following its entry into the European Union in 2007, its economy started to grow, creating a key condition for the withdrawal of Global Fund support for HIV preventative services in June 2010. When the government failed to cover this new funding gap, harm-reduction services collapsed, and the country experienced a resurgence of infections among vulnerable populations.

Debt compounds the problem. When countries graduate, external financing shifts from concessional to commercial terms just as aid flows recede. Yet the private lenders that capitalize on the situation by charging high interest rates (usually citing the economic volatility that characterizes most newly graduated countries) have no appetite to renegotiate terms when economic headwinds emerge. In the end, the fiscal space that departing donors assumed would materialize is consumed by interest payments.

These are not temporary adjustments. Many middle-income countries find themselves stuck indefinitely in the position of being too rich for aid, too poor for markets, and too indebted to expand public spending. When that happens, the only available adjustment is to cut back on health and other services.

Many are then told that the private sector will offer the solutions they need. Newly graduated countries are expected to attract investment, expand insurance markets, and leverage blended finance. But even when private capital is available, it tends to flow to profitable areas such as urban hospitals, diagnostics, and specialist care. High-impact preventive services, primary care, and other public-health functions that generate lower financial returns are left to the state. The result is often a two-tier system that widens inequality and stalls progress toward improving population health.

To be sure, exit strategies are now typically accompanied by technical assistance and bridge financing, with “transition planning” becoming the latest buzzword. But the underlying logic remains unchanged: graduation is treated as an administrative event rather than a political and fiscal one. But income per capita is a poor proxy for state capacity. A country can grow rapidly in GDP terms while remaining unable to raise revenue, regulate markets, or sustain complex delivery systems. Health financing depends on all three capabilities.

The irony is that success in global health often creates the conditions for failure. Better child survival rates and disease control contribute to population growth, urbanization, and epidemiological transition (when the leading causes of death shift from infectious diseases to chronic, degenerative conditions). Health needs become more complex and more expensive just as external support wanes. Faced with funding gaps, governments and donors often reach for guarantees, loans, and public-private partnerships. But these often deepen fiscal exposure and shift risk forward in time. Rather than an exit from dependency, graduation begins a more fragile equilibrium, sustained by borrowing, cross-subsidization, and quiet rationing.

There are alternatives. Donor organizations should adopt pragmatic eligibility criteria that are more attuned to countries’ disease burdens and fiscal capacity than to projected income status. At the same time, global health institutions should offer longer, more predictable transition periods to account for the recurrent costs related to health-care delivery. Recipient countries should advocate for debt relief to be integrated into health transitions, rather than treated as a separate macroeconomic issue. In return, they should commit to improving tax-collection systems and efficiently allocate a significant portion of those resources to proven health programs.

Graduation to middle-income status is supposed to signal success. When it comes to public health, it must not mark the moment when progress slows, systems strain, and hard-won gains begin to erode.